APL Apollo Tubes Ltd. (APLAPOLLO)

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Re: Transcript of the Conference Call held on July 27, 2022
Dear Sir/ Madam,
With reference to our letter dated July 21, 2022 intimating you about the conference call with Analysts and Investors held on July 27, 2022, please find attached the transcript of the aforesaid conference call.
This above information shall be made available on the website of the Company viz. www.aplapollo.com.
We request you to kindly take the above information on your record.
Thanking you
Yours faithfully
For APL Apollo Tubes Limited
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Company Secretary
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Encl: a/a
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“Apl Apollo Tubes Limited
Q1 FY 23 Earnings Conference Call”

July 27, 2022

MANAGEMENT : M R. SANJAY GUPTA - CHAIRMAN AND MANAGING DIRECTOR, APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL - CHIEF FINANCIAL OFFICER, APL APOLLO TUBES LIMITED
MR. ARUN AGARWAL - CHIEF OPERATING OFFICER, APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA - CHIEF STRATEGY OFFICER, APL APOLLO TUBES LIMITED
MODERATOR: MR. SUNDAR - SPARK CAPITAL ADVISORS INDIA

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY23 Earnings Conference Call of APL Apollo Tubes Limited hosted by Spark Capital Advisors India Private Limited. As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note, that this conference is being been recorded. I now hand the conference over to Mr. Sundar from Spark Capital. Thank you, and over to you, sir.

G. Sundar: Thank you, Jacob. Hello, everyone. On behalf of Spark Capital, we welcome you to APL Apollo's 1Q FY23 earnings call. From the management site today, we have with us Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Deepak Goyal, Chief Financial Officer; Mr. Arun Agarwal, Chief Operating Officer, and Mr. Anubhav Gupta, the Chief Strategy Officer. Thank you and over to you, sir, for your opening remarks.

Anubhav Gupta: Thanks, Sundar. Thanks, Spark Capital for hosting us for our Q1 FY23 earnings call. I welcome everyone on this call. Thank you for dropping by.

Q1 FY23 was a mixed quarter with the volume falling short of expectations. The uncertainty for business environment remained very high as you do steep volatility in global commodity prices, and steel was no different product which collapsed 13% in Q1 and then further 10% In the month of July. The volume for our company was a bit way off because there was a massive de-stocking which happened in the channel. As the prices are falling, our channel partners, our distributors, our clients, they had started to de-stock and they started working on minimum inventory levels. We believe that almost 60,000 tons of sales volume was lost last quarter. However, we expect this to recover in coming quarters when the prices will stabilize and the channels will start re-stocking.

We had demonstrated that similar performance in second half of FY22, when the Q3 volumes suffered due to the de-stocking, but Q4, we came out with highest ever numbers of 5,52,000 tons of sales volume.

Despite low sales volume, our performance in terms of profitability was quite good. And one of the worst quarters for the steel sector when the prices collapsed so much, we could maintain the lower range of our EBITDA per ton guidance, which is INR4,500 per ton. In the long-term, we believe the steel price correction is very good as the gap for a low-grade tube versus our tubes is narrowing down and moreover our products are competing or taking market share from conventional construction products like both, TMT bar, V bars and light structural. So, our competitiveness will improve and this will help us increase our volumes aggressively in the coming months.

In terms of the cash flow generation, the operating cash flow was quite strong. However, the capex commitments of up to INR1.7 billion resulted in

an increase in some debt levels. Also,
the inventory levels also went up given the loss of sales volume and some inventory buildup in our Raipur plant, which we just started, and these inventory levels also should start coming down and that level also will narrow down.

The other highlights on Q1 was that the value-added product portfolio sales mix remains around 60% to 65% and this should keep on improving as the Raipur plant kicks and the contribution from that plant will improve our overall sales volume mix. The benefits from Shankara association are already visible. The sales ramp up as we had expected is on track and this should give us the desired ROIs which we had anticipated. The CapEx on our Raipur plant also is on track with almost 70%, 75% of CapEx being done and slowly and gradually more and more lines are starting as each month passes by. We expect Raipur plant to become operational from 3Q FY23, and the balance residual CapEx should also be completed over the next two to three months, which again will be funded from internal cash flows.

Now, the main point here is the efforts towards market creation for Raipur plant products has started in a big way, because the products from Raipur plants are highly innovative in nature. They are being launched in India for the very first time. So, it is very important that the market creation had to start at right time which we did. So, whether it is color coated products or it is heavy structural tube, we have started approaching the influencers in a big way, whether it's architects' community or structural consultants or steel construction contractors, which are called PV vendors, we are having series of seminars in the cities, where we are inviting all these influencers to educate them and talk about our products. And I'm glad to share that the feedback, the initial response is quite encouraging. People are appreciating the fact that these products are innovative and they will definitely solve a lot of industry problems which the construction industry is facing today.

Our efforts towards the creation of market for heavy structural tubes are also paying off as there has already been a proof of concept in form of the Delhi Hospital project, for which the structures for all the hospitals are completed. Very recently, we got order for a 15-storey, commercial tower as well in the NCR region as well. So, the ongoing inquiries for 50 odd projects, which amounts to 200,000 tons of heavy structural tube is there in pipeline and as we as we had guided that will keep on revolutionizing the construction space in India in coming months.

This was pretty much on our Q1 performance. Our long-term business strategy remains intact, which revolves around CapEx for value-added product, innovation, market creation and ESG. We maintain our FY25 sales volume guidance of 4 million ton. This confidence comes from the fact that the Raipur facility is coming on track and acceptability for its product is also there among the end consumers. Our distributors are excited at the same time, at the same time we are adding new distributors for these specialized products. So, this thing, capacity of 2.6 million tons should see a ramp up as sales volume should grow at 10% to 15%, and then incremental sales will come from Raipur. So, we are confident that the 30% volume CAGR over FY22 is achievable till FY25.

With this, we'd like to open the floor for Q&A. Thank you so much.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: Yes, hi. Good evening Sanjayji and APL team. Sir, three quick questions. Firstly, on outlook on HRC. How is the channel behaving now? Where is the price today and what do you expect to happen over the next three, six months in terms of re-stocking?

Sanjay Gupta: Rahul, good evening. Sanjay Gupta this side. Today price is almost close to INR57. I think close to INR57. And I think when we look at the international market, as well as the local market, maybe there is another gap of another INR3, INR4 kg to come down. It may come down to INR52 or INR53 odd in the next one or two months. I think there is the bottom out.

Rahul Agarwal: So, would we say that the restocking basically would start sometime end September and it's not really happening in July or August? is that fair to say?

Sanjay Gupta: No. Sale is already a good are in the month of July, because of the whole sector is without stocks. They are sitting without stocks and which companies are holding the stocks, they are good sales. Like our --- in the month of July our sales is on track, in spite of the fact that our prices are high. We have maintained our in-house. We are not dropping our prices in the market as per the raw material prices. But still, it is happening. We are right on track in the month of July. I think there should not be much problem in the channel in the month of August and September. We are right on track. The actual consumption never stops. The channels have already de-stocked. Whatever material they require daily, for that…like I can say, we have the order of volume in 24 hours in our hand. But in the evening, our sales are completed. Whatever

material they require, they buy that and then sell and go home. Nobody wants to keep the stock.

So, whatever our services are, the services for which we had worked a lot in the last year in U.S., we are taking the benefit of those our services.

Rahul Agarwal: Got it, sir. I understand. So next question was on the overall outlook for the full year. So, we are about 2.3 million tons is what we targeted. Raipur, obviously, it looks like second half will be very bulky in favor of Raipur volumes. We have guided for 3 lakh tons, 4 lakh tons. So, how is your visibility, sir? I mean, what are you thinking about the full year?

Sanjay Gupta: Whatever, our guidelines are intact. We had achieved the target of 11 lakh tons before the year started. The target was second half was of 12 lakh tons to 13 lakh tons. Still, we are thinking that we should fulfill our target. Margin pressure may happen in the first half. Maybe we recover in the second half.

Rahul Agarwal: Got it, sir. And lastly. Tricoat EBITDA per ton, it was about INR9,200 for the quarter. Why was it high? Because every other segment, there was a drop in EBITDA per ton. Any specific reason there? That's my last question.

Anubhav Gupta: So, Rahul, this was this was because of better sales seen in Tricoat in Q1. Tricoat has limited products. So, three segments dominate the sales volume. In few of the quarters, when the high value, super high value-added product sales are high, then the EBITDA per ton looks high and when the volume for high value-added products are low, then the margin will look low. So, yes. That's the reason. Nothing much to read into it.

Rahul Agarwal: Got it. So, it should basically retract back to its normal long-term average, right?

Anubhav Gupta: Yes, right, which we have been guiding between INR7,000 to INR8,000 per ton.

Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Yes. Anubhav, just a quick question on the sales channel for this high diameter products that you're selling to hospitals and all that stuff. So, would it be fair to assume that we would selling it directly and it will b

e an order-by-order kind of sales channel for the product?

Anubhav Gupta: So, it depends, if the contractor is very to pay on cash or on spot payment, we sell or if he is insisting for a credit, then we get our channel partners to come in. We don't take exposure to contractors for credit period.

Ankush Agrawal: Okay. Okay. But since this would be more of a customized product in terms of specifications. So, over long run, would it be fair to assume that large chunk of this business will be coming directly to us rather than through our distribution partners?

Anubhav Gupta: So, I guess right now, we are in process of trading the market right, wherein we are directly trying to approach the contractors, the builders, the developers, the architects. So, here, our interaction with those influencers is one-on-one. So, for initial orders there could be like direct orders coming to us, but once this concept picks up, the trends pick up, then our distributors will, they will deal with the developers directly. But for initial kick in we have to get in and get the market going.

Moderator: Thank you. The next question is from the line of Vikash Singh with Phillip Capital. Please go ahead.

Vikash Singh: Good evening, sir. Thank you for taking my questions. Sir, I just want to understand, we are targeting 32% CAGR growth in our volumes. During that period, what is the market size growth which we are envisaging and by the ’25, what kind of market share we are targeting?

Sanjay Gupta: We have to understand this market. Today, this market is almost close to 7 million tons. Out of that, 3 million tons today is from the primary steel and 4 million tons from the secondary steel. And in the past one year, one and a half years, the prices between the primary and secondary is almost close to INR15,000 to INR20,000-ton gap. Now, this gap narrowed down to INR4 to INR5 kg. So, the market is coming from the secondary to primary. So, I think this market should first take from the secondary seller. Part from the secondary seller, the secondary material also is come to 4 million tons and on per annum basis, this market is growing at a rate of 15% 16%, I think so. So, up to 2025, this market should be 6 million tons, close to 6 million tons for the primary steel.

Vikash Singh: And out of that 3 million tons increment, we are targeting 2.3 million tons for ourselves. So effectively growing faster than the rest of the lot. So, is that a correct understanding?

Sanjay Gupta: Yes.

Vikash Singh: So effectively, we would be 70%, 75% of this, our structural steel market share, which is 55% right now can go up to 70%, 75%. That's what we are…?

Sanjay Gupta: We are targeting 60% to 75%. And plus, there could be some new additions in the market segments. Right. So, I'm sure, 0.5 million tons to 1 million tons could be the new market, which will be created because of our innovative products. So, sort of 8 million tons --- out of 7 million tons to 8 million tons buy, we should be 4 million tons plus.

Vikash Singh: Understood. Sir, my second question, have we taken any inventory write downs or hit during the quarter? And if yes, then at what HRC rate we have booked that inventory right now?

Sanjay Gupta: This time we have no inventory write down. Whatever we are taking, the raw material, we are selling as per our raw material prices, the material. We pass to pass the prices to customer. So, like now we have high-rate inventory in our house, so, we are keeping our prices upper in the market and we have no problem to sell our material.

Vikash Singh: So, are you implying that even after the export duty came in and HRC prices, which went INR70,00, INR8,000, at that day, you would have been keeping so

me inventory, but you have not lowered your prices for the remaining inventory, and still you were able to sell those products?

Sanjay Gupta: Yes. Let's say, prices have not gone down in these three months for INR7,000, INR8,000. Prices have gone down by go down by INR17,000, INR18,000 ton.

Vikash Singh: No. I'm just talking about immediately after the export duty implementation.

Sanjay Gupta: I'm also talking about that, the prices are… In the month of April, the price is INR73,000 and the closing price of July is INR57,000.

Vikash Singh: Yes, sir. So, just one last question. Are we still following the same kind of the process, where we buy roughly about our entire requirement at the beginning of the month in terms of HRC and later on produce and sell? Or now it's more spread over the entire month? So, how are we procuring our raw material at this point of time?

Anubhav Gupta: So, I guess the better way to address this is that our raw material inventory cycle is 15 days, right? It's not like if I'm producing and selling 170,000 ton of tubes every month, that doesn't mean that 170,000 ton of tube will come on day one, right? It's a it's a gradual, it's an ongoing process, right? Every day 5,000 tons of steel comes. I make it, process it, and sell it. Right. So, it's not like that we get all the raw material in the beginning of the month. It's an ongoing process. Every day, the trucks come from our steel producer partners and recharge plants.

 Vikash Singh: So, what I effectively means is that the pricing is still fixed on the start of the month and that is applicable for the entire month in terms of raw material procurement or now that has also become dynamic?

Sanjay Gupta: No. Right now, the pricing of the raw materials decided at the last of the month. Earlier, when the market was growing, the prices were decided at first. When the market is in the downside, all the conditions of the market seeing the market pressure, then the prices are decided on 31st. Like today, we don't know the July prices.

Vikash Singh: Okay. So, this change has happened to which month, sir? This price decided from the beginning of the month to ending of the month, this change has happened from which month?

Sanjay Gupta: From the month of May. Month of May.

Moderator: Thank you. The next question is from the line of Aakash Pawar from Sahasrar Capital. Please go ahead.

Aakash Pawar: Yes, hi. Good evening, sir. Sir, in the last con-call, you mentioned something about primary steel capacity coming up in India. So, if that comes from steel, how will that impact our margin?

Anubhav Gupta: So, see, I mean, it's not going to impact our margin. How it's going to impact the steel sector is that if there is a more capacity coming in, the pricing which has been on the upside for many, many quarters, we have witnessed, so that should mellow down, right. The capacities have been delayed growth not only in India, but globally because of lockdown restrictions, what we have seen for the last two years. Now that capacities are coming back online, the supply demand mismatch which was there, should normalize and it is going to be very good for our business, if there is enough steel in the market available, the pricing on the steel should will be normal. And anyways, we have our own product basket of 1,500 SKUs through which we sell various products. every product has its own margin. So, our conversion margins, our EBITA spreads should not be impacted due to whatever steel capacity is coming in or out. Is this increase? Ideally, it should increase. I mean, because our discounting power, our negotiating power should improve as there is more steel in the market.

Aakash Pawar: Okay. So, sec

ond one was, let's say steel prices comes down to like INR40 per kg or INR45 per kg. So, what impact will that have on our EBITDA per ton?

Sanjay Gupta: When the steel prices come down to INR40 per kg to INR45 per kg, then maybe channel is not taking the material. We have to push the material in the channel. So maybe margin is adjusted by 1% or 2% but for the long term, this is a golden era for us.

Aakash Pawar: Okay, sir. How? Can you please elaborate?

Sanjay Gupta: Boss, I told you that the primary steel market that we have of structural steel is of 3 million tons and the market for secondary steel is of 4 million tons. This total market is 7 million tons. So, if it comes to INR40, INR45, then the secondary will not be that much. So, from the 7 million tons, the 4 million tons that is there for secondary, that will be reduced to 2 million tons and the primary market will grow to 5 million tons. In India, apart from Apollo, nobody has the capacity to serve more than 20,000, 30,000 tubes per month. Everyone combined also, cannot deliver that much goods. So, when you need 2 million tons or 3 million tons extra of primary steel, then only we have that. Then this is golden era for us, because capacities are never grown in one day and I have unlimited capacity. I have the money, I have the capacity, I have the raw materials, I have the market.

My problem was that the gap of INR15,000 to INR20,000 between primary and secondary had restricted me. To buy the raw materials for INR15,000 premium and then selling the goods in the same category, that is not easy. If I don’t have to take more premium, then I can do
 anything. Right now, if I have high-rate inventories, then I have kept the prices higher and then selling it. As the prices come down, my market share will increase.

Moderator: Thank you. The next question is from the line of Bhavin Pandey from TrustPlutus Family Office. Please go ahead.

Bhavin Pandey: Yes. Hi, Sanjay, Anubhav. Hope you are well. So, I have just one question. This quarter, the way we witnessed substantial decline in sales as compared to previous quarter and but the numbers were great on year-on-year comparison. So, I was just wondering like how do we look at these patterns in terms of, while steel price still corrects and there's de-stocking happening? So, for us to look at the business like how do we look at these? Like how long did it take for the corrections to reflect in the trade and stocking by the distribution partners? Thank you.

Anubhav Gupta: See, it’s not just our industry, there are many other industries in the building materials segment, where one single raw material forms bulk of the value in that product. Okay. And wherever this is happening, the global commodity prices are coming down. So, each and every industry behaves in the similar fashion.

Normally, what we have seen is and we are also talking to our friends in other building material category, this phenomena is normally one to two months, right, maximum like four to eight weeks. If the prices are on downtrend consistently for one, two months, right. So, the de-stocking will be there for same time, but at the same time, one should not forget that there is underlying demand for these products as well. Right. For example, a distributor normally works on 25 to 30 days on inventory in a normal environment. Now, when he's de-stocking, his inventory would go to around 18 to 20 days, right. He can't take his inventory level below 10, five days because otherwise he will not be able to service his retailers. So, his business will collapse, right. So, normally what we see is that inventory days come down from 25, 30 to 15, 20 in period of de-stocking. And when it's re-stocking, from 15,

20 days, he will take his inventory to back to 25, 30 days, right. So, this normally takes place in one to two months. That's the kind of disruption which comes up. But whenever the prices stabilize then…

Bhavin Pandey: Then extra demand for that material.

Anubhav Gupta: Right, because steel, if I have to use steel for my industrial shed, for my housing tower, for my commercial tower, for my mall building, I have to use steel, right. There is no alternative. So, I may delay my project by one, two months but then eventually, I have to finish that project. So, demand will always come back, always.

Bhavin Pandey: So, given the recent correction in steel and commodity prices, are we expecting the rest of the three quarters to sort of make up for the volumes that we lost in Q1?

Anubhav Gupta: Definitely yes. And same phenomena happened in second half of FY22. In Q3 FY22, our sales volume went down to 40,5000 tons and in Q4, we achieved 552,000 tons. So, full year --- for the second half, we finished at 0.96 million tons. So, same way, first half, we also believe that almost 1.1 million tons, our initial sales guidance, we should definitely meet.

Moderator: Thank you. The next question is from the line of Kunal Kothari with Centrum Broking Limited. Please go ahead.

Kunal Kothari: Yes. Thank you for the opportunity. Sir, during the quarter, we have seen fall in steel prices and de-stocking happening in the market. And henceforth, the Tricoat business is seeing the net working capital going to negative 11 days. Then why is the consolidated level is flat at 8 days? Kindly please throw light on the same. Thank you.

Anubhav Gupta: See, Tricoat is a very small business in the overall scheme of things, right. It's around 10% to 15% of the total volume and in terms of the total balance sheet size, and it only has two plants, okay. So those plants run very efficiently. The inventory levels or whether it is days as well,
 because the products are highly innovative from Tricoat. So, the payment terms are even better there. Right. So, I guess, I mean, yes, it is around negative 10 days, but that's only because the operations are small and it's only two plants to manage right. So, that's why it is like super-efficient. Apollo managing below 10 days at a size of INR13,000 crore, INR14,000 crore turnover and the balance sheet size, it is a limited product. And so, yes, I mean, we are we are very happy with our net working capital cycle. How we have been able to bring it down with our very hard work of two years. So, yes, I mean, I don't think there is too much to read into Tricoat net WC versus Group's net WC.

Kunal Kothari: So, for x of Tricoat, in terms of business, the net working capital has increased in the quarter, or has it remained the same?

Anubhav Gupta: We have given this in our presentation. On 31st March, it was around seven, eight days. Today, it is eight to nine days. It's mentioned in our presentation. So, it's only one to two days of increase in net WC.

Moderator: Thank you. The next question is from the line of Rahul Jain from Systematix. Please go ahead.

Rahul Jain: Yes, hi. Thanks for taking my question. Sir can you give some more color on the product profile that we will see from the Raipur plant? We will mix our existing products that we have or will they be very different? Can you give some more color on this?

Anubhav Gupta: So, Raipur there are three product categories. All three, out of these three product categories, one of the categories is where we are launching the product for the first time in the in the world, which is color coated products, color coated tubes. The second product category is the heavy sector tube, 500

square diameter. That will be the first ones to do in India. Globally, there are two, three companies which do that. But in India, we are the first one. And then there is another third category, which is, color coated sheets. So, that's an established market and we will be competing against the existing players. So, the first two product categories are totally, totally innovative and we will be producing and selling them for the very first time.

Rahul Jain: So, in terms of our margin profile, should we see that it will be remaining where we are today or we can see some 15%, 20%?

Anubhav Gupta: For the Raipur project, we believe that the EBITDA per ton should be INR6,000 to INR8,000 per ton. And our existing margin range is INR4,500 to INR5,000 per ton.

Rahul Jain: And then you got good market acceptability for these products or it's like in the works?

Anubhav Gupta: So, we have started the exercise to create the market. There is a very strong base, which APL Apollo provides in terms of the distribution network, in terms of the retailer reach out, in terms of the influencer reach out, in terms of the brand, right. So today, we have to get 100 architects under one roof, it's not a difficult task, right. So, because brand Apollo speaks for itself, okay. So, I guess, I mean, and we have been creating new markets for our products historically. Our 20% volume CAGR is all because of new product which we have been keep on innovating, whether it is chocker tube or window frame tube or octagonal tube or elliptical tube, or oval shaped tube, V-shaped tube, D-shaped tube, handle-shaped tube, right. All these are innovative products for which we have created markets. So, our team, our marketing team, our sales team, both have already strong in-hand experience of creating market for our products, and at the same time, we are hiring new people in the marketing and sales as well to be able to sell these products so efficiently.

Rahul Jain: So, in the sense, what I actually I've seen that in some other similar types, so they've taken a lot of inventory write down and things like that, but because of our low seven days kind of meet in order we have such kind and this won't happen in the future also right that is how we should look at it, right?

 Anubhav Gupta: I mean that is the efficiency what we have achieved right to be able to turn around the HR coil, which comes to our plants and produce that into 1,500 different SKUs and sell it to our 800 distributors, right. This whole turnaround time is like 20 to 30 days. So, that's the learning. That's our learning curve of running our operations and that is helping us today in all these volatile environment.

Moderator: Thank you. The next question is from the line of Unnati from Yellow Jersey Investment Advisors. Please go ahead.

Unnati Narang: Good morning. Thank you for the opportunity. Can you please provide us with the update on the merger of Apollo Tricoat?

Anubhav Gupta: So, we had a --- last hearing was in mid-July for the merger with the court. We had provided all the relevant data, information to the court and we were expecting that it should be through. But there was there was new date which, which is…We applied for the earlier date and so now the next hearing is in first week of August, right and hopefully, it should be through. There is nothing pending from our side. Once it is true, from 30 to 60 days, the shareholders should get the swap shares. There is a process which will start after the court order comes in. But we are very, very hopeful that the next hearing in first week of August would be the last one.
Moderator: Thank you. The next question is from the line of Bharat Shah from ASK Investment Managers Limi

ted. Please go ahead.

Bharat Shah: Sanjyaji, in a very choppy and difficult raw material environment, very commendable performance. I didn't have question actually on APL Apollo, but I wanted to understand the acquisition of Moongipa Securities which has occurred. Therefore, details, rationale and thinking and kind of bearing on our business.

Sanjay Gupta: Good evening, Bharatbhai. Bharatbhai, the Moongipa Securities acquisition that is there, this is a new NBFC company, which is coming further, still be discounting system. We are going to do the steel, the industry sector ---the steel sector is of INR9 lakh crore. Here, people have exposure of INR1 lakh crore to INR5 lakh crore. So, here are going to start with the bill discounting system. We have seen in the last 10 years to 20 years that people face a lot of problem in bill discounting when they supply goods to government departments and all. So, I just think that this is totally risk-free zone. So, we thought of starting a new venture and hence we started this new venture.

Bharat Shah: Yes, but can you give some more detail as to what it will mean for APL Apollo?

Sanjay Gupta: Bharatbhai, if you suggest us to we can talk on this, the other platform, if you say that we should talk on this platform only, then we can talk on this platform also. Whatever you suggest, we are ready.

Bharat Shah: No, at least if you can give kind of a broad outline or the rationale and details we can discuss separately for sure.

Sanjay Gupta: Bharatbhai, we have made a capital infusion of INR300 crore, and we have tied up with the bank for INR200 crore, INR300 crore. So, we want to make it a INR500 crore, INR600 crore, INR700 crore book size for the company. In that, wherever there is a problem, the separate team that this company has, where it will understand whom to give loans and whom not to give, so, they can give the loans. They can give the discount but we are just totally focused on the steel sector discounting bill system. We are not going other than the steel sector in that bidding state or fear funding or not in any other business. This company is totally focused on the steel sector financing bill discounting system.

No doubt the Apollo distributors will get a lot of help also, when they cannot get money from the banking system and we don't give on credit. So, they can also take loan from us. Or when they supply to us, they don't get discount from the bank. But these OEMs are good. So, they can get help from there also, and whatever other business they do, they will be helped in that

 also, because we have a very good number of data in the last 35 years. So, we can use this data and do this business. That is why I am saying that we are not going to work outside the steel sector.

Bharat Shah: Sir, essentially it will mean one thing that it is operational. APL Apollo receivables will probably become close to zero and therefore we'll be able to crunch working capital further down close to barring inventory of the raw material.

Sanjay Gupta: Receivables data level is still zero almost.

Bharat Shah: No, I am talking about the receivables.

Sanjay Gupta: Yes. That is what I am saying, the receivable level is almost zero even now. We have receivable of almost INR50 crore, INR55 crore.

Anubhav Gupta: Bharatbhai, as of 31st March balance sheet, the -- what APL Apollo had was three, four days. That's it. So it's negligible even today.
Bharat Shah: Got it. Correct. So, then, how will --- I suppose the APL Apollo has nothing to do per se with these? It will be some members of the family which will be part of this and what will be the --- is there any impact on APL Apollo because of this?

Anubhav Gupta: It's a comple

tely separate venture by the family. APL Apollo has no role to play here. Family decided to get into NBFC business right in the steel sector itself. There is big opportunity, which is INR78 trillion of steel sector the products exchange hangs and out of this INR1 trillion to INR2 trillion is what the pocket which this NBFC company will address to. APL Apollo, some of the clients may take this facility which may be buying product from Apollo but then Apollo distributors deal into a lot of other products, not just Apollo. They sell TMT bars. They sell like light structural angles and channels. They sell welding rod etc., etc. So, the distributor, the client could be of APL Apollo, but it is not to find Apollo receivables, because Apollo receivables are anyways zero today.

Bharat Shah: So, essentially from the point of view of APL Apollo it at all, impact is positive or neutral or is there no implication for APL Apollo operations?

Sanjay Gupta: I think this company should give help to APL Apollo to increase their sales because in the last two years' exercise, we left a lot of customers due to credit. Banking is not funding them; Apollo is not giving them credit. So, we left those customers because Apollo guidelines is very clear, that we will not give credit to anyone and their balance sheets are not strong that Apollo would give money to them. So, I think that those customers will return to Apollo through this company.

Bharat Shah: I see. So, it will become customer acquisition tool where credit risk is passed on to the new entity, while APL Apollo will be able to expand the sales footprint?

Sanjay Gupta: Yes. Because if any Apollo customer will buy goods from them then there is no request of Apollo. This is a totally new venture, new team, new office. It will depend on this venture and not related with anything Apollo.

Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL. Please go ahead.

Anupam Gupta: Yes Sanjayji. The question is basically related to the heavy structural tubes capacity that is coming in. So, you have worked a lot on the market development and you have highlighted quite a few advantages which tools brings to the table versus RPC IDs and HPs. In your marketing from where have you received high resistance from and how have you tried to address that?

Sanjay Gupta: The resistance that we are getting the most is that when we are making 60-storey or 30-storey, 35-storey, right now, we are making 300 square feet with up to 12 mm thickness. And now our

new plant is coming with 500 square feet with 20 mm thickness. But handling that is creating…lot of people are wanting 1000 square, up to 30 mm thickness. They can make the whole building with that. So, we made some arrangement in the Faridabad to give this material to them with fabrication. We have taken such orders and supplied 400 tons to 500 tons of such material. 500 tons of such material is supplied and now we are also in the process of investing some more money for going 1000 square feet line. So, once the Raipur line starts in the month of September, August, or September, then we are going for 1000 square feet, up to 40 mm thickness.

The most difficult thing for us is the ability. People are very expecting. People are very demanding, but unfortunately, we are unable to supply the material.

Anupam Gupta: Okay. But in terms of design perspective and structural safety of the building perspective, there is no major resistance that you are seeing?
Sanjay Gupta: No problem at all. People are too much excited. We have 50 odd projects. You can talk with any customer. We are so excited. Like I will just let you know one thing yesterday I was meeting with one of the contractors.

There is this process of installing water tanks in UP. It is 200KL, i.e., 2 lakh liters. There is a whole scheme of 2 lakh liter to 3 lakh liter and it is there in whole UP. So, they are constructing with RCC. The cost of making one with RCC is INR13 lakhs to INR14 lakhs. They were saying that the cost is INR6 per liter. So, the cost is INR12 lakh to INR15 lakh based on the capacity. So, that was the cost. So, we submitted a design to IIT Rourkee, that this construction should not be of RCC but of steel. So, the design has passed the first phase. Now, the design will pass the second stage and then the authority and Jal Nigam will pass it from Lucknow. So, I think that there is a requirement of 70,000 tons to 80,000 tons. So, the contractor who had an order of 1500 tanks, he was so excited, that he said that this should be passed anyhow. My work will be made easy. The project that I felt was difficult to complete in one year, I will complete that in two months. But no doubt there was a cost addition of 15%. He said that this is manageable. So, people are too much excited. But unfortunately, we cannot provide the material yet. Once we give the material, then we will be able to thing will be cleared.

Anupam Gupta: Okay. Okay. Second question sir. So, assuming that acceptability is very strong and you have --- your plant will be in Raipur only. So, will you at some point of time, think of having more such plants that say north and south or do you think that you will do the service from Raipur only?

Sanjay Gupta: Too early to answer this question. I cannot give you the answer to that. I am a very aggressive person but I have invested in many projects right now. Raipur has been delayed by one year and all the machines that I have in Dubai, I have to set up plant for that also. So, I cannot think about anything else other than this. I don’t want to go in a debt trap again. I am not even dreaming. I am not even thinking. I have only one answer. I just want to create some capacity. Till the time I don’t reach 3 million tons, I am not thinking of anything else. I am not talking about INR50 crore, INR100 crore CapEx. I am not in the position to think of anything right now. Once I cross 3 million tons, then I will think about this.

Moderator: Thank you. The next question is from the line of Aditya Velkar from Axis Securities. Please go ahead.

Aditya Velkar: Thank you for the opportunity. So, just to from an understanding perspective, sir, spread between primary and secondary steel. So, we know that the primary steel prices have come down because of the host of the factors but the secondary steel, the prices of the secondary steel, have they increased because of the energy prices, thermal coal prices? So what are the factors playing out there?

Sanjay Gupta: Boss, I don't think the secondary steel will increase. Primary will come down. We make that in Raipur. Ingot is there. First ingot is made and then the tin is made from that. So, right now, in Raipur, the ingot is close to INR48 per kg, INR49 per kg. An on top of that, for making tin, they at least need INR7 kg to INR8 kg. So, they are close to INR57, INR58 at Raipur. And to
 supply goods all over India, they almost need INR16,000 [Ph] and hence their price is close to INR60,000 per ton to INR61,000 per ton. Right now, we are filling our material, discounting everything for around INR65 per kg. So, in the gap of INR4, this is good enough for us to capture the market.

Moderator: Thank you. The next question is from the line of Mudit Jain from Hem Securities. Please go ahead.

Mudit Jain: Good evening, sir. Congratulations for good set of numbers. So, my question was Sir, as you mentioned that we have not reduced prices despite sharp correction in HRC. But sir, despite that there are EBITDA margins has come down from March quarter. So, sir, what is the reason for that? Can you explain that?

Sanjay Gupta: Boss, I told you that I didn’t reduce the price. I didn’t say that. As per the raw material prices today, I haven’t reduced the prices. Right now, just as I told you that the raw material cost that I have is INR57. I am selling tube at INR65, the spread of almost INR8 per kg. Normally, we keep this spread of INR5 per kg to INR6 per kg. But we have old raw material in our house, so we don’t reduce the price.

Mudit Jain: But sir, the difference that is there in the EBITDA in the March quarter, what is the difference for that? I didn’t understand that.

Sanjay Gupta: The inventories that we are selling, the cost of that is INR60 per kg, INR61 per kg. That is why my margin is reduced. I am telling you the current price, that is INR57.

Mudit Jain: Okay, sir. So, you have sold it at INR61.

Sanjay Gupta: The inventories that we have in our house is of INR60, INR61, that I have sold.

Mudit Jain: And the current levels are INR57.

Sanjay Gupta: Yes.

Moderator: Thank you. The next question is from the line of Varun Jain from Edelweiss. Please go ahead.

Varun Jain: Good evening, sir. Sir, you had indicated that other than Raipur, you will have a capacity expansion of 3 lakh tons in Dubai and 2 lakh tons in Kolkata. So, can you give us any update on that? And secondly, we had an app called Aalishaan and which you had said that it had 45,000 or so downloads. So, and we wanted to build a B2B building materials platform for steel products. So, any update on that will be very interesting. Thank you, sir.

Sanjay Gupta: Boss, in Dubai we identified the land and we have done the agreement with Dubai Inventory Authority. Now, I will give the contract to the local contractor. The process has started. In Kolkata, we are in the process of buying the land. We just identified the land. We have not finalized the land. We have done everything in Dubai. In, Kolkata we are doing. Anubhav will give you a better update on the Aalishaan app.

Anubhav Gupta: So, Aalishaan app was launched to cater to the B2C demand for -- Right. Today we have around 55,000 downloads almost 25,000 fabricators are enrolled here. So, here the idea is that the end consumer who has been using our tubes anyways, they should know that with our tubes, they can they can get their home decor products made and we have made the nearest fabricator available to your home in almost 150 cities. So, idea is to promote Apollo brand and to have larger mindshare in the in the consumer. So, that's the objective. And this app is not for B2B platform. For B2B platform, we are having discussions internally and probably in next quarter call or we'll have some better concrete plan to discuss for B2B trading platform.

Moderator: The next question is from the line of Pinakin Parekh from JP Morgan. Please go ahead.

Pinakin Parekh: Thank you sir. Sir, one question is that you said that right now the steel price is INR57 and the import is done on INR52, then sir, Tata Steel, JSW said that they are doing the maintenance shutdown. So, as a company, have you started booking import orders, because if in the near-term, if they are going through maintenance shutdown, then they may not be keen to reduce the prices very sharply?
Sanjay Gupta: No, boss. We are not keen on import. We will do some little but import for doing the export. But after giving the taxation in import, maybe the prices are workable. Also, we have a very good relation with Tata Steel and JSW Steel and other steel suppliers. They are in problem because their raw material prices are too high in

the current situation. We don’t want to create any problem for them because of Apollo. Because we have a long-term relationship with all the steel suppliers, we are cooperating with them and we do not want to feel like import. They are in a problem now. As soon as situation improves, they will also cooperate with us. We have a very good relationship and we are going to import.

Moderator: Thank you. The next question is from the line of Akash from Canara Robeco Mutual Fund. Please go ahead.

Akash: Yes sir. Thank you for the opportunity. Sir, will you give some color on the demand side? Where are you seeing the demand? Where do you get the confidence of 2.3, 2.4, because if you see one of the building material product company, they tell you that there could be possibility of slowdown in demand, because of increase in interest rate. So, if you can put some color on the demand side? What gives us that confidence that we can still do 2.3, 2.4 type of number?

Sanjay Gupta: Boss, we are looking at the demand from three sectors. One is that we want our sales to go the secondary material that was there in the last two months. We want to take some from there. Our sales was badly hammered in that segment and we have noticed that the sales have started recovering from July onwards. I can give you example, like the Tamil N■du market. In Tamil N■du market, in 2019, my sales was close to 1.5 --- one minute, I will get my data. In Tamil N■du, in year ’20-’21, my sales was 1.5 lakh tons, which decreased to 1 lakh tons is ’21-’22. In Q1 this sale was 21,000 tons, i.e., 7,000 tons per months. So you can see it is 84,000 tons per annum from 1.5 lakh tons. And in this market, I have already sold, in this market, 12,000 tons. So, I almost went back to 1.5 lakh tons. And four to five days are still left and inventory de-stocking is taking place. So, I am very bullish that as soon as I will come out of this phase after finishing my high-priced raw material, then the demand is not a problem with me, if there is no other major change. I am very bullish. If I am getting increased demand of 1 lakh ton from one market, then I have 32 markets.

Akash: Okay. So, you are saying that you are taking share from secondary and hence growth will be seen there?

Sanjay Gupta: I know how I have survived the last two years. I have lost a huge market share because gap is INR15,000 per ton to INR20,000 per ton.

Akash: And sir, this EBITDA that has softened a little QoQ and you have explained that. Can you please explain it again?

Sanjay Gupta: Boss, the problem we are facing is that no one I buying the material. Everybody knows that pricing is down. Company is not reducing the price because company has inventory of that date. So, they are also buying material that they have to sell. So, my capacity is of 6 lakh tons. I have sold 4.2 lakh tons and my postal cost has increased by INR700 per ton to INR800 per ton. My cost has increased by INR700 per ton to INR800 per ton. I sold some goods on discount and some I exported where I had less tension of achieving the target. There were lots of problems. The margin has not reduced. This is my best quarter, if you ask me. It has reduced only by INR400 per ton to INR500 per ton. If I show you the past history, sometimes the fall is so much that the raw material costs, reduce from INR74,000 to INR60,000. The raw material has decreased by INR14,000 and Apollo's EBITDA used to be zero. The company is so strong now that it has tolerated all this. I had an inventory level rise because of less sales but still we

 have managed our number. The price has reduced from INR74,000 per ton to INR54,000 per ton, which means a drop of INR74 per kg, at an inventory level of 2 lakh ton. I had in

ventory
level of 2 lakh ton. This is almost INR340 crore odd, which I have saved from my margin or business.

Moderator: Thank you. That was the last question. I will now like to hand the conference over to Mr. Anubhav Gupta for closing comments.

Anubhav Gupta: Thanks, everyone, for joining us. And thanks to Spark Capital once again for hosting us for this call. Thank you so much. Have a nice day. Bye.

Sanjay Gupta: Thank you.

Moderator: Thank you. On behalf of Spark Capital Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your line.

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Scrip Code : 533758

Re: Transcript of the Conference Call held on November 9, 2022
Dear Sir/ Madam,
With reference to our letter dated November 7, 2022 intimating you about the conference call with Analysts and Investors held on November 9, 2022, please find attached the transcript of the aforesaid conference call.
This above information is available on the website of the Company viz. www.aplapollo.com .
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

Deepak C S
Company Secretary
M. No.: FCS-5060

Encl: a/a

“APL Apollo Limited Q2 FY-23 Post Result Conference Call”

November 09, 2022

MANAGEMENT : MR. SANJAY GUPTA - CHAIRMAN AND MANAGING DIRECTOR, APL APOLLO TUBES LIMITED.
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER, APL APOLLO TUBES LIMITED.
MR. ARUN AGARWAL - CHIEF OPERATING OFFICER, APL APOLLO TUBES LIMITED.
MR. ANUBHAV GUPTA - CHIEF STRATEGY OFFICER, APL APOLLO TUBES LIMITED.
MODERATOR : MR. SUMANT KUMAR – MOTILAL OSWAL FINANCIAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to APL Apollo Q2 FY23 Conference Call. As a reminder all participant lines will be in a listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Sumant Kumar. Thank you and over to you.
Sumant Kumar: Thank you. Good afternoon everyone and very warm welcome to APL Apollo Limited 2Q FY23 Post Results Earning Call hosted by Motilal Oswal Financial Services Limited. On the call today we have management team being represented by Mr. Sanjay Gupta – Chairman and Managing Director; Mr. Deepak Goyal – CFO; Mr. Arun Agarwal – Chief Operating Officer; Mr. Anubhav Gupta – Chief Strategy Officer will begin the call with key thoughts from the management team. Thereafter, we will open the floor for Q&A.
I would now like to request the management to share their perspective on the performance of the company. Thank you and over to you.
Anubhav Gupta: Thanks Sumant. And thanks, Mike. It's a pleasure to be here and talk about our Q2 FY23 Results. So, the quarter which went by in terms of volume, it was pretty exceptional with all time high sales of 602,000 tonne of volume. We are glad to share that we almost hit our peak capacity in September month with the volume of 230,000 tonnes. And again this shows that the capacities what we had put up over the last two, three years they are near to the peak utilization levels. And this number is more important because the distributors were still under destocking mode as steel prices had not bottomed out. We believe prices shall plateau over the next two to three months and we only see restocking happening with distributors post Q3 December month.
There is some disappointment in terms of margins. As the EBITDA spreads were under pressure, it was basically because of three reasons what we see, one was the weak sales mix as the commoditized sales contributed 45% to the overall volume versus 35% to 40% what we have seen historically. The sales were important because the market had just opened up after the sharp correction in steel prices. So, we also wanted to gain market share and we went pretty aggressive on the sales and offered some extra seasonal discounts to our clients. And also if you see the contribution from Raipur has started in terms of volume, but in terms of margins in terms of profitability, we are just at the breakeven level. So, as the volume will start raising up from October, November month we'll see the contribution in terms of EBITDA also coming up significantly.
Without Raipur, without new Raipur plant the EBITDA spreads were near about Rs.4000 per tonne. When we compare our margin performance and sales performance with other companies in the building material sector and value added businesses of steel companies. We believe our performance was pretty satisfactory. Our partnership with Shankara has proven to

be fruitful in the last six months, we finished the deal in the first quarter. And again, we are glad to share that the first half sales with Shankara has grown by 110% on Y-o-Y basis. This suggests that the ROI on that investment is pretty much on expected lines, and it will match our business ROC of +30%. The operating cash flows in the first half again were super strong with OCF forming 110% of the first half EBITDA. We could improve working capital slightly as the liquidated inventory as the sales volume were all time high 602000 tonnes. This operating cash flow 400 crores were utilized for Raipur CAPEX and some other CAPEX which we are incurring. And then there was dividend payment of around

100 crores that led to
marginal increase in debt to 300 crores. But these debt levels will come down as Raipur CAPEX is near completion and the operating cash flows which will be generated they will help us reduce the debt over the next three to four months.
The Raipur plant is pretty much on track as you can see that over the last two, three quarters there has been an increase in the volume coming up but substantial increase we will start seeing from month of November, December and Q4 there should be pretty much all the lines will be commissioned and the plant will show its true colors from Q4 onwards and our whole team is working day and night to ensure that all the lines are commissioned on time and at the same time all the products are innovative there. So, the teams are also working to create the market for those products and the results whatever have come up they are pretty much encouraging.
Lastly, I would like to say that as we ride through this tough wave of global uncertainty and inflationary environment, our laser sharp focus remains on the innovation, market creation and ESG. We have ensured that most of our new products which are starting whether in Raipur or other plants in APL Apollo are 100% innovative and they are being launched in India or globally for the first time ever. So, our efforts towards market creation are at the same pace. So, that the volume ramp up from these new capacities can be pretty quick and fast. All in all, our long term volume target of 4 million tonne by FY25 remains intact, which suggests 30% volume CAGR from FY22 to FY25. And, this will be much higher than what the group has achieved over the last four, five years in terms of volume CAGR.
On ESG front, we're committed to reduce scope one and two emissions per tonne by 25% by 2030. And more than 50% of our power consumption will be met through renewable energy by 2030. So, our efforts on the ESG front are also encouraging and we continue to ensure that all the goals of the company are aligned with the ESG goals in the coming years. All these efforts towards ESG are in addition to 250,000 trees which we saved by manufacturing environmentally friendly products like Chokhats and window frames, et cetera. So, as a group, we are pretty much committed to ensure that our ESG goals are met in an aggressive manner.
That's it from our side Mike, we can open the floor for Q&A.
Moderator: Thank you. We will now begin the question-answer session. We take the first question from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: Just two questions, firstly on Raipur just wanted to know the status of capacity addition ad ramp up, you alluded some bit of it in your commentary. If you could quantify what kind of sales, volume are we looking at in second half with more so for fourth quarter and will the entire 1.5 million tonne be ready by March?
Sanjay Gupta: Thanks, Rahul. Rahul our Raipur plant we are talking Q3 is almost we are going to close about 70 to 75000 tonnes and Q4 we are targeting for 1 lakh tonne. With some of our machines from China and there is no persons are allowed to come from China to India, so some bottlenecking is still we are waiting from the government should allow to give the Chinese to visa. So, we are not sure, maybe we delay by some one or two or three months. We are trying our level best to start with some by online process. Next year we are targeting in Raipur plant almost close to six to seven lakh tonne and next 23-24 we are targeting the target of 1 million tonne. And for going to 1.5 million tonne, we have some bottlenecking we have to order some machines, we are still waiting that we first we wrap up this 1 million tonne, then we go for the 1.5 million tonne.
Rahul Agarwal: Got it sir. And only one more question on sizing of HRCs. What the gap between primary and secondary

scheme, the patra rights now how are they different from international pricing and
any outlook you could provide what's really happening on the debt free market, that's all from my side. Thank you.
Sanjay Gupta: Rahul today the intentional market is close to with landed CFR Mumbai or Chennai is close to 540, 550 and Indian steel prices are close to 54, 55 and patra is still sitting on around 50,000. This is okay , this is not in our favor. And we are thinking if the people are saying in the international market, the price are bottom out because the coal prices are very high, so the cost of steel portion is very high. So, we are looking maybe there is a slight decrease in steel prices in India in the next one or two months and then the price settle down and maybe if the international market go up maybe there is no price for in India. So, we are in the middle of a situation in this time, what time you can save earliest product hike we can't comment and we can't forecast anything. So, the better way, we maintain ourselves very light. If it increases or decreases it should not impact us. So, we are trying to maintain us very light.

Rahul Agarwal: Got it sir. And last year one question for you, the discount and offers gain market share in 2Q, that should go up again in third and fourth quarter so, EBITDA per tonne should improve significantly is that understanding correct?
Sanjay Gupta: Rahul in EBITDA per tonne we are targeting for this thing, earlier our business plan is 22 to 23 lakh tonne of total volume. So, for the volume we are very sure that we will cross 22 lakh tonne. Now we are looking at this as a cakewalk for us. In the marine side maybe slightly, right now we are in the presser but we looking that we can maintain around the EBITDA margin of 5000 back on track. Earlier our aggressive plan is go to Rs. 6000 per ton. This year we are not looking that this is possible. This year, we are targeting into the second half if we make it the Rs.5000 per tonne EBITDA.

Moderator: Thank you. We have the next question from the line of Sujit Jain from ASK Investments. Please go ahead.
Sujit Jain: Anubhav you mentioned that Raipur cost came in. So, if I look at the OP bridge which you have given in the presentation slide #19, Raipur cost are at 10 crores, if I add that, divide that by 6.02 your volume, then that can add back only about Rs.120 a tonne in terms of OP whereas your commentary was at, because of those cost, x of those cost OP could have been at Rs.4000 a tonne?
Anubhav Gupta: So, Sujit if you see in quarter two Raipur the EBITDA has been shown at zero. In Q4, Q1 there was some operating profit but in Q2 as the plant and machineries are ramping up and commissioning, so because of higher labor costs, and obviously there was some inventory, which we have to keep as a plant is ramping up. So, there was some minor write-downs also on there. So, that’s why it is at zero EBITDA level.
Sujit Jain: Maybe I will take this offline, and to Sanjay. If I heard it correctly, Raipur plant to contribute six to seven lakh tonnes in FY24 and about a million tonne in FY25. And then 1.5 million in FY26, is that correct?
Sanjay Gupta: Yes.
Sujit Jain: Okay. And Rs.5000 a tonne, OP per tonne on track this commentary is for a full year FY23?
Sanjay Gupta: No, for the second half.
Sujit Jain: For the second half Rs.5000 a tonne?
Sanjay Gupta: Yes. About maybe 200, Rs.300 a tonne minus or plus, we can’t see right now exact amount, but we are looking that we can manage it around Rs.5000 a tonne.
Anubhav Gupta: So, Sujit in first half we did from Rs.4000 to Rs.4500, if you take two quarters separately. In second half we are targeting from Rs.4500 to Rs.5000 per tonne. So, for the full year the blended should be above Rs.4500.
Sujit Jain: Right. And this commentary Chinese people could not travel to India and visit the plant, wha

t
exactly we are taking in Raipur plant from China?
Sanjay Gupta: Our the 500 square feet is from China, mainly this will be our struggling and one of two small things we are struggling but this is not a big matter, but our 500 square feet is our main basket, we are aggressively waiting for this mill and due to Chinese are not coming to India. So, we are struggling to ramp up this mill.

Sujit Jain: Sure. And one more question in the initial days of selling this Raipur production, Q3, Q4 75,000 and 1 lakh tonnes. So, would that we centered on direct sales to large clients or this would be through distributors?
Anubhav Gupta: Through distributor and retailers mainly.
Anubhav Gupta: So, the channel will remain same, barring some projects which we get directly but 70%, 80% of sales will flow through the same existing sales channels.
Sujit Jain: Okay. And finally, APL Apollo Tricoat volumes now will go in light structure and Apollo’s Z Rust-Proof structure. New segmentation that you give, right?
Anubhav Gupta: That’s right.
Sujit Jain: It will not be mentioned separately?
Anubhav Gupta: That is right.
Moderator: Thank you. We have the next question from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.
Pallav Agarwal: Sir, I had a question on what are we planning as advertising and promotional expenses, since you are planning an aggressive increase in volumes. So, what is it currently as a percentage of sales, so what are we planning to spend going ahead?
Anubhav Gupta: So, Pallav right now it is around in the range of 8 to 10 crore per quarter. And this is still very

low versus what we did in the year one of FY20 when we had launched the ad campaign when we did 50 crores. So, we've been able to efficiently rationalize the brand expenses from 50 crore to around 25 to 30 crore annual rains and the visibility is same because first year we started with bank and then second, third year we are taking help of more efficient and more cheaper medium like hover boarding or social media. So, for the time being we are okay with 30 crore kind of annual run rate and next year there could be slight increase as of course the Raipur products are coming online, the expenses to promote those products will be there. But then the volume uptake is also there, so on EBITDA per tonne basis it should be around Rs.200 per tonne maximum.

Pallav Agarwal: Sir just want to also understand given that the Raipur, the city will be coming out with products which are relatively new in the market, so how do you see this acceptability are you in your current interactions with builders or architects, how the traction or acceptability of these products, how do you feel that's going to play out?

Anubhav Gupta: So, Pallav we started this exercise already like eight, nine months ago. Obviously because of COVID and all there has been a delay in the Raipur capacity ramp up, but our earlier plans suggested that the plant should be very between like or by mid of 2022 calendar year. So, our

marketing plans we had started already last year and in Jan, Feb of this calendar year. And so there are like two, three types of promotions or market education what we are doing here one is, so we have identified the influencers who are going to promote our products. So, one influencer is the fabricator who will sell our products in retail, so that data we already had from last six, seven years because we were very aggressive in organizing fabricator meets and doing direct communication with them. So, we have reactivated that fabricator meetings on a large scale across India where we are our teams are on ground and we are meeting fabricators one-on-one they are doing cyber charcha kind of stuff where they are trying to assemble 20, 30 fabricators at one place and we are also doing mega fabr

icator meet where 100, 200 fabricators comes and we tell them about our product. So, one part is fabricator meet. The second part is architects and structural consultants who are more smart and more polished audience. So, there also we are doing one on one meets, we are organizing a lot of seminars, where we are trying to educate them about our product for example color coated tubes, thicker sheets, and heavy structural tubes, a lot of seminars it's all on our social media, our YouTube channel you can go and have a look that we would be doing at least one seminar, one exhibition per week, that's been the run rate for the last four, five months now. So, that way the promotional activities are going on. And then thirdly, our distributors and retailers there also we keep on meeting them and educating them about our products and innovative products. So, that activity is ongoing and that's why like Sanjay, just few second back said that we are eagerly waiting to start our 500 square mill, because we know that we have been able to create market for that product and the moment the mill start so we will have a lot of orders inflow coming in and we hope that the mill capacity gets booked too quickly.

Pallav Agarwal: Sure. Sir just a final question so, with this large diameter pipes will this cater more to the institutional segments, with the share of B2G or will that go up in our mix or we don't really expect that to happen?

Anubhav Gupta: Not really, because when we are creating the market of course we have to talk to the government agency who undertake the project or we talk to the contractors who are doing the project or we talk to the real estate developers who are doing the project, but then the sales happen through our distributors. The OEM business which currently is 5% of the total sales, I don't think it should go up significantly and anyway if there is any direct sales, whether B2G or B2B we are not going to compromise on the payment terms. You can you check with our clients like last financial year we executed this hospital project in Delhi and the payment terms were same which is on cash, payment firstly, I should deposit advance then we won't deliver even one tonne of pipe without money coming into our account. So, that model continues. The OEM sale I don't think it should go beyond 7%, 8% of total volume.

Moderator: Thank you. We have the next question from the line of Bharat Shah from ASK Investment. Please go ahead.

Bharat Shah: I heard of the conversation, but I still could not fully understand that what we were looking at almost about Rs.6000 a tonne will end up a 3850 there about, so what are the various sources

through which such a sharp reduction has occurred in the final number. If you can help in reconciling, then it will be easier to comprehend what has happened.

Sanjay Gupta: Bharat, this may not be one reason that why should this margin come down from 6000 which we are targeting to Rs.4000 tonne. One is our commodity part sold much which we wanted to sell less due to the volume we have to sell more. Number two Raipur plant we are targeting that in Q1 only it will settle down a lot. But it could not settle from where we were getting Rs.7000, Rs.8000 tonne EBITDA business which would have improved our business, that plant could not settle. Third reason was the clocking system so after that we had to do aggressive selling because the first week of April the steel prices are almost close to Rs.74000 tonne and we closed our price at 30th September Rs.54000 per tonne. So, the slide from 74,000 to 54,000 everybody want to destock the material. So, when we have to sell the material we have to push the material, these are the main three reasons to, 6000 is our vision this is not practical. We made a vision that we will do 6000, as a promoter level, as a Chairman level I can't take the easy target, if my target

is achieved then I am not a promoters, I need to set a
target which I should fail. So, we had set a hard target, then our Raipur plant got delayed. Our commodity product sale was more, some impact we faced from destocking. These are the four main reasons you can say which impacted our margin.
Bharat Shah: Sanjay you said three things, one was commodity shares, restocking and Raipur plant stability, which is the fourth one?
Sanjay Gupta: Fourth is our target, which we mad aggressive. We made the target aggressive target.
Bharat Shah: Okay. So, from Rs.6000 to Rs.3850 difference of Rs.2000 which element impact is it in what percentage. How much it is from destocking on an average per tonne?
Sanjay Gupta: You can say 50% is of destocking. And 25% is Raipur plant and 20%, 25% is my aggressive target.
Bharat Shah: So, 50% impact is of destocking?
Sanjay Gupta: Yes, because it has changed from 74 to 54 which is lifetime.
Bharat Shah: I understood that, 50% came from there, 25% we are considering the Raipur plant which ended up just being kind of breakeven. And rest is commodity or anything?
Sanjay Gupta: I kept that in aggressive target. Commodity have added in the 50% of destocking.
Bharat Shah: So, you are saying if this destocking wasn't there then also we would have got Rs.5000?
Sanjay Gupta: Yes, around Rs.53, Rs.5500.
Bharat Shah: Okay. So, currently the situation was till September.

Sanjay Gupta: If you will see it specifically. You would have seen that we have increased exports as well and we don't get any benefit in retail and branding. There also our margin got hampered, because our focus was to catch-up our volume, we can get back the volume I am not worried about the margin, one quarter here and there is fine I can pull it back, my market share is increased but if my margin goes down by 50 or so then also I am not worried about this, I can bring back my margin. If a 55, 60% shareholder would like to increase the margin so it's very easy to increase the margin.
Bharat Shah: So, right now the destocking and the steel price repeat movement was there so now can we say that picture is more normal now?
Sanjay Gupta: I think in Q3 this picture should be over.
Bharat Shah: It will last till Q3?
Sanjay Gupta: It is going on now.
Bharat Shah: So, in this quarter it should finish?
Sanjay Gupta: It will finish in this quarter but as Raipur has started so we have got support from it and October we have done well.
Anubhav Gupta: Impact will be low.
Sanjay Gupta: October impact is also low, earlier it was Rs.20 a kilo but now they are Rs.2 kilo, it's not Rs.15, Rs.20 kilo so it's impact obviously decreasing of price is very less now. It was a heavy impact before this.
Bharat Shah: Okay. If I have to read between the lines, then the Rs.5000 per tonne which you said for second half, you are being very careful there I guess?
Sanjay Gupta: Yes, when I say something I want to fulfill that and I am a bit scared about it.
Bharat Shah: It is unlike Sanjay.
Sanjay Gupta: I am talking on this call with a fear factor, I don't want to misguide anybody. So, I am scared a bit. This call I am talking slightly conservative .
Bharat Shah: So, if I have to summarize the destocking and inventory movements so majorly that factor is behind us after this quarter, and Raipur plant issue won't affect in this quarter?
Sanjay Gupta: Last month we have done 15000 tonne from Raipur, this month we are targeting 25000 tonnes and next month we are targeting 35000 tonnes. And January also we are targeting 50000 tonne at least.

Bharat Shah: Okay. So, there our under recovery of 30 would go off and we should normalizing then?
Sanjay Gupta: Yes. A lot of our expense is not capitalized in this as well. I believe in the cash profit, a lot of are on Apollo rolls and lot of t

hings go from Apollo to there so it comes in our expenses so I said let it go in our expenses and don't go for capitalization.
Bharat Shah: And the commodity mix which was more, so their impact will also decline by this?
Sanjay Gupta: Yes, to complete the volume we don't have to sell the commodity, we will leave the market if needed. I am targeting at least +300 crore EBITDA in Q3 and Q4, we are targeting at least 20% growth. This is what you wanted to hear so I finally told that. 650 to 700 crore target we will have, I won't give up so easily. Without guidelines it was 1200 crore and my target was 1400 crore, still I am hopeful that I will cross my 1200 crore.
Bharat Shah: I understood the picture, there were some unusual circumstances.
Sanjay Gupta: You took off my sleep by giving me pressure. If I talk something then I have to try my level best to fulfill the things.
Bharat Shah: We have hopes on you so I am asking you.
Sanjay Gupta: I will try my level best to achieve that and I can't say whether it will be fulfilled or not but I will not leave any stones unturned.
Bharat Shah: That we know for sure. So, to summarize in this quarter due to unusual circumstances combination, which has taken us to kind of a result on PAT and EBITDA which is something very big in the past. We saw this number after a long time.
Sanjay Gupta: Yes, but you have to see the strength of the company that few years back if this time would have come then company's EBITDA could have been almost zero.
Bharat Shah: Yes, I agree to that, the change from 72 to 54 can lead the EBITDA being zero for normal company.
Sanjay Gupta: Yes, I can come to negative as well but we managed very well. If you will ask us then we have managed ourselves very well. I congratulate my team after seeing the numbers. The whole Board congratulated the team, because as per the steel scenario nobody expected to have such kind of numbers.
Bharat Shah: Your point is correct. If I just see the difference of the Rs.18, Rs20 difference on 6 lakh tonne on which the business took place in second quarter, if we take that number then impact can be catastrophic so I quite understand.

Sanjay Gupta: We will try to achieve what we said and your wishes too. I won't say this and that but I am very hopeful by type of machine we have put in the Raipur new plant and the work we have done in the other plant. I am very hopeful the results should come. Maybe at one quarter sooner or later.
Moderator: Thank you. We have the next question from the line of Pankaj from Kotak Mutual Fund. Please go ahead.
Pankaj: My question was more on cash flow. So, when I see the first half consolidated cash flow, significant release from the trade receivables and you have reduce your trade receivable by about 250 odd crores, roughly a swing compared to last year of what almost 280 to 290 crores in one single half. Just wanted one understanding that how such a large number has been achieved once and second, what is a little surprising is that, despite of huge generation of cash flow compared to the last half and after CAPEX, we see that non-current borrowings and current borrowings have gone up by 400 crore and that has been then reinvested in fixed deposits. So, can you just help us understand the cash flow part that why 400 crores have been raised on borrowings again despite of higher operating cash flow. Thank you.
Sanjay Gupta: Thank you Pankaj. What I understood your question, there is two main question one about the debtor receivable and one about cash flow. The bank that is increased so firstly the debtor reduction this is due to started by the company from us a SG Finserve earlier was (Inaudible) 38:19 Securities. So, the debtors to whom banks couldn't pay money that money SG Finserve took. SG Finserve is dealing with APL dealer also almost 200 crore. So, it's main reason is to reduce

the debtor reduction. And number two the bank borrowing, you will see that our bank borrowing has reduced and it has not increased. What we have done is, you can say we are constructive or whatever. ABPL Raipur we put 600 crore equity from APL, in the ABPL Raipur now we left ABPL that now APL is not going to give you any funds, you take your own funds from the banks and now you perform. So, in ABPL we gave 600 crore and on that we got CAPEX or working capital so because of that you will see the bank borrowing in APL

and whatever we have free cash we have in APL we are making FD of it. ABPL is different,
we can't comment anything with ABPL at this stage it's quite early because after one and a
half month later the plant is starting which is equivalent to almost old plant. So, if you will
calculate numbers then all the numbers are mismatch, you have to see the old APL and the
ABPL could see after two quarters.
Pankaj: No, so if I am seeing console cash flow then the 400 crore borrowing increase.
Deepak Goyal: Pankaj the net debt has increased only by 75 crore, because there is an increase in cap and
bank balance by 300 crore. So, that's why we said that we have three entities one is Apollo
Metlife there is a cash surplus of around 250 crore. So, we have put that in FD, APL Apollo if
the cash surplus is around 50 or 100 odd crore so we have put that in FD. ABPL we have
borrowing and we have cash surplus also. So, that's why you can see increase in borrowing.

And secondly we get some arbitrate on export and interest is mentioned there so we do
borrowing here and put it in FDR.
Sanjay Gupta: Because our exporter rate of interest is less and FDR rate of interest is high.
Deepak Goyal: Almost 3.5% arbitrage.
Deepak Goyal: 3.5% we gain more interest.
Moderator: Thank you. We have the next question from the line of Lavania from UBS. Please go ahead.
Lavania: Sir, just wanted to check on what is the current export share and what it was and the base
quarter last year?
Deepak Goyal: So, Lavania it has been quite stable below 5% that's the contribution we get from exports.
Now that some of our value added products will start in Raipur that proportion will rise, but
right now it's just below 5%.
Lavania: Okay. Even in the current quarter export share is at similar levels?
Deepak Goyal: Yes.
Lavania: Okay. So, maybe on the heavy segments that's you are seeing participating or interest from
private hospitals I just wanted to check on that because the Max company has highlighted on
structural steel usage for hospitals, I just wanted to know your view on how you are looking at
private hospitals also for this segment?
Anubhav Gupta: So, Lavania it's not just about private hospitals, see there are two types of influences here. One
is the government, second is a private owner or developer. If you look at government today,
they want fast hospital today, they want faster schools, they want faster educational buildings,
they want faster transportation whether it is metro station or railway station or airports, then
they want faster housing projects. Now coming to the private side, whether it's a hospital
chain, hotel chain, real estate developer if they are able to finish construction within two years
versus three years it boosts their IRRs. So, interest is from hospital yes and second whether
you take up hotels, you take up data centers, you take up warehouses, you take a
manufacturing facilities, you take up shopping malls, you take up commercial buildings, office
complexes, we are working on all types of projects.
Lavania: Okay. So, can you help us understand what's the progress in any of this like everything is in
still talk or discussion stage?
Anubhav Gupta: No, so after Delhi hospitals we have got four, five confirmation across categories like #A
grade warehouse, an office building, one more hospital. And there are three,

four more
projects, so four, five confirmations have already come, a school building also for that matter.

So, that work will start over the next one to two months for these projects and right now there
is pipeline of more than 45 projects which could put up the steel tube demand of 50,000
tonnes. So, we are working aggressively on these o these projects and as and when the projects
start, that pipeline will keep on rising and you will see more and more similar building across
India.
Lavania: Okay, got it. And if I may ask one more question. So, for the new projects like four or five
which sir mentioned that you've got confirmation, so the current capacity which is there will
that be sufficient or the delay which we are facing related to (Inaudible) 45:00 will that impact
these projects so just wanted to understand, thank you.
Anubhav Gupta: So, we already have a mill which is running in the old APL plant. So, that is sufficient to feed
any upcoming demand, three, four project which will start over the next one, two months and
maybe by December worst case last week of December we will have our 500 square ready, So,
that will feed any kind of demand we are not worried about that.
Moderator: Thank you. We have the next question from the line of Axis Securities from Aditya Velkar.

Please go ahead.
Aditya Velkar: So, I have one question on the balance sheet on slide #28. So, if you see the inventories are still at a higher level of level 1100 crores from 850 crores in FY22. So, does that mean that in Q3 there will be further liquidation of these inventories and we will see kind of repeat of what has happened in Q2 or is it a raw material inventory or more of a finished goods inventory and if it is a finished goods inventory, then again in Q3 we will see more offloading of that?
Anubhav Gupta: See, inventory if you see in number of days so you compare FY22 and September 23, so in days it is like 24 versus 27, so it's pretty much the same in terms of value it has gone up of course because of the rising sales volume starting of the Raipur plant where we have to keep some inventories like we are projecting 75,000 tonne of volume in Q3. So, we need to have some readily raw material there. So, that's why it is and, like majority of this inventory is raw material we keep very less or low finished good inventory at our warehouses.
Sanjay Gupta: Understood. And secondly on CAPEX, so with this Raipur plant now being 80% complete. So, what's the guidance in FY24, will the CAPEX level go down further?
Anubhav Gupta: So, for next three years until FY25, we think we're going to spend around 500 crores maximum which will be residual to CAPEX then we are putting up one plant in Dubai, we might do Calcutta also and some maintenance CAPEX. So, all put together, cumulative second half FY23, FY24, FY25 in two and a half years it should be 500 crores cumulative. And this will take up our capacity beyond 4.5 million tonnes.
Moderator: Thank you. We have the next question from the line of Kunal from Centrum Broking. Please go ahead.

Kunal: Sir my question is that, you mentioned the major reason for the fall in EBITDA margin is due to the fall in steel prices. But during the quarter if we see the movement of the steel prices, so it has been quite stable from June to July, July to August and August to September, despite and also like our inventory days is also very stable throughout the period.
Anubhav Gupta: Sorry to interrupt, we didn't say that EBITDA per tonne declined because of fall in steel prices. Our EBITDA per tonne declined because destocking with our distributors, they were in the destocking mode because steel prices are falling so they were not ready to lift materials. Normally our distributors work on 20 to 30 days of inventory at their warehouses, but when the prices

are falling, they go into destocking mode and they work on 15, 20 days inventory.
So, they restock, when they destock we have to offer some discounts to our distributors that's why our EBITDA per tonne declined. Not because there were inventory write down on our books.
Kunal: Okay. So, as we believe that the destocking will further continue in quarter three. So, how the discount moment do you see for quarter three?
Anubhav Gupta: So, obviously, Q3 we don't expect steel prices to fall Rs.15,000 per tonne as they did in Q2, or Rs.10,000 as we did in Q2. So, there should be a marginal drop and obviously we will lift the discounting which we have been given. So, it should boost our margins in Q3 and Q4.
Moderator: Thank you. We have the next question from the line of Akshay from Canara Robeco Mutual Fund. Please go ahead.
Akshay: So, just if I understood it correctly, you are writing for Q3 to be around 70, 75,000 tonnes from Raipur and Q4 you're talking about 1 lakh tonnes. So, that amounts to say 1.75 lakh tonnes and then FY24, you're talking about six to seven lakh tonnes from Raipur and then FY25 you're talking about 1 million tonne and in FY26 1.5 million tonne. So, then how does the math work, how do we achieve 4 million tonne in FY25, like is there a mistake in my numbers or how is it or maybe if you can reiterate your guidance like what is the volume expectations over the next two, three years and what part of it will come from Raipur and what is the EBITDA per tonne expectation from your side so if you can clarify this that will be helpful. Thank you.
Anubhav Gupta: If you see in the Q1 numbers, we done the volume from APL without Raipur 5,85,000 tonnes you multiply 5.85 into is close to 24 lakh tonne. And with the support of demand and supply some bottlenecking we also working on. So, this capacity go to 2.82, 2.9 million tonnes, we have done 2,20,000 tonne in September month. Around 2.8 APL will reach and 1 million tonne will be Raipur, this is close to 3.8 or 3.7, 3.6 you can say any number and Dubai will come before that, our Calcutta plant will come before that so this both together plant we have no worry to take the volume to 4 million tonne.
Akshay: Okay. So, you mean that on the existing plant, you are doing some debottlenecking exercise so which will increase the capacity?

Anubhav Gupta: Next two, three lakh tonnes not more.
Akshay: Okay, understood sir. And your EBITDA per tonne guidance like in 23, 24, 25 what is the expectations?
Anubhav Gupta: If you ask me then my target is always high. I'm seeing at least minimum Rs.5000 tonne EBITDA for APL, Rs.7000 to Rs.8000 tonne EBITDA for ABPL and what type of capacity we are putting in Dubai as there is a bigger size demand is very good in Dubai or incentive are sending the material from India and selling there. If we see the current scenario so my EBITDA is more than Rs.10,000 tonne in Dubai. Calcutta again there is a community close to Rs.5000 tonne EBITDA. So, all put together, I'm very sure that Rs.6000 EBITDA I can take to 2025.
Moderator: Thank you. We have the next question from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.
Pallav Agarwal: Sir just had a clarification on a minority interest. So, I understand that the merger has happened but I don't see any dilution in the share capital. So, can we just clarify what will be the dilution and when that will come in?
Anubhav Gupta: Today, we have allocate the share to the new shareholders of the Apollo Tricoat, from the next quarter impact will become.
Pallav Agarwal: And can you just quantify how much, whatever percentage of dilution?
Anubhav Gupta: 10% dilution.
Moderator: Thank you. We have the next question from the line of Rahul Agarwal from InCred Capital. Please go ahead.
Rahul Agarwal: Sanjay, one question on the Delhi pollution. Last time, we had some is

sue with material dispatches, this time around how is that behaving is there any government regulation again, could we see some negative surprises here in third quarter?
Sanjay Gupta: I can't understand Rahul what you want to want to ask?
Rahul Agarwal: In Delhi due to pollution the transport of material had some issues for APL in history. I was asking, is that very serious this time around?
Sanjay Gupta: Transportation is not a problem, but frankly we in the North region in the NCR demand is sluggish because all the customer activities is on hold. So, there is slightly 20%, 25% demand is through the NCR, system for the whole system which is very negligible for us.

Rahul Agarwal: Okay. So, whatever number we're talking about, that is adjusted for this thing, we should not see any negative surprise in this respect?
Sanjay Gupta: For the volume there is no surprise, but for the margins we are struggling and we want to fulfill our target.
Rahul Agarwal: Got it sir. And one clarification on the receivable thing, you explained some 250 crore shift because of some trade channels and I couldn't really understand?
Sanjay Gupta: Correct answer is not shifted, our that of 200 crores our banks are not giving them general financing or other facilities. So, our finance company is giving some facilities almost close to Rs.200 odd crore right now I don't have the exact number. We are now taking the facility from SG Finserve.
Anubhav Gupta: So, your client at the team of SG Finserve is going and meeting the field traders in the market including distributors who maybe doing work of Apollo or not, and if they find they are offering good they are going for it and in that situation some of the receivables from Apollo got funded from SG Finserve.
Rahul Agarwal: Got it. This should also help increase volumes, isn't it because some business which we would have got because of low credit that will come back?
Sanjay Gupta: Sure, there is no doubt. This is clear impacting the month of September. September we have done our highest volume, at 2,30,000 tonne, not to project it to 3240. So, precisely 2,38,000 tonne we have done in the month of September.
Rahul Agarwal: Got it sir. And this SG Finserve supply chain finance is completely non-recourse to APL is it?
Anubhav Gupta: Without any recourse. This is totally different body, they work differently, they evaluate all the customers and then they give the finance.
Anubhav Gupta: So, just to put on record, there is no guarantee from APL Apollo, there is no recourse, there is no risk on APL Apollo, SG Finserve is a totally separate entity being owned separately, managed separately with zero default rates through APL Apollo.
Moderator: Thank you. We have the next question from the line of Rahul Jain from Systematix. Please go ahead.
Rahul Jain: Just want to check sir, we are growing our volume size 25% CAGR you mentioned, the 16 market definitely is people are looking at 62% kind of volume growth over the long term. So, where do you think you are getting that extra market share from and what are your thoughts on doing any kind of inorganic because we've not really looked at that side. So, can you just

clarify with these two things?

Anubhav Gupta: So, Rahul coming to the second part of the question first, on inorganic acquisition or opportunity the market has been under stress for last two, three years, there have been a lot of mills who have shut down and there are a lot of deals which come on the table. So, we keep on evaluating but, nothing material today which we can talk about. And first part of the question was about how do we improve the market share, right that was the question.
Rahul Jain: Yes, exactly because our growth rates are really outstanding in terms of how the market is growing. And my only concern from that

point is that, does it also lead to a challenge in terms of keeping your margins where they are, because if you're offering such higher quantity obviously, basic math says that you will have to make your product a lot more attractive right. So, that is I just want to bridge these two things.
Anubhav Gupta: So, see for market share which reflects 55% for us, you need to break our portfolio into three segments. One is commoditized, second value added, third is super value added. In super value added which are like complete innovative products where APL has the lead for next four, five years because no other competitor is in the competition there we have 100% market share, because we innovated the product, we launched the product and we control 100% of the market. So, that portfolio phase today is 20% or 25%, then comes the value added products where APL Apollo innovated three, four, five years ago and then we created the market, we enjoyed the market share, but then the competitors came into picture and they also came into the competition. So, that portfolio will be say 40% today. Where margins will be slightly lower than super value and the market share will be say for 60%, 70% for those products. Then the third category which is commoditized which today is like 35%, 40% of the portfolio, here the market share will be 10% to 20% only, because we started mass manufacturing of square, rectangular tubes like 15 years ago and then the computers came in, they also switched from round circular tubes to square rectangular tube. And now that segment is monetized. So, there our market share is 10% to 20%. So, how we will achieve 30% volume CAGR and still improve the EBITDA spread by growing our portfolio in the super value-added segment and value-added segment.
Rahul Jain: So, from a new product that you're developing, so you're very positive on the kind of trajectory and the customer acceptance and you will be able to get the margins higher commodity levels.
Anubhav Gupta: That's how we have grown in last 10 years, it's not just next three-year story, look at our 10 year story that's how we have grown our spreads are highest in the sector because of the value addition and super value addition and innovation.
Moderator: Thank you. We have the next question from the line of Abhishek Ghosh from DSP. Please go ahead.
Abhishek Ghosh: Sir just in terms of the EBITDA per tonne if you see on a sequential basis, one of the major drops has coming in about the general structures, but rest of the. So, is the discounting more

into that particular commodity product for how should one read it because there you have done almost something like Rs.1400 of EBITDA per tonne. So, is that section which was more impacted by the destocking elements?
Anubhav Gupta: Yes, because that is also the more competitive product, Abhishek. Where I just said that our market share is 10% to 20% so there we have to go most aggressive, and that's where we offer extra sweeteners to our distributors.
Abhishek Ghosh: Okay. And how is the differential with scrap today in terms of because that is very important in determining the margins in this section. So, how should one look at the difference with this scrap today?
Anubhav Gupta: So, it is back to the historic long term average which is like Rs.5 to Rs.7 per kilo. That's where we are today.
Abhishek Ghosh: Okay. And just one last question in terms of the, if I look at the volumes in the rust roof proof structures, that volume seems to have seen a major decline of almost about 13% on a Y-o-Y basis, sequentially also it is down so is it a conscious decision as a strategy or how should one look at it, just your thoughts?
Anubhav Gupta: So, Abhishek this is another point which you highlighted, team is highlighting that Rust-Proof structure is our value-added product and the sales were weak in Q2 of FY23 because of

floods
and monsoon in Southern coastal markets, which is the main market for this product. So, there is nothing conscious decision like that as the markets have opened up after the monsoon and flood, et cetera. You will see the uptick in volume in Q3 and Q4.

Abhishek Ghosh: Okay. So, in terms of the general structure, which has increased to almost something like 46% of total volumes in 2Q and which in certain quarters goes down to as low as 33, 35. What should this number be post Raipur comes in, how should one look at this number?

Anubhav Gupta: Eventually, like on 4.2, 4.3 million tonne capacities this number should be less than 25% on consistent basis.

Moderator: Thank you. That was the last question. I now hand it over to the management for closing comments.

Anubhav Gupta: Thanks, Mike. Thanks, Motilal team for hosting us for our quarterly call. See you next time. Thank you very much. Bye.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

6th February 2023
Electronic Filing

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NSE Symbol : APLAPOLLO Department of Corporate Services/Listing
BSE Limited
Phiroze Jeejeebhoy Tower,
Dalal Street, Fort,
Mumbai-400001

Scrip Code : 533758

Re: Transcript of the Conference Call held on February 2, 2023
Dear Sir/ Madam,
With reference to our letter dated January 25, 2023 intimating you about the conference call with Analysts and Investors held on February 2, 2023, please find attached the transcript of the aforesaid conference call.
This above information is available on the website of the Company viz. www.aplapollo.com .
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

Deepak C S
Company Secretary
M. No.: FCS-5060

Encl: a/a

“APL Apollo Tubes Limited
Q3 FY '23 Conference Call ”
February 02, 202 3
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MANAGEMENT : M R. SANJAY GUPTA – CHAIRMAN AND MANAGING DIRECTOR – APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL – CHIEF FINANCIAL OFFICER – APL APOLLO TUBES LIMITED
MR. ARUN AGARWAL – CHIEF OPERATING OFFICER – APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER – APL APOLLO TUBES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the APL Apollo Tubes Q3 FY '23 Conference Call hosted by Asian Markets Securities Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and include risks and uncertainties that are difficult to predict. Actual results may differ from such expectations, projections etceter a, whether expressed or implied. Participants are requested to exercise caution when referring to such statements or remarks. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions a fter the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero, on your touch- tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sur aj Sonulkar, Asian Market Securities. Thank you, and over to you.Mr. Urmik, would you like to take the handover?

Urmik: Yes. Thanks. Ladies and gentlemen, welcome for joining the call. The management is represented by Mr. Sanjay Gupta, CMD; Mr. Deepak Goyal, CFO; COO, Mr. Arun Ag arwal; and Anubhav Gupta, Chief Strategy Officer. Thanks management team, for giving us the opportunity to host the call. After opening remarks by management, we shall have Q&A.

Please takeover, sir.

Anubhav Gupta: Thanks, Urmik. Th anks Asian Markets Securities for hosting us and thanks to all the participants who have joined on our Q3 FY '23 earnings call. I welcome you all. I'm very glad to share that APL Apollo Tubes has reported highest ever quarterly sales volume, EBITDA and net profit in last quarter, Q3 FY '23.

At the same time, I'm also glad to share that we are testing our peak capacity now consistently by doing monthly volume of above 220,000 tons per month. Hence, we are in process of expanding some capacity in our existin g plants through debottlenecking apart from all the expansion which is happening in Raipur and Dubai and Calcutta. So we have further expanded in our expansion plans beyond 4 million tons, which we will talk going forward.

Coming to some of the highlights in the last quarter, number one is the Raipur update; all three complexes are now fully operational. We can tell you that 1 million ton of Raipur capacity is on stream now and the current run rate is 30% utilization as per current month rate. Last year we take the 46,000 ton which was around 25% utilization rate. You must have seen that the Q3 EBITDA per ton in Raipur was around INR 3,000 per ton with a 25% utilization. So as the utilization levels inch up further, the margin spreads will inch to the expected levels beyond INR 5,000 per ton.

In terms of product launch from Raipur, we launched two products, one is 500 square in the heavy structural segment and second is coated products for the roofing application. Now that

Raipur plant is coming on-stream, we are becoming equally aggressive in the market creation for these products because these are highly innovative and being launched for the first time in India or globally.

So, coming to the heavy structural side, we have now some more reputed projects where the work has started on tubular construction which is in-line with our aggressive plans to create market for our heavy structural tubes. In yesterday budget there were tw o segments where government was quite aggressive in terms of increased allocation for funds, which are railways and water infrastructure.

Again, I can tell you that we had already identified these segments earlier and we were focusing on these segments, both railways and water infrastru

cture for the last six months and today we have got 10 railway stations, where our design team is working to convert the design on tubes in upcoming railway stations out of 25, 30 railway station which have been awarded. And there are 100 more which are coming over the next two to three years.

In the water infrastructure segment, we have successfully demonstrated a sample of a tubular structure in Uttar Pradesh where almost 200,000 liters of water over a tank storage on a 20-

meter height staging has been demonstrated.
So if the government approves that, it could throw a huge opportunity for our heavy structural segment. The third update I want to give you is the super -value -added products, where we are again focusing very agg ressively. We are always inspired by our global peers who make EBITDA of INR 16,000 per ton outside India versus APL Apollo's current EBITDA of INR 4,500 to INR 5,000 per ton.
So we always aspire to achieve a higher spread. And to achieve this, we are now focusing to increase sale of super value-added products in our portfolio, which can fetch us the net selling realization of INR 80,000 per ton with EBITDA margin of 20% -plus. So this implies EBITDA spread of INR 18,000 to INR 20,000 per ton on some of the products. Of course, the Raipur products have -- are capable of producing these spreads and also within APL Apollo, where we have monopoly in the structural and chemical side, we are trying to promote such products.
And I can tell you that in January the momentum was pretty good for such products. The fourth update I want to highlight is our partnership with Shankara Building. Our association with Shankara continues to yield greater results for the group. Our sales volume through Shankara channel is up 17 0% Y -o-Y in the first 9 months of FY '23.
And now that the Raipur products are coming online, we are now more confident that Shankara will become our stronger partner to promote and to push our value -added products through its platform. Coming to the quar terly results updates, one concern investors had shown last quarter when our EBITDA spreads were below INR 4,000 per ton, we were pretty sure

that we will bounce back sharply in Q3 and we did that with the EBITDA spread of INR 4,500 in the third quarter.
This was on the back of two reasons; one was, of course, the channel destocking stop after the global commodity prices stabilized from month of September -October and of course the
Raipur plant which had a negative operating leverage in Q2, now it turned in to positive operating leverage with INR 3,000 per ton EBITDA. So going forward with the Raipur plant ramping up, the EBITDA spreads should improve further versus what we are seeing in Q3.
Coming to operating cash flow.
The performance remains strong with INR 6 billion of operating cash flow, which was equivalent to 85% of 9 months EBITDA and the working capital remained in single digit. Now it's been the 11th quarter where we have been able to maintain our working capital in single - digits and now we -- now this has become the practice for us, which remains best in the building material sector.
Out of the operating cash flow of INR 6 billion, we spent INR 5 billion on capex and rest INR 1 billion was spent on dividend payments and investment in Shankara. So going -- so free cash flow was still negative. But going forward with Raipur capex coming to hand, we will have good amount of free cash flow generation, which will improve -- which will lower -- which will make our debt 0 and there'll be cash surplus on the balance sheet.
Our 9 months ROC was 29%, which is slightly lower than FY '22, but this was because of investment of INR 8 billion which is sitting in books for the Raipur, which is yet to yield results. So if we exclude Raipur, our ROCE is above 37%. S o we are confident that we will be
hitting 35% ROCE as the Raip

ur plant ramps up over the next one to two years.
Coming on the guidance and future plans, we maintain our FY '23 sales volume of above 2.2 million tons with a 4 million ton hitting in FY '25. The capacity, however, should be around 4.5 million to 5 million ton by FY '24, which will be coming from Dubai, Calcutta,
debottlenecking at existing APL plants and Raipur becoming fully operationalized. So and any capex which should be there are of around INR 5 billion to INR 6 billion. This will be fully
funded from internal cash flows. So this gives us volume visibility beyond FY '25 wherein we'll be hitting 5 million tons sales volume by FY '26.
So that's it from our side and we'll be happy to take questions. Thank you so much.
Moderator: We have the first question from the line of Garvit Goyal: from N Veast Research.
Garvit Goyal: Sir, basically, in yesterday budget you also mentioned that lot of transaction is on the infra side. So basically, I wish to know your view, how APL Apollo as a company is going to be benefitted out of this increased capital outlay along with the new airport and the air connectivity and stuff? So how do you think your entire product basket or the new value -added products that you are bringing in specifically that will cater to these capex plans, sir?

Anubhav Gupta: So, if you look at the current sales mix of APL Apollo, right, 50% of sales come from the residential segment, 25% comes from the commercial/institutional segment and 25% comes from the infrastructure segment, right, which is airports and railway station, bullet trains, metro stations, et cetera, right.
So if we look at -- if we decode yesterday's budget, right, there was lot of impetus on transportation infrastructure, right, which includes roadways and railways. Now in railways, we have high -speed railway bullet trains where our tubes are used a nyways, right. But now,
what we are trying to do is we're trying to increase the application in infrastructure by converting the structural design on tubes.
So I didn't mention about railway stations, right. India has -- the Indian government has awarded around 50 railway stations in the last one year, okay, at different cities and 100 more yet to come. So right now, we have already approached the contractors and the architects who got those railway stations and today we are designing almost 10 to 15 railw ay stations, right.
And we are able to demonstrate, we are able to prove that by using tubular construction, they can reduce the time and they can also reduce some costs, right.
So, one railway station we should start in next 2 to 3 months and basis that there will be like new orders coming from different contractors doing railway station. In airports, I mean, you look at any new airport which has come up in last 5 years, any tube which you see, Apollo will be at least 60%, 70% of that market share, right. Any new airport comes, all the roofing, all the ceiling are all on tubular trust. So Apollo has been supplying material whether it is Bangalore, Hyderabad, Delhi any new airport, which has come up in last 5 years.
Then the another focus area was water inf rastructure, right. So lot of government -- state governments are focusing on sanitation and drinking water distribution. For that, they require water tanks of up to 2 lakh to 3 lakh liter at a height of 20, 25 meter staging. So this requires
very strong s tructure, right. RCC which is conventionally used it takes around 4 to 5 months, okay for creating a structure versus like what we could demonstrate in Uttar Pradesh last month was a 3-day job, right. It's a prefabricated tubular structure, which comes on site and by using 10 people, 10 laborers you can erect a structure in three days, right. So we have already shown some photographs on our Twitter account. I'll request you to visit that.
So, all this impetus on infrastruc

ture is going to help APL Apollo in long term and given that 25%, 30% of our portfolio right now is coming directly from infrastructure, so we are pretty bullish on what Indian government has been doing so far and what it intends to do over the next two to three years.
Garvit Goyal: That wa s very much deep. So secondly, sir, basically from the Raipur products you are entering into and one slide was during your presentation that was hinting about the realizations at global level and you also mentioned in your speech about that. So how do you think this
Raipur facility? Basically, I want to get a overview picture, means how you think the overall

realization is likely to increase or likely to shape up in next two, three years on account of these super -value added products you mentioned sir?
Anub hav Gupta: So see, I mean, if you look at our product portfolio again, right. There are like 3 segments, which are like value-added for us. One is heavy structural, where we make EBITDA of INR
7,000, INR 7,500 per ton consistently. Second segment is Apollo Z, which is be pre -galvanized tubes. There also we make EBITDA spread of INR 6,000, INR 7,000 per ton consistently.
Now Raipur products are extension of these products, right. So heavy structure, what we are doing currently is 300 square, right, Now, 300 square gives us INR 7,000 per ton, and just imagine 5,000 square which is coming from Raipur, it's the only product available in India third mill globally, right. So the EBITDA spread has to be higher than INR 7,000 per ton what we are making today, right. And it's for more high-rise more complex structures, right. So there we can command better premiums.
Now second is Apollo Z, which is like zinc -coated tubes, right. Now in Raipur, we are coming up with products like which are combination of zinc and aluminium, we call them aluzinc, right. So it's again a premium product more premium product then Apollo Z. In Apollo Z, we are making INR 7,000 per ton spread. So in aluzinc, we have to make superior margins, right.
So again I mean being done for the firs t time in the world, not only in India.
So we already have a strong foundation of product portfolio, where we are making INR 7,000 per ton EBITDA spreads consistently and with more innovation, right, and monopolistic products, the EBITDA spread should be higher. So that's what we say that -- I mean we should also have some products in the portfolio, which should give us like 15%, 20% EBITDA margin INR 15,000 per ton EBITDA spread.
Garvit Goyal: And sir, you mentioned this INR 7,000, INR 6,000 EBITDA per ton. Just for clarification,

these are for the super -value added products?
Anubhav Gupta: No, INR 6,000, INR 7,000 we are already making. You have the table in our presentation where there are these products where we have been making such margins for last fo ur, five years now.
Garvit Goyal: And will you tell -- can you give the product mix, what is the share of total revenues of these products sir?
Arun Agarwal: So right now the value -added products contribute around 65% to our portfolio, right, and 35% are g eneral. With the super -value add coming up, the general products will go down to 25%, 30%.
Moderator: We have the next question from the line of Rahul Agarwal from Incred Capital.

Rahul Agarwal: Yes. Good to see some recovery in the overall and Raipur marg in. I had three questions. Firstly, on the raw material to Sanjayji. So APL in my sense is already the largest customer of HRC in India and now you would need another 1.5 million ton for Raipur any thoughts on this in terms of discussion with suppliers? Could there be a problem in sourcing HRC enough or is this question irrelevant, that's the first question.
Sanjay Gupta Rahul, we have already tie up of almost 2.5 million to

n with our steel plants. Now I think, next year, we are targeting for the volume of 3 million ton. So, we need 20%, 25% more material. I don't think this is a big issue, because lot of capacity is coming in India in the next few quarters like one line is coming of 5 million ton in JSPL, one line is coming 5 million ton for in Bellary with the JSW and NMDC is also going to start with a capacity of 3 million ton and Tata Steel is also increasing a capacity of 2 million ton, MSC also increasing their capacity by 2 million ton. So I think almost 20 million ton capacity is coming against today. Right now, today capacity is 50 million ton in one year time, in the next 3, 4 quarter, I don't think the raw material supply is a issue for us.
Rahul Agarwal: Sir, secondly on the Raipur, just two questions there, ramp-up of that volume for fourth quarte r and next year, could you help some direction and when does the balance 0.5 million ton comes on stream?
Sanjay Gupta: Yes. Next year, we are targeting for Raipur almost 0.6 million ton. For Q4, we are targeting more than 1 lakh ton and we are targeting -- from APL, we are targeting 2.4 million ton from APL and 0.6 million ton from Raipur and maybe 0.1 million ton from Dubai and 0.1 million ton from Calcutta. Total we are targeting our business plan of next year is 3.2 million ton.
Rahul Agarwal: Anubhav, when does the 0.5 million ton balance start at Raipur?
Sanjay Gupta: Next year, Rahul. Capacity already started, Rahul. But the problem is, this is all new type of products and we are taking very good margins. So we don't want to spoil the margin, because if you see our track record, up to corona, we are only forcing for the volume. Every year we are taking growth 30%, 40%. After corona we are conducting for the next last two years, you see our growth is almost zero, but our EBITDA margin go almost double.
Now in next one year, this year we are 100% focusing on our growth of volume, likely we took 2.3 million tons this year against 1.6 million or 1.7 million ton last year. So this year our focus on growth. Now next year, again, we came back on to the margin, of revenue go for the growth you have to sacrifice the margin, when you go for the growth so you have to submit – excise the. If growth does not matter that, then you can manage your margin. Next year will focus on margin as to how can we increase our ma rgin from INR 5,000 to INR 6,000 per ton.
Rahul Agarwal: And lastly on the general structures, the profitability, the margins there have been very volatile where does this number settle down, where should we see that, sir?

Sanjay Gupta: Rahul this will cir cle between 2 or 3 ton because this margin is dependent on the secondary market like December/January we had good margin, February again coal price are going up. So maybe margin will be back, so we are not thing much on that. This is our just our volume portfolio.
We are focusing our -- right now, we have almost order book of 500 – we now have 3000-ton order, we haven’t received IS yet, we have sent the sample, I think this take 15, 20 days to get the IS. So in this our EBITDA margin almost INR 20,000 per ton nearby. And then we started colour roofing our EBITDA margin is nearby INR 15,000, we have star ted some solar product in that our EBITDA margin is INR 12,000 per ton. Our total focus is on that side. As were not able to do anything in Raipur, now our plant has started. So our total focus is, how to keep the

rapid margin from INR 3,000, INR 4000 to I NR 7,000 to INR 8,000 per ton.
Moderator: We have the next question from the line of Sujit Jain from ASK Investments.
Sujit Jain: What would be the fixed costs in Raipur plant? And when you say 25% utilization, what kind of capacities has come on stream, b ecause then that -- but my calculation leads us to 8 lakh ton capacity that would have been operationa

l.
Sanjay Gupta: Sujit, Raipur fixed cost is almost close to INR 5 crores per month.
Sujit Jain: So, INR 60 crores per annum, okay.
Sanjay Gupta: Yes.
Anubhav Gupta: So when we say that like we did 46,000 ton in Q3, right, and EBITDA spread was around INR 3,000 per ton, so on a capacity of 1 million ton, right. So that's around like 25% utilization and those rates have already going up month-on-month and li ke for Q4 we expect around 100,000 ton, so which will be 40% utilization rate, right. So the EBITDA spread should be further inching up from INR 3,000 per ton to like above INR 4,000 per ton levels.
Sujit Jain: Right. And you just spoke about we see new li nes -- these will be your super -value -added product lines. So Raipur will be super -value added, the 3 divisions basically, right?
Anubhav Gupta: Yes. And plus, there are some products what we identified from existing Apollo portfolio, right, where we see that if we are able to create market and incentivize our distributors, right, there we could get extra margin.
Sujit Jain: So just to understand anything above INR 2,000 is value -added. And then what threshold when it crosses you call it --
Anubhav Gupta: INR 15,000 per ton is -- no, no, general is INR 2,000, okay? Value -add is INR 4,000 and super -value add is INR 15,000 per ton basis.

Sujit Jain: And Sanjay -ji just spoke about division one, I mean the two new divisions in the Raipur. The residential basically the wider and cement sheets there one can expect close to INR 12,000 per ton kind of OP. And solar that thing et cetera INR 15,000 per ton, right?
Sanjay Gupta: Yes, we are targeting Rahulji, some of products -- sorry, Sujit -ji, some of our project is close to INR 15,000 per ton, some of our products is close to INR 12,000 some is INR 7,000, INR 8,000, some is INR 4,000 INR 5,000 a ton. We are not manufacturing anything less than INR 4,000 ton less than in the Raipur plant. So I think we can achieve wit h an average of about INR 8,000 per ton in Raipur plant.
Anubhav Gupta: So Sujit, what happens is that within the roofing sheets segment, right, there are SKUs, right? There are multiple colours, there are multiple sizes. In some sizes, we may get INR 12,0 00, INR 13,000 per ton, in some sizes we may get INR 6,000, INR 7,000 per ton. So on an average Raipur the target is to hit above INR 7,000 per ton.
Sujit Jain: Right. And the capex that you spoke about for moving from 4 million to 4.5 million tons in FY '24 in terms of capacity, how much capacity will come in Dubai and how much would be in Kolkata?
Sanjay Gupta: Sujit, right now our aiming APL for 3.2 million ton and after 100% -- when we faced our bottlenecking of the plants and 1.2 million for Raipur ABP L, 0.3 million ton for Dubai and 2.3 million ton for Calcutta.
Sujit Jain: Right. And so to sell roughly 3 lakh tons of higher dia, is the third line or third division in the Raipur, how much square footage in terms of construction that is needed to be bas ically tapped into?
Sanjay Gupta: Raipur, total our construction area is almost close to 20 lakh square foot.
Anubhav Gupta: No. He's asking -- so, Sujit, the max is around 6 kg per square foot right. To sell 300,000 ton, we will need 180 million square foot, 180 million square foot to be built, which equals around 150 buildings around 150 buildings of 0.5 million square foot each.
Moderator: We have the next question from the line of Madhav Marda from Fidelity.
Madhav Marda: Just wanted to understand, given that it's good to see that you're announcing more debottlenecking at our existing facility. So is it that we are seeing more for like new applications such as this water tanks becoming a new end market for us, which is helping us expand capacity at existing locations or are we gaining share from competitors? What is helping us sort of giving that possi

bility to add more capacity, which is obviously good to see.
Anubhav Gupta: So I think Madhav it is a mix of both, right. So, one is that, yes, we are g aining market share, secondary market scenario is also favourable for primary, right. Then we are deepening our distribution system, right. Our products like chokhats and planks, there these sales are going up

as those products were launched just before CO VID and for one to two years, we were not able to market those products as per like the aggressive plan, but now the markets have opened up. So a lot of promotional activities have started right and then, yes new applications where we are, again, working very hard to replace structural steel tubes, right, against wooden structures, against angles and channels, right, against rebars, against concrete. So all these factors are playing a role here, right.

And the reason that why the 9-month sales have been s o strong and we have been hitting 220,000 ton of monthly volume. So yes, I mean, now it's the time we believe that whatever we can squeeze in our existing assets, right, through debottlenecking, et cetera, we think that 3 million, 3.2 million ton from 2.6 million ton at 10 plants, right. We have about 46 mills, right. So this much of debottlenecking is possible.

Madhav Marda: And our EBITDA per ton outlook for FY '24-'25 stays in that roughly INR 5,000 range as Raipur kicks in or how should we think about m argins going ahead?

Anubhav Gupta: So see, I mean, for first 9 months, we are at around INR 4,200, right. Next year, our target is INR 5,000 per ton. Like we said that next year, the focus will be on margin recovery and assuming that Raipur is able to deliver INR 6,000, INR 7,000, INR 8,000 per ton right. Almost 1 million ton of sales will be coming from there and incremental sales through debottlenecking capacity so that will also be more margin accretive. So I guess as a group, we want our EBITDA spreads to hit INR 6,000 per ton. Now this happens in FY '25 FY '26, I mean, difficult to say but -- INR 5,000 per ton is minimum like we will be doing with all the sales volume targets what we highlighted.

Madhav Marda: And just last question from my side, our capex outlook for FY '24, have you already got the budget in place, how much we'll be spending for capex ?

Sanjay Gupta: For 5 -million -ton capacity we need another around INR 400 crores of capex .

Anubhav Gupta: So that should be equal to like our 30% of this year EBITDA, 40% of 9 months EBITDA.

Madhav Marda: So this is obviously because of the debottlenecking, so we don't need to invest too much to expand capacity?

Sanjay Gupta: Because there we have two plants, new plants, Dubai and Calcutta, otherwise all th e debottlenecking we are going to do.

Moderator: We have the next question on line of Akshay from Canara Robeco Mutual Fund.

Akshay: Sir, I just wanted to understand this EBITDA per ton movement. So, if I see Q2 FY '23, so EBITDA per ton was around….

Moderator: Akshay, your audio is a bit low. If you could kindly go off the speaker phone and come closer to the mic?

Akshay: So if I see the EBITDA per ton in Q2 was INR 3,850. And then in the presentation, you had mentioned that INR 300 was because of the adverse product mix, INR 100 was the Raipur hit and then INR 300 were the incremental sweetener that you had to pass it on to the channel. So in Q3, if I assume that INR 300 of sweeteners that we had to pass that was out and even we were turning profitable in Raipur, so that is around INR 400. So INR 3,800 plus INR 400 that is INR 4,200, but at least the product mix sequentially has not improved that much. So then what explains that incremental INR 300 EBITDA that the company has done in the third Q?

Anub hav Gupta: So that incremental INR 250, INR 300 is t

he demand pull, right. When the channel started restocking right, and there is good demand scenario and Apollo being the largest player, right, so there is like some short supply in the market, then you t ry to increase the pricing, right? And that also explains the dominant power of APL Apollo being the market leader that when market trends are favourable, we can command premium. So that INR 200, INR 250 per ton of effect was due to favourable market condi tions and that was across products.

Akshay: And how do you see the demand shaping in Q4? I mean, do we…

Sanjay Gupta: Q4, we are targeting almost close to 7 lakh ton of volume already we have done in month of January 2.5 lakh ton.

Moderator: We have the next from the line of Lavanya T from UBS.

Lavanya Tottala: So, I just wanted to understand this, the new opportunities like the water infrastructure and oil. For all of these products, the design is being done by APL or the contractors or the subcontractors are increasing their ability in this space?

Anubhav Gupta: So again, it could be either of the ways, right, so one is that obviously Apollo takes the initiative, right, no contractor will be willing to spend time and energy on design, anything on something new, right? So APL Apollo design team takes the initiative, right, where we offered the design for free of cost to the contractors.

And if they feel that yes, there is a saving, then they go ahead. Second is that we may help the consultants of contractor s or their design team in house design teams, wherein our team goes
and sits with them and then we can jointly design it, right. So, it could be either of the ways, but initiative is always taken by APL Apollo.
Lavanya Tottala: So, I just wanted to check t his because if the contractors in build, they start building this ability
that would be much more helpful for APL to serve more number of buildings like just you have highlighted, like our target we need 150 buildings of 0.5 square foot. So I just wanted t o

check that. And I just missed your point on INR 18,000 to INR 20,000 the super -valued
products. What is the share that you are looking out of these products in next like FY '24-'25?
Anubhav Gupta: At least 10%.
Lavanya Tottala: So, these are largely the products which are being served from Raipur and few in the existing
portfolio of APL?
Anubhav Gupta: So out of 4 million in FY '25, yes, at least 0.5 million ton should be coming -- upward of INR
18,000 per ton.
Moderator: We have the next question from the line of Anupam Gupta from IIFL Securities.
Anupam Gupta: I have a few questions. Firstly, on this quarter we see that the realizations per se are up close to
about INR 5,500, INR 6,000 per ton, whereas obviously the HRC prices were down Q -on-Q on
an aver age basis, so what drove this higher realizations for us?
Anubhav Gupta: So Anupam -- so one is that yes, NSR is up INR 5,000 per ton. But if you look at the raw
material price also for us, it was INR 62,000 per ton versus INR 57,000 per ton. So even raw
material price for us is up by INR 5,000 per ton.
Anupam Gupta: But what drove that difference, because otherwise, if you see HRC price on an average were
down during the quarter versus the previous quarter?
Anubhav Gupta: If you look at the average, right, you can't take from like 31st October to 31st December, that's
not the right criteria. You need to take the average, right, steel companies, they go -- they
lowered the prices like on month-wise basis. So, the average buying or average selling is what you see in our numbers and that would be for the steel companies also, the NSR.
Anupam Gupta: Actually, steel companies have reported a decline in NSR, except one company, but broadly
yes. So that's why the difference was, that's why the question was coming. That average JSW
or Tata have reported a decline in further NSR

.
Sanjay Gupta: Their decline was mainly in downstream products, galvanised sheets and colour sheets. There
was no price decline is in rooftop. If you see they got hit from downstream.
Anupam G upta: Second question is on the capacity which you said, you said Raipur would be 1.2 million ton,
whereas if I recall right Raipur was supposed to be 1.5 million ton. So why is it now 1.2
million ton?
Sanjay Gupta: If we get favourable market, you can see Apollo capacity to increase from 25% to 30%. My
capacity would increase from 5 million ton to 6.5 million ton. I don’t give the capacity which I
can utilize. I rank the capacity on which I work like our one line average 8,000 and it also
make material for 4000. If the it gets preferrable my all the life can go up to 6000 minimum.

As we see Raipur and analyse how much market share we can get and how we can work. We
are committing our capacity to 1.2. when I say 1.2 ton, it means that we will produce 1.2
million ton will be produce from Raipur. If you see other they don’t have capacity more than
70%, 75% and our capacity is around 100%. We are always saying APL capacity is 2.6 million
ton. This month we have done APL we have done 2.25x12. 2.7 million is run r ate we have take
the run rate. If we get Raipur market, then our 500 square mill we are thinking about 15000, it can produce 25,000 ton, 30,000 ton easily.
Anupam Gupta: Second thing, you have said you have 1 million ton is what is commissioned at this point of time and balance FY '25, is that what I heard? Is that right?
Sanjay Gupta: Our Raipur is fully commissioned and started. Only formalities of government and suggestions
of department will be followed and our plant will be ramp up. I have see how m uch raw
material and have to distribute EBITDA wise our raw material. I think first six month raw
materials availability wont be easy, so we are planning accordingly. In second half raw
material will be easy. Our business plan is to close 1.4, 1.5, 1.6. in second half we might be
able to do 2 million ton. But it is hard to commit now because market volatility is too high. We
want to commit only what we can deliver. In the start of the year we committed 2.2 to 2.4

million ton we are still targeting that. We are sure we will hit 2.3 million ton.
Anupam Gupta: And another question was 1.2 billion in Raipur what is the breakup between, let's say, the tubes, the sheets and the other value -added, the super -value added products, which you're are seeing in terms of volume?
Sanjay Gupta: There will be around 8 lakh ton, thickness from 0.23 to 40 mm thickness and then square to 1000 square dia. And roofing sheet and solar sheets and others would be 0.4 million ton.
Anupam Gupta: And sir, one question, if we look at this quarter, in your general structure, you have already exceeded 1 million ton of run rate. You have 264 Kt volume in general structures, which is almost equivalent to what your capacity is. So what is the plan incrementally will you add more capacity in g eneral structures or will you let go of that market share or not?
Sanjay Gupta: No, no. We are not going to increase the capacity in this sector. Now, we are only focusing on the value-added product. Right now small materials are started doing job work. No w we have taken one unit in mafta for job work, almost 50,000 ton per annum. As the requirement will increase we do job work from there. We won't be allocating our front for the fix for this.
Anupam Gupta: Okay. So ideally the way to look at it in that seg ment in profitability should be on the lower side, even though you'll not lose market share?
Sanjay Gupta: We will increase that from next quarter.
Anupam Gupta: And just one last question, sir. If you can give the capex total plan for FY '23, FY '24 and F Y '25, the total absolute number?

Sanjay Gupta: For 5 million ton, I require INR 400 crores plus, minus 5%. So FY '23, if our EBITDA margins are good in this year, then maybe we -- in one year for this capex if slightly business sluggish then we go for two year capex plan for this depending on the cash flow.
Anupam Gupta: Sir you saying from 4 to 5 million ton you need INR 400?
Sanjay Gupta: We need total INR 400 crores to achieve 5 million ton.
Moderator: We have the next question from the line of Pallav Agarwal from Antique Stock Broking.
Pallav Agarwal: Yes. This is Pallav Agarwal. Yes, my question was on if I look at this quarter numbers, the purchase of stock in trade on an absolute number has gone up. So is this I think part of the job work that you w ere mentioning anyway probably getting the lower -end products converted from outside and purchasing that?
Sanjay Gupta: Pallav -Ji, if you see the month of October and November market is on the downward trend since are very low though. We have commitment wi th steel plant for minimum materials should be taken for long term associated. Excess material taken before would be adjusted this quarter. Because trading is not in our portfolio.
Pallav Agarwal: So is the trading is included in 6000 ton or not?
Sanjay Gu pta: We don't include trading in that.
Pallav Agarwal: It is high because it is coming in revenue. So I'm guessing that's why there's a disconnect. Hence your realization is more because trading is coming up, but volume is not coming? Hence there is a disconnect because yours is increasing and others are reducing. Sir if you can adjust that and add, it can give us some idea of CAGR volume?
Management: Pallav, we will come back to you this.
Pallav Agarwal: Sir if you INR 100 crores whatever average?
Manageme nt: I don't remember the exact number, I think it should be nearby 30,000 ton.
Pallav Agarwal: That I will take offline. Just also on this coated products. So if I look at JSW steel coated products performance, before it was good about 6, 7 quarters back but from steel prices have been going down, they have been taking a lot of NRV losses Net Inventory Provision losses, from last 2 or 3 quarters, they've actually reporting a loss. So I understand that's a totally different segment. But, so it's just little -- ultimately go in the coated products, that is what our focus area is. So if you can just explain why we are different compared to them. So that'll help?
Sanjay Gupta: Steel plant has they own system, they run accordingly. In pressure they sell on lower prices. They are always profit focused, but tube is everything for us. At times, we took a stand we

wont be selling in loss, if we have to comprise with the volume. You have seen in start our volume has broken down. There was no replacement for us in the m arket so our product sold on our prices, it will be shown in Q4 in profit.
Pallav Agarwal: Sir, and also just, I mean in the general structure, you are outsourcing. So it does not make sense to probably maybe acquire smaller scrap based, patra based player to cater to that your

gets reduced maybe the spreads over there...
Sanjay Gupta: Apollo is a brand, it has a market value and goodwill in 20 years. So we can't go in the patra and I don't believe in the patra material, because the patra material is a timi ng -- for timing. If you see cost of production for steel plants it is INR 42,000. But we are taking more EBITDA margins hence their material gets costlier. But if you see the patra costing, patra is as close to INR 50,000 to INR 53,000 per ton. I don't th ink patra is going to survive more than one year or 6 months. In January we have done 2.5 lakh ton work, we could have done for 3 lakh ton. I don't believe in the patra material and this is not long -term business. This is only one opportunity business.
Moderator: We h

ave the next question from the line of Mitul Shah from Reliance Securities.
Mitul Shah: Sir, congratulations for a very strong performance on operating margins. Sir, first question is again on EBITDA per ton for general structure. As you already highlighted in detail, but sir there is a big jump of nearly INR 900 per ton on Q -on-Q basis, despite volume being low. So, sir, want to understand out of this INR 900, how much would be re lated to the pricing and how much is the raw material coming down, because you also highlighted that raw material in general has gone up, so is it like more than INR 900 we have covered from pricing only?
Sanjay Gupta: Our market is distributed one is the primary one is with the secondary. As I said, second market is in pressure, secondary prices would be 55. Now this gap is come down to INR 3,000 to INR 4,000 ton. As the gap decrease, our margin increases because we are able to sell the material on our pri ces.
Mitul Shah: So primarily, it is pricing power. The second question is on this railway modernization and airport related where we mentioned nearly 25%, 30% is coming from this infrastructure segment. So, sir, for this 9-months, how much would have been roughly from this railway modernization?
Anubhav Gupta: This railway -- see, I mean, there is regular business which keeps on coming, which has been coming for last many years. What I highlighted was this new opportunity where these railway stations are b eing redeveloped, right. So 50 railway stations have been awarded in last 6 months to 12 months. The work will start for them.
Right now, they are in all the approval stage, right. The actual work will start from FY '24, right. So that's when you see our volume contribution will be coming from next year. This year, 9 months whatever has happened this is on regular business where our tubes are being

used, anyways. But now what we are saying is the whole railway station should be developed on tubes and maybe 3 months down the line, we will be able to share with you the railway station, which is going to be constructed 100% on Tubes in South India.
Mitul Shah: Then on that follow -up is that how much would be per railway station in terms of either quantity or r evenue potential?
Anubhav Gupta: So, typically a railway station has 3 structures, okay? One is called the concourse building. Now concourse building is the building which is coming on above that railway tracks, right. There the railways is using it for sh opping area for office space et cetera, et cetera. So that is on an average, say, 400,000, 500,000 square foot, then there could be additional office blocks, right. Now, in some cases it is there, in some cases it is not there. Then there is a foot over bridge, FOBs, right, they are mainly on steel, so that we are promoting on tubes. And third is the canopies for railway station for railway tracks, so put together like one railway station could generate tube demand of around 3,000 tons.
Mitul Shah: Okay. Si r, lastly on this margin side again this being a kind of a government projects only, so directionally how one should look at margin of -- from these projects railway or airport in?
Anubhav Gupta: So again, this is part of our heavy structural tubes, Mitul, right, where we have been generating INR 7,000 per ton EBITDA spread, right, for many quarters now. So that's the minimum you can take. And as the structures are complex where our 500 square, 1000 square products will be used, there the margin will be in double -digits.
Mitul Shah: Sir, in report as we stated that nearly 60%, 65% is Apollo's share APL Apollo, similarly any number for railway based on past one or two year rates?
Anubhav Gupta: See, railway stations are yet to start, like I said. But the metr o stations, right, the Cochin Metro, the Delhi Metro, the Mumbai Metro, wherever tubes have been

used, Apollo market share will be at least 60%, 70%.
Moderator: We have the next question from the line of Rahul Jain from Systematix.
Rahul Jain: Yes. Sir, on the -- last year, we were very bit -- tubular steel segment, where hospitals and we had identified many such segments. So, what is the progress on that and where is this classified in our product classification segment in terms of volumes?

Anubhav Gupta: So, Rahul, so that comes under our heavy structural segment, one. Second, with the proof -of-concept of Delhi's 6 hospitals, right, last year, now we have got approved -- we have got approval with India's largest private hospital chain, which is coming up w ith its 5 new greenfield projects. One hospital work has already started in Mumbai, maybe like one month down the line, we can send you over the site and you can have look with your own eyes.

Then there is a housing project from Military Engineering Services, which is arm of Indian military. They are doing a housing project in New Delhi, right. It's all tubular. One month down the line you can come and have a look, right. Now we have got buildings in Kathmandu, which is a new convention centre, which is co ming up.

One, two months down the line, the work will start there. There is a university campus in Greater Noida, which is now being constructed over tubes. So there has been good success for us in promotion of tubular construction, right. And with these new segments coming from railway stations and water tanks, et cetera, this we believe I mean whatever the plans we had set for ourselves, we're going to achieve those.

Rahul Jain: Yes. That was very elaborate. And also we have given a number of 220 KT. What kind of conversion do we expect and do we also get any kind of a service fee for giving the kind of ideation and things like that?

Anubhav Gupta: No, no, right now we are offering the design free of cost.

Rahul Jain: Right. And sir, also on Apollo Mart, any progress on that and -- integrated with Shankara or [inaudible 1:03:03] two, three year plans on that?

Anubhav Gupta: Rahul, so we are very happy with the current arrangement with Shankara, right. Like I already told you, the sales are up170% in the first 9 months and we see more growth coming in the coming quarters based on new products from Raipur, right. So nothing on that front. Apollo Mart, I mean, we are still evaluating because the business is low margin, right, high working capital intensive.

So we will be very prudent to allocate any capital at that front, right, because Apollo we have learned how to come to like 35%, 40% kind of ROC level. So anything which we do new, right, it has to match those expectations, right, so unless it does that, we 're not going to go ahead. So it is still under evaluation mode.

Moderator: We have the next question from line of Sujit Jain from ASK Investments.

Sujit Jain: So basically, I'm looking for cash flow bridge?

Anubhav Gupta: Right.

Sujit Jain: INR 25 crores is what the negative figure is. And in Shankara you would have invested INR 75 crores buying the promoter stake and then after that there was a preferential allotment. So how much went in 2022?

Anubhav Gupta: So INR 75 crores went in FY '22 and warrants 25% money is this INR 25 crores.

Sujit Jain: Okay. And the next tranche will be going when?

Anubhav Gupta: So 18 months from the deal in Feb/March, so September this year.

Sujit Jain: September this year, yes. And just to get t his math right, perhaps will require far higher volume in terms of square footage for higher dia mill, basically Raipur third line at 6 kgs per square feet, probably that number was 3 times what you spoke, 180 million square feet?

Anubhav Gupta: That was m y mistake, that was miscalculation. So, yes, so it should be...

Sujit Jain: Close to 500 million square feet. And so, let's say…

Anubhav Gupta: 50 million square foot…

Sujit Jain: 50 crores square feet?

Anubhav Gupta: 50 million, 5 crores square foot. It's simple, just divide 3 lakh tons into 1,000 kgs divided by 6.

Moderator: We have the next question from the line of Alisha Mahawla from Envision Capital.

Alisha Mahawla: Just wanted to know is there any inventory gain or loss in this quarter?

Anubhav Gupta : No, Alisha. Very, like maybe like INR 10, INR 20 per ton, that's about it.

Alisha Mahawla: And previous quarter Q2?

Anubhav Gupta: Again, see, I mean, we have been highlighting that we work on very limited inventory levels. So, I mean steel prices like i n 9 months are down by INR 20,000 a ton, right. And if you go with that math, I mean, the inventory losses would have been massive, right, but there is no such booking, right. So, our business is clear that we hold minimum inventory levels right turnaround time is 20, 25 days. So, any sharp increase or decrease in steel prices should not impact us more than like INR 40, INR 50 per ton.

Alisha Mahawla: And just want to know when is the Dubai and Kolkata capacity coming on stream?
Anubhav Gupta: So, like we h ave already guided, that 100K should come in FY '24, right, so…
Sanjay Gupta: It will start-up to July and Kolkata is to December.
Anubhav Gupta: Right. So, this midyear Dubai will start and end of the year, Calcutta will start. And we will have like 4, 5 months of Dubai plant operational and 2, 3 months of Kolkata plant operational
in FY '24, I'm talking.
Alisha Mahawla: And just one last question, what products will we be making in Dubai and Kolkata?
Anubhav Gupta: So Dubai, the total capacity is 300,000 tons, in Kolkata, the total capacity will be around 200,000 tons , the products will mirror like what APL Apollo right now is doing.

Moderator: That was the last question. I would now like to hand it over to the management for closing comments.
Anubhav Gup ta: Thanks everyone for joining us. It was a real pleasure to be here and we hope we have been able to address all questions except from Antique Broking, which we will take up post this call. Thank you so much. Have a good day. Bye.
Moderator: Thank you. On behalf of Asian Markets Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

18th May 2023
Electronic Filing

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BSE Limited
Phiroze Jeejeebhoy Tower,
Dalal Street, Fort,
Mumbai-400001

Scrip Code : 533758

Re: Transcript of the Conference Call held on May 12, 2023
Dear Sir/ Madam,
With reference to our letter dated May 8, 2023 intimating you about the conference call with Analysts and Investors held on May 12, 2023, please find attached the transcript of the aforesaid conference call.
This above information is available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

Deepak C S
Company Secretary
M. No.: FCS-5060

Encl: a/a

APL Apollo Tubes Limited’s Q4 FY’23
Earnings Conference Call

May 12, 2023

Management:
Mr. Sanjay Gupta – Chairman & Managing Director
Mr. Deepak Goyal – Chief Financial Officer
Mr. Anubhav Gupta – Chief Strategy Officer

Moderator:
Mr. Aman Agrawal - Equirus Securities

 Duration – 01:14:21
Moderator (00:00:02): Ladies and gentlemen, good day and welcome to the APL Apollo Tubes Limited Q4 FY23 results conference call hosted by Equirus Securities. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask ques tions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Aman Agarwal from Equirus Securities. Thank you and over to you, sir.
Mr. Aman Agarwal (00:00:41): Thanks, Dorvin. Good evening, everyone. On behalf of Equirus Securities, I welcome you to the 4Q FY23 earnings conference call of APL Apollo Tubes. From the management side, we have with us Mr. Sanjay Gupta, Chairman and Managing Director, Mr. Deepak Goyal , who is the Chief Financial Officer and Mr. Mr. Anubhav Gupta , who is the Chief Strategy Officer. Not wasting much time, I would straightaway like to hand over the call to the management team for their opening remarks. Over to you, sir.
Mr. Anubhav Gupta (00:01:09): Thanks Aman, thanks for hosting us for our quarterly earnings call. Good evening, everyone. We welcome you all on our FY23 earnings call. Sorry to start this a bit late this time. Some of the directors had different plans. FY23, we just closed. It was like a rollercoaster ride with steel prices falling from Rs. 65,000 per tonne to Rs. 55,000 per tonne and then eventually settling between Rs. 55,000 to Rs. 60,000 per tonne. This decline was triggered after the global meltdown of commodity prices started in May 2022. It impacted building material space and APL Apollo tubes as well with channel de-stocking and some margin pressure due to a push sales strategy when our channel partners go for de-stocking . But we are pretty glad to share that we ended FY23 on a high note as our sales volume recovered very sharply with 30% growth after two continuous years of COVID -led disruption. FY21 and FY22, and at the same time, the company's capacity increased to 3.6 million tons as we are talking right now from 2.6 million tons post-commencement of the new Raipur plant, which is our biggest ever plant. Some of the highlights we would like to share are for FY23, the volume growth was 30% to almost 2.3 million tons. Out of this, Raipur plant contributed around 6%. The total volume from Raipur plant was 137,000 tons per full year, whi

ch now is ramping up pretty fast. The EBITDA per tonne is
lower for FY23 since last year because of channel de-stocking , which led to some push sales strategy and of course, Raipur plant was being stabilized. So there were some costs which got loaded up front. Despite lower EBITDA per tonne, the EBITDA growth was 8% to 10.2 billion. It was supported by a strong volume growth. The PAT growth was 4% to Rs 6.4 billion due to high depreciation as the new Raipur plant started in FY23, all of the depreciation was accounted towards the second half of FY23. The working capital days remained in single digit at five days, despite the inventory days going up as we started the Raipur plant. But the debtor days came further down and we continue to sustain at a single digit working capital cycle. Operating cash flows were pretty solid as well, with 9.7 billion INR of OCF in FY23. It was almost 95% of our EBITDA, so the cash flow generation remains pretty strong. And because of the strong cash flow generation, the capex we did last year was 8.4 billion INR. Out of this, 80% was for Raipur, and now Raipur capex for 1 million tonne is pretty much done. This led to slight increase in our net debt to 2.4 billion rupees versus 2.0 last year. But as the capex intensity is slowing down, this will be coming off over the next two, three quarters. Encouraged by strong operating cash flows, we are glad to share that the board has approved dividend of Rs. 5 per share, which is a pay-out of 20% plus for company, which is one of the best pay-out ratios. So, we are glad that this solid cash flow generation is resulting in a shareholder reward at the same time. The ROCE was 29%, the ROE was 24%, this was slightly lower YoY, but because of our heavy investments into Raipur plant, which has just started, and this year as we expect good ramp-up and good profitability from Raipur, the ROEs and ROCEs will hit a world of 35%. And eventually they will hit 40% once we have the full ramp -up from Raipur. Coming to some of the other updates, one is the volume trends in Raipur. So, you would see that we started

 ramping up plant from Q1 FY23 onwards, and by the time of Q4, we did 73,000 tons in volume, which was, if you analyze it, it was at 30% utilization. The EBITDA per ton trends is also encouraging over 4,000 - 4,500 per ton from Raipur. And the last 2-3 months, we launched our 500 square diameter mill and also the color -coded products are mainly for roofing and wall cladding . So, these two complexes are stabilizing and giving us incremental volume because these are two new products. The market creation efforts are ongoing in an aggressive manner, whether it is for high dia tubes for steel building solutions, or it is for color -coded products for roofing, housing and industrial applications, we are focusing aggressively on the market creation by pushing our products to influencers and our distributors. Lastly, on some of the business decisions, which we took early FY23 was to invest some stake in our distributor, Shankara, so I am glad to share that the volume contribution from that client has increa sed by 180% in FY23 versus FY22. So, this led to a very strong relationship between the two organizations with our suppliers to them and they are going aggressively on the market share gains within southern India. So, this relationship turned out to be a very win-win kind of thing for each of us. And we are looking forward to further strengthen it as we have aggressive plans over the next 2-3 years over that platform. Coming on the guidance and future plans, our capacity expansion in Dubai in East India and new incremental capacity in Raipur, plu

s some de-bottlenecking will take us to around 5 million ton by FY25, which is part of our vision 2025. And for that, we need a capex of Rs. 5 to 6 billion, which will be funded from internal cash flows over the next 18 months. And by FY26, we will target to utilize this capacity and in the next two years, we stick to our sales volume target of 3.8 to 4 million ton by FY25 with operational capacity of 5 million ton. So more or less, we are sticking to our guidelines, our guidance, which we have been communicating over the last 15 to 18 months. That's it from our side, Aman. We can now have this Q&A session. Thank you.

Moderator (00:09:47): Thank you very much. We will now begin the question -and-answer session. Anyone who wishes to ask a question may press star and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press star and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Rahul Agarwal from Incred Capital. Please go ahead.

Rahul Agarwal (00:10:20): Hi. Good evening. Thank you for the opportunity. Congratulations on consistently meeting the stated targets and good to see how they will play out as well. First question, Sanjay ji was more on the competitive landscape. We hear from certain regional channels that Tata Structural and JSW Steel both have ramped up their capacity in structural tubes and JSW Steel has actually started manufacturing that. Few regional players also we hear are picking up quite a decent amount of volumes on a monthly basis. I just wanted to hear your thoughts because what is happening is, there is a lot of competition now building up for APL Apollo which was absent for many years and we had a very clear runway of growth. Just your thoughts on, you know, is it really real and what do you expect going into next two to three years? That's my first question.

Mr. Sanjay Gupta (00:11:13): Thank you, Rahul. Rahul, I also hear and read in the presentation of Tata Steel, right now they have a capacity of 1 million tonne and they want to go to 4 million tonnes by 2030. But I have no plans in which sector Tata is going to or want to go for 4 million tonne in the next six, seven years. If we go for 4 million tonne, right now it is in the structure to buy 2 million tonne. If we calculate, so he has the capacity for structural tube of 1 million tonne or 1.5 million tonne, this is not a big threat for us as well as Tata is a responsible player in the market. He never destroyed the market so we are not worried about the Tata Steel. JSW just taken a plant called Bhushan Power in Orissa. They have a little bit of capacity of tube in the parental plant. Still we have no such as information from the market towards their planning in that commercial. In JSW, we have no worry so when they are helping JSW or Tata Steel also, they are healthy players. They is not worry if anyone comes I don't worry about it

 that as they are not a market destroyer, if they increase a little bit of capacity my cost is in control, my everything is in control, I have a good value addition product with me. I have good branding in the market, I have a good social network, I am not worried at all. Market is also growing very fastly in the two business. What we are saying is that there is a good lot of work, maybe all can survive it is not a big issue for us, but time to time, there is a healthy concern, we will learn from it and take the collective action and go forward. I don't see today any big threat.

Rahul Aggarwal (00:1

3:33): Got it sir, understand. And the second question was, how is being April and May so far, how are the HRC prices behaving and obviously a target of 3-3.2 million tonne at 5,000 rupees EBIDTA next year, basically needs like 7 lakhs, 7.25 lakhs quarterly run-rate, so how are we based on that, how is the market behaving?

Mr. Sanjay Gupta (00:13:54): As far as we make the business plan for 3 million tonnes for this year, in the first half we are thinking we go for about 13 lakhs, maybe 14, maybe 12.5 to 14 lakh ton, anywhere between. And the second half, because our one machine is only pending in ABPL and is in last stages of commissioning, which I think all three complexes in ABPL would be running by June. One complex we have called HSU complex, second complex we have called wider complex, third complex we have called narrow section complex. However, our narrow section started at the first but unfortunately it has stacked in one machine so it is possible that is not working due to this. HSU complex and wider complex is running good . We are developing HSU complex to 500 square, depending on 500 square, it has come to the run-rate of 7-8,000 ton, HSU complex, wider complex has come to the run-rate of 15-20,000 ton,

narrow section has come to the run-rate of 3-4,000 ton. As soon as machines will be stabilized in the June or July, just to took a ramp-up of 30000 ton straight forward because this is our old market for the east we will not face any big problems because we have already created our market in the product. We are thinking in the next half, we are going for about 15 to 16 lakh ton anyway to the close of the target. Inspite of steel prices again from the month of April, steel prices are going down but not like last year, last year gap of from Rs 75,000 to 55000 ton, this year it is slightly slowed down, like Rs 1000 -2000 /t this is a chapter but not a big chapter , we can manage it.
Rahul Aggarwal (00:15:56): Got it, thank you so much for answering I'll come back again.
Mr. Anubhav Gupta (00:16:01): Thank you Rahul.
Moderator (00:16:03): Thank you, the next question is from the line of Invest Research please go ahead
CA Garvit Goyal (00:16:10): Hello. Am I audible sir?
Moderator (00:16:03): Yes, you are audible sir please go ahead.
CA Garvit Goyal (00:16:15): okay
Moderator (00:16:16): We request you to mention your name and go ahead with your question
CA Garvit Goyal (00:16:21): I am CA Garvit Goyal from Invest Research sir. My first question is on your volume target like you mention 30,00,000 kind of volume FY24 target which is more than 30% growth in volume. So, if we take your guided EBIDTA per tonne for 5000 it gives us EBIDTA growth of approximately 50%. So can you elaborate on what are the projects in line for completion in FY24 which makes you believ e the targets . I am asking this because run-rate for January was, I think it was 2,50,000 as you mentioned earlier but considering your overall quarter for volume it seems that monthly volumes decline in Feb and March despite being good time for construction. So kindly put some colour on that sir.

 Mr. Anubhav Gupta (00:17:09): So, see our products are sold through distribution channel , okay we are not dependent on lumpy project B2B business where we have a strong order book. If you look at our inventory, that is like almost 30 days which is right from the sourcing of raw material to the processing and dispatching. We never had the order book visibility in our business plan. Our job is to 1) innovate a product, 2) create the market for that, 3) distribute it efficiently so that it is profitable for us and our channel partners at the sam

e time. If you look at my FY24 business plan, yes we are targeting 30% volume growth. Same like we did in FY23. If you look at my 5-year, 10-year volume CAGR, we are pretty much confident that this kind of run rate momentum is possible. We are fully confident about it. Last year, just to add to it, when steel prices crashed from Rs.75,000 per tonne to Rs.50,000 per tonne, that was the worst year for this steel industry. Even then, we could manage 30% volume growth and this year should be like more or less stable scenario for global commodities. This momentum is also backed by all our innovation work that we have done in Raipur plant. We mentioned that there are two products which are already being established in the market, whether it is high dia tubes, run rate of 7-8,000 tonne monthly, whether it is roofing product, the coated products that also run rate at 15-20,000 tonne and with our more thicker color coated sheets which will start in 1-2 months, that is only going to add to the momentum. And then the overall industry is also expanding. It is not that only Apollo is growing, we are growing, but we are also getting good support from industry and you will also see that it has never been the case that Q4 must have been the seasonally strong quarter for us. I mean we tried to make our business plan, yes, it is more skewed towards the second half, but then December quarter could be good, March quarter could be good for us.
CA Garvit Goyal (00:20 :03): Understood sir and sir, mainly actually my question was from the EBITDA per tonne side.
Mr. Anubhav Gupta (00:20:11): So yes, you heard us right. I mean in FY23 our EBITDA per tonne was 4,500. So, this was despite the fact that we weathered or we faced the raw material decline pressure right from 75,000 rupees per tonne level to 50,000 rupees per tonne level, plus we were stabilizing our Raipur plant. So, these two factors depressed EBITDA spreads right. This year FY24, even if we are able to achieve Q4FY23, EBITDA levels, yes, we are talking about good jump in EBITDA, more than our volume growth. Your assessment is right and we are confident of that.
CA Garvit Goyal (00:21:01): Understood, sir. And sir, what will be the targeted value -added percentag e to your total volume in FY24?
Mr. Anubhav Gupta (00:21:09): Right, so FY23, it was slightly lower versus FY22, but this will go back to 60% plus levels and eventually to 75%, right, when we have fully commissioned 5 million tonne capacity because all new incremental capacity, whether it was Raipur which got commissioned or the new capacity which is coming, majority is value added products. So, FY24, we would be improving our sales mix with value added products contributing 60% plus and eventually to 75% when we hit our 5 million tonne capacity in three years.
CA Garvit Goyal (00:21:52): Actually, I was asking what was the reason for this downfall in the VAP percentage because overall volumes are growing, so why isn’t value -added percentage going up?
Mr. Anubhav Gupta (00:22:01): So, if you look at last two years, FY21 and FY22, my general product category, it actually declined in absolute terms, right, because the steel prices were high, so the affordability for my general product deteriorated and that is why there was some shift towards the scrap steel or inferior products, right, in our industry. But now that the prices went down, right, so the

affordability improved and there was recovery in our general products. So that led to some deterior ation in sales mix, but we are not too much bothered about it, given the fact that Raipur is stabilizing well and Raipur is all high value -added produ

cts.

Page | 6 CA Garvit Goyal (00:22:50): Understood sir. And sir, one last question on the cash flow side, actuall y, if you see the results PDF and the presentation, I think the figures are slightly different for cash flow from operating activities.
Mr. Anubhav Gupta (00:23:02): Right, so what happens is that, I mean, there is reclassification, so you are comparing FY22 versus FY22?
CA Garvit Goyal (00:23:10): No, no, it is not comparison, actually, for FY23, your cash flow from operating activities that given in your presentation and what is that given in your PDF, results PDF, that is, I think, slightly different, in results PDF it is 690 Cr and in presentation it is 946 Cr.
Mr. Anubhav Gupta (00:23:30): No, no, so that is just the, that is just some of the, like, you know, in presentation, we try to give cash flow in the manner how investors like to analyse, right, and the result PDF is as per the accounting norms, but if you look at the lines, right, it is just that some lines we have taken up and some down. So, there is no change in the number, it is just like, it is just reclassification of some lines.
CA Garvit Goyal (00:24:10): So, what is your cash flow from operations for entire year?
Mr. Anubhav Gupta (00:24:16): One minute, please.
Mr. Deepak Goyal (00:24:27): Yeah, there is some difference because in the financial statements, if the FDR is more than one year, we are showing the other financial assets. It is amounting around 250 crores and in the cash-flow is the presentation we taken is a bank balance. That is why you are focusing on this difference, that is why there is a difference.
Mr. Anubhav Gupta (00:24:49): Just to add to it, so if you look at our other financial current assets, out of that 2.6 billion, 260 crores is in FD, right, which our auditors, because it was more than one year, 365 days, so auditors suggested that it should be part of other current assets, not in the cash balance, right. So, we adjusted that 260 crores of FD for that. And there is a note mentioned in the presentation for you.
CA Garvit Goyal (00:25:26): Okay understood sir. Thank you very much for that, and all the best.
Moderator (00:25:33): Thank you. Ladies and gentlemen, in order to ensure that the management is able to address questions from all participants in the conference, please limit your questions to two per participant. For follow -up questions, you may rejoin the queue. The next question comes from the line of Dhruv from Ambit Capital. Please go ahead.
Dhruv from Ambit Capital (00:25:51): Thank you so much for taking my question, sir. So, I have two questions. One was that if you look at the fourth quarter presentation in terms of the EBITDA split you give per section. So, we have seen a sharp jump in the general products, you know, EBITDA per ton, which is, if you look at it from a four-quarter perspective, also the highest. So, I just wanted to understand what has changed, sir, and if we should consider this as the new model.
Mr. Anubhav Gupta (00:26:20): So, Dhruv, see, I mean, this general product sales, right, and margin, they are very much sentiment -driven, right, that is why they are, I mean, you will see the EBITDA per ton moving from 1500 rupees per ton to 2500 per ton, right. In Q4, if you see, because overall affordibility of these general products versus inferior products, right, when the volume trends are good, we are able to get better margins on that. So, it is a function of that. So, we wouldn't say that 2600 per ton has been established for the general category. If this segment does not grow, right, then there will be some pressure on that. So, if you look at the contribution of this, right, to m

y overall EBITDA, that is not that
high, right. So, we just let it be driven by the market sentiment. So, we go month on month, not even quarter by quarter in this.

Page | 7 Dhruv from Ambit Capital (00:27:36): All right, correct. And the second question was on your UAE expansion. So, just wanted to understand that what is the kind of volume that you are expecting from there in terms of exports and, you know, in your 4 million guidance that you have given, you know, what is the contribution that you are expecting from there? And in general, if you could just talk about the market opportunity there, how large it can be there.
Mr. Anubhav Gupta (00:28:02): So, Dhruv , see, I mean, if you look at our last four, five years of growth, right, it has been heavily driven from the domestic market, right. But there was always the opportunity for us to go aggressively in the international markets, right, given the fact that today APL Apollo is among top three steel tube producers globally, right. So, this is one segment which we have been ignoring, but now we decided that we have to cater to it, right, given the fact we have excess capacities, right, given the fact we are able to hire best talent in the industry, okay. So, we have good volume maximization strategy from the exports market. Now, Dubai plays an important part because sitting in India and having excess to expensive raw materials, you would understand, it does not make us price competitive. When we are competing with Chinese or Turkish steel tube producers globally, okay. So, if we had to grow this segment by 2x, 3x, which we have in our business plan, we needed excess to the cheap raw material. Now, cheap raw material nearest port what we could find out was Dubai, right, in

terms of the real estate land, what we are developing in terms of the talent which is available and in terms of accessibility for my existing team, right. So, we are setting up a 300,000 -tonne plant in Dubai which will be starting by Q4 of FY24, right. I mean, if you look at my overall export sales, they were around 60,000 tonnes last year out of 2.2, out of 2.3 million tonnes sales volume. So, this year, we target to take it up beyond 100,000 tonnes, okay. And with Dubai capacity coming on-line, we will be targeting 200,000 tons over the next 3-4 years.

Dhruv from Ambit Capital (00:30:22): Okay, great. Thanks a lot and all the best.

Mr. Anubhav Gupta (00:30:25): Thank you.

Moderator (00:30:26): Thank you. The next question is from the line of Akshay Chheda from Canara Robeco Mutual Fund. Please go ahead.

Akshay Chheda, Canara Robeco Mutual Fund (00:30:34): Yes, sir. So, two questions. So, first is, sir, if you see the EBITDA per ton for this quarter, that is around expansion of around 500 rupees, but if we see that the product mix had deteriorated sequentially and even raw material was also largely stable, so, sir, how do you, what do you attribute this 400-500 rupees expansion to? Is it better pricing or how do we see this, sir?

Mr. Anubhav Gupta (00:30:58): So, two reasons. One is my incremental volume coming from Raipur, right. In nine months, Raipur EBITDA per tonne was a bit low. In Q4, as we did 73,000 tonne volume, my EBITDA per tonne improved in Raipur and that contributed to my overall EBITDA at compa ny level one. Second, because the channel de-stocking stopped, right, after the raw material prices stabilized, right, so that also led us to improve our margins, right, when there is natural pull in the industry, we take out the discounts which we normall y offer to our clients. So, that led to improvement in the margin. So, given the fact that steel prices are not

going to go down by again 25,000 per tonne, which they did in FY23, we should be able to maintain these spreads for FY24.

Akshay Chheda, Canara Robeco Mutual Fund (00:31:56): So, what would you guide for FY24? On the back, the product mix will improve. So, what would you guide? Would you continue with 5000 in FY25 or would you revise your guidance?

 Mr. Anubhav Gupta (00:32:09): Right, so for FY24 , we are confident of 5000 per tonne, plus minus 100-200 rupees per tonne, okay, and eventually with my 5 million tonne of business plan, it should be around 5500 to 6500 per tonne, I mean that is the broad range.

Akshay Chheda, Canara Robeco Mutual Fund (00:32:31): Got it, thank you.

Moderator (00:30:35): Thank you. The next question is from the line of Bhushan Shah from Congruence Advisors. Please go ahead.

Bhushan Shah, Congruence Advisors (00:32:41): Hi, sir. One of my questions would be as have shown in this presentation on competitive sheet and in that we are seeing that the Zekelman is making a EBIDTA model of 19% with having 80% of building material infrastructure sales . I am not able to understand that the chart what is being presented because in that thing SSAB is also been making 60% but the EBITDA margin is 40%. Can you explain that because even the manufacturing sector city we have been the highest, revenue we have been the almost highest, second highest. So, how this has been evolved, like why we are being with low EBITDA margin and they are having value added products like the contribution of value -added products will be more or something like that?

Mr. Anubhav Gupta (00:33:33): So, there are two reasons why we put this up. One is to show to our investors that this is the aspiration. This is possible in steel tube industry which normally is looked as the commoditized or just the steel processing industry. Globally, when we look at players in Japan, in US, in Europe, so they are making these fancy mid-teens EBITDA margins. So, one purpose is that. Second is to tell our investors that we are highly focused towards the building material and infrastructure space which is related to construction and all our innovation, all our product SKU range is focused towards this segment. So, the fact of the matter that why the margins are almost two times more than what there are in India and in India in the structural steel tubes our spreads are the highest. So, what we find out, what we could analyze is that in the construction sector these companies are selling the high-dia high thickness tubes for many years and they have almost 40-50-60% of their volume coming from high-dia high thickness. Apollo started its journey into high-dia high thickness in 2018 when we put up our first 300 square dia mill. It took us a good 3-4 years to create the market for that. Now we are selling more than 100,000 tons a year. So, the next leg was to get into 500 square diameter mill because we wanted to give the complete SKU range to the contractors, to the designers, to the structural engineers to design the structures using tubes. Now after 500 square, as it is ramping up, the next product line what we are adding this year is 1000 by 1000 mm dia mill. So, that will give us further expansion of SKU range. So, what we believe is that after this SKU profile, the volume uptick in big section, in super big section will be much more quick versus what it has been over the last 3-4 years. So, once we reach at those levels, even you will see that our margins will start inching up towards double digit and henceforth. Sanjay ji, please add to it.

Sanjay ji (00:36:45): Sir, what I see in my last 2-3 years just before

the COVID, I personally go to the Zekelman industry in Chicago. I visit 3 plants of the Zekelman industry. There, the product percentage of the selling is almost 75% in the bigger sections. And the higher -dia thickness and circular tubes. So, it is almost 10% or less than 10% for APL. This economy of European or I don't visit the European companies, but I visit Japanese companies, but I visit the Zekelman very nearly, I have observed it closely and from their my vision has started. Their market is developed, they are developing nations and their product is higher diameter, almost 75% to 80% dia, I have started my work on the same vision. First time we take 12 DFT machines, one of sort, and put 200 square, 3 lines, We have 3 lines of 200 square, then 300 square, now 500 square. Because in India, I am meeting a lot of architects and engineers and when they make a design so, they talked to me there is shortage of material so have to go back to RCC or the PEB designs. So, engineers and architects and told me that if there is shortage of material, then why do you

 make us these designs so things are coming slowly slowly and when the India market is developed in this, there I have studied many companies there even their margin is better than Indian margin in tube industry. I also can't understand why this in India, so I understood only two reasons that there is no scope for secondary materials in those countries . Number two, they have the highest share of high dia high thickness tubes . I hope if these two things starts in India, then our margin will also beco me similar. But I can't say it right now. But I am also working on this very deeply. I am also worried about this point. You are just talking about pipe, if you compare tiles or paints with American industry and Indian industry then Indian margin has bette r margins. But right now, I have no answer. As there is no secondary market there , they have bigger high dia market share. I have no more answer. Thanks.

Bhushan Shah, Congruence Advisors (00:39:41): Okay. Okay, sir. That was a very elaborative answer. Just one that Dubai, total tons, how many would be the tons in Q4FY24? Just a tonnage specific?

Sanjay ji (00:39:58): Q4, we are targeting Dubai about 10,000 tons.

Bhushan Shah, Congruence Advisors (00:40:03): 10,000 tons. Okay. Okay. Thank you, sir. Thank you, sir.

Sanjay ji (00:40:08): Quarterly 30,000 tons.

Bhushan Shah, Congruence Advisors (00:40:11): 30,000 okay, okay.

Moderator (00:40:14): Thank you. The next question is from the line of Aditya Vilekar from Axis Securities. Please go ahead.

Aditya Vilekar, Axis Securities (00:40:23): Thank you, sir. Can you just revisit on your sales volume guidance for FY 24, 25, and if possible, for 26? And if you can quantify the splits with respect to individu al plants, and how much is from existing, how much from Raipur, Dubai, and Kolkata.

Mr. Anubhav Gupta (00:40:40): Right. So, see, I mean, our vision 2025 is 5 million tons. Okay. So, this means by FY26, we plan to exhaust this capacity and convert this into sales volume, actual sales volume. So that's 3 years sales volume target. Now, coming to FY24, we are seeing 2.8 to 3 million tons, right, FY25, 3.8 to 4 million tons, and then FY26, 4.5 to 5 million tons, right. So, that's why we try to break it up. Here, Dubai plant is 300,000 tons. New plant in East will be 200,000 tons. Then, there will be incremental capacity in Raipur over 1 million tons of around 300,000 tons, right, and then, there will be some capacity expansion, brown field expansion within the existing 10 plants, ex-Raipur, that will give us additional capacity

of 3-400,000 tons, right. So, that's the broader maths for 5 million tons.

Aditya Vilekar, Axis Securities (00:41:55): Thank you. So, that's useful. And the next one is just if you can once again reiterate the capex guidance for FY24, 25.

Mr. Anubhav Gupta (00:42:06): So, right now, we are at 3.6 million tons capacity, right, and to reach to 5 million tons, we may not require more than 500 to 600 crores of rupees, right. This, we should be spending over the next 12 to 18 months, and this will be 100% funded from the internal cash flows.

Aditya Vilekar, Axis Securities (00:42:27): Okay, perfect. Sir, one last question. So, now, recently, there were reports of falling steel prices, steel prices falling in China. So, are we seeing any signs of de-stocking from traders in anticipation of further falling steel prices? Or is the demand robust enough, and we are confident that the demand will stay strong? And the kind of volatility we have seen in FY23, that kind of de-stocking cycles may not get repeated in FY24?

Mr. Anubhav Gupta (00:42:58): See, I mean, if you look at our trend over the last 5 to 10 years, okay, steel is a very volatile commodity, right. And we are managing this quite efficiently, right, over the years. So, the point here is that 1000, 2000, 3000 per ton decline or increase, it's a very normal industry

 practice. Apollo's scheme, Apollo's plants, Apollo's system, and similarly, our distributors, retailers, and further channel partners. So, they are equipped to manage this 2000, 3000 rupees per ton kind of volatility, right. It does impact for a few days in terms of the de-stocking , because if one understands that yes, there could be some decline in the prices, so they do hold on to their purchases but then there are two factors we are playing to. One is that the secondary demand should be strong, given the fact that construction is doing well in India right now. So, the secondary sales will remain good. The demand from the end consumer, whether he is a household owner or a contractor or a developer. So, if those trends are good, then material keeps on flowing. And second is that normally for distributors, they work with 25-30 days of inventory. When they want to destock, they may reduce it by 4-5 days. So, this is a general industry practice, which may hit the volume for a few days or weeks, but not beyond that. So, to answer the question, yes, right now, trends are a bit on the low side. So, it is impacting some volume, but not to the extent that we have to change our business plan or something.

Aditya Vilekar, Axis Securities (00:44:53): Understood. Perfect. Thank you, sir.
Moderator (00:44:56): Thank you. The next question is from the line of Aman Agarwal from Equirus Securities. Please go ahead.
Aman Agarwal, Equirus Securities (00:45:04): Yeah, thanks for the opportunity. So, first, just wanted a clarification on, we recently saw an open offer made for SG Finserve by the promoters . So, just wanted to get management strategy. Is there an intention to raise the stake in SG Finserve or was this more from a compliance perspective?
Mr. Anubhav Gupta (00:45:26): So, it was just from the compliance perspective because this NBFC is guided by the RBI norms and RBI approval came late. So, it is just for the compliance purpose, nothing else. That company is well funded by the investors and there is no plan of changing shareholding structure as of now.
Aman Agarwal, Equirus Securities (00:45:53): Got it. So, no further investments to be made in that company. Got it. And secondly, on the new product. So, just wanted a comparative on, you know , first with respect to the high diameter t

ubes, 500 by 500 and second the color -coded tubes. So, which
product category do you see, you know, getting better traction or faster traction for APL Apollo?
Mr. Anubhav Gupta (00:46:16): See, I mean, we are equally bullish on all the segments because whatever Capex of 1000 crore plus we have put in Raipur, that is with the vision that all three products will fire for us at the same pace. So today, right now, the coated products are giving us the maximum volume. The high-dia, high-thickness tubes, we have very strong visibility from our potential clients. It is just that the conversion takes a bit of time. But right now, the pipeline is very strong, where some projects we are talking about more than 30-40,000 tons of consumption of our products in single project. So, it may take like, you know, one or two quarters to reflect into P&L. But given the pipeline, we are very bullish that this product, which is high diameter thickness will do really well. And thirdly, the thicker color -coded products. We have already developed the market last year but now we are doing further processing that will complete in next two months. And once it hits the production even that volume ramp -up will be very quick. Because we have alrea dy done very hard work last year to develop market for that. So, I would say that all products should fire for us over the next three to four months, and right now, the focus is on 500 square because this is first-of-its-kind mill in India. Globally, this would be only third, fourth mill. So, our technical team has done a really wonderful job to make this happen. Given the fact there was like restrictions from traveling from Europe / China. So, as the line is stabilized, market is there, we should be ramping it up pretty quickly and from June-July onwards, the thicker coated sheet will fire at the same time.

 Aman Agarwal, Equirus Securities (00:48:46): Sir, from what we understand, there is an existing market for these color -coded products. Can you throw some light on that? What is the total existing market size and who are the key players that are operating here?
Mr. Anubhav Gupta (00:49:00): Right. So, I mean, the coated products which you see in my sales volume, this is an adjacent product for me. Because in housing or in industrial, Apollo's tubes are already being used for roofing structure. Now, what I am providing is the sheet. What we are now supplying is the sheet which goes over our structure. So, being an adjacent product, it is the same distributor whom I am selling to, it is my same retailer whom my distributor will sell to and then the fabricator who is going to install it and the same end construction site.
Sanjay ji (00:49:48): Ultimately, we are putting a new type of concept, I think we come out with the month of October, or in the between of third quarter. We have to give our consumer a permanent solution of wall. So, like one machine in thicker color coated is yet to start because of that we are not marketing openly. Our one machine is stacked in Vizag from that we could make solution of wall and provide it to customers. Second line should start from the June if not in June, then it will surely start from July and this wall solution line will start from the quarter of October and then its concept will be more clear. Right now, whatever options we are getting we are working from it.
Aman Agarwal, Equirus Securities (00:50:54): Understood sir, and sir lastly on a broader level, what do you think can be an inflection point in terms of profitability or may be the industry size, ERW industry size, where the large steel manufacturers can start to look more aggr

essively towards making a
meaningful entry into this segment. I understand there is an already meaningful entry, but we have not seen much of capacity addition from their end in past few years.
Sanjay ji (00:51:24): Boss, you have to have understood one point. I was just earlier telling; our difficulty is two points. One is secondary market, there is no market in India for the bigger sector in the big way. We are working both ways. Secondary market, three, four days I am just in the JSPL plant in Angul, with Naveen ji. Their HRC plant is going to start in October or November with the capacity of 5 million ton. In JSW Bilani December or January there is another 5 million tonne plant of HR Coil going to start and NMDC steel government has already ordered an intent of letter to some of few steel producers to take it. MNS and Tata are also ramping up their capacity. Today the structural steel market in India is of 8-9 million tonnes. Right now, APL is 3 million tonnes. Primary steel market is 5 million tonnes and secondary is almost close to 4 million tonnes market size. As HR Coil will increase in India, I don't look

there is any good vision for the secondary steel. So that market will be so big that I don't think nobody can supply the material in the primary steel other than Apollo. Any other company can increase the capacity by 1-2 lakh tonnes. Only Apollo can increase the capacity by a million tonnes overnight. This is a time phase that we have to pass. At that time our EBIDTA, as a promoter base, as a business base, I used to sell it for 4,000, 5,000, 6,000. I am not worried till I am not in a cash loss. Because I have a vision. Vision is not for 1 quarter, 2 quarters, 1 year. I have a vision for 2, 3, 5 years vision. I am looking forward that when Indian economy will grow from 3 trillion to 10 trillion dollars, when steel production in India will reach 300 million tonnes, how much steel tube we want in India. For that time, I have to survive. I have to stay alive. I am not making any mistake that today this company is doing this, today that company is doing that. I don’t want to be afraid and work accordingly . I want my company to be saved to see that time. I am just safeguarding my company and from time to time taking the right decision to reach the goal. Number two, biggest section is that we are doing a lot of work in market creation. This time almost 200 people, our team, daily basis architects and fabricators and government agencies are involved in market development. Like in the three railway stations, you have seen the design changes and tender is float. Ahmedabad Railway Station, Delhi Railway Station and Mumbai Railway Station. Almost in three railway stations, 2,00,000 pipe tubes have to be installed. Similarly, we have done a lot of work on tanks. Now, the UP government has given a tender for 60,000 tank order place. We have successfully made one tank and given it to them. In one tank, almost 16ton pipes is being used . If that

 60,000 -tank order would convert to a tube, it would creat e a 1-million -ton market. Similarly, the Assam government is working on 10,000 tank order with us. So, a lot of government agencies, a lot of builders, a lot of infrastructure projects are working with us. I am hoping that everything will be done today or tomorrow. And this is not happening first time in India. It is already happening in America, China, everywhere. So, I am waiting for the time. I have patience. I have patience. Till then my EBIDTA comes to 4000, 4500, 5,000, 5500, 6,000 . Today, we have to also survive. We are working in numbers. But my big vision is that when all

this will come together in the market, this secondary market, as the steel capacity increases, the steel plants are earning 20,000 rupees of EBIDTA. If they get 20,000 EBIDTA of steel, imagine how much steel capacity will be created in 3-4 years in India. Just like right now, today I am sitting with some guys. Some of them are JSPL. JSPL is also installing a steel mill. So, if 3,000 -5,000 EBIDTA of steel is sold in a pipe, If 50,000 -EBIDTA is generated in steel, imagine how many people will be attracted to it. Imagine how much capacity will be created in 2-3 years. Who is the beneficiary for this capacity? No doubt Apollo is the beneficiary for this capacity. I am not worried about Tata is putting a pipe mill, or JSW is putting a pipe mill. I am waiting for my lifetime to see how much steel capacity will be created by the people who will earn 20,000 tons of steel in India. I am just waiting for the time. Thank you.

Aman Agarwal, Equirus Securities (00:56:24): Thanks a lot for the detailed explanation. Thank you.

Moderator (00:56:29): Thank you. The next question is from the line of Amruta from Wealth Managers India Pvt. Ltd. Please go ahead.

Amruta, Wealth Managers India Pvt. Ltd. (00:56:37): Yeah, hi. Thank you for the opportunity. So, my question is now, the current capacity is 3.6 million metric tons, right? So, if you could give us the break -up of the capacity for the application -wise, that will be helpful.

Mr. Anubhav Gupta (00:56:56): Right, so Amruta, if you look at my sales volume for FY23, it is around 50% housing, and 25% commercial and 25% infrastructure. So, that's the broader application mix, right, for our products and this 3.6-million -ton capacity versu s 2.3-million -ton volume, in this, the housing and commercial segment will be a bit higher because of introduction of our coated products that's more used in residential and light fabrication jobs. So, more or less, we'll stick to like 55% housing, 25% commercial and 20% infrastructure.

Amruta, Wealth Managers India Pvt. Ltd. (00:57:57): And what could be the capacity between the structure as in heavy, super heavy, light, general , Apollo Z and Apollo Galv?

Mr. Anubhav Gupta (00:58:06): Right, so we can share this data with you over like one-to-one interaction. I don't have it handy right now.

Amruta, Wealth Managers India Pvt. Ltd. (00:58:22): Second question is regarding the debt position. Right now, the debt is 2.5 billion rupees. So, like we are going to do capex of increasing the capacity to 5 million tons. So, from like, what could be the, like when can we expect the company to become less cash-positive?

Mr. Anubhav Gupta (00:58:41): Right, so Amruta, if you see, I mean, this year, FY23, we did 10 billion of EBITDA and almost 9.5 billion operating cash flow. Okay, so this operating cash flow of 9.5 billion was FY23. And given that we have, and given that, I mean, we have strong growth plans, both in profitability and volume. So this operating cash flow should improve, right, assuming the fact that our working capital days will remain where it is. So, having like incremental operating cash flows in FY24, and my residual capex to reach to 5 million tons is less than 6 billion INR today, 600 crores, okay. So, this could be funded from like, you know, operating cash flows what we're going to generate over four to six months, because that's a timeline when we will complete this expansion to 5 million tons. So, eventually, we should be debt-free by FY24 end, or early FY25. Hope this is clear, Amruta?

 Amruta, Wealth Managers India Pvt. Ltd. (01:00:10): Yes, thank you, thank you very much.
Mr. Anubhav Gupta (01:00:14)

: Right, moderator, can we have the last question, please?
Moderator (01:00:19): Yes, the last question will be from the line of Shashank Agrawal from Aukwin. Please go ahead. Shashank Agrawal, the line for you has been unmuted. Please go ahead with your question. As there is no response, we'll take the next question from the line of Mridul Shah from Reliance Securities. Please go ahead.
Mridul Shah, Reliance Securities (01:00:48): Yes, sir, thank you for the opportunities. Sir, I have two questions. One is on the railway side, railway modernization related, which we discussed in past one or two controls, was at a primary stage at that time. So, any further update, or are we getting any sizeable orders on that side?
Mr. Anubhav Gupta (01:01:05): Right, so, Mridul, I'm very glad to share with you that one railway station in South India, it got approv ed, our tubular design got approved last week, and, right, so, the contractor will release the order within this month, okay, and at the same time, today, we are in touch with at least 20 contractors, okay, who have won the orders already and single contra ctor is working on at least four, five railway stations. So, the railway station, which I'm talking about, the one which we closed already, right, the same contractor is working on one more station in South India. We are working with one contractor who has won five stations in North and West India. So, this is like, so, this is like a trend, where the contractors have understood that if they go on tubular design, they are saving a lot of money. So, with this South India station, the construction getting started over the next one, two months, this is going to open massive doors for us, apart from that, there are like three mega stations, which Sanjay ji spoke about, in Bombay, Ahmedabad, and Delhi, so, Delhi and Ahmedabad stations, where the bidders were L&T and AFCON, so, their bids were higher than the government budgets. So, they are, so, the government is again working to kind of lower the scope of these redevelopments, so, that it comes under the government budget, but Mumbai is going as per the plan and we are already, and we are already talking to the contractor, where we are submitting the tubular design. So, given the fact that there are going to be 1,500 new railway stations under redevelopment in India over the five years, I mean, this, this opportun ity is mammoth in size.
Mridul Shah, Reliance Securities (01:03:32): Sir, in terms of any value or damage or anything for railway station, you can share, and what duration it should, that this contract should be spread over? Mr. Anubhav Gupta (01:03:42): Right, so, so, I'm sure, like, you know, this data point, we have, we have told you, that in a high-rise building, the skewed consumption, skewed consumption is 5 to 6 kgs per square foot, but in railway stations, where the dead load is high, and there is vibration matrix, which need to take control, right, the tonnage is above 10 kg per square foot for a railway station design.
Mridul Shah, Reliance Securities (01:04:14): So, per station, how much in terms, value comes roughly, as of current?
Mr. Anubhav Gupta (01:04:19): So, it will vary from the size of the railway station. When we talk about 1500 stations, there could be, like, a very small station in a, in a small district of Uttar Pradesh, and we talk about New Delhi Railway Station, with 7000 crore budgets, where the tube consumption will be minimum 40,000 tons, versus a small district, where the minimum tonnage will be 5-600 tons, minimum, minimum will be 500 tons, and maximum, it will go to 40,000 tons.
Mridul Shah, Relianc

e Securities (01:04:56): And then, second question, on your EBITDA per ton for
FY24, wherein, going forward, as New Raipur is ramping up, most of this product category, in the range of 6,000, to 8-9,000 rupees per ton, kind of a, products are increasing in terms of contribution, even in terms of volume, whatever we have done in this quarter, if you annualize, we are guiding even higher for

 next 4 year, so there is already operating leverage you are indicating, so this 5,000 per ton kind of indication, plus or minus 100, 200 rupees, seems to be too low, so what is restricting us from guiding better margins, may be 5,500 -6,000 kind of number, based on logic, it seems to be, should be quite high, but is there anything we are missing out on that, for FY24 and 25?
Mr. Anubh av Gupta (01:05:45): So, there are two things, see, I mean, even Raipur, if we do 500,000 - 600,000 tons, right, in Raipur, the utilization will be 50-60 percent, and given the fact, the incremental 200,000 ton is coming, so the capacity, by end of FY24, in Raipur will be 1.3 million tons, and on that, we are doing 500-600,000 tons, so we are still like, below 50 percent, right, so the real Raipur, you will see in FY25, or maybe Q4 of FY24. When you see the real Raipur EBITDA being visible and second, the fact is that, I mean, the 5,000 rupees per ton, again, it is, as for our business plan, this number is quite impressive, because at the same time, we need to ramp up our volume from 2.3 million tons, we are targeting 3.0 million tons. So, there could be, like, a few months where there could be, like, some volatility in the steel prices, and there might be some channel destocking, so we have to be ready for that. So that's why, I mean, with whatever caution you may say, right, we are guiding for 5,000 per ton, but, yeah, if sentiments are good, if macro tailwinds are there, there could be a higher number, so let's hope for the best, and maybe we could have some (inaudible 01:07:23) in the back when we talk after 12 months.
Mridul Shah, Reliance Securities (01:0 7:28): Sir, thank you for the detailed explanation, and all the

best, sir, thanks once again. Thank you.
Moderator (01:07:35): Thanks, everyone, for joining the calls, Sanjay ji, or you want to...
Sanjay ji (01:07:38): Yeah, I want to share my views with my channel partners, or my investors, stakeholders in the company, first of all, I thank you all of you who believe on us, maybe we are late by one or two quarters, and for your patience, I am very, very thankful, we will try our best to, we never let you down, but I want to share my vision with you, first of all, we are now in the process of making an organization, as some people know, and some people don't know, I don't know, in the first of April, we totally reworked all our licenses, and we boosted up a lot of junior people in our senior posts, like now Deepak Goel is our CEO, so in that process, we should be little careful, if we are going in the process of making an organization, so we have to be very careful, that all the guys below also come up, so I am being a little careful, number two, I have a vision for India, 3 trillion to 10 trillion story, 3 to 10, according to me, all the steel makers, all the economists are saying that, 300 million tons, they are talking about 300 million tons of steel making , if India makes 300 million tons of steel, currently structural steel market in India, is almost 6% of primary and secondary in total, 130 million tons, Indian market is close to 8 million tons, this market, if you look at it from an international standar d, is around 10 to 12%, if I calculate the lowest side n

umber i.e. 10%, we should have a market of 10% i.e. 30 million tons of
structural market . Right now, we have a total capacity of 8 million tons, I am not worried about the capacity of 1-2 million tons, I am not worried, because I am working with Tata Steel, J.W. very closely, they are working very hard, we are all talking about how we can increase the market, this is beneficial for all of us, you may give a margin of 3-4-5 thousand rupees, the margin I am talking about, the steel market in India, is not less than 15-20 thousand rupees of any steel company, if these people go to steel making, even if India's steel market decreases by 1000 -2000 rupees, it doesn't matter, but 300 million tons, EBIDTA margi n 15-20 thousand rupees, this is the ratio, tomorrow, these people will understand, this is all just rumours, that Tata will do this, J.W. will do that, this is a rumour in the market, small dealers, they spread these rumours, to scare people, to scare people, this is very hopeful, for the industry, my vision is, when in 2030, India's steel market will reach 300 million tons, India's steel market, structur al steel market will reach 30 million tons, how can Apollo go to 10 million tons for Vision 2030. I am working on this, if in 2030, how will I talk about 10 million tons, who is capable for going 10 million

Page | 15 tons or 15 million tons, or above the 5 million tons. I am working on this. It does not matter if numbers are up and down for one or two quarters. My primary vision to raise it to 5 million by 2025, the second vision is how can I go to 10 million tons in 2030 without engaging APL, without making heavy balance - sheet how can I go to 10 million ton, how can I create the market for India, 30 million tons of steel, how can I create the market, I am working on this, this market needs new products, what are the requirements of the customer, I am working on this, I am very hopeful, maybe I can be a little late, but I am very sure, I can assure you, I will not fail, maybe I can be a little late, but because our size is very big, I have to take steps very carefully, as per the phrase when the elephant walks, it takes time to get up, it takes time to get down. Many people's lives are on stakes, almost 2 lakh shareholders with me, almost 4000 employees with me, and if we multiply one employee by 4 so there will be 16000 families are directly involved with me, transporters are with me. So, I have major responsibilities because I have to take steps carefully keeping everything in my mind. So, this I can assure you that I will try my best. We will not do any foul, our intentions will be never be false in work and I have a lot of responsibilities to take care of all. I will not break your trust so don't worry I am trying at level first that I can complete my vision of 5 million tons and after that we will go further 10 million tons. After analysing this year, I will share my vision with you. And please don't worry J.S.W and Tata steel anyone comes, this is very grateful to increase this market, this is a positive signal those who don't understand tube industry, at least today everybody is talking about it. This is a big thing for Apollo. Thank you, thank you very much.
Moderator (01:14:10): Thank you on behalf of Equirus Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

10th August 2023
Electronic Filing

National Stock Exchange of India Limited
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NSE Symbol : APLAPOLLO Department of Corporate Services/Listing
BSE Limited
Phiroze Jeejeebhoy Tower,
Dalal Street, Fort,
Mumbai-400001

Scrip Code : 533758

Re: Transcript of the Conference Call held on August 7, 2023
Dear Sir/ Madam,
With reference to our letter dated 31st July 2023 intimating you about the conference call with Analysts and Investors held on August 7, 2023, please find attached the transcript of the aforesaid conference call.
This above information is available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

Deepak C S
Company Secretary
M. No.: FCS-5060

Encl: a/a

“APL Apollo Tubes Limited
Q1 FY '2 4 Earnings Conference Call ”
August 07, 202 3

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MANAGEMENT : MR. SANJAY GUPTA – CHAIRMAN AND MANAGING DIRECTOR – APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL – DIRECTOR OPERATIONS AND GROUP CHIEF FINANCIAL OFFICER – APL APOLLO

TUBES LIMITED
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER –
APL APOLLO TUBES LIMITED

MODERATOR : MR. RAHUL AGARWAL – INCRED EQUITIES
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Moderator: Ladies and gentlemen, good day and welcome to the APL Apollo Tubes Limited Earnings Conference Call hosted by InCred Equities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions, a fter the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Rahul Agarwal from InCred Equities. Thank you, and over to you, sir.
Rahul Agarwal : Thanks, Zico and good afternoon to everyone on the call. Thanks for joining in. We welcome you all to discuss APL Apollo Tubes' First Quarter Fiscal '24 financial performa nce of the company. We have with us the senior management of the company led by Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Deepak Goyal, Director Operations and Group CFO; and Anubhav Gupta: , Chief Strategy Officer for APL Group.
I now hand over to the management for their remarks and after which, we will get into the Q&A session. Over to you, Anubhav.
Anubhav Gupta: Thanks Rahul and thanks to InCred Capital for hosting APL Apollo Tubes for its Q1 FY '24 Earnings Call and thanks to all the shareh olders and analysts who have joined this call. We welcome you to our Q1 FY '24 earnings call.
The Q1 went pretty well in terms of the sales volume as we touched 660,000 tons, highest ever volume for the quarter. This was despite the fact that there was some volatility in the raw material prices. The steel prices globally and in India fell by around 5% to 10%, so there was some sense of destocking in the market, but despite th at we were able to achieve our quarterly volumes target, and because of some destocking, there was slight decline in the EBITDA per tons spreads for the company.
So we were expecting around INR4,800 ton to INR5,000 per ton, but we ended up having INR4,600 per ton. So yes, we could have earned extra INR150 million to INR200 million in the quarter in terms of EBITDA, but now things are back to normal and we are seeing very good traction in month of July and August -September also look promising. So we shall b e able to make up whatever we lost in Q1.
The EBITDA growth in absolute terms for the quarter was up 58% YoY and so was the net profit, which was up 60% YoY, so we have started FY '24 on a strong note to achieve our volume targets of 2.8 million tons to 3 million tons for the full year and INR14 billion to INR15 billion of absolute EBITDA, which is our target for this year.
Coming to the balance sheet, the working capital days remain good at 6 days, which helped us fund our capex of INR1.8 billion, which was pending for Raipur, and to achieve our 5 million tons capacity. So we told you that almost INR5 billion to INR6 billion would be spent to finish our capacity to 5 million tons and out of that around INR1.8 billion is spent in Q1 and over the next 3 qua rters to 4 quarters, we will spend another INR3 billion to INR3.5 billion to complete 5 million ton capacity for the group.

The debt was slightly higher by INR400 million QoQ basis. In June, we ended with INR2.8 billion of net debt. But they should start coming down, as now Raipur is ramping up and the operating cash flows remain strong with 6 to 7 days of working capital cycle.
Apart from this, just to talk a bit on our Raipur plant, so 1 million ton of capacity which we added, out of this 600,000 ton is fully operational, which is divided into 2 segments; one is heavy structural tubes and second is coated products and our narrow thicket section of 400,000 ton, this will be starting over the next 1 months to 1.5 months, where just 1 line of galvanization is under process and once i

t starts, it will -- we will kick -start this 400,000 ton of
plant, and this will give us incremental volume over the next 2 quarter to 3 quarters.

In the quarter 1, we did around 75,000 tons of volume from Raipur and if we annualize this, the utilization levels remain at 30% but in Q2, this will ramp up to 100,000 tons and then 150,000 tons, in Q3, and eventually 175,000 tons to 200,0 00 tons by Q4. So we do believe that Raipur, we should be able to do around 500,000 tons to 600,000 tons for the full year.
Based on our gross margin spreads, we believe that INR6,000 per ton to INR7,000 per ton kind of stabilized EBITDA spreads from Raip ur, look very, very promising.
As we are talking about Raipur, which is mix of our innovative products, so market creation also becomes very, very important. So glad to share that for the heavy structural segment with the market creation efforts, we have got now more orders for railway stations, for high -rise building, some of the live sights we had shown in our presentation as well. So the conviction and confidence remain very high, that with our products, we are going to revolutionize the construction in dustry and these new products will help us achieve our volume targets over the next 2 years to 3 years.
Apart from that, the focus on other value -added products like coated products, the distribution of those products have started and there is good pull d emand from our distributors, which carry high EBITDA spreads. So this gives us confidence that we should be able to ramp up Raipur plant to 500,000 tons to 600,000 tons this year, and eventually 1 million tons by FY '25, '26.
Other updates on the capacity addition to achieve 5 million tons. So just to give you a breakup of new incremental capacity which is coming; so Raipur, we're going to add 300,000 tons over 1 million tons then 0.3 million tons is coming in Dubai, 0.2 million tons is coming in East India and around 0.6 million tons we are going to add brownfield capacity in our existing plants. So with this, we will be a 5 million tons capacity company, and we should be able to utilize this capacity by FY '26.
So that's our vision statement for 2025 tha t we will be selling this much of volume with higher EBITDA spread than INR5,000 per ton, which is the current run rate,
So that's it from our side Rahul and we can open the floor for Q&A.
Mode rator : Thank you very much. Our first question is from the line of Amit Dixit from ICICI Securities.

Amit Dixit: I have couple of questions. The first one is on the narrow tubes' capacity ramp -up at Raipur. But in the prepared remarks, you indicated that it is going to be started sh ortly. Can you give us a sense of a timeline from the capacity ramp -up plan that you have mentioned, I think, it's more like Q4? And how do we look at EBITDA per ton trajectory in Q4? More specifically, will we hit INR6,000 to INR7,000 EBITDA per ton from Raipur in Q4 itself or will we have to wait for FY '25?
Anubhav Gupta: So coming to the first question, which is around the narrow line in the Raipur; so see, Amit this is the product, which is high -thickness coated sheets, okay. It's a complete innovation from the House of APL Apollo, because so far if you see in India or globally, the color -coated sheets, which are available are full thickness of 1 mm, 1.2 -mm. But we started -- we thought that we should be able to produce a color -coated sheet of up to 4 m m thick.
So beyond 1.2 mm, which industry has not produced ever. So we put up the line and it was started last year. We were buying the galvanized sheets from the industry and then we were color coating it, right. So that we started last year and we tested the market because it was a new product, innovative product . Yes, sorry. Amit, you are there?
Amit Dixit: Yes I'm here.
Anubhav Gupta: : Yes. So the applications

were pod lathes, right, which are used in the construction industry.
The solar structures, ri ght, ducting, they were like various applications, which you could see. So we tested the market last year, right, and the result was pretty good. But the difficulty was that we were buying the galvanized sheets from outside, so the supply was not stable. S o anyways, we were going to set up our in -house galvanizing line. So that got a bit delayed. We thought we should be able to start in like in July, August.
So now it's pretty much on track and end August, first week of September we should be firing that g alvanized line. And once this is there, then it's a continuous process where we put HR coil and then we galvanize it, and then we color -coat it. So this will be like full in -house back to back color coated sheet, and with that like I said last year, we tes ted the market, there were good demand and we are hopeful that the ramp -up for this product will be pretty strong and the utilization levels for Raipur will start inching up from 30% to 40%, 50%, 55%.
And coming to the second question, the EBITDA spreads from Raipur. So see, I mean if you see that at utilization levels of 30%, we are able to make EBITDA spreads of around INR3,000 to INR4,000. So with 80%, 90% realization, definitely the plant will reach those levels. But it will take 2 to 2.5 years, right? So, but what we can promise you is that EBITDA spreads will

continue to improve, as the utilization levels continue to go up.
Amit Dixit: Okay, that's very helpful. My second question is on, as I look at the broad EBITD A per ton project -- I mean progression in the quarter, I mean from Q4 to Q1, what I see that Apollo Z as a group, the EBITDA per ton has declined -- I mean EBITDA per ton has been stable or is up. So is it due to purely Raipur effect that Apollo Z is down or is it something else?

Anubhav Gupta: So Apollo Z is not being manufactured in Raipur. It's a non -Raipur product and this is in our Bangalore plant and in our Secunderabad plant in North India, where the maximum production takes place for Apollo Z.
Amit Dixit: Okay. So what explains the EBITDA per ton decline Q -o-Q, because this is the only category where we are seeing this keenly?
Sanjay Gupta: Hi, good morning, everybody. Amit, you have seen the decline in the EBITDA per ton in the Z product, this prod uct is -- we will purchase from this product from the galvanized coil. And if you see the first quarter, all the steel plants are in the pressures. Our steel plants -- due to almost INR5,500 decline in the raw material prices, steel plants had very less sa les. So we never give these galvanized product prices. Because of this, this is an impact that our margin on the product has reduced.
But if you see the overall margin of our -- we done the volume, almost 483,000 ton from APL, 91,000 ton from AMPL and 86,00 0 ton from ABPL. Total is 660. And we did not have any margin squatter from ABPL in Raipur due to -- there is two reasons behind it. One is we have set up our infrastructure to start. And secondly, we have increased the stock level of raw material due to t he fact that we have to ramp up our process. Because of that, we have faced stock loss you can say in our language, stop loss.
Due to which our margin was over and our expenses were high. Our ramp up from August there was a lot of ramp up in July, it is ha ppening in August as well. And from September, the full ramp up and August also. But if you see the old APL, so our volume is 483 plus 91, 574 is our volume and EBITDA is 330 crores. So INR330 crores divide by INR571 crores, almost our EBITDA margin is INR 5,700 per ton in spite of the almost 5% to 10% raw material price have declined.
So, I think we are on the track there. Just a matter of time. Just a matter of time that we have to streamline our ABPL. And the EBIT

DA percent has broken due to the raw mater ial prices.
There was a pressure due to the steel price, they had reduced their margins in the galvanized product.
Moderator: Thank you. Our next question is from the line of Aman Agarwal from Equirus Securities.
Aman Agarwal: Sir, with respect to the upco ming capacities that you have mentioned on the new capacity in the Eastern India and the Dubai and the brownfield expansion. The VAP expansion that you were mentioning, can you give us a breakup of which product would be coming up with these capacity?
Sanj ay Gupta: In the East India, our plant is not started yet, we are looking -- right now we are looking for the land, land has not been finalized. But this is very small quantity of 2 lakh ton capacity. So totally it is commodity products. We will service th e value added products from Raipur. Because if we install a value added plant in every plant our cost will increase a lot. Because our capex is very small, around INR50 crores. In Dubai, our total structural tuning is our focus, up to 300 square.

Aman Agar wal: Understood, sir. And sir secondly on the target VAP share, I see a slight trim down from earlier guidance of 75% to around 70% now. Any particular reason why we have slightly trimmed down the guidance?
Sanjay Gupta: Boss, we can't define, we can't def ine narrow margin 5% is 70% or 75%. When we are in the phase of volume, whatever saleable we sell, whatever margin we get take, the numbers go up and down.
Aman Agarwal: Understood sir, understood. And sir lastly, on the margin side, last quarter we menti oned that due to strong demand pull, we had reduced the channel discount that we were offering. So how was the situation this quarter around the discount that we offered to the channel partner?
Sanjay Gupta: Till July market – raw material prices in the pressure, so there was a push. But from August

market is now stabilize. Because from August is very good -- not good, I can say very good. July we have done almost 200,000 plus our volume. And August and September, we a re targeting 2.5 plus 2.5.

So total in this quarter our target is first quarter – first half 13 to 14 lakh ton target, with an EBITDA margin of INR650 crores to INR700 crores . So we are right on track. Second half, we are targeting for volume of almost 15 lakh ton to 16 lakh ton with EBITDA margin of INR750 crores to INR800 crores. So for overall full year 28 lakh ton to 30 lakh ton will be the volume and INR1400 crores nearby EBITDA, present scenario, I don't see any pressure.

Aman Agarwal: Understood, sir . And sir, on the long run, EBITDA per ton guidance, we still maintain on the INR5,000 for FY '24 and gradually to around INR6,000 per by FY '25 and maybe FY '26. We stick to that?

Sanjay Gupta: No, boss, see, I'm a promoter . I am always bullish on my numb ers. And the work I have done, technically, I'm looking, I'm not satisfied with 6000, 7000, 8000. My target is in five figures.

But right now the positions are, we have to slowly and slowly cover up. I feel that as soon as our Raipur will ramp up in the se cond half, the whole, in August, the last machine of the narrow line is starting. Because of that my EBITDA margin should be stable around 6000 from Q3.

But overall, our demand for super big success is also good, it is getting created. Like our projects, a lmost we have done, we are designing projects on 300 projects. So, as demand gets created, these two things are key factors to increase our margins.

Moderator: Thank you. Our next question is from the line of Sneha Talreja from Edelweiss Securities.

Sneha Talreja: Just two questions from my end. 1 is related to the new Raipur facility. So you are going to add further 0.3 million tons, so where are you adding this, in which product profile? Also if at all, you could give some breakup of the current product p ortf

olio, you are manufacturing three products here. So which one of them is right now going where and what is the utilization rate amongst these products? Like are we selling more of higher diameter products or color coated

or color -coated product, so whe re are, we in each of these products, is something that I would want to know?

Sanjay Gupta: First of all, you have to understand what is Raipur. In Raipur, we have 3 segments; one segment is we call HSU segment, where we are making big sections. Our capaci ty is almost 3 lakhs tons, 4 lakh tons. 3 lakh tons is our capacity. We have not even got 1000 square mm. This 4 lakh ton capacity will be ours. And the second complex is wider. Our capacity is 3 lakh tons. This is on full run.

The third is narrow section. The capacity of this is 4 lakh tons. Total is 1.2. Here it is 4 plus 1. Our HSU's capacity is 4 plus 1. 5 lakh ton capacity total. So, total capacity is 12 lakh tons. In this, 4 of our HSU capsules are already on swing, 3 lakh ton are on swing in the wide r. And the narrow section is ready, but we have to start the galvanizing line, which is starting on the 14th August.

In this product, in the HSU section. We have bigger sections. In this, as we have bigger sections in HSU section. As demand ramps up, our sales ramp up. In this quarter, we have almost 50,000 tons in bigger section. We have reached the range of 16,000 tons per month. In this quarter, we are targeting to achieve 20,000 tons per month. Wider is running full, and we are already doing 20,000 ton s per month plus.

Number three, narrow section. We have two parts. One is flat product and one is tubes. In tubes, our capacity is 25,000 tons. Flat product has 5000 tons of colour and 5000 tons of GB for our PV. So 5000 tons of colour will be used in our PV and 5000 tons of GB will be used in our PV. So total capacity is 35000 tons. If we define the tube in sector by sector we have 3000 ton, 4000 ton colour tube, 7000 ton, 8000 ton pre -galletic tube, which is called Apollo Z. And 3000 ton 4000 ton CRCA aut omotive tube. Then 3000 ton 4000 ton cold load full hardware.

Sneha Talreja: Understood, sir. Sir thanks a lot for the elaborate answer. Sir, one more thing is like last -- this particular quarter you said prices were falling, so how is the channel invento ry at this point of time? Last time you had guided that inventory is about 15 to 20 odd days, where is it now?

Sanjay Gupta: Channel inventories are almost blank. So there is a very good symptom of demand creating. Although there is a monsoon time, but act ually good demand will be created from August.

Moderator: Thank you. Next question is from the line of Jatin Damania from Kotak.

Jatin Damania: Sir I want to understand one thing, now since we are saying that Raipur will be INR6,000 to INR7,000 EBITDA per ton, so once we ramp up our capacity to 1 million ton. But just wanted to understand while for 2025, we are giving a times of -- near about 2.5 times increase in the EBITDA. So segments and which all facilities will drive the EBITDA?

Sanjay Gupta: Jatin fo r what we are targeting for INR2,500 crores EBITDA, we have, we -- right now three company we are earning; one is APL, one is AMPL, and one is ABPL. AMPL capacity is almost 400,000 ton. ABPL we are going for 1.2 million ton and Dubai is 300,000 ton and remaining is APL. So 31 lakh tons is APL. Our total capacity out of 5 million ton, APL is 3.1

million ton, AMPL is 5 million ton is AMPL, Apollo Metalex. 1.2 million ton is ABPL, and 0.3 million ton in Dubai.

My target is INR10,000 per ton EBITDA in Dubai, al most INR300 crores . ABPL I'm looking at least EBITDA of INR7,000 to INR8,000 per ton -- transaction side INR600 crores, INR700 crores -- INR840 crores from ABPL. AMPL we are running same phase of INR8000 a ton EBI

TDA, is almost close to INR400 crores . And APL, I think INR4500 per ton is the EBITDA margin. 3100 into 4500, INR1400 crores, 14 plus 4, 18 plus 8, 26 plus 3, almost we are targeting for INR3,000 crores of EBITDA. Consecutively we are talking INR2,500 crores of EBITDA.

Moderator: Thank you. O ur next question is from the line of Vikas Singh from PhillipCapital.

Vikas Singh: Sir, I just wanted to understand this 5 million ton of capacity which we are talking about. What kind of volumes and value additions percentage we would be doing, considerin g that once we start increasing our SKUs, usually the utilization rates seems to usually decline. So if you could give us some insights into it?

Sanjay Gupta: Our value -added product is almost close to 3.5 million tons and commodity products is 1.5 million ton.

Vikash Singh: So, roughly about 70% we would be doing value addition. And what is the sales volume we are targeting for that 5 million ton?

Anubhav Gupta: Full 5, Vikash. So this is the sellable capacity what we are talking about.

Vikash Singh: Under stood. So, actual capacity would be higher than that?

Sanjay Gupta: Whatever you may call, but the actual capacity is that which you can produce. We recognize it like a sales capacity 5 to 5. You may say 10% higher 5.5 million ton.

Vikash Singh: Understood sir. My second question pertains to this railway revamping plan. Now that the capex seems to be pretty large, wanted to understand where we are placed? How big this opportunity could be for us and whether we are already in place to gain this segment, or t here is still some time before we can get into that space?

Anubhav Gupta: So, Vikash, when you look at the modernization of railway station, there are 4 structures, okay. One is the station building, which is called the concourse. So, concourse is a modern structure, where there will be platform on the ground floor and then on the upper floor there will be like retail, office complexes etcetera, which are -- which you see in countries outside India.

Second structure is the foot over bridges, FOBs, right. Th ird is the ceiling roofing truss, which is over and above the concourse structure, which covers the complete new building. And fourth is the -- fourth are the office complexes, which a lot of the railway stations are having.

So, if you look at our opportun ity for Apollo in heavy structural .

So there are two products -- which are two applications, which are 100% on tubular. One is the foot over bridges right, and second is the truss, the ceiling, the roofing of the structure. So, in India there is like targe t of 1,500 railway stations which are going for redevelopment. So, depending on like some railway station it will be like 500 tons, some railway station it will be like 2000 tons, 3,000 tons, depending on, like how big the station.

Now what we are trying t o do is that the bulk of the consumption of steel will be in the concourse structure and the station -- and the office complexes which are nearby. So, that railways has two option, go for RCC or go for steel. Now where the railway -- where the government h as approved steel structures, then there are two2 options, one is for conventional steel, second is for tubular.

So, here what we are doing is that we are convincing the contractors and its consultants who have secured the project, right that he should bui ld that concourse structure and office complexes on steel tubes. So, glad to share that Tirupati railway station has been approved 100% on tubular, like all the four structures are 100% on tubes. Okay.

So with that, it has opened the -- like, I would say f loodgates right, to go and approach the contractors, that that whosoever has won the contract, that you please construct your buildings, your structures on tubes right? So, as we speak, there are almost 30, 40 plus buildings wher

e
we are going and talking to the contractors, their consultants, and authorities, right?
So, just to throw a numbers, like New Delhi railway station, you can see the tender document, right. Right now it's under bidding. It will have at least 20,000 tons to 30,000 tons of tube consu mption. Other than that, like whether it is Mumbai, Ahmadabad, then 1,497 other small cities, where these railway stations are upcoming. So, this -- this throws a huge opportunity to supply or to create market and supply our products.
Vikash Singh: Understood. And all this would be in the value -added segment right, the heavy to super heavy structure right?
Anubhav Gupta: Yes. Heavy and super heavy. That is correct.
Vikash Singh: Thank you. That answers my question and all the best for feedback.
Moder ator: Thank you. Our next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.
Aditya Welekar: Sir, just I want to confirm if I heard it right. So for FY'25, we are targeting a sales volume of 5 million tons right?
Sanjay Gupt a: 25, 26.
Anubhav Gupta: Yes. So that's FY'26.
Sanjay Gupta: This year, we are targeting 28 lakh tons to 30 lakh tons, next year we are targeting 36 lakh tons to 40 lakh tons and 25, 26, we are targeting 46 lakh tons to 50 lakh tons.

Aditya Welekar: Understood, understood. Sir my next question is, in this quarter, have we taken inventory loss? Is it due to the drop in the secondary steel prices? And if yes, currently what is the spread between primary and secondary?
Sanjay Gupta: After a long battle, now Apollo come out with this inventory loss and gained wholesale but little bit company impact comes, there are unsold material 70,000 tons to 80,000 tons material in our house, so like I can say 70,000 tons into INR5,500 tons price has been dropped in th is quarter.
So, 38 crores technically inventory we have to take in our books, but we never count for this position because on our full business, this is very less. Almost all materials get covered with the bank. So, in our books you would have seen invento ry loss and profit no impact is there from the last two years since we have made our branding and distribution stronger and before that we used to see the impa ct of inventory loss and again.
Now, we have come out from this position, but some bit channel de stocking we have to push we can take around 10 crores , 5 crores impact. But in this quarter if there would have not been any loss and our prices should have dropped then our EBITDA should be around 375 crores , 380 crores .
Aditya Welekar: Understood sir. S ir next is, what is our capex guidance for 25? So I guess our, for 24 guidance is INR600 million. So will that be enough?
Sanjay Gupta: Our capex which is there to achieve 5 million ton almost 300 crores is pending maybe INR10 crores, INR20 crores plus min us, 5% plus minus from this 5 million ton capacity it gets completed. For that there is no plan of capex for 1.5 years. From 25 December where our volumes 4 million ton it might have crossed from there we have a roadmap plan for another 5 million ton capac ity for next 5 years up to 2030.
In 2030, how we can make the company to reach till 10 million. In this process I think our next capex round will start from 26 January that will remain 26 and 27. 26 January to 27 December we will have INR2000 crores capex that will enhance our capacity to 10 million ton.
Aditya Welekar: Understood sir. That’s very helpful. Thank you.
Moderator: Thank you. Our next question is from the line of Lavanya Tottala from UBS.
Lavanya Tottala: So, I just wanted to understand the opp ortunities that we are seeing for the heavy structural. When should we start realizing the impact of this on the volumes, like in the coming quarters, how do you see that? And in the railway structure business, which you are highlighti

ng, in that
what will be the pricing difference for a contractor to use conventional steel versus tubular steel, will there be any benefit of using tubular over conventional steel for railway bridges and all?
Sanjay Gupta: Thank you, Lavanya. If you see our numbers, last quart er we have done -- last quarter in Q4, we have done 40,000 tons and in Q1 we have come to 50,000 tons. These two type of growth

is coming in the big sectors. One from the projects where our design team is designing and passing the design and from there slo wly and gradually inquiry is getting generated. Secondly, from the retail also where replacement RCC were used.
Right now this product is not in the market. Now slowly and slowly the architects and all the consumers are knowing that they can switch to 500 square, 400 square, 600 by 300, 600 by 200. As they are getting the knowledge so I am seeing the trend from the market that from retail we have got the demand. So, I'm hopeful that year -over-year this product to 40% to 50% growth.
Lavanya Tottala: Got it, sir. And on the railway 's conventional steel versus tubular steel, how would that differ?
Sanjay Gupta: Lavanya , there is no such data. Whatever our teams says I'm not convinced with the team. We are working on the design and from many places we are getting a positive response like Max Hospital, Nanavati Hospital has completed their first phase and now we have supp lied 2,000 ton material in Tirupati railway station. So, all these types almost I have seen what our design team what they have worked that is around 2,000 ton material we have done.
If those projects get clicked so maybe these demand come on one day so it will slowly ramp up. So, this is the right thing that we should commit you that you will get only 10% growth maybe you seen in any quarter with a growth of 50%. So, these growth are project based. But we are very hopeful whosoever contractors are there and we are talking with the consumers we are very, very bullish on these projects, with our product.
Third world, U.S., China and European countries, if you will see this demand it wil l more than normal troop. So, we are very hopeful that in India the demand will pick up soon, but there is no such data we can commit to that that quarter -by- quarter we will give you this much demand.
Anubhav Gupta: And just to add that the tubular stee l is 10% to 20% lighter than the conventional steel.
Lavanya Tottala: Got it. So, the contractors that we are working on, these are all small contractors or we are in contact with some large EPC contractors also...
Anubhav Gupta: We are working with contra ctors ranging from Larsen and Toubro to Ahluwalia, to Sam, to Nagarjuna, to Ashoka Buildcon to smaller contractors. So, all types of contractors, because our structure can be used to make a small hut. It can be used to create a 5 -star hotel. So, irrespecti ve of the structure, any EPC contractor who is doing the structure we reach out to him.
Lavanya Tottala: Got it. Thank you so much and all the best.
Moderator: Thank you. Our next question is from the line of Mr. Rahul Agarwal from InCred Equities.
Rahul Agarwal: Sir, just one question on the net debt number. It is INR280 crores for the quarter. Can I get the gross debt and the gross cash number, please?

Sanjay Gupta: Just a sec. INR950 crores is our gross debt and INR650 crores is our FDR .
Rahul Agarwal: Okay get it sir. Sir one, why we are asking this sir, there is one trend, which I'm observing that quarter -on-quarter the finance cost and the other income, both are rising sequentially over the last 4 quarters to 5 quarters. Why should this happen?
Sanjay Gupta: Rahul, this is because of AMPL and APL, both of them have come in cash positive. Here, whatever cash is being plus, we are making it

FDs. In ABPL, what we have done, we have infused an equity of INR600 crores. The remaining money there, we are taking the r est of the money as debt over there. Our target is that, we have given INR600 to ABPL through us ; we have to bring that money back within three years.
Rahul Agarwal: Understood. And my second question was on the state incentive. There was a press release o n the exchange, which talked about incentives for the Raipur plant. There were multiple questions there, but largely wanted to understand, is it only applicable to sales done within Chhattisgarh? Or do we have to assume 3/4th of 9% savings of state GST bec ause it says 75%.
Sanjay Gupta: This is a state incentive. Our Raipur, the Chhattisgarh government has given us an incentive to have a plant in the state. INR500 crores has already been allotted to us. Our INR500 crores file is in process, which we will ge t more. So from next year, our GST amount is already pending due to capex. First we will consume that first. Next year, local sale will be there in Chhattisgarh, of that GST, we will get 9% reversal of that.
Rahul Agarwal: Sir, we have to take 75% of 9%, right?

Sanjay Gupta: Yes, 75% of 9%. You are right.
Rahul Agarwal: Okay.
Sanjay Gupta: Total GST is 18%, of which local GST is 9% and 9% is 75%. So, almost 6.75% of the local sales in Chhattisgarh state will be returned back to us.
Rahul Agarwal: Understo od sir. And what would be the tentative sale volume number for Chhattisgarh? How much absorption can be there in the market?
Sanjay Gupta: Around INR50 crores will be an annual incentive.
Rahul Agarwal: Okay, so INR500 crores is the total, INR50 crores pe r year, so it will be over in 10 years. Is that correct?
Sanjay Gupta: Yes. It will be over in 10 years, exactly. No, it is INR1000 crores total.
Rahul Agarwal: Okay, so the remaining INR500 crores is for what thing?
Sanjay Gupta: No, we have to get INR5 00 crores more as per the capex plan. We have got this from the first phase of capex. Another INR500 crores, we have already applied.

Rahul Agarwal: Sir, what is that in regards to?
Deepak Goyal: Phase II capex plan. We have total investment in Raipur is around INR200 crores. Out of that, INR840 crores capex, government has allowed INR500 crores of the incentive and for the second phase, we have under process to apply.
Rahul Agarwal: Okay, I will get it. And Deepakji, in terms of accounting, this will come as other income in the books of accounting?
Deepak Goyal: Yes, other income.
Sanjay Gupta: Whatever other income we have, Rahul, we are not able to present the numbers properly. Whatever the reason, I will sit with the team. If you see our quarters numbe rs, then our APL volume is 4,83,000 tons. 91,000 tons is the volume of AMPL. Our total volume is 574 ,000 AMPL and APL and ABPL volume is 86,000 tons. Our ABPL EBITDA in this quarter was almost zero.
Deepak Goyal: It was INR3 crores.
Sanjay Gupta: It was I NR3 crores. So if you see the second year, you can see our old APL, EBITDA per ton is INR5,700 ton, which you can see is INR4,600 ton. And the other income which is interest, the maximum part of other than interest, it is the export incentives. It is our b usiness income but you can add it as you want.
Rahul Agarwal: Understood, sir,. I will come back in the queue and thank you for giving permission for hosting the call. Thank you.
Sanjay Gupta: Thank you Rahul.
Moderator: Our next question is from the line of Kunal Kothari from Centrum Broking. Please go ahead, sir.
Kunal Kothari: Thank you so much. Sir, I wanted to understand the capacity part. Right now, it is at 3.6 million tons. So, can you give us the timeline about how much capacity will be added, whe n and it will get commissioned till 5 million tons?
Sanjay Gupta: Up to March ‘24, we complete our capacity fo

r 5 million tons.
Kunal Kothari: So, you mean 5 million tons will be completed in FY’24, itself?
Sanjay Gupta: Yes.
Kunal Kothari: Okay. And w hat...
Sanjay Gupta: Once Siliguri plant is got completed by March ‘24, that is you can say 4.8 million tons.

Kunal Kothari: Okay. And so only Brownfield expansion on the existing plants, can you elaborate like, in what kind of products that we are expand ing earlier? If I believe that the Brownfield expansion was about 3 lakh tons, which you expanded to 6 lakh tons in the existing capacity, is it right?
Anubhav Gupta: : So, here 3,00,000 tons is coming from new Raipur. From one it is going to 1.3 and then, there are 11 plants, which are in APL Apollo which are running and then Apollo Metalex also 1,00,000 tons will get added from 0.4 to 0.5. So in other 10 plants, there will be like small Brownfield expansion, which will take place, right, so put together, i t will be like 0.4 from the existing 10 plants.
Kunal Kothari: Okay so in due course of time till March and like some capacitors will come and kicking in, right?

Anubhav Gupta: : That's right. Except East India plant, we target to complete all Brownfield, G reenfield expansions by March ’24.
Kunal Kothari: Okay. Thank you so much.
Moderator: Thank you. Our next question is from the line of Madhav from FIL. Please go ahead.
Madhav: Yes, hi sir. Thank you so much for your time. Sir, could you update us on the water tanks in terms of further traction and could you scale up further?
Anubhav Gupta: So Madhav, we did one sample early this year right near Lucknow. So that sample got approved. Based on that, there is another small order of 50 water tanks, which the government has approved as of now. So the work on those 50 water tanks will start. And as we are talking, we are also talking to lot more contractors and authorities to take this number to higher. One thing is for sure that the government authorities have given their approval. So slowly they are starting. It is a very new thing for them. So they are taking some time. But our design, our sample, everything has been passed by the authority. Now the question is that from 1 to 50, how do we move from 50 to 5,00 0, 10,000, right? So that also is undergoing.
Madhav: And this again has benefits from like lower cost of construction and faster time to complete?
Anubhav Gupta: So compared to RCC, steel is always expensive. So it will be slightly expensive but the tim e taken normally in RCC water tank takes six months to complete. Steel end to end can be done in two months - three months. Almost three months - four months.
Madhav: Thank you, sir. Okay, sir.
Moderator: Thank you. Our next question is from the line of D hananjay Bagrodia from ASK. Please go ahead.
Dhananjay Bagrodia: Sir, congratulations on a good set of numbers. Just a couple of questions. Sir, now employee expenses and another expensive has been trending lower per ton. Is this something which we see ev en more scope from here or would this flatten out going ahead?

Anubhav Gupta: Dhananjay, what cost are you mentioning?
Dhananjay Bagrodia: Employee? Would be flattening out over some time.
Moderator: Mr. Dhananjay, may we request you to repeat your questi on, please.
Dhananjay Bagrodia: Sir, Employee expenses and other expenses per ton year -on-year has been reducing quite a bit. Is this something which we see even more scope reducing or is this something which will be flat going ahead?
Sanjay Gupta: Friend, it's not less, mine is a lot. In the Board meetings, sir, the topic was that the price make cost of our is more.
Dhananjay Bagrodia: No, so last year...
Sanjay Gupta: This has increased, cost has increased a lot. This is my worry point.
Dhananjay Bagrodia : Last year, it was 4,90

0 per ton. This year, it is INR3,800. So, it has decreased a lot?
Sanjay Gupta: No. I don't have that much of employee cost. I have around INR700 per ton.
Dhananjay Bagrodia: No, your employee cost per ton is INR900. Earlier, it wa s INR1,000. Yes, but your per ton has reduced a lot…
Anubhav Gupta: Dhananjay, what we are saying is that INR900 per ton, it appears lower than INR1,000 per ton. But we are not satisfied with INR900 per ton. Our target is to bring it down below INR700 per ton. INR600 per ton.
Sanjay Gupta: You can say, whatever you want. Mr. Dhananjay, I promise you, when we reach the 5 million ton of capacity, my employment cost will come down from INR600, less than INR600 per ton.
Dhananjay Bagrodia: Okay, sure. And other expenses, too?
Sanjay Gupta: Dhananjay, we will have to see other expenses because...
Anubhav Gupta: It will be with the sales.
Sanjay Gupta: It is with the sales. Sometimes there is a trade factor, export or income, it varies according to that. In our business, there are mainly four types of expenditure. One is the employee cost, number two is store consumer, which varies around INR250 - INR300 . Number three is power, power is around 50 units, 50 units into INR8 units per ton. It varies around INR400. I NR400 - INR500, its maximum higher side is INR500. Lower side stays in the middle of INR400. I am working on this. I am working on bringing consumer down from INR200.
I am working on bringing employment cost down below INR600. And I am working on bringing p ower down from INR500 to INR400. And one major factor, we are working on is the freight factor. In freight factor our cost is around INR1400 - INR1500 per ton. Now, I am trying with the EV vehicles, if my EV vehicle model becomes successful, I bring down th is

freight cost from INR1500 to INR1000 per ton. So, I have a target of INR1000 to reduce my expenses in the next two years.
Dhananjay Bagrodia: Okay. Excellent. How much will be the full year capex number this year?
Sanjay Gupta: INR300 crores, in three quarters. If can be less by INR20 crores, our one of the plant cannot get installed in this year. INR275 crores - INR280 crores, less than INR300 crores.
Anubhav Gupta: So Q1, we did INR180 crores and then INR250 crores maybe in nine months.
Dhananjay Bagr odia: Okay. Thank you sir.
Moderator: Thank you. Our next question is from the line of CA Garvit Goyal from Nvest Analytics. Please go ahead.
Garvit Goyal: Good afternoon, sir. My question is, just a clarification. In the presentation, you mentioned within 2025, so doubling of revenue will be in the FY '25 or by FY '26 because in earlier...
Anubhav Gupta: So, we say, calendar 2025, which is March '26 fiscal year.
Garvit Goyal: Understood sir. And sir, one more clarification, on the market share price, so currently what is our market share in the overall structural steel tube industry of 80 lakh, you mentioned in the earlier con call?
Anubhav Gupta: So, if you look at the current trends, we believe that our market share is above 60% in structural steel tubing, which comprises of sizes from 8 mm x 8 mm dia and goes up 1000 mm x 1000 mm dia. So, here we should be above 60%
Garvit Goyal: Understood. And sir EBITDA per ton is intact, 5,000 for the entire year, right?
Sanjay Gupta: My EBITDA per ton for this quarter is INR5, 700 per ton. If you exclude the ABPL number.
Garvit Goyal: We understood sir, understood. That’s it from side. All the best for the future.
Sanjay Gupta: Thank you.
Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question of our question and answer session. I would now like to hand the conference over to Mr. Anubhav Gupta from APL Apollo Tubes Limited for closing comments.
Anubhav Gupta: Thank you. Thanks, Rahul and InCred for hosting us and thanks to all the partici

pants, who
took out their time and joined for this call. Hope to see you for second quarter FY '24 soon.
Thank you so much. Bye.
Moderator : Thank you. On behalf of InCred Equities that concludes this conference. Thank you for joining us. An d you may now disconnect your lines.

Call: Nov 2023

2nd November 2023
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Scrip Code : 533758

Re: Transcript of the Conference Call held on October 30, 2023
Dear Sir/ Madam,
With reference to our letter dated 25th October 2023 intimating you about the conference call with Analysts and Investors held on October 30, 2023, please find attached the transcript of the aforesaid conference call.
This above information is available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

Deepak C S
Company Secretary
M. No.: FCS-5060

Encl: a/a

“APL Apollo Tubes Limited
Q2 FY2024 Earnings Conference Call ”

October 30, 2023

ANALYST : MR. ANUPAM GUPTA – IIFL SECURITIES LIMITED

MANAGEMENT : MR. SANJAY GUPTA – CHAIRMAN & MANAGING DIRECTOR – APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL – DIRECTOR – OPERATIONS & CHIEF FINANCIAL OFFICER – APL APOLLO TUBES

LIMITED
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER
– APL APOLLO TUBES LIMITED

 Moderator : Ladies and gentlemen, good day and welcome to the APL Apollo Tubes Limited 's Q2 FY20 24 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anupam Gupta from IIFL Securities Limited.

Anupam Gupta : Welcome to the 2Q FY2024 conference call for APL Apollo Tube s. From the management we have Mr. Sanjay Gupta , Chairman & Management Director, Mr. Deepak Goyal , Director, Operations and the Chief Financial Officer, and Mr. Anubhav Gupta, Chief Strategy Officer . To start off with I will hand it over to the management for opening remark s post which we will have the Q&A. Over to you !

Anubhav Gupta: Thanks IIFL Securities for hosting Apollo Tubes for its Q2 FY2024 earnings call and I welcome all the participants on this earning s call. To start with I would like to share that Apollo Tubes reported its highest ever quarterly sales vol ume of 675000 tonnes highest ever EBITDA of Rs.3.25 billion and highest net profit of Rs.2.02 billion on quarterly basis in Q2 FY2024.

Coming to the highlights for the quarter number one highlight is Raipur update where the third complex for the thicker coated sheet and super light tube also started and the commercial production for super light tubes has started and for t hicker coated sheets the commercial production will start in November. N ow almost 1.2 million tonnes of capacity in Raipur is online and we did around 28% utilization levels in Q2. The plant generated EBITDA of Rs. 5000 per tonne in Q2. W ith such low utilization levels we are getting a good EBITDA per tonne spreads and as utilization levels go up the EBITDA spreads will go beyond 5000 per tonne to the desired numbers of Rs.6000 to Rs. 7000 per tonne . Within Raipur the roofing sheet is ramping up pretty fast with the utilization levels upwards of 50% . The heavy structural tube s also are ramping up with utilization levels for 500 square mil l in Q2 was 25% . As the Raipur is ramping up we are working pretty hard on market creation as well . Apart from heavy structural tubes we are working towards transformation in the construction industry . The sales for heavy and super heavy

sections for the Q2 were 56000 tonnes versus 41000 tonnes in the same quarter last year , so we are seeing almost 35 % to 40% j ump on Y-o-Y and Q-o-Q basis . Other than heavy structural tubes we have identified other high margin value added segments like solar top tubes , the thicker coated sheets which will start from Raipur . The global business for Apollo which comprises of export sales from India and our Dubai plant is under a lot of revamping . The export sales increased 28% on Y-o-Y basis in Q2 and even the H1 sales for export segment were up 28% Y-o-Y. The other value added products from Raipur are CRCA tubes which are annealed tubes for industrial applications and furniture applications . Then the coated sheets for roofing also the utilization levels were around 50% and we intend to ramp it up in the following quarters at good speed so from Raipur we expect the utilization levels to go up to around 40% in the Q3.

 The other update is on our branding strategy last two years . You see that we have been pretty soft on our branding strategy , now this year we have decided to go aggressive and we have appointed two Bollywood Superstars Amitabh Bachchan and Akshay Kumar. T he campaign is going to be rolled out over the next one to two months . It is a 360-degree campaign which is comprising of outdoor hoardings, television and social media campaigns . The ad spend and sales promotional expenses were around Rs.300 million last year this year the budget is around Rs.500 million to Rs.600 million .

Coming to the quarterly update , the sales volume were 675000 tonnes up 12% Y-o-Y. The value added proportion was slightly low because of softness in our Apollo Z sales which got hit in the coastal markets due to heavy monsoon and floods in some of the regions so that segment should ramp up in the second half . The EBITDA per tonne for the whole company was stable at Rs.4800 and is in our stipulated guideline of Rs.4500 to Rs.5500 per t onne. W orking capital days remain stable at five days . In H1 the operating cash flow to EBITDA was 76% which helped us to fund the capex of Rs. 356 Crores. T he ROC E including Raipur plant was 28% this was despite that the Raipur plant generated EBITDA of around Rs.500 million . Now once the utilization level goes up to optimum level in the next two to three years the EBITDA should increase at least three times from Raipur so without Raipur investment the ROC E for the Apollo ex Raipur was 40% . If we maintain our FY2024 volume guidance of 2.8 million tonnes although the re could be some

softness in October or November months but as you know the company recovers sharply in terms of its sales vol ume. The reason for softness is n umber one the festive season which is normally weak for the construction sector and second the regional HRC prices are quite low compared to domestic prices so there is fear of some price decline in steel which is leading to some d estocking but you must have observed in last year also that after destocking of 20 to 25 days when restocking starts the company recovers its sales vol ume pretty sharply, so there is no th reats to our FY2024 sales vol ume guidance of 2.8 million tonnes and given that the capacity expansion in Raipur and in Dubai is online so we should be ready with 5 million tonnes capacity by FY2025 and we target to hit this number in terms of sales vol ume in the following year which is FY2026 .
So overall Q2 performance was pretty good with all -time high n umbers for each vol ume, EBITDA and PAT and as the Raipur and Dubai plants are ramping up pretty well we expect this moment um to continue over the next three years . That is all from our side . We can now have a Q&A session . Thank you .
Moderator: Thank you. We will now begin the question and answer session. Ladies and gentlemen we will wait for a moment while the question queue

assembles. The first question is from the line of
Amit Dixit from ICICI Securities . Please go ahead.
Amit Dixit: Good evening everyone and congratulations for good performance and thanks for taking my questions . I have two questions . The first one is on if I look at EBITDA per tonne individually then for coa ted products in particular it has jumped substantially compared to last quarter so could you please explain the reasons for that and whether this kind of bump up is sustainable ?
 Anubhav Gupta: Right so this is mainly for the roofing sheets in new Raipur plant. The EBITDA per tonne jumped because of better utilization levels so all the products in Raipur so one is this coated and second is light section , so both these two categories saw good j ump in EBITDA per tonne so this is sustainable .
Amit Dixit: As I understand it correctly that going ahead we expect this Raipur plant utilization to increase and essentially these value added products that you are mentioning their proportion will also go up so is it fair to assume that we shall close the year at somewhere close to our upper range of the EBITDA per tonne guidance ?
Anubhav Gupta: EBITDA per tonne should go up but at the same time if you see the commodity segment the general segment which still accounts for 40% of the business in that s egment there was pressure because of high price gap between the inferior quality scrap steel and HR coil , so I guess that pressure should remain for next few months unless we see drop in HRC prices in India which seems logical and visible as we see the current scenario, so till then there could be some pressure in general category but as a company we do not see like EBITDA per tonne what we are bothered about is absolute EBITDA, so if you see our absolute EBITDA how it has progressed quarter -on-quarter , so idea is that every quarter we are able to surpass the last quarter absolute EBITDA number , now whether that is by selling extra vol ume at slightly lower EBITDA per tonne or by selling less vol ume at higher EBITDA per tonne so that depends on the market behavior and market situation in different categories . Today A pollo has different multiple product segments in multiple application and multiple industries , within the construction sector also, so based on that what we see is that we are able to squeeze profits from one segment if some segment is not doing well so yes but ideally Raipur and Dubai both ramping up they both are high er EBITDA margin products versus our existing portfolio so yes EBITDA per tonne should expand .
Amit Dixit: That is very helpful . Thanks and all the best .
Moderator: Thank you. The next question is from the line of Aman Agrawal from Equirus Securities . Please go ahead.
Aman Agrawal: Many congratulations on wonderful s et of numbers again, so firstly on the inventory gain or loss impact did we see anything of that s ort in 2Q in the current reported n umbers?
Anubhav Gupta: No, the steel prices were pretty flattish on Q-o-Q basis so nothing substantial which could give us any inventory gain or loss .
Aman Agrawal: Sure and secondly on our value added product mix there has been some sideways movement for last four to five quarters now we are trading at around 55% value added product mix which is clearly low from our previous highs of around 63% which we saw I guess in FY2022 on the movement towards VAP 70% VAP share this quarter is it mainly because of affected Apollo Z volumes or was there any other impact in this quarter ?
 Anubhav Gupta: So I guess there are two things what you highlighted . One is that the comparison for the last two
years and comparison for the current quarter for the Q2 quarter . Now last two years what has changed is that the share of general segment has increased considerably because in

2021 and
2022 those sales were down because the steel prices globally had gone through th e roof after Corona so because of the pricing gap between scrap steel and and HRC if you see that our general segment volumes were going down year-on-year, so last year when the commodity cycle reversed and steel prices came down from Rs.70000 to Rs. 75000 per t onne to Rs.55000 to Rs.60000 per t onne it led to recovery in our general sales so that trend is continuing . The sales mix will eventually improve to 70% as our Raipur and Dubai plant s ramp up and the vol ume you will see from those segments which are high margin so we are not bothered to hit to 70% in the next two to three years . Quarter -on-quarter yes of course Apollo Z sales were down because of monsoon and floods ; this will recover in Q2, Q3 and Q4.

Aman Agrawal: Understood . Now on our distribution through Shankara channel if you can give any update on what is the number or what is the kind of growth that we have seen in the first half of FY2024?

Anubhav Gupta: So Shankara we continue to get the desired yields Aman. We are doing around 20000 per tonne volume from Shankara through its platform and this has been there since we got into this strategic tie -up with the company and this n umber of 20000 tonne on monthly basis is up 100% before there was strategic tie-up and now we are confident that the number from this platform will match the overall sales growth of the company .

Aman Agrawal: Sure any update on our investment in Shankara , do we plan on adding any more investments to it or maybe liquidating the existing investments ?

Anubhav Gupta: So Aman we are due to exerci se our warrants next month which we will be doing .

Aman Agrawal: Sure understood . Thank you . That would be it from my side .

Moderator: Thank you so much . The next question is from the line of Rahul Agarwal from Incred Capital . Please go ahead.

Rahul Agarwal: Good evening. Thank you for the opportunity . Sir first question Raipur has reached about 1.2 million tonnes after the balance of the left capacity gets added what is the eventual capacity here ?

Anubhav Gupta: Eventual is 1.2 which is today so yes earlier the plan was 1 million ton nes and incremental 200000 ton nes so that has also come online so now we are at 1.2 million ton nes.

Rahul Agarwal: Perfect and company level total capacity including R aipur has gone to like October end what would that be ?

Anubhav Gupta: It will be around 3. 6, eventually this will be 5 million in next 12 months .

 Rahul Agarwal: Got it and capex the cash flow says about Rs.400 Crores for first half could you elaborate a bit where was this spent just different projects and full year what is the budget and next year what is the budget just a breakdown please ?

Anubhav Gupta: So mostly Raipur and Dubai , other than that some value addition Brownfield expansions that continues but there the capex amount is very small but out of this Rs.350 Crores for the 1 H mostly was Raipur and Dubai.

Rahul Agarwal: What is the full year budget ?

Anubhav Gupta: Full year we could see another Rs.200 Crores to Rs.300 Crores, idea is Rs.200 Crores basically because Raipur is completed and Dubai balance also we should be spending like Rs.200 Crores in the next six months .

Rahul Agarwal: Got it and lastly on the debt side Rs.115 5 Crores just wanted to know where would this peak because capacity expansion mostly done except Dubai so will there be more project debt here or Rs.1155 Crores is the peak ?

Anubhav Gupta: Rahul do not look at our gross debt because we have cash balance also so the net debt on the books was 2.2 billion Rs.221 Crores.

Rahul Agarwal: Yes I am aware of that . My question essentially was on gross debt just wanted to know that out of this Rs.11 55 Crores this will include project debts from Raipur as well as Dubai

right ?

Anubhav Gupta: Yes that is right .

Rahul Agarwal: So just wanted to know this number has peaked out already ?

Anubhav Gupta: Our gross debt level yes . Now after this capex is done we will be net cash pretty soon Rahul.

Rahul Agarwal: Perfect and how will this gross n umber come down is there a firm repayment plan to the project debt?

Anubhav Gupta: I can repay Rs.900 Crores today because I have fixed deposits worth of Rs.900 Crores so this is like some advantage of interest cost what we are getting and obviously how we see ABP L the Raipur plant as a separate company although it is 100% own but we want ABP L to stand on its own to show its own performance and to have its own ROE and ROC E so that is why this structure this Rs.1155 Crores can become Rs.950 Crores tomorrow .

Rahul Agarwal: Yes absolutely I completely agree and appreciate , my sense was as you said ABPL is a separate entity so there will be a repayment plan based on their own cash flows right ?

 Anubhav Gupta: Yes so ABP L did Q2 EBITDA of Rs.50 Crores it will ramp up over the next two to three years

so yes as the cash flow comes in we have no option but to rep ay debt.
Rahul Agarwal: Right so this gross n umber will continue for two years in the balance sheet I understand the net thing , I know companies has enough amount of cash but this gross number should continue for two years is that fair ?
Anubhav Gupta: Yes so it will keep on reducing as cash flow from Raipur plant comes in .
Rahul Agarwal: Perfect got it. I will come back in the queue for more questions . Thank you so much .
Moderator: Thank you. The next question is from the line of Bhavin Pande from Athena Investments . Please go ahead.
Bhavin Pande: Good evening team . Congratulations on great set of n umbers. As it is show ed in the presentation are we the largest player in the world in terms of capacity and the second followup would be that regarding the announcement we made for three new personnel s being appointed one for branding , one for information and new CFO ?
Anubhav Gupta: Yes there have been hiring of three senior people like I said that now we plan to go aggressive on branding side because two years we were soft so we wanted to have talent and capable resource who could manage this kind of yearly budget what we proposed to have and Deepak Goyal of course he got elevated as Director (Operations), so we hired a new CFO and yes even Chief Information Officer because we are doing a lot of automation and I T softwares for different operations and functions we are implementing so better to have good senior resource and our existing CIO he is also retiring so we got him replaced with a more senior resource and sorry what was the first part of your question Bhavin.
Bhavin Pande: Now in terms of capacity are we the largest player in the world now for steel tube?
Anubhav Gupta: Yes so in structural steel tube yes we are the largest player , in steel tube segment also ba rring two players in China we are largest globally .
Bhavin Pande: Wonderful and just one part I missed so the existing utilization I guess was 50 % and we mentioned that we could see an improvement of 40% so was it absolute of 50% o r 40% of 50 % that would lead up to 70% utilization ?
Anubhav Gupta: No, Raipur 50% was for roofing sheet segment and when I say 40% that is for the overall Raipur.
Bhavin Pande: Optimum level should be somewhere around 70 % to 75 % if I am not wrong ?
Anubhav Gupta: 100% .

Bhavin Pande: Thanks and all the best for times ahead.
Moderator: Thank you. The next question is from the line of Madhav Marda from FIL. Please go ahead.
Madhav Marda: Good evening . Thank you so much for your time once again . I just wanted to understand a bit more on the export side so which are the key countr

ies we are exporting to and will most of the exports happen from the Dubai plant or will the Indian facilities also be exporting and is there like a five year target in terms of like firstly how big is the export vol umes for us in say Q2 and how do you see th is ramping up for us over the next say three to four years or five year s and how does the economics fit basically is it more value added trades which we can sell more in the export markets or who is the competition if you could give us some sense because this is like a new area that we are enteri ng into and looking to scale up? T hank you .
Anubhav Gupta : So Madhav if you see our last seven to eight years of growth which we have achieved 20 % to 25% vol ume CAGR it was mainly through the domestic markets because all the resources were focused to grow the domestic business . The last two to three years we evaluated that given the size of Apollo on global stage we cannot afford to be a low exporting company we need to have good presence in the international markets also, so two or three years ago we kind of focused onto this segment and we started appointing distributors in Middle East and Europe and North America for the wider distribution of our products and given the quality and given the capacity it was easy to catch hold of large distributors of steel pipes so we started exporting . Now two to three years what we have found out is that the demand is pretty strong for someone like Apollo Tubes that it is easy to penetrate the market so after having two to three years of good sales moment um so if you see first half also our export sales have increased by 28% on Y -o-Y so we believe that it is good to have a presence in Dubai in Middle East to be able to export to other countries Europe and North America with the fact that Middle East obviously is going to see lot of demand because of lot of construction activities happening there . The other reason what prompted us to set up the factory in Dubai was the access to cheap raw material there because in India the domestic steel prices are always higher compared to the regional steel prices so that makes you uncompetitive versus the other players who have factories outside India so we are very confident that after Dubai plant is operational we have put up a capacity of 300000 ton nes and glad to share that the product S KU range in Dubai also starts from 15 x 15 mm dia pipes tube till 300 x 300 mm dia tubes, so we have full range of structural tubes for exports market which will be produced in Dubai so we are pretty confident that having the product range which is commoditize plus value add same mirror what we have in India, so the mix will be good and margins will be good with the right competitiveness which we will get after having access to

cheap raw material in the Middle Eastern markets .
Madhav Marda: Understood and so the idea that we sell more value added grades in the export market and how are the margins there versus domestic or is it a bit early to say because we are still kind of building up the base there?
 Anubhav Gupta : So of course it is a bit early to say but we have tasted success Madhav so we will talk about this maybe after two quarters but what I can tell you is that the EBITDA spreads are higher than what we do in India.
Madhav Marda: Perfect go t it. Thank you .
Moderator: Thank you. The next question is from the line of Aaron Armstrong from Ashmore Group . Please go ahead.
Aaron Armstrong: Thank you very much for taking the questions and congratul ations for a great s et of numbers . Can you talk a little bit about the ramp up in R aipur please , could you talk about whether that is an operational ramp up that it takes time to build out the kind of manufacturing capacity and actually produce the vol umes or is the ramp up more around market creation and customer offtake and

which is the factor that dictates the speed of the ramp up at Raipur?
Anubhav Gupta : So there are two elements t o it number one is the market creation of course because most of the products from Raipur are innovative products so market creation had to start early before we got into commercial production, so market creation for heavy structural tube s, for thicker color coated sheets started last year it self before we started our line, so we are satisfied with the market creation what we have done for both the segments and now we see that the heavy structural tube segment right now the ramp up is 27 % to 28% utilization levels thicker coated sheet which will start next month there also we see immediate ramp up because lot of exercise and activities have already been taken place in terms of market creation to educate fabricators, to educate our distributors, to educate the retailer network and and secondly comes the adjacent product which is a roofing sheet from Raipur n ow that is an established market so there the utilization levels are highest which is 50% today and like I said it is an adjacent produ ct went to the same distributor , distributor sold to the same retailer , retailers sold to the same fabricator who was selling our tubes anyways for the roofing structures , so roofing sheet went as an adjacent product to complete the solution in a house so that ramp up was pretty quick so yes the market creation activity started much in advance . A lot of hard work yet to be done because we are talking about transformation of the construction industry, products which have not been seen in India so it will take time but we are playing very patiently . We do not have a debt on our Raipur plant . We want to keep our margins high so we are playing the game patiently with the right production and seeding of our products .
Aaron Armstrong: Thank you . Sir is it the case that just purely from an operational perspective you could ramp up to say 100% or full utilization reasonably quickly , the area where the kind of patience comes into it is on the market creation side and building the awareness ?
Anubhav Gupta : That is right . Yes so we target to utilize this 100% of 1.2 million ton nes by FY2026 that is the target right now we are having .
 Aaron Armstrong: That is great . Thank you very much .
Moderator: Thank you. The next question is from the line of Aditya Welekar from Axis Securities . Please go ahead.
Aditya Welekar: Thank you for the opportunity. Sir just wanted to understand the next phase of growth additional 5 million ton ne so from when we can expect the capex to initiate for that from which fiscal year ?
Anubhav Gupta : Till we start hitting 400000 ton ne on monthly basis right now we are doing 2 25000 tonnes we have a big task ahead of us to utilize this 5 million ton ne first, so once we get the sense that yes we are achieving the targeted number of 400000 ton ne of monthly sales we do not want to commit any capex and we are evaluating a lot of options on our drawing board how to go on in the structur al steel tubing within India and outside India because we see good moment um from Dubai coming in , some of the other applica tions are also under evaluation, so right now we are on the drawing board . We will talk about it maybe during our Q4 FY2024 earnings call where we will come up with a more firm plan but yes we do not want to commit even $1 of capex still we see ourselves hitting 400000 ton nes of monthly sales .
Aditya Welekar: Can you reiterate your volume guidance for 2025 – 2026?
Anubhav Gupta : Like I said we should be a 5 million ton ne capacity company in FY2025 and after 12 months to 18 months we want to hit sales vol ume of the same n umber.
Aditya Welekar: Thank you .
Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investments .

Please go ahead.
Onkar Ghugardare: As you mentioned little while back 40% is still a commoditize portfolio so when the Raipur plant hits 100% capacity where can this n umber settle ?
Anubhav Gupta : 30 so value added will be 70 and general will be 30 .
Onkar Ghugardare: So the 40% which you mentioned will be 30% at full capacity utilization of R aipur plant ?
Anubhav Gupta : Yes so if you see Q2, Q2 was even 4 5% so this will go to 30% .
Onkar Ghugardare: So that will be at around FY 2025 –FY2026 level?
Anubhav Gupta : FY2026 yes.
Onkar Ghugardare: Another thing is that you mentioned that around 300 lakh tonne is the export capacity you have so if you look at even the margins there are better but in overall scheme of things the contribution

 to the vol ume and eventually to the EBITDA or to the profit will be lower as percentage of your total portfolio right ?
Anubhav Gupta : No because 300000 tonne is Dubai capacity not export , export vol ume is already 100000 tonne without Dubai on annualized basis so after we hit 300000 tonne in Dubai we expect international business to be around 10% of Apollo.
Onkar Ghugardare: So 10% by when you are expecting of the total 100% from exports ?
Anubhav Gupta : FY2027.
Onkar Ghugardare: FY2027 you are expecting and can you share a bit about margins in the export product currently and what is the future for that ?
Anubhav Gupta : So keeping the sensitivity they are higher than what we are doing in the domestic market today .
Onkar Ghugardare: That is the only thing you can share about margins in the export ?
Anubhav Gupta : Yes that is right .
Onkar Ghugardare: It would be great if you talk little bit more about that like how much higher they are like not exactly but like what percentage ?
Anubhav Gupta : 20% higher .
Onkar Ghugardare: Then the domestic one right . Thank you very much .
Moderator: Thank you. The next question is from the line of Ca Garvit Goyal from Nvest Analytics Advisory LLP. Please go ahead.
Ca Garvit Goyal: Thanks for the opportunity and congrats for a good set of n umbers. Just want to know about the guidance like earlier in Q4 FY2023 concall you ha d mentioned that we will be able to achieve somewhere around 3 million t onne for FY2024 then what is the reason for this reduction in the guidance ?
Anubhav Gupta : So what we said was that our guidance is 2.8 to 3 million tonnes so yes completing first half and having finished October so we right now we think that 2.8 million tonne is what seems to be achievable but let us tell you that we have full capacity available . If there are tailwinds with us we can go much beyond 3 million tonne also but like I said there are two things which are not in favor o ne is the price gap between the domestic HR coil prices and regional HR coil prices and second is the price gap between the structural steel tube and the scrap steel tube so these are the two main reasons that make us to believe today that 2.8 is what we should be able to do easily but yes if anything of this reverses we can go beyond 3 million also .

 Ca Garvit Goyal: That is good Sir and does it mean you mentioned like October and November are not doing that much well du e to festive season and the difference between the pri ces so what was the run rate in October?
Anubhav Gupta : October was a bit soft and November also because of festive se ason should remain kind of softish . We might see improvement and sharp rebounds towards end of November and early December . We just need like 10 days to 15 days time to bounce back sharply which we always do.
Ca Garvit Goyal: That is good and can you please throw some light like how much percentage of revenue comes from the government side and the private side and what is the difference in the margin profiles from both of these cus

tomers ?
Anubhav Gupta : So what I will tell you is that 90% of our sales come from the distributors . Now distributor may be selling to retail or government that is his thing we do not sell directly to the government , 90% is through trade through distributors, 5% exports and 5% to OEM clients . We do not have direct dealing with the government .
Ca Garvit Goyal: Understood and talking about the EBITDA per tonne so like earlier you mentioned it will be somewhere around 5000 tonnes for full year basis but in first half it is less than 5000 so can we expect this beyond 5000 kind of EBITDA per tonne in second half?
Anubhav Gupta : So given the product range what Apollo has given that a lot of investment from Raipur is yet to

yield results because the large plant almost Rs.1200 Crores worth of plant is under ramp up stage so we always give guidance of Rs.4500 to Rs.5500 per t onne at EBITDA per tonne level. Now you may say that there is a big variation but if you look at from our perspective that is hardly like 1% of our NSR net selling realization so this much leeway Apollo requires the m anagement of Apollo needs because there are a lot of moving variables in the market so what we always target is the absolute EBITDA number . We have been increasing our absolute EBITDA if you see quarter -on-quarter , now that is achieved by selling 10% less vol ume at 10% higher EBITDA per tonne or 10% high vol ume at lower EBITDA per tonne that is end result . What matters to us is the absolute EBITDA number which we want to keep growing and expanding quarter -on-quarter basis .

Ca Garvit Goyal: Yes good and so lastly based on the guidance that you have provided so is it fair to as sume that Q3 will fall short as compared to Q2 as well ?

Anubhav Gupta : We do not know yet . Like I said we need just 10 days to bounce back sharply , if market is in favor then who knows . Today is not the right time to give guidance for Q3 but FY2024 2 .8 million tonne s is achievable and we are confident .

Ca Garvit Goyal: All the best Sir. T hank you so much.

 Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital . Please go ahead.

Ankush Agrawal: Can you just confirm the vol ume numbers for Raipur for this quarter?

Anubhav Gupta : 100,000 tonnes.

Ankush Agrawal: But you did mention about 28% utilization for Q 2 for Raipur?

Anubhav Gupta : Yes.

Ankush Agrawal: You expect this to move to 40% coming quarter?

Anubhav Gupta : Yes so there are two ways to look at it so 100000 tonne vol ume which is like 4 00000 tonne annual and till Q2 the capacity was 1 million tonnes , now it is hitting 1.2 million tonnes, so it was 40% on the avai lable capacity if you see but if you take 1.2 million tonne then it was like 30 % to 35%.

Ankush Agrawal: Got it . Thank you .

Moderator: Thank you. The next question is from the line of Vikas Singh from PhillipCapital . Please go ahead.

Vikas Singh: Good evening and thank you for the opportunity . Just a little bit clarification since you said that the domestic steel prices are much higher than the export prices but we still gets the better margins in the export so just f ailed to understand where is the differences basically because conversion cost even for the foreign player should not be that high ?

Anubhav Gupta : So first is that not domestic export prices import prices , so the regional steel prices are lower versus domestic steel prices so if you are having factory in Dubai you can get cheaper almost 20% cheaper .

Vikas Singh: Sir that what I understand basically I am talking about current exports so can we ass ume that the current exports which we are making is of a lower margin and in future we will substitute it with Dubai and getting some margins ?

Anubhav Gupta : Yes that is right so this is the reason that why we are investing in Dubai.

Vi

kas Singh: Understood. M y second question pertains to since we are investing heavily on the heavy section and super heavy section where we need to develop the new market , just wanted to understand what percentage of our targeted vol umes of 5 million tonne would be at risk if this market takes a little bit more time because you need to educate the user industry and it might take some time so what percentage of our vol ume t arget would be at risk if they go slow on that ?

 Anubhav Gupta : So if you look at our presentation we have given the proposed capacity for heavy and super heavy products so that is around 400000 tonne 396000 tonnes to be pr ecise, so now on 5 million tonne this forms 8% of the total capacity . Now if you see that this 8 % to 10% out of this we are already doing a vol ume of like 150000 tonnes per year anyways because the first mill what we put up in R aipur was 300 x 300 and there the market has already been created and the vol ume is ramping up and there is no reason that why one should believe that this market will not be developed because replacing conventional concrete construction over steel const ruction makes sense it has happened outside India, so in India also it is happening and steel tubes are better compared to conventional long steel products that also like there is no rocket science to know about it , it is just about the awareness and t he acceptability of the product, so we have done a good amount of work with the influencers like architects , structural consultants and PMC s and government construction agencies and real estate developers and contractors so eventually this has to happen but to answer your question the risk factor is like 4 % to 5% to the total capacity .

Vikas Singh: So it is pretty low actually ?
Anubhav Gupta : Yes it is pretty low .
Vikas Singh: Yes just one last question if I may ask . Has promoters have any more plan to sell stake or we are done with most of our capital needs in other businesses and no more selling in APL Apollo ?
Anubhav Gupta : No more selling .
Vikas Singh: Thank you. T hat is all from my side and all the best for future .
Moderator: Thank you. The next question is from the line of Amruta Deherkar from Wealth Managers India Private Limited . Please go ahead.
Amruta Deherkar: Thank you for the opportunity . Sir my question is regarding the general structures so right now general structures contributes around 45% of the total revenues and for the past five quarters we have been reporting the utilization of greater than 100% so I just wanted to know till what extent of subcontracting is possible in the general structures and do we have any subcontracting in any other products ?
Anubhav Gupta : Even in general structures we are hitting like 100% because we do not want to invest too much capital into a commoditized segment . All our capex in last two to three years has gone in Dubai, in Raipur and other value added products in the existing plants so in our overall 5 million tonnes seem of things also you will see that we shall increase from 1 million to 1.3 million only , so right now the volume is not from contract manufacturing but yes we have always explored and we still explore good contract manufacturers who could manufacture for us but then it requires lot of things to fall into place for example the quality of the product , then the mill has to be near to our end market and raw material availability also because both inward and outward freight play

 important roles, so yes at some point we may go ahead with this but we have always been evaluating to find good contract manufacturers .
Amruta Deherkar: So like right now whatever excess above 100% utilization that we have for general structures is all in -house as in or are we doing it right ?
Anubhav Gupta :

No, it is in -house so that is what we say the capacity what we always give it is not licensed , it is not inflated capacity , it is sal eable capacity so we can always go beyond this n umber.
Amruta Deherkar: How beyond can we go and overall like we are targeting 5 million tonnes of capacity so what you are saying is that 5 million tonnes of capacity is the saleable capacity right?
Anubhav Gupta : So 5% to 10% is achievable .
Amruta Deherkar: The max utilization so because this is 5 million tonnes s aleable capacity so you are saying on that 5 million tonne 100% utilization is possible ?
Anubhav Gupta : I am saying 100 is yes , we are saying that we will do . We can go incremental 5 % to 10% only .
Amruta Deherkar: Because in the general structures like when I just check out the numbers I see the utilizations like for this quarter around 120% utilization in this particular quarter ?
Anubhav Gupta : Yes so in general and galv you will see that utilization is like 100% . In general it is even higher yes so general because of less SKUs and less time in changeover of road set, etc., we are able to achieve that, so when I said 5 % to 10% tha t is on full 5 million tonne , product -by-product it may vary.
Amruta Deherkar: So you have like the capacities are fungible based on the product demand you can say kind of move the capacity from Galv to Apollo Z and something like that ?
Anubhav Gupta : Amruta we have 75 mills so not all 75 mills are fung ible but some of these within 75 are fun gible yes.
Amruta Deherkar: Got it. T hank you .
Moderator: Thank you. The next question is from the line of Shweta Dikshit from Systematix Group . Please go ahead.
Shweta Dikshit: Good evening thank you for giving me the opportunity and congratulations on a good set of numbers. Could you repeat the residual capex for this year you said Rs.200 Crores for both Raipur and Dubai is that correct ?
Anubhav Gupta : Yes that is right .

 Shweta Dikshit: So that is Rs.400 Crores capex that will come in the second half and can you just elaborate on ?
Anubhav Gupta : No, Rs.200 Crores total consolidated in second half .
Shweta Dikshit: Another question can you elaborate on the incremental vol umes that we can see in the Q3 especially from the Raipur plant because 2 8% to 40% utilization that like 1 2% additional vol ume despite it being a soft quarter an d because construction activity, etc., is lower due to the festive season ?
Anubhav Gupta : It does not impact Raipur much because Raipur is innovative products and vol ume is pretty small . When we say that vol umes are soft that is on overall company basis and mainly general

segments because of destocking, etc., so Raipur we should see utilization levels like on 1.2 what
we are targeting is of 42% in Q3.
Shweta Dikshit: Thank you . That is all.
Moderator: Thank you. The next question is from the line of Bobby Jayaraman from Falcon . Please go
ahead.
Bobby Jayaraman: You have been marketing the Raipur products for quite some time could you talk a bit about
some of the push bac ks that you get from customers in terms of pricing or whether there is really
a need for that product or other alternatives available ?
Anubhav Gupta : So there is no pushback as such it is just the acceptability is always low for new products in
India, a cceptability is always low for new technologies in India but you can see that the ramp up
has been there for all the product segments so pushback is never on the pricing front . It is just the
acceptability, the market awareness and the education , a lot of these factors need to fall into place
so which we are doing and we are confident that the utilization levels for each and every product
will improve quarter -on-quarter for Raipur.
Bobby Jayaraman: All Right . Thank you .
Moderator: Thank you. The next question is from the line of Onkar Ghugard

are from Shree investments .
Please go ahead.
Onkar Ghugardare: As you have given in your presentation the global EBITDA margin the compan ies are making is
around 14 % to 19%, so at what point of time we can at least expect a lower single digit margin or
a higher single digit margin at APL Apollo ?
Anubhav Gupta : So I guess some of our products you see they are already at high single digit EBITDA per tonne
Rs.1000 per tonne so for companies to happen the share from general segment has to be pretty
low compared to what it is today and secondly the share from super heavy the coa ted products
now we are very bullish on our Dubai plant which is having high margins, we are very bullish on
 thicker color coated sheets which will see commercial production from next month so we have
lot of products for high single digit Rs.1000 per t onne for company also ba rring commodity
barring general the idea is to take every product towards high single digit Rs.1000 per tonne .
Onkar Ghugardare: So at a company level is it possible when the Raipur plant hits full capacity or like it is too early
to say that ?
Anubhav Gupta : So what we believe is that per t onne eventual EBITDA per tonne is achievable it is possible with
Raipur full -fledged and that is what we have our guidance.
Onkar Ghugardare: Sorry I missed the n umber what you said?
Anubhav Gupta : We do believe that Rs.6000 per t onne at company level is doable and is achievable .
Onkar Ghugardare: At 100% capacity of Raipur plant right ?
Anubhav Gupta : Yes.
Onkar Ghugardare: This higher single digit margin at a company level is that something in your mind when you are
planning for say next 5 million tonne capacities so totaling 10 million tonne capacity is it
something on your mind for that about that?
Anubhav Gupta : Yes so like I said we are already sitting on our drawing board with lot of options , lot of
applications and lot of new industries within steel tube in geographies as well so we will be
talking about it in another two to three quarters but right now our focus is 100% to achieve
existing 5 million tonne capacity with of course Rs.5000 to Rs. 6000 per tonne EBITDA.
Onkar Ghugardare: So this is 5 million saleable capacity at FY2026 with Rs.6000 EBITDA correct ?
Anubhav Gupta : That is the target yes .
Onkar Ghugardare: Another thing is that you had mentioned in the last concall or last to last concall that the EBITDA
can double in next say two to three years so is the plan still on or is it achievable to do that ?
Anubhav Gupta : Yes given by the simple math you do yo u will get the numbers . So anyways our history says that
we have been growing our earnings by 20 % to 25% every year so that means doubling our
number every three years.
Moderator: Thank you. The next question is from the line of Bhavin Pande from Athena Investments . Please
go ahead.
Bhavin Pande: Thanks for the opportunity again . I just wanted to follow up on the capacity for exports so what
would be the sales mix for exports when the ramp up happens ?
 Anubhav Gupta : Sales mix as in general and value ad?
Bhavin Pande: No, exports a nd the proportion of our total top line?
Anubhav Gupta : So the target is 10% sales mix for international business in four years .
Bhavin Pande: 500,000 tonnes
Moderator: Thank you. The next question is from the line of Jatin Damania from SVAN Investment
Managers . Please go ahead.

Anubhav Gupta : I believe this is the last question Mr. M oderator . Go ahead Mr. Damania.
Jatin Damania: Thank you for the opportunity. Sir just wanted to check that since we moving to a 5 million t onne and we are seeing a ramping up of Raipur and Dubai will be kicking in any plan or any explanation in terms of where we are on the setting of the capacity in East India?
Anubhav Gupta : So

yes our 5 million tonne has 200000 tonne of capacity from East India . Right now we are exploring the land , we zeroed down on the location already and in next two to three weeks we should be starting t he process for land acquisition, so once land is there and infrastructure is built up then it takes us only six to seven months to start the line, so 12 to 14 months from today we should be able to at least start the production if not 200000 tonne but in phases we shall start.
Jatin Damania: What is the capital you will be spending for that?
Anubhav Gupta : Around Rs.800 million .
Jatin Damania: Last question now since we are more into heavy and super heavy which we are doing from the Raipur and we have seen the increase in the vol ume so just wanted to understand the opportunities from the railways for us , how big is the opportunity and how are we placed ?
Anubhav Gupta : So railways is one segment which can contribute quite big because Indian Government wants to redevelop around 1500 railway stations over the next 5 to 10 years and all these railway stations 80% of them are coming on stream and right now we are talking to a lot of contractors and railway agencies for tubular construction so we have supplied our steel tubes for tubular design to two railway stations now , one is in South India and one is in North India and we have plans to close on more n umber of railway stations, so railways stands as a very good opportunity to sell our heavy structural tubes .
Jatin Damania: Thank you . That is all from my side and all the best.
Moderator: Thank you. Ladies and gentlemen we take this as last question and now I hand the conference over to the management for closing comments .
 Anubhav Gupta : Yes. T hank you IIFL for hosting us and thanks to all the participants who dropped by . I look forward to see you for Q3 earnings call. T hank you so much .
Moderator: On behalf of IIFL Securities Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2024

1st February 2024
Electronic Filing

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NSE Symbol : APLAPOLLO Department of Corporate Services/Listing
BSE Limited
Phiroze Jeejeebhoy Tower,
Dalal Street, Fort,
Mumbai-400001

Scrip Code : 533758

Re: Transcript of the Conference Call held on January 29, 2024
Dear Sir/ Madam,
With reference to our letter dated 20th January 2024 intimating you about the conference call with Analysts and Investors held on January 29, 2024, please find attached the transcript of the aforesaid conference call.
This above information is available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

Deepak C S
Company Secretary
M. No.: FCS-5060

Encl: a/a

“APL Apollo Tubes Limited Q3 FY24 Earnings Conference Call”

January 29, 2024

MANAGEMENT : MR. SANJAY GUPTA – CHAIRMAN AND MANAGING DIRECTOR , APL APOLLO TUBES LIMITED
MR. DEEPAK GOYA L – DIRECTOR , OPERATIONS & CHIEF FINANCIAL OFFICER , APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER , APL APOLLO TUBES LIMITED

MODERATOR : MRS. SNEHA TALREJA – NUVAMA WEALTH MANAGEMENT LIMITED

Moderator : Ladies and Gentlemen , Good day and welcome to the Q3 F Y24 Earnings Conference Call of APL Apollo Tubes Limited hosted by Nuvama Wealth Management.
As a rem inder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assis tance during th e conference call, please signal an operator by pressing '*' then '0' on your touchtone phone . Please note that this conference is being recorded.
I now hand the conference over to Ms. Sneha Talreja from Nuvama Wealth Management Limited. Thank you and over to you.
Sneha Talreja : Thank you Yashashree . Welcome to the Q3 FY24 Conference Call for APL Apollo Tubes. From the management we have Mr. Sanjay Gupta ji who is the Chairman and MD, Mr. Deepak Goyal – Director - Operations & the Chief Financial Officer and Mr. Anubhav Gupta who is the Chief Strategy Officer.
To start off I will hand over the call to The management for "Opening Remarks" post which we will have a detailed Q&A. Over to you, sir.
Anubhav Gupta : Thanks, Nuvama and Sneha for having us here. This is Anubhav here and I thank all the participants who have joined this call to listen to our Quarter 3 FY24 Earnings Call .
So, if we look at the performance in the last 9 months and specifically in the Q3 FY24 few observations, few highlights we would like to make :
1. Number one is that if we look at our 9 months sales volume it's up by 20% YoY. The EBITDA is up 30% YoY, and the net profit is also up 30% YoY. Now the sales volume of 1.94 million tons if we analyze it, it comes out to be 2.6 million tons for the full year, which is of course lower than our initial guidance of 3 million tons when we had started the year, we had guided for 3 million tons.
• Now there are multiple reasons why the actual performance in the first 9 months is lower than the initial guidance and that will also give you clarity on why our Q3 was so soft. So, a few reasons I'd like to highlight our number one that our Raipur plant, which is our Gree nfield , a highly innovative plant , we had thought that we would start the production of this pla nt in the month of June, July in this calendar year, b ut ultimately we ended up commissioning it fully in the month of December and the last li ne just got commissioned in early Jan. So, obvious ly there is like 4 months, 5 months of delay in the commissioning of Raipur plant.
2. Also, our Dubai plant we had thought that we will start the production in month of September, but ultimately we could just start the plant in December.

3. Then the third reason is the steel price inflation in the domestic market which persisted throughout the year a lthough we had thought with the commissioning of new steel mills by new players and the existing players increasing their capacities, the dom estic steel pricing i nflation will soften up, which will open up the market for our general segment w hich gets competition from the scrap steel tubes, but there also the steel pipe inflation didn't come down till the month of December. So, first 8 months were pretty tough .
4. The fourth factor I would say is because of weak retail sale s in India in the construction industry i f you at the commentar y of other building material companies like tiles and electrical fittings and bath fittings , etc., there is this trend that the retail sales in 2nd Quarter , 3rd Quarter were pretty so ft because of multiple reasons h igh inflation, high interest cost and also we believe that demonetization I would say partial demonetization also led to weak retail sales which impacted the money supply in the system.

Now, coming to the 3rd Quarter in specific :
The month s of October and November were pretty bad because t

he regional steel prices were
coming down sharply, but the domestic steel prices r emained high which led to very h eavy destocking by our channel partners and the sales kind of really collapsed in month of November. But the good part was that with the commissioning of new steel mills the prices came down and it opened up the market and we could recover lot of ground in month of December and the trends continue in January a s well as we speak.
The other highlight is a slight increase in our working capital to 9 days in the December Quarter . This is because of loss of volume in the Q3. So, there was some inventory pile up which is now getting normalized. So , we shall be going back to mid-single digit working capital as we close our M arch quarter.
And because we still did CAPEX of around 500 crores for the 9 months which was mainly funded from internal cash flows, the debt increased slightly because of elevated working capital to 400 crores versus 200 crore s.
Now looking at the outlook for the Q4 and next year :
Like I said that the restocking has started, and we are very positive on the structural shift now which is going to take place in the upstream steel sector with the emerge nce of new mills getting commission ed and the increas ing the capacity of the existing steel mills.
So, the unfair competition which we get from low-grade, low -quality scrap steel tubes that will slowly go away and it will open up the market for HR coil based primary steel tubes in a big

way and given that the distribution network, the product portfolio we have, we are more than confident that we will maintain our market share of 55% as the HR coil-based steel tube market improves or takes market share from scratch steel-based tubes .
Now one h ighlight I would like to make here is that see I mean in 9 months our company has grown its volume by 20% earnings by 30%. This is despite the fact that last year we showed, or we registered a very s olid growth. Last year the volume was up by 30% and this year we are up by 20%.
So, yes as management we take the responsibility that this is lower than the guidance, but as a business it grew stronger with back -to-back 30% and 20% YoY growth. So, we expect the momentum to continue and I'm glad to share that we maintain our 5-million -ton sales volume target by FY26. We are sitting on 4-million -ton capacity right now and in next 1 year we'll be ready with the 1-million -ton incremental capacity.
So, we'll be ready with 5-million -ton capacity . Everything is in line it's just that to grow more than 20 %, 25% a s an organization. We also need some external factors to favor us which could be this unfair steel price inflation and some macro trends , some macro factors also more conducive for the construction sector in India.
Now coming to like some of the micro factors for our organization , there are two thi ngs which we have spoken about a lot in the last two years :
1. Our new product launches and the market creation for those products .
2. Our export international sales where we are pretty confident to ramp up the volume.
So, I'll give some data points which will give you confidence that o ur new product launches have been pretty successful, and the market adoption is also pretty encouraging. So, for example, let 's start with the Raipur plant where there are like 4 segments in which Apollo kind of came as the first manufacturer in the country.
So, talking about the heavy structural tubes :
Now, if you look at the ramp up when we started the mill in the month of Feb, March and till December the utilization levels have reached 50% in the heavy structural segment. Now this was one segment which was where we needed a different channel w e had to educate the market and we have been pretty successful t hat's why we could reach 50% utilization levels within f irst

year
of opera tion.
Now the second segment in Raipur was super light tubes that also we started like 2 months, 3 months ago and now the mi lls are already running at 30% utilization levels. Now that's also pretty encouraging because we could launch our products with thickness of up to 0.18 millimeter

and as narrow as 8-millimeter by 8-millimeter . So, it's a very broad portfolio of super light t ubes which we launched, and the results are pretty encouraging.

Then the third p roduct which we launched in Raipur was roofing sheet s which is our adjacent product. There a lso I'm glad to share that, that mill has r eached utilization levels above 70% already. So, this also shows the strength of the APL Apollo brand that we could ramp up these volumes so quickly pushing this product in our channel and along with our tubes the fabricators, the contractors, the end homeowner everyone is keen to use Apollo products.
Then thicker coated sheet which is super innovation firs t time in the world that m ill it eventually got started in l ike late December and early Jan. So, also we could produce 8 ,000 tons in the last quarter w hich gives like 12% utilization levels. Now these utilization levels will go up pretty solid i n the coming months.
So, all and all the Raipur plant is now running at more than 50% utilization levels . So, this gives this gives answers to a lot of questions which each one o f you had in mind that whether Apollo will be able to make these products successful in the market , but I'm glad to share that the data points c learly give clarity that we are able to create market for these products.
Now the next big segment for us is the international markets. If you look at the global steel tube industry which is like 80 million tons, 90 million ton in size n ow if we remove India and China, the US, Canada , the African markets and the Euro pean market and the Middle East market they're dependent on imports from low-cost manufacturers.
So, what we have mapped is that this industry is around 30 million tons, 40 million ton s of annual sales which trade s over the borders. Now, if you look at Apollo 's export international volume in FY23 that was as low as like 50,000 tons. Now Apollo being world's third l argest steel tube producer and number one i f we remove the top two Chinese, our contribution to internation al trade market was very small.
So, we fixed that by starting a plant in Dubai and setting up a full -fledged t eam in Dubai and again like we started the plant in month of December and the results are encouraging. Overall , if you look at Apollo the export sales have grown by 60% on a YoY basis in the first 9 months and the Dubai plant commissioning this will improve further.
Just to give you the perspective on the Raipur plant , the capacity is 300,000 tons, but in December we started the first two mills, and 100,000 tons is what is ready in Dubai and the balanc e 200,000 ton will be ready in next two quarters.
So, lastly I would like to again reiterate that we are ready with our infrastructure to be able to produce and sell 5 million ton s in next two years what we look forward is h aving some tailwinds from the sector, from the steel sector with increasing supply which seems very visible and the

macro trends hopefully after elections this year the things towards the construction, towards the infrastructure sector will be much more bright and we are ready to serve that growth i n the construction sector with our 3 ,000 SKU base and 800 distributor network with all the core competencies which Apollo has developed over the last 35 years of its existence and whatever growth comes we will maintain our 55% ma rket share in the HR coil based steel tube segment.
That's all from our side and we are happy to take questions

now. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question from the line of Bharat Sha h from ASK Investment Managers . Please go ahead.
Bharat Shah: Very clearly the results of 3rd Quarter in terms of the volume growth I'm sure they've been below expectations of everybody including you. Good part to not e is that we still are confident that where the journey ahead is lying, but a mo re question I want to ask is in this journey of reaching 5 million tons and m ore how much of our destiny is dependent upon the fact that industry itself has to grow and rise?
Secondly, how much of it is dependent upon our innovation success, our ability to read the market well , the ability to introduce the right products and create market ahead o f the competition and superior customer solution service so that is the second factor.
And the third h ow much of the destiny will get is we are mo ving more and more into value added, h ow much of that will still be colored by the movement of the steel pri ces up and down.
In short while t his particular quarter clearly has been in terms of t he sales outlook or below vote everybody thought or you might have thought to o, but if you have to focus on the long-term journey how much of our own destiny is under our control and how much of it will depend upon?
Moderator: One moment sir. I am sorry, sir your line got disconnected. We'll take the next question from the line of Rahul Agarwal from InCred Equities. Please go ahead.
Rahul Agarwal: So, two questions Sanjay ji firstly on demand s ide and then the on the supply side. O n the demand a bit more shorter term how the situation currently with the channel let's say the sales from the company to distributor which is p rimary and then from the distributor to end customers. I just wanted to know that what’s your e xperience into Jan, Feb, March what do you expect? Similarly you can explain what's the pricing difference between primary and secondary steel pricing today which might play an impact on how the 4th Quarter will be here? That's the first question?

Sanjay Gupta: Today, the difference between the secondary and the primary is almost close to Rs. 12 kg. Number two how is that going of the Q4 like in Q3 we are barely hitti ng the month of October and November due to the international price is also going down and India maybe challenged . But in the month of December, we again came back pretty very sharply or January also looking good.

I don't think there is an issue for a normal growth like I can say 7,0 0,000 ton in Q4 is not a tough challenge for us. The extraordinary like we are th inking for this year 3 million ton and next year again in the Q5 25-26 we are targeting 5 million ton.

No doubt this type of growth 40 %, 50% we need some tailwind also with us. The positive point is now two new steel plants are already started in India one in NBC steel and one is JSTL and also I'm listening the con call of Tata Steel also they are coming 1.5-million -ton capacity this year a nd next year 3-to-4-million -ton capacity. JSW is also going to start the fifth HSM in Balali in the month of March.

Our international market is also in the softer side. So, maybe f or short term this is a pain for us because the re is the channel there is destocking and we have also to take care of our inventory losses, but for the future terms as soon the gap gets over in secondary or primary this is very good for us.

Rahul Agarwal: Sir in 12 kg difference general structures it becomes touch to sold what is your view on that?

Sanjay Gupta: Now we are do lot of work on our brand like you see from the last one and half months to two months we have increased the speed of branding exercise. So, I am glad to share that that general sections in that also now we are getting good deman

d and good response from the market and there our margins are also getting increasing. I am sure that in Q4 our margin impact will be seen good.

Rahul Agarwal: Secondly, on the supply side just one question what our understanding is that between the EBITDA of Rs. 2,000 a ton to Rs. 5,000 a ton supply is increased. W e see lot of listed compani es talking about similar goals w hat APL Apollo had 6 years back, how is it c hanging the supply dynamics in the structural tube industry for India market please?

Sanjay Gupta : Secondary just we come to hear from the market some companies are aggressive or some companies are doing some work in the secondary ma rket, but in the primary steel I don't think maybe 55 % or 60% market share when he talk about. Technically last month I was in visit all around India like you go to the Ban galore or Kerala, Salem, Tamil Nadu, Pune, Ahmadabad. Wherever we have visited m arkets alm ost close to 80% infrastructure.

If I define in limited way India's total market share is mark -to-market is according to my reading around 11 lakh ton. Out of 11 lakh ton 6 lakh ton from primary year, 5 lakh ton this time from secondary year and in 6 lakhs if you will see then 2.23 lakh ton per month is Apollo the second player in the water lines like Maharashtra Seamless is almost close to 30,000 ton per month. Jindal SR is close to 40,000 tons per month and number three Surya Roshni is close to 60,000 tons per month and in company in Eastern India in East zone is close to 40,000 tons per month. 2.3 is Apollo, 0.6 is in Maharashtra Seamless and 0.4 is Jindal SR, 0.4 is Meezon, 0.6 is Surya

and one company is more Tata Steel is 5.6 lakh tons. Total 6 lakh ton in tubes in primary and 5 lakhs in small players like Sambhav Steel, Hariom Steel, JTL Infra lot of companies in the secondary steel maybe some bit in primary I don't have defined data available with me.

In 6 lakh ton almost 3 lakh ton in water transport and 3 lakh and 3 lakh ton in structural tube and in secondary out of 5 lakh ton 4 lakh ton in structure and 1 lakh ton water tube and transportation. If you see of total structured in India 3 lakh ton plus 4 lakh ton 60 lakh ton structure tool market is there both combined in primary and secondary and 4 lakh ton in water transportation in cash transportation put together it is 4 lakh ton market is there in total.

So, out of 3 lakh ton my share is 2.3 lakh ton into 100 divided by 3 lakhs almost close to 75% and in December a lot of gap has reduced now steel plant has reduced price by Rs. 2,500 tons in December and Rs. 1,500 per ton in January almost close to Rs. 4,000 price gaps has reduced. In future this is also in the soft side and secondary market whatever I have studied this is just totally in at par system there is no margin to go down.

So, we have come from the tough time. We have sustained in Rs. 15 kg price and the margin Rs. 200, Rs. 400 we have covered and survived it. This is impossible to run this type of gap in the industry. So, this gap will get reduced and come to Rs. 5 kg which was obviously before also then the capital tailwind has come with the Apollo already we are sitting on the 4-million -ton capacity within two months, three months 4.5 capacity will get create up to April and up to

December 5-million -ton capacity will get c reated. So, I don't think if we get a small tailwind
support so we will come sharply.
Rahul Agarwal : Anubhav if you could just give a small answer APBL EBITDA for 3rd Quarter and 9 months
that will be helpful?
Anubhav Gupta: So, APBL if you see the volume was around 1,15,000 tons and we did 4 ,500 per ton.
Rahul Agarwal: I missed the volume . What did you say?
Anubhav Gupta: 1,15,000 tons.
Sanjay Gupta: 1,15,000 of our Q3 volume in ABPL and EBITDA is Rs. 4,500 tons.
Anubhav Gupta: And just for the participants what Sanjay ji highlig

hted about the b reakup for structural steel
tubes between primary secondary there is a Slide #12 on our earnings presentation which clearly
depicts this industry scenario.
Moderator: Thank you. We have a next question from the line of Bharat Shah from Ask Investment
Managers . Please go ahead.

Bharat Shah: I raised the question earlier I am not sure whether that was heard or it got lost?
Sanjay Gupta: What I have understood you want to ask sir 5-million -ton capacity we want to reach by 2026 in
that it will depend on us and how much on outside factor, am I right?
Bharat Shah: Yes more or less I am saying that if we see the factors in innovation, market creation and success
there and customer centricity and service and solution providing. In the favorable external
environment which is supporting demand for the structural steel tubes and third factor which is
affecting profitability and in some sense demand also is being volatility in the steel prices with
the much tighter inventory control and other we still have managed to deal with it much better,
but it remained a ffected like this 3rd Quarter is also showing.
If you take into account all of these the journey which is of 5 million in the first stage how much
is dependent on own inner strength and capabilities and our ability to anticipate and build that
business and how much of it is that journey is likely to de pend upon tailwind or favorable
factors?
Sanjay Gupta: See 20 % to 25% growth is with us without any favorable condition we are very comfortably
innovation and branding and spread the distribution. 20% to 25% is not a big challenge for us
this is we can do easily, but when I am talking like you know I am the aggressive person. I am
not satisfied this year we do not do 3 million ton which is a clear visibility so we are v ery
dissatisfied on the organization level.
We are not satisfied with our numbers, but 40% or 50% type number we need the tailwind
factors, 25% number to bring out which we are working on innovation and branding and market
creation that is not a big challenge for us, but like my vision is 3 million ton for 2024 and next
year 4 million ton and then the next year 5 million ton. This is no doubt we need some external
factors support otherwise 25% think that if there is no support so we can do it.
Bharat Shah: And at 25% growth would definitely imply most of it would come from superior products and
superior solutions therefore relatively better margins. Therefore, in this journey whether the
growth will be 25% or higher, but our margin trajectory should maintain a sustained
improvement over a period of time?
Sanjay Gupta: Margin no doubt it will definitely get increase because like I am seeing a very good factor that
if you try to regain the market across the country, channel partners. So, like our Apollo pipe that
is a competitive brand focus and in that Rs. 1,000 tons were sold more. Now this gap it came to
Rs. 3,000 tons.
Like in the market if you see the normal pipe in this present time 59 crore it is selling price and
our selling price I am talking about the retail sale price around 62. The gap which was 61, 62
now because in important products our margins has been decrea sed and in that the big bucket

which is there we tried to increase our margins there and we have successfully done in last two
months.
In December end we have kept our margins, and we are able to sell our materials maybe this is
the reason of our services, this is the reason of our quality of branding I don't know, but this is
acceptable in the market. If our main basket goes away in that margin we create the margin this
is the big game changer for our company.
Bharat Shah: Sanjay ji on export Anubhav was narrating large opportunity what are rarely given the size of
opportunity i

n international market which is hardly exploited by APL Apollo is yet, whatever competitive strengthen in that market and what are impediments and challenges in attaining our growth in that market?

Sanjay Gupta: In this January, our export is high by almost 50% and from Dubai plant we are doing 8,000 tons this month in the month of January. February we are targeting to take to 8,000 to 10,000 tons in spite of these three days less in terms of the month and March target is about 1 2,000 tons.

So, put together Dubai plant we are targeting for this Quarter 3 0,000 tons and in two more line are coming in Dubai plant in the month of March one is 150 square and second one is 300 square.

This all the four I put together the capacity of Dubai plant is close to about 25,000 ton per month which we are clearly seeing we achieve this volume growth in month of June.

First is we reach the 25,000 ton in Dubai plant in month of June that we have a next is plan in Dubai also for another creating a capacity of 0.2 million ton. So, then our Dubai plant is close to half a million tons. In India we have strengthened our export department and in outside countries like in Europe and USA and Melbourne we are going to open a warehouse.

One in Liverpool, one is Houston and one in Melbourne with the four cities we are going to create our own warehouses. I think in the next one or two years the export market presence is very less around 30 million ton of market we have just 0.4 million ton or 0.3 million capacity in that we have and we are trying to make it till 1 million ton.

Bharat Shah: Till when?

Sanjay Gupta: Next two years.

Bharat Shah: Means in 2026?

Sanjay Gupta: When we will go to 5 million ton in that we have a target of half a million -ton Dubai plant should give and half a million ton we can export from India.

Bharat Shah: And Sanjay ji what are our competitive strength which are very sure for the competitors?

Sanjay Gupta: By the nature of costing all over the world we are less prices cost. Number two basket in the structure to be in the world it is the best and number three our capacity of purchase of raw material is also excellent globally market like what we are seeing in Dubai what their local player buying today HR coil is $620 or $625 per ton. We are selling the material Dubai plant about $590 to $600. So, compared to them our purchase cost is less around 2% and 3% and no doubt we have a benefit of variety .

Bharat Gupta: So, these advantage s is we would say prevails compared to any competitors including the ones which are larger than us?

Sanjay Gupta: Yes because this is the advantage due to the India x factor because of India our goodwill is very good across the world, and we have a very good relationship with the other suppliers that is the major reason.

Anubhav Gupta: Just to add to this Bharat bhai like this Dubai plant which we put up a small capacity 300,000 tons annual, but if we look at our SKU range we are going to produce pipe starting 15 millimeter by 15 millimeter into 300 millimeter by 300 millimeter. So, now that is the SKU which we are able to offer even in like 25,000 tons of monthly capacity. So, the fa ctors which made us win in India the same factors, the same competitive strength will help us win in international markets also.

Bharat Gupta: And any major challenges do we believe that can scuttle this ?

Anubhav Gupta: From the challenge that in India we were buying expensive steel, and we were not able to offer competitive price for our products now with excess to cheap steel we have overcome that challenge by putting up Dubai plant. Now we see mainly opportunity Bharat bhai not challenges.

Moderator: Thank you. We'll take our next question from the line of Abhishek from DSP. Please go ahead.

Abhishek: Sanjay ji just two things I want to understand when you do that 5

million ton of overall volume which were the aspiration, new product contribution how much will be in that?

Anubhav Gupta: So, Abhishek just to answer this question see I mean last year if you look at FY 23our volume was 2.3 million ton s. Now out of 2.3 million ton the general segment was 1 million ton and value -added super value add which also includes the new products that was 1.3 million tons.

Now when we are talking about 5 million tons sales volume, Abhishek our general segment wil l not be more than 1.5 million tons a nd 3.5 million ton will be value, super value add. So , my value, super value add is going to increase by almost three times from 1.3 million ton to 3.5 million ton by 2026. So, main ly these products like Raipur 1 million tons mainly is like all innovative products. So, 10% e very year the new products contribute to our volume 10%.

Abhishek: So, in that 5 million ton almost 65 %, 70% will be new product from that perspective?

Anubhav Gupta: Value add and super value -added product.

Sanjay Gupta: Value added product target is close to 70%. New product is I think what we are not able to do and what we will do 5 lakh to 6 lakh ton it will be totally new product.
Abhishek: Sir one more thing I want to understand in terms of export for Raipur will be your key contributor of volume growth from hereon, so how can we see the margin because if we see from the last 5 years, 6 years in general structure margins largely Rs. 1,700 t o Rs. 2,000 EBITDA per ton it is getting moved. When it gets reduced by the prices of scrap so in that also margin improvement scope is there in general?
Sanjay Gupta: I am very hopeful that in this quarter 1,500 to 1,700 margin which used to run maybe increased to Rs. 2,500 to Rs. 3,000 per ton and in this a good improvement is coming, but it’s too early to say something. If you do the discovery of the whole channel in the market so in our prices and in other prices there is almost Rs. 3,000 gap is there, but in February it is so tough that we are not able to say anything. We are doing hard work, but margins have been broken because in every product there i s a tenure like just after Corona in India capacity in coated product plenty of margins have come and if you will see in that time Rs. 10,000 ton we have quoted the margins, but from that the capacity has increased that the pre quoted margins are getting break. So, our main core business in structural in that we have done a lot of hard work when we have in probability time and I am very glad to say if you see in any channel today our price is 62 of primary and secondary price is 50,000. This type we are abl e to maintain our volume this is very hopeful and if this brand get worked company will be in no limit gain.
Abhishek: Just one more question because of lot of infra -activities a lot of new demand sectors are coming like railways, warehouses, solar, so any sectors you are seeing which can also help you and you are bringing the new products of higher diameter, so if any one or two sector because of that it will help you to reach up to 5 million ton?
Sanjay Gupta: In solar we have done lot of new innovative product, in solar we are getting a very good orders from the bigger company and day -to-day meetings are also going on. In railways we have lot of registration already orders in hand. So, railway, airport and sol ar these three sectors we have a good response and if you see in bigger sections our growth rate is very high.
Moderator: Thank you. We have our next question from the line of Aman Agrawal from Equ irus Securities. Please go ahead.
Aman Agrawal: So, just a clarification upfront basis the 3Q volumes that we have seen for multiple E RW Steel Tubes companies, we have seen a case where few other companies ha ve grown a bit better than APL Apollo, is there by any chance a case where t h

ose companies are benefiting at the expense of APL. Any kind of market share shift that we have seen or is this mainly because of demand shift from primary market to secondary market ?

Sanjay Gupta: I earlier also tell there is two type of market. One is secondary and one is primary. If you see that today the primary gap in the Q3 is almost close to Rs. 50 K g which is close to Rs. 12 Kg. So, no doubt when there is a gap of Rs. 15 gap the demand shifting is there, but the most impo rtant thing is that in Rs. 15 gap we have survived. Our little volume has broken, but we maintain our market share like it’s now decrease from Rs. 15 Kg to Rs. 12 Kg and in Rs. 12 Kg we have taken our market shar e and the way this gap gets decreased our market share e ven gets increase.

Now everybody wants good quality material products. So, I'm not worried about the secondary market because the market is dying. If you see the secondary market channel that today sponge is Rs. 27 Kg around that much where secondary starts and on top of that pipe expenses Rs. 2,200 and Rs. 2,300 from sponge to ingot to Patra to pipe. So, almost they are close to Rs. 50 Kg. So, they are running their plant on no margin basis.

So, by selling Rs. 50 pipe they are getting nothing and I don’t think there is any margin of going down gap and HR coil the way its capacity is getting built up in India and HR coil EBITDA margin of Tata Steel and other companies is quite high. So, they ar e no doubt there is a problem in the market, but they can adjust their price because they have debt. So, this is a futuristic thing for us.

So, in India the HR coil capacity gets increased then secondary market ultimately gets end I am not bullish of the secondary market. Now you see I am talking about 5 million tons then also I am not talking of going to secondary market. See this is not good quality material and I am not thinking this is a longer vision for those there is a longer vision in this because that market has no resistance.

This is totally dependent on the HR coil prices. If HR coil prices gets decreases then the whole market gets diminished and HR coil price is up they have a level to play so they don’t have their own strength so I am not thinking of secondary market there will be a huge impact. We are not even discussing in our internal meeting I am not worrying about the secondary market this is a matter of time maybe two months, maybe one month, maybe one year.

Aman Agrawal: Another question while I understand the dip in the volume of general product, any particular reason why light structure volumes have shown such kind of a degrowth in Q3?
Sanjay Gupta: This is due to the retail sale. Number one in retail sale is down plus mainly structure around 1.6 thickness to 2.5 thickness. So, because of that also there is an impact and due to retail sale down because of that it has an impact, but in this we are in very aggressive mode to gain our volume in this sector. So, we are launching lot of steel in the market. This is very funny to say, but yesterday we launched a scheme in Maharashtra we just sale 200 ton s metal in two tons we offer a foreign to ur so by making this type of scheme in retail we are going a make a strong presence.

Moderator: Thank you. We'll take our next question from the line of Madhav from Fidelity. Please go ahead. Mr. Madhav, your line is unmuted. Ple ase go ahead.
Madhav: My question basically was that in the export market basically if I understand right of the 5 million tons which we are guiding for FY26, 1 million to n comes from the export market which is basically outside India. So, the domestic business ramp up is we need to go from 2.8 to 4. So, to that extent, the expansion that we need in the domestic market is not very high like we don't need to go from

2.8 to 5, we need to go from 2.8 to 4. Is that the right understanding to have for the company?
Anubhav Gupta: So, 1 million tons international market Dubai should be like 3 ,00,000 ton s are fully ramped up and incremental also we are putting up new cap acities plus from Indian mills w e are increasing export sales international sales. So, yes i f not like fully 4 million maybe 4.1 , 4.2 should be coming from India and right now also like export markets is like 0.2 already. So, that also you deduct for the current volume.
Madhav Gupta: And in the export market how is the product mixed ? Is i t a good product mix and our EBITDA per ton is there at the current company level or is it higher or lower versus current company average?
Anubhav Gupta: So, right now it's higher than the comp any blended EBITDA per ton Madhav.
Madhav Gupta: And lastly any specific countries which you're targeting to start off with because it's a very large market, s o any specific countries where we want to focus on?
Anubhav Gupta: Madhav it' s across.
Sanjeev Gupta: But mainly in Europe, Canada, US and Australia.
Moderator: Thank you. We have our next question from the line of Anupam Gupta from I IFL Securities. Please go ahead.
Anupam Gupta: Just a c ouple of bookkeeping questions w hat is the CAPEX, which is outlined for total of FY 24, FY25, FY 26?
Sanjay Gupta: So, right now we have not exact data, but it should be close to 300 crores to 350 crores.
Anubhav Gupta: So, just to add to this, Anupam for clarity that the residual CAPEX at the start of the year was around 600 crores to go from t o 3.5 million to 5 million tons. So, far we have spent like 500 crores in the first 9 months another 100, 150 should be in quarter 4 a nd then next year whatever the residual CAPEX plus the organic CAPEX what we do. So, it would not be more than like 200 crores, 300 crores.

Sanjay Gupta: Maximum totally now approx. from month of January to for 5 million ton I think not more than 350 crores.
Moderator: Thank you. We have our next question from the line of Anupam Gupta from I IFL Securities. Please go ahead.
Anupam Gupta: So, just continuing there you said that you want to expand Dubai by another 0.2 million tons, so what incremental CAPEX you are looking for?
Sanjay Gupta: 0.2 million ton hardly CAPEX of 50 crores, 60 crores because we have already made the infrastructure .
Anupam Gupta: And one more question on what was the inventory loss which you took in 3rd Quarter because obviously steel prices went down?
Sanjay Gupta: We never count our inventory loss. It is our policies whatever we buy and whatever we sell, we just see the gap.
Anupam Gupta: So, no major number there?
Sanjay Gupta: No there is no major number.
Moderator: Thank you. We have our next question from the line of Mahek Talati from Yellow Jersey Investment Advisors. Please go ahead.
Mahek Talati: So, we have been mentioning that we want to focus more on the value -added portfolio and not on the commodity, b ut if we see the new capacity additions we are adding our capacity in the

general segments too. So, can you please explain the rationale behind that?
Anubhav Gupta: This is the natural growth for the industry 10% we are assuming the industry should grow. So , to cater to that we are ramping up the capacity because one of our core USP is to is to be able to supply all the SKUs to our customers. So, to maintain the SKU range we have to increase the capacity as per the industry natural growth.
Mahek Talati: And my next question was so we are saying that the new capacities of HR are coming which will help us for further supply. So, are we currently facing any problems in terms of raw material sourcing or it's going smoothly?
Sanjay Gupta: This is totally smoothly no problem at all.
Mahek Talati: And next question was giv

en many players in the industrial increasing the capacity and adding new products what gives us the confidence that we will continue to grow at a 20 % to 25% range, even the industry itself is expected to grow at 12 % to 13%?

Anubhav Gupta: So, there are two factors. One is that our new products from Raipur they are completely like first time ever launc hed products in the country. So, those products are ramping up. So, that's new product, new market creation, new applications and secondly is new geographies like in export market and in East India where the sales were very, very low for Apollo and now we are focusing on each of those geographies very, very aggressively.
So, those will give the volume and third they will be shift from inferior s crap steel tube market to the HR coil tube market and given our market share we will maintain those levels.
Mahek Talati: And last question you mentioned that you are getting good orders from railway station redevelopment. So , how many orders are there and any order pipeline for railway station redevelopment programs?
Anubhav Gupta: So, any railway station will require steel tubes . So, far the Indian r ailways has awarded 50 railway stations to the EPC contractors. So, every railway station will requir e steel tube. We have supplied to four, five railway stations already.
At the same time, we are also trying to increase the steel tube consumption in those railway station designs. So, where our steel consumption c ould be more than 50% of the total steel versus 15%, 20% which comes anyways for us.
Moderator: Thank you. We have our next question from the line of Anish Jobalia from Girik Capital. Please go ahead.
Anish Jobalia : So, my question is in our next phase of expansion from 3.6 to 5 million you see there are two, three big players…
Moderator: Sir are you able to understand his question?
Sanjay Gupta: No we are unable to understand.
Anish Jobalia: So, my question would add in our next phase of expansion from 3.6 to 5. So, if we see there are two places where we are looking at expansion of the capacity one is on the light structures and then the sec ond is on the galvanized tubes.
So, if you see the history of the galvanized tubes typically we have been doing around 1 ,00,000 odd tons 90,000 tons, b ut we are looking to go for a significant growth on this side. So, just want to understand how will we be able to sell these big volumes in the next phase of expansion if you could just help to understand that and in the light structure also how are you seeing the volume ramp up happening because 6 ,00,000 tons being added in the next phase and today we are at the run rate of around 1 ,00,000 tons, so how do you see the growth in these two si des?

Anubhav Gupta: So, first clarification is th at this is not next phase t his is ongoing phase of CAPEX 5 million ton is part of ongoing phase not the next phase. Now coming to the l ight section, light section w hy the capacity is increasing is because of introduction of super light tubes from Rai pur plant.
So, t hat's part of super light and that's forming the bulk of incremental capacity which you see in the sheet then the second on pig iron hat also part of color coated tubes which are getting added in Raipur. So, that's where the new capacity is coming in . So, the existing product is organic 10 %, 15% capacity expansion and rest are coming from new products, super light in light and color coated .
Anish Jobalia: So, I mean we are pretty confident that we will be able to sell these products and you are saying that it will be largely led by new products so it will be kind of a new demand?
Anubhav Gupta: Super light segment from Raipur plant w e are already at 33% utilization le vel as at December 2023.
Moderator: Thank you.

We have our next question from the line of Vikas Singh from Phil lip Capital. Please go ahead.

Vikas Singh: Sir as you said that there would be a margin compression in such as galvanized and similarly many of the competitors are coming in even in the value -added segment like Mild Steel TMT.

So, just wanted to understand that while on one hand you're talking about a margin expansion in the heavy structural your larger share would see an on slot from the competitor.

So, just your thought process whether in this mix you would be maintain the margin or you expect in a longer than it should come do wn?

Sanjay Gupta: Vikas like you see our pre recognized product, pre recognized product we take in th e country almost 15 years back i n 2007, 2008 we introduced the pre technology. Now no doubt there is some other players are coming, but the strength of our branding we have no problem to maintain our normal margin.

The extraordinary margin which is close to Rs. 8,000 tons, Rs. 10,00 ton . Now we are unable to maintain, b ut almost close to Rs. 6 kilo margin is not a big task to maintain because our quality and the costing lot of things and we are doing a lot of new work also innovation for pre -galv tubes.

Now we are introducing our one plant in Raipur plant. We ourselves now going to slowly and slowly converting to pre gal volume tube we have introduced that in Raipur plant and our Malur plant two lines are coming and two line it has to come in North India. So, I think with this month we came out with this product in maybe month of June totally we will come with this new product. So, I think again we will maintain this margin.

So, this is a chapter of snake and stair play and it will continue running in the industry. When we do something new then old people come and if we do something good then they will follow us after five years that is for a given time so the innovation will keep running.

So, we are doing lot of new type of work in margin we are doing new type of innovation so we can’t disclose in open call. One -to-one no doubt we are happy to share with our shareholders, but we are doing a lot of new works to secure ourselves we are different kind of work. In the next year Apollo will come up with a lot of new products and we will come back with value added products.

Vikas Singh: Sir one last question on the cash flow users like you said next year 300 or let's say 400 crores will be your CAPEX and some working capital is required , but cash inflow is much higher and even in future for keeping a 25% growth rate term maintenance of that w e don't need like 50 %, 60 or 100% of our EBITDA to that. So, we have 50% or more EBITDA every year would be free to use cash what we will do?

Sanjay Gupta: This is a very tough question to answer. If you see our balance sheet this quarter around 1,600 crore we have a liability and 400 c rores we have debt. My first point is that I should complete these 2,0000 crores and I am targeting FY 25 liability f ree or debt free balance sheet and apart from that I am not thinking anything and the normal dividend which is coming which will continue coming, but my aim for FY25 March you see the balance sheet of zero debt and zero liabilities then we talk about our s hareholders and we think inhouse and n ow how we consume the cash.

Moderator: Thank you. L adies and gentlemen due to time constraints that was the last question for today. I now hand over the call to the management for closing comments. Over to you sir.

Sanjay Gupta: Thank you everyone for joining us today and thanks again to Nuvama and Sneha for having us for this call. Have a nice day everyone. Thank you. Bye.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2024

15th May 2024
Electronic Filing

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Mumbai -400001

Scrip Code : 533758

Re: Transcript of the Conference Call held on May 13, 2024
Dear Sir/ Madam,
With reference to our letter dated 8th May 2024 intimating you about the conference call with Analysts and Investors held on May 13, 2024 , please find attached the transcript of the aforesaid conference call.
This above information is available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully
For AP L Apollo Tubes Limited

Deepak C S
Company Secretary
M. No.: FCS -5060

Encl: a/a

“APL Apollo Tubes Limited Q4 FY24 Earnings
Conference Call ”

May 13, 202 4

MANAGEMENT : MR. SANJAY GUPTA – CHAIRMAN AND MANAGING DIRECTOR , APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL – DIRECTOR (OPERATION S) AND GROUP CFO, APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER , APL APOLLO TUBES LIMITED
MODERATOR : MR. RAVI SODAH – ELARA SECURITIES PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to APL Apollo Tubes Limited Q4 FY24 Earnings Conference call hosted by Elara Securities Private Limited.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the prese ntation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ravi Sodah from Elara Securities Private Limited. Thank you and over to you , sir.
Ravi Sodah : Good afternoon welcome to the Q4 and FY24 Conference Call for APL Apollo Tubes. From management, we have Mr. Sanjay Gupta - Chairman and Managing Director, Mr. Deepak Goyal – Director ; Operation and Group CFO and Mr. Anubhav Gupta – Chief Strategy Officer.
To start off, I will hand over the call to the Management for Opening Remark post that we can have a detailed Q&A . Over to you , sir.
Anubhav Gupta : Thanks Ravi and thanks to Elara Capital for hosting Apollo Tubes for its Q4 FY24 Earnings Call.
I welcome all the participants on this call. So, FY24, as it went by it has been a full of roller coaster rides when we have started in April last year, we had come out of a very tough FY23, which was highly disrupted because of the global commodity meltdown which impacted all the industries. So, FY24, we thought that it will bring a lot of optimism to the business model after 1 year of disruption and we thought that we would be able to do 3 million ton of sales volume for the full year and that i s what we have guided to our investors as well , but after the 12 months what we did is 2.62 million tons which is almost like 13% shortfall of our own guidance or you can say around 350,000 tons of volume shortfall. So, first I would like to highlight that what got missed , why there is sort fall of target and how we plan to overcome that.
So, FY24 , it started with India having its own problems like high interest rates, high inflation , the steel upswing sector getting transformed after almost 3 years - 4 years that the new capacity started to come online after new en trants like NMDC Steel and long -steel producer Jindal Steel and Power they have started flat steel production. So, lot of factors did impact the momentum for the whole year , so if I have to decode that 350,000 tons of volume loss, we would say that 100,000 ton got lost because of overall slowdown in the consumption activity , particularly in the retail sector , 100,000 ton volume go t lost because of our late ramp up of Raipur and the Dubai plants which we had thought that they will be operational within the mid year, but ultimately both plants started production towards end of the year and also because of there is a new steel which was coming online in terms of upswing capacity, those two months in October and November, which impacted our Q3 FY24 pretty badly and our volumes declined to almost 604,000 tons versus a normalized 670,000 tons, 680,000 tons .

So, these were the factors which actually impacted our FY24, but if we look at the overall performance with 15% volume growth, 1 7% EBITDA growth and 1 4% PAT growth, we believe that we have moved our way from a very like non favorable situation and now we are sitting on a highly solid platform which will drive our earning s for the next 2 years to 3 years. Other than that, what we have achieved is 2 ,400 of capacity expansion program, which ha s taken our capacity to almost 4 million ton s, right as at March 2024 and with just a paltry CAPEX of residual Rs. 600 crores our capacity will be 5 million ton up and ready.
We have closed our net cash balance sheet for the first time with a small c ash of around

Rs. 200
million, but it is highly appreciable that after do ing CAPEX of Rs. 2,400 crores in last 4 years and our FY20 balance sheet was with Rs. 800 crore s of net debt. FY24 we are almost closing with net cash balance sheet and with the low CAPEX intensity now one can imagine the kind of cash flows which our company is going to generate.

Our of OCF to EBITDA O perating Cash Flow to EBITDA has been upwards of 90% throughout and you can see the net working capital days which was just 1 as of March 2024 and again when we had moved to cash and carry business model in FY21, there were always tension that whether this is sustainable, but now we are glad that 3 years to 4 years of consistent working capital efficiencies we have been able to achieve and w hich is best in the construction material sector and the ROC 's which you see optically at around 30% for the whole company , but this is after the fact that we have invested almost Rs. 1,400 crores Rs. 1,500 crores in Raipur plant and Rs. 150 crores to Rs. 200 crore s in Dubai plant , so these 2 investments will fire in the next 2 years and then ROC s will go beyond 35 %-38%, which is our target.

Other than that, the construction boom cycle on which India right now is sitting whether it is in terms of the record , presales order book with the real-estate developers or it is with the recovery in the retail construction demand which will come post elections and post reversal of interest rates and inflation and then the infrastructure spending which is going to take place in terms of any kind of infra which government or private sector are willing to bid. We can see one slide in our presentation slide #28 where we have given the demonstration of what the commerci al and infrastructure projects can provide the opportunity for structural steel tubes that our share will be four times higher of what our cement as our construction material gets used or 10 times bigger than any other construction material product s. So, with the product range starting from 8 mm X 8mm in dia up to 1 ,000mm by 1 ,000mm dia this allows Apollo Tubes to service the construction industry for any kind of structure, any kind of construction, whether it is a small shanty being developed in slum of Bombay or it is a five star hotel or a $10 million condominium being built in Gurgaon , so everywhere and anywhere our portfolio is there to service the construction sector , the architects, EPC contractors or develo pers.

As far as Q4 is concerned , there were some adjustment in the steel market after the new capacity came in, steel prices were correcting which is good that finally India market is seeing steel deflation, which is very good for us because ultimately we compete against inefficient

construction products like secondary steel , like Rebars , like steel angles and channels , like aluminum profiles, wooden structures, a HR plates , prefab structures with our base raw material in the deflation mode it opens a big market for Apollo's products and with the product SKU basket , with the distribution network , with our business development teams working 24 x7 this is going to help boost our volumes significantly in the next 2 years - 3 years , but yes because of steel prices coming down, it has marginal impact on channel destocking , so we have to push our products aggressively to our clients for which we have to offer some discounts , so that is why there was like Rs. 200 to Rs. 250 erosion in the EBITDA per ton versus last quarter. But again, we are not too much worried about it as steel is making up with almost 10 % to 15% lower prices what it was at the start of the year. It gives a very solid base for Apollo to push its products now. The existing months April , May have been going pretty okay given we were afraid that election could give some disruptive environment , but April , Ma

y have been pretty good and the momentum for FY25 looks pretty solid . After the elections are o ver we expect all the private builder order book which is related to the pre sales or infra projects where we are already working you will see a lot of projects what we have given in our presentation how our designs, our products are getting approved. So, yes, we will be back on 20 % - 25% growth trajectory in terms of volume, EBITDA impact for next 2 years - 3 years we are super confident about it.

Lastly, I would like to highlight on our ESG performance because this is one of the very important barometer for our management today . We did participate in DJSI Dow Jones Sustainability Index for last year and our percentile increased to 86 versus 80 and where on the overall Environment Social Governance score our score was 42 last year versus 29 in the previous year and just to strengthen the board, we got 2 new directors Mr. Rajiv Jain and Mr. Dinesh Mittal, who come from the varied industry experience. Mr. Rajiv has been the Chairman and Managing Director of Goodyear , the leading tyre manufacturer and Mr. Dinesh Mittal comes with Indian Administrative background, which will help us improve our compliances . So, that is it from our side I mean what we believe is that FY23, F Y24 were among the worst years what we have seen in the recent pa st, but Apollo continued to do its work in terms of working Capital Management, generating cash flows , finishing its CAPEX , innovating, building the market for new products and we just need the tailwind from the macro and you will see Apollo getting back on 25% volume earnings CAGR . Thank you so much. We are happy to take questions now.

Moderator : Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar : Sir my question is in terms of EBITDA per ton metrics , so if we see Q4 EBITDA per ton and compare it with Q3 and Q4, there is a drop in that except for general products on a sequential basis , so what explains that? So, that is my fi rst question .

Anubhav Gupta : So, if you look at the drop, so general product, what we have been able to do is that the competition which Apollo faces, it is normally in the general segment which is the commoditized

portfolio and in the last 4 years - 5 yea rs the brand what we have built for our products against the small competition , so that has started to play that our price premium versus the second player , third player is now almost like 5 % which used to be like 2% 3 years - 4 years back, but after our consistent investment into branding we have come to a situation where even in the highly competitive space, our margins are lying solid and as far as the other value added products, this is more function of the discounts which we are giving or the support which we give to our clients in the scenario of following the steel prices.
Aditya Welekar : So, my next question is on volume sales guidance , so we had a guidance of 4.6 million ton to 5 million ton sales for FY26 , are we sticking with that kind of guidance for FY26 ? And also, in Q1 if you can indicate what kind of sales volume we can expect ? Are we seeing improvement in demand atmosphere ? And from when we can expect this headwinds which we are witnessing currently during this election season to go a way? So, something on demand front and sales volume guidance for 25 -26, if you can throw some color ?
Anubhav Gupta : Can we do 5 million ton in FY26? Yes, we can do. We have the capacity, we have the distribution, we have the working capital available, we have the product basket, we have everything in place, but yes, given we do say 20 %-25% growth in FY25 and then we are talking about 40% jump to achieve 5 million ton next year for that we need m

acro support and given the fact that India is now finally into steel deflation mode, this opens up a almost a parallel industry which we are going to attack very aggressively which is secondary steel substitute product . In last 5 years because of the high inflation in steel prices that market became almost parallel to our HR coil based tube markets and we have been highly vocal about it that this trend has to reverse with the capacity which India is going to see in the steel sector and that deflation will come and we are now seeing the trends already, which is visible in our April, May numbers despite the fact that India is going slow because of elections. So, yes if we get the market, we can hit 5 million ton next year, nothing sto ps us, but right now in our business model, we are projecting 20 %-25% volume CAGR for next few days.
Aditya Welekar : Last question what is the current spread or gap between the primary and secondary ? So, in last call you said that the spread is coming down , the gap is coming down to Rs. 12 per kg from Rs. 15. So, is this trend will continue because more and more Hot Rolled coils get commissioned , so that may be beneficial for you , so currently are you witnessing that trend?
Anubhav Gupta : Definitely , that i s why I said no despite elections, our April , May both months have been pretty okay and as far as the spread is concerned, which was as high as Rs. 15,000 a ton today, it is around Rs. 6,000 to Rs. 7,000 a ton.
Moderator : Thank you, sir. We have our next question from the line of Amit Dixit from ICI CI Securities. Please go ahead.
Amit Dixit : Couple of questions from my side. If I look in Q4, the rise in realization was lower than the rise in cost per ton and there was a significant gap over there. Steel pr ices of course they kept on

falling through the quarter , so did we see some kind of, I would say impact of inventory on the cost that has now got normalized, if so, is it possible to quantify the inventory impact of it in Q4?
Anubhav Gupta : Amit see, there are 2, 3 factors to this . If you look at my product NSR, which must be coming around Rs. 69,000 - Rs. 70,000 a ton, now I sell a product which starts as low as Rs. 57,000 a ton and goes up to Rs. 100,000 a ton, that is my product basket, then I have elements like Zinc because of my coated products because of my pre gal products because of my GI products galvanized product , then we have color as a raw material, which we are using for our roofing sheets and other super value-added products. So, in raw materials, now it is just not steel which is there, we are using much more products n ow and we are selling more high -grade steel as well, so even that steel is higher by like 5 % to 10%. So, we are, supplying 1 product for a so lar project where my raw material is Rs. 80,000 a ton, the landed because it is a super high grade raw material. So, I guess as our volume mix keeps on improving towards all these high value -added products, they will be like Rs. 400, Rs. 500 per ton of like you will see you won't be able to totally kind of reconcile with the steel, because steel has element of a total raw material cost is going down this is one and second yes, I wouldn't say there is any inventory write down w hat we do is we offer discou nts to our clients, multiple center schemes which go that is what depicts our spread , but as of now there is no inventory loss, which we took on our balance sheet.

Amit Dixit : The second question is essentially, is it possible to quantify the capacity utilization at Raipur plant for Q4 and for the year and Dubai plant ? And what do you expect the capacity utilization in FY24 on an average at both these plants?
Anubhav Gupta : So, if you see, our Raipur plant today is around a million ton for the full year , 90,000 ton a month , 270,000 ton a quarter and a million ton a

year . The utilization from Raipur was around 55% on Q4. If I annualized Q4, it was around 55% and this year, we expect this ramp up to go to around 70 %-75%. And as far as Dubai plant is concer ned, Dubai we were to install 4 mills, right now 2 mills are operational . The volume which I did in Q4 based on 2 mills, my utilization was 45%. 2 mills will start in next one and two months.
Amit Dixit : So, what will be the utilization in FY25 considering the entire plant, I mean 4 mill s?
Anubhav Gupta : Dubai we are projecting around 150,000 tons with a capacity of around 300 k tons so will be around 50% on all 4 mills running.
Moderator : Thank you, sir. We have a next question from the line o f Akshay from Canara Robeco . Please go ahead.
Akshay : Just two questions, sir. I understand that because the demand scenario was bad, and you had to give around Rs. 2 - Rs. 2.5 extra discount, but then what explains the balance part of the EBITDA per ton contraction? I mean on one side if I see sequentially, at least in the commodity product, we have done good actually, which is either not the case in the normal scenario because that gets

impacted , but there actually we have shown sequential improv ement, but then in the other categories where we have relatively better share so there, so why so much contraction, I mean just in case of Apollo Z also, there was so much contraction that was there. I mean, we had the benefit of leverage because in the pr evious quarter we did 600,000 tons , but now we are at 680 , so even operating leverage was there, so sir why so much contraction beyond Rs. 250 what explains that if you can help , sir? That was the first question .
Anubhav Gupta : So, let me address that part. See Apollo Z , there are two types of product that we sell one is the finish tube, which goes as a roofing structure and second just the GP sheet are just galvanized. What has happened in Q4, the mix of the roofing sheet is pretty high compared to what it used to be in the first 9 months or in Q3 and in selling GP sheet obviously the margins are lower than what you generate by selling complete finished tube , so that explains the deterioration in the EBITDA spread for Apollo Z in Q4. And secondly, see, last year also if you look at FY23, our EBITDA spread was Rs. 4,500 a ton and full year also FY24 our EBIT DA spread is like marginally up by Rs. 1,500 a ton , so please understand that Apollo has started its 2 large plant s, the Raipur and Dubai lot of fixed costs are loaded upfront as of now , so unless we hit the threshold of like 60 %-70% utilization the operating deleverage will come into the accounts . That is what is keeping our margin depressed and when environment is not too conducive to get 15% growth wh ich we did in F Y24, then yes, the sales team is told to give some extra incentives to push volumes , so just like Rs. 150 a ton that is what we are talking about on 700,000 ton volume, that is like Rs. 100 a ton is like Rs. 7 crores for the full quarter on an EBITDA of Rs. 300 crores , so it doesn't impact too much to my overall profitability. What guidance right now till March 24th, the sales team had was that go aggressive on sales because we knew that market is going to become conducive after steel capacit y coming online , so let us go and hit for like 70 %-80% market share in HR coil-based tubes . I would urge you to please check with the large steel pipe traders in the country to please understand that what is the kind of market share which APL Apollo is rig ht now having in the HR coil tube market and none of the dealers will tell you below 75%. So, yes, giving Rs. 5 crores - RS. 10 crores here and there, but we are able to get market share and when the prices are stabilized, then we know that how to get the premium from the market and anyway we have established the premium of 4 % to 5% versu

s my competitor. So, just allow us like time till Q1because Indian steel sector has gone through a very disruptive year after a gap of 5 years, new capacity came in. So, we are just trying to play around that to move forward which we have done pretty well and you will see that the momentum from like after elections , end of Q1 , Q2 you will see that all whatever got lost we will cover up.
Moderator : Thank you. We have our ne xt question from the line of Sneha Talreja from Nuvama . Please go ahead.
Sneha Talreja : What was your export in FY24 ? And what is your target for FY25 and FY26?
Anubhav Gupta : So, Sneha export sales for FY24 were around 110,000 tons, and obviously for FY25 now we are projecting almost 150,000 ton from Dubai plant, so that will be incremental , so overall, my

international business will be around 200 ,000 tons to 250,000 ton s. There will be some obviously cannibalization from Dubai plant, which we will not buy from India , but overall we expect it to grow to 200 ,000 tons to 250,000 tons.
Sneha Talreja : And what would be your total volumes which will be sold to Shankara this year FY24 versus FY23?
Anubhav Gupta : Shankara is like in single digit, my contribution 7%-8%.
Sneha Talreja : 7%-8% of your total volumes?
Anubhav Gupta : Yes.
Moderator : Thank you. We have our next question from the line of Vikas h Singh from Phil lip Capital. Please go ahead.
Vikash Singh : So, just first question while we have a tall target of 40% kind of a growth , so are we ditching the EBITDA per ton guidance of 5 ,500 plus because we have to be very aggressive and can't have both EBITDA per ton improvement as well as that kind of volume ?
Sanjay Gupta : Vikash when we cr oss 5 million, I have no doubt if my margin is more than Rs. 5,500 per ton.
Vikash Singh : So, we will be able to target both the expansion in the margins as well as that kind of volume as well?
Sanjay Gupta : Yes, sure because what my thinking is that our Q1 will be a bit soft as per the election in quarter, we are not sounding so loud , but Q2 onwards I don't think last year what we were facing is gap between the secondary and the primary almost 15,000 ton of gap it was a little bit difficult for us to beat that because in 15,000 gap with a same base slightly their low quality material the Indian culture has not understood, so had to face a lot of problems , but what I think is that gap has narrowed down to 7,000 and slowly steel plants like NMD C and JS W Steel hot rolled mill has started and JSW Steel Bellari also started in month of June or July. As these steel plants become operational the gap which is currently 7,000 will come back to 3,000 -4,000 which it used to be earlier . I think as soon as it comes to 3,000 -4,000 suppose this will start based on the same very theme we have ramped up our capacities according to this theme . Right now, we have a capacity almost close to 4 million ton. Till June our c apacity will increase to 4.5 million ton. Only four to five lines are left to come on stream. It is in last phase and after that our 2 plant s are coming which is in Siliguri and Gorakhpur with which our PAN India purchase is fulfilled such small plants are there of 2 lakh tons, 2.5 lakh tons where we don’t have a big CAPEX , so from it our capacity of 5 million ton will be completed by June .
Vikash Singh : So, given this spread has already come down to 7 ,000, so can we expect 2Q onwards, our margin going back to at least to 5,000 levels or that thing will take more lag?

Sanjay Gupta : Maybe not because it is election month now, so we are also aggressive in sales , but Q2 onwards I have no problem.
Vikash Singh : Second question is basically my line got dropped so I don't know whether it is asked or not are we still giving that RS. 250, Rs. 300

discount which we were giving last month, or we have actually pulled back that discount ? And why APL Apollo ’s debt EBITDA per ton decline was very sharp versus the other segment ?
Sanjay G upta : You can say like that, not Rs. 250 and Rs. 300 discount , maybe this discount is more , but not in whole basket. So, average is close to Rs. 250 - Rs. 300 . But my discount maybe this is Rs. 500, Rs. 1,000 maybe some product Rs. 2,000 also because we are aggressive in the marketing right now. My first aim is to cover my 5-million -ton capacity . In margins some 100, 200, 300 is up or down I am not caring. My single agenda is how I reach 5 million ton and how I improve my ROC E because if you se e that when we cross 5 million ton and we have EBITDA of maybe Rs. 2,500 crore s, Rs. 3,000 crores, my aim is right now first time after a long time we had net cash in net cash position . This year, my target is at least we cross 4 figure with the net cash position to Rs. 1,000 crores plus, how can we take this to net cash , after that we will decide that the net cash of Rs. 1,000 crore s which came in our books, this year our liability which is around Rs. 1,900 crores in our balance sheet if we g et good discount from steel plants then we can eliminate those liabilities or we go for some alternate element .
Vikash Singh : And, sir, the gap for Apollo Z because my line got dropped, so I couldn't hear that answer?
Anubhav Gupta : That was because Vikas h, the product mix within Apollo Z we sell finished tube and we sell roofing sheet , so this quarter roofing sheet volume was higher which carries a lower margin than a finished tube.
Vikash Singh : But our annual mix should not change ? And what kind of value -added ending sales mix we are expecting for FY25?
Anubhav Gupta : So, we closed at 60% in FY24 . Idea is to take it to 70 %-75% when we hit 5-million -ton volume Vikash .
Moderator : Thank you. We have a next question from the line of Nitesh Dutt from Burman Capital. Please

go ahead.
Nitesh Dutt : My first question is on the shift between primary and secondary , two parts to it , one in your estimation over the last 2 years -3 years because of this increased delta, how much incremental share the secondary segment has taken from the primary that is one? And second, sir you have mentioned in previous calls that the secondary market is basically dying want to understand the intrinsic factors behind it, because some industry participants also believe that the markets will coexist as they have for past few decades, and there is a certain price sensitive segment which

would still opt for secondary , so just want your perspective on if anything is changing in terms of customer preference etc., or that particular segment nee d?
Sanjay Gupta : You have to just understand that from last 4 years - 5 years in India there is no steel capacity addition due to that whatever the growth is coming from that inflation came in steel prices. Till date this expense has never been above Rs. 4,000, Rs. 5,000 in history in any countries and if you look anywhere other than India, there is no secondary steel it doesn't exist which is possible in India only. If you see our last 1 year or 2 year is bad in case of our industries for primary steel producers . We have maintained our margins despite such gaps, and we have maintained our growth also. It is i mpossible that this Rs.10,000, Rs. 15,000 gap is maintained because if you go for cost then a lways the cost of the primary steel is less than the s econdary steel . This c apacity was fully de-matched, and that capacity is again revamping . I have no doubt , no question in my mind that it has to be wiped up . I am making a complete theme of 10 million tons for Apollo; and my whole theme of 10 million tons is depende nt on this and not only in India but anybody on the second part o

f the world it is not possible. In India almost 50 lakh ton HR coil per month is manufactured which in next 1 year it is going to become 50 lak h ton to 75 lakh ton. Capacity will take time to adjust so this de match of 12,000 -ton, 15,000 ton spread between the secondary and primary will be over because the cost of primary steel is less than the secondary steel and the export market ing is also not good like any particular steel will be ex ported from India . And further steel plants should get a reasonable EBITDA of Rs. 10,000, Rs. 15,000 and we also get steel at reasonably gap from secondary I don't think these days are far away from us and the customer , consumer understands the difference of 3,000 -4,000 very easil y and our growth is not affected . And whether they have taken from the market or not, in India there is no particular data for secondary steel . If you see that demand is growing from 7%, 8% then maybe they have not taken from any market. If this demand is growing from 20%, 25% then maybe they have taken the growth there, but in India there is no data available that we can give a proper statement, so it is not cor rect to comment on that.
Nitesh Dutt : Thanks for the elaborate answer. One more question from my side. So, if we look at the pipe player side or steel tube there including you, everyone is expanding capacity estimating good demand growth, so basically, every player is increasing their capacity by 2x to 3x over the next 3 years, 4 years, 5 years, but the demand is expected to grow in 8% to 10% or at low -teens , so do you believe that this can create an over capacity situation in the industry over next 3 years -4 years ? Or do you think the demand will be sufficient to absorb the new capacities that are coming up?
Sanjay Gupta : What you just told about 2x, 3x capacity increase , frankly I am not seeing at the ground level. I am seeing only in the announcements. The o nly one I am seeing is Tata who is quoting for a 3x capacity in 6 years . I am not bothered by other . Tata's capacity is not increasing that much that I press the panic button. It is not a big challenge to made capacity from 2 million ton in 5 years because we are also talking for 5 -million -ton capacity addition in the next 5 years. Number 2 when we are talking in the steel plants and the government we are talking that in India the steel

consumption which is around 1 30 million ton, 130 million ton it will increase up to 300 million ton. In growing country if you see that near 10% tube is utilized of total steel consumption . If India is going to consume 300 million ton steel in next 5 years, 6 years , 7 years then it wil l require 30 million tons tube capacity will be required by India and in India you can see better than us that where and how strong is the balance sheet and who can quickly ramp up this 30 million ton capacity , so to comment more on that I don't think time will be safe that h ow it will be done , but we are very sure that our first landmark is going to 5 million ton then maybe 1 year before or 1 year after and the second bench mark is for 10 million ton we are very sure .
Moderator : Thank you. We have our next question from the line of Anupam Gupta from IIFL Securities. Please go ahead.
Anupam Gupta : My question is on the capacity expansion, which you have highlighted in the presentation in 9-

month presentation, the capacity expansion now is more in heavy and super heavy and that plant in light and general structures is lower now. So, where this change happening ? And what is the thought process behind this?

Anubhav Gupta : So, this is what the kind of when we had laid down the vision for 5 million ton capacity , so were seeing that what all segments we should focus , but the success what we saw in big and s uper big section in last 8 months, 9 months , so this made us to bel

ieve that we need to inst all more such mills, because the demand which we project is going to come and also stay ahead of the competition because we installed 300x300 mill in 2017, and now competition is talking about installing such mill after 4 years -5 years and now they are tra cking us they see that our 500x500 square mill is gaining momentum. So, by the time they think in next 3 years - 4 years they will want to install such we will be ready with 1,000 x1,000, 600 x600, so it is just to give a statement in the industry and to our clients that the demand which is going to come up we are ready to cater that demand , so just like minor tweaking in our capacity expansion program which got more skewed towards heavy and super heavy sections.

Anupam Gupta : In terms of the CAPEX and the ca pital allocation, so obviously your cash flows are very strong as is visible , so the next couple of years ’ cash flows would obviously be significantly positive. So, what is the plan in terms of allocating that between CAPEX incrementally over the next 2 to 3 years, if you can outline that a bit ? And also, any plans of any sort of a buyback which can happen over the medium term?

Sanjay Gupta : Right now, if you see further going to 5 million ton, we have 0 outflow s for CAPEX because we are going to make CAPEX of around Rs. 500 crore s and we have a some non -core assets with us which will be deleveraged . Here our c ash flow is 0 till 5 million tons and next for 5 million ton we don't require a lot of money because we have a lot of infrastructure already laid out. According to our business plan , we will have a CAPEX of around Rs. 2,500 crores and Rs. 3,000 crores for another 5 million ton. Our liabilities of a bout Rs. 1,900 crores were closed in our books . First our aim is to this year we go for Rs. 1,000 crore s cash flow and net cash. Then we

mentioned with the steel plant that how much discounts we get or don’t get in cash flow , either it is better to go for the buyback or either better for remove the treated part from the books or either go for the debate whatever is best for the shareholder and the stakeholders we go for that.

Moderator : Thank you. We have our next question from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.

Pallav Agarwal : Sir, I think in the opening remarks, Anubhav had mentioned solar pipes , so just wanted a little more details on this. So, is this basically solar torque tube that we are manufacturing, or this is more of the mounting structure of the solar thing , I remember a few years back w e had a JV with a tracking company and that I think did not go through , so some more details on the solar thing will help ?

Anubhav Gupta : So, what I meant with solar was our steel tubes being used for the solar structure , so what has happened is that now i f you see any solar installation which has taken place, whether on ground or rooftop, it is has happened with the built-up sections it means IBs. But what you see is that these steel tubes they offer a better design in terms of tonnage optimization. So, this is where we are pushing the designers of solar structures to go for a tube that is one. Second the big shift which is happening is that whatever on ground solar installation has taken place it is time scale. Now the world is moving towards tracking so lar systems . Tracking solar system needs to be built only on a tubular structure. Structure cannot move on conventional built-up section. So, this is where the market opportunity lies, and we are working with all the large solar power producers to develop their tracking structures with help of our tubes . So, this is where the opportunity lies , so it is for the structure. We are not getting into solar panel manufacturing or something, it is just we are using our tubes to make the solar structure more ef

ficie nt, so that the solar power producer can increase its efficiency from solar.

Pallav Agarwal : I got that part. So, I am talking about solar torque tubes which are using the tracking system , so right now we also manufacturing that, or we empanel ed with some of the vendors who supply that or this is ?

Anubhav Gupta : I would not like to name our clients, but yes, we are working with the solar power producers directly.

Pallav Agarwal : So, as of now, this may not be a very significant portion, but maybe going ahead, this can form a significan t….

Anubhav Gupta : Just for the reference point 1 MW of solar tracker requires 25 tons of torque tubes .

Pallav Agarwal : And this would be sort of an empanelment process , so like an auto OEM approval process, would that be the right way to look at this opportunity?

Anubhav Gupta : I don't think so because we worked with one of India's largest solar power producer 8 months back they told us that can you develop this product of a pentagonal shape tube, within eight months we were ready with the innovative design and the supplies also started within 8 months .
Pallav Agarwal : And lastly, I think a special grade of steel is used , so maybe recently one or the two Indian companies have started manufacturing it , but otherwise thi s more often an imported thing , so is that why the prices you mentioned were very high for a particular period of business?
Sanjay Gupta : Yes, all the Indian steel manufacturers are working on the graded steel, and they improve lot of .
Moderator : Thank you , sir. We have our next question from the line of Bharat Shah from ASK I nvestment Managers. Please go ahead.
Bharat Shah : I don’t want to ask question, but I just wanted to make a point. I understand that movement of steel price in 2023 -2024 and 2022 -2023 was unexpected and was violently high. And I think it is to the credit of APL Apollo, that very difficult period of downward and very volatile prices of the steel on we have been able to deal with it without surrendering or succumb ing. But I also believe that now we have a capacity is coming and we are fully prepared with our assets with the opportunity externally significant, even new opportunity of exports is something that we have opened up. We have one of the highest innovation ratio in STO’s compared to any other player, domestic or the global even people like Zekelman , they have much lower level of innovation than we have. And with the kind of rigor and energy with which we pursue every cost line, whether it is logistics, whether it is freight , energy cost or whatever and with the premiumization value added portfolio keeping all these sectors in mind we don’t have any other option, but to perform remarkably higher the way APL Apollo always has been known for and has been doing. These last 2 year s may h ave been somewhat slow , in someone else definition it maybe 0% , for APL Apollo that 15% is slow only, b ut now we have all the things ready , definitely ready everything is set and for not just ‘24-25, but for years ahead it is our responsibility that right now we have so many sectors in favor of us and after that I believe that our delivery should have been better than the APL Apollo which was there 2 years ago , so I wanted to hear from you, what do you think of that?
Sanjay Gupta : Bharatjhi f irst of all, thank you for giving such a nice statement, but you have to understand a little bit that Bharatji we are gone with the period where steel p rices were very volatile and we are doing the biggest CAPEX we were doing the biggest CAPEX of our lifet ime where in 2 years we did a CAPEX of almost Rs. 1,700 crores – Rs. 1,800 crores by combining both Raipur and Dubai and Rs. 600 crores, Rs. 700 crores CAPEX in other plants to improve our capacity and the value addition our total CAPEX was around Rs. 2,500

crores CAPEX in 2 years . CAPEX is only seen in books, but behind that many other reasons and many other factors are there which is not seen in books . If you see our last year’s salary cost, then it is almost close to Rs . 250 crores which is close to Rs. 1,000 /ton. Earlier it was Rs. 600 / ton, Rs. 700 / ton. As soon as capacity is improved , my cost will co me to Rs. 600 ton, Rs. 700 ton. Such type of other fixed administrative

cost which were there due to not completion of timely CAPEX of Raipur and the Dubai plant has impacted our margins p lus this steel price was one of the major reason that this Rs. 15,000 gap we have to go by maintaining our market shares, so there no doubts we have to sell the material on the pressure s elling and now as I feel that the things are onwards capacities of plants are ramp up , raw material availability is very good and 4, 5 HR coil mill to be commissioned is almost ready and standing on the edge to the point that capacity will be ready. I don' t think that old Apollo which you want to see will be back soon. I can say only that you can believe on us that as much as we can work hard , our entire management is engaged in that, but u nfortunately timing could not support us where we are stuck in and in Q1 we are a bit slow due to elections period as we don’t want to be aggressive so that nothing bad happens . We are not going in any big risk aggressively . I feel that you will be able to see old Apollo in Q2.
Bharat Shah : I was saying that only. I was not saying about 1 quarter - 2 quarter or 1 year - 2-year Sanjayji.
Sanjay Gupta : Bharatji, believe on my words that this company 10 million ton with Rs. 10,000 -ton EBITDA I will take this 100% . This 5,000, 6,000 are things for saying only . All these are written in books by people who have to work on salary basis . My only aim is 10-million -ton Rs. 10,000 per ton EBITDA which you want to hear I am working on that aim itself I will definitely try on that only. I don’t know whether I will fail or pass , but I will try. Zekelman in America can cater an EBITDA of Rs. 16,000 ton then why not in India we can cater Rs. 10,000 ton. My target is the same , but not able to do , so sorry I have disappointed you all , but if you ask me about the target it is the same .

Bharat Shah : No, I am not disappointed at all. I am just putting a pointer that APL Apollo has always performed .
Sanjay Gupta : Leaving all this aside , let me just tell you few things like Anubhav and everybody talk about value addition about 60% is our value addition , 70% is our value addition . If you go into the channel and see that a year ago our material was sold at a premium of Rs. 1 ,000 ton today my premium is almost close to Rs. 3,000 per ton my own opinion is that my entire product will be value added just give me sometimes , so much work has been done on like my branding, innovation , distribution, cost ing that there is no leakages and if there is water in this mountain then I will take it out and show you and if no water is there then I can do nothing .
Bharat Shah : This is typically the statement which can be certified as statement of Mr. Sanjay Gupta.
Sanjay Gupta : You go to market, check the channel today any other brand besides us their material is sold below Rs. 3,000 . We have been commanding at least Rs. 3,000 of premium in the market . This is not m y statement to give up the con -call which is a statement to go and study the channel that in HR coil material Apollo's material is sold at Rs. 3,000 plus.
Bharat Shah : Yes, I know that. I was just provoking that last 2 years were little low .

Sanjay Gupta : You don't need to provoke . I am already provoked . Bharatji I have ma de the biggest CAPEX of my life time. I was earning Rs. 1,000 crores with a CAPEX

of Rs. 1,500 crores then how can I
let that number be like that with a CAPEX of Rs. 4,000 crores .
Bharat Shah : All the very best wishes and it is really remarkable with the kind of volatility in the steel prices this '23-24 as well as in '22-23, it is not easy to handle and in a short period to deal with it without any sufferance is a phenomenal achievement. I was just saying that I wish the same numbers or even better numbers can be seen and all of the sectors are in our favor, we have products, we have marketing organization , we have channels , we have plant and capacity in the value -added segment, and we have huge amount of focus and try to make it happen, so just in next 5, 6 years…..
Sanjay Gupta : Bharatji I can assure you one thing is that the organization which I am leading , we will leave no stones unturned in proving you are right in an y situation. We will try our best .
Moderator : Thank you. Ladies and gentlemen, due to time constraint, that woul d be our last question for today. And I now hand the conference over to management for closing comments.
Anubhav Gupta : Thanks, Manav . Thanks to all the participants for dropping by. Hope to see you soon for our next quarter earnings call. And thanks again to Elara for having us here. Thank you so much .
Moderator : Thank you. On behalf of Elara Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Aug 2024

14th August 2024
Electronic Filing

National Stock Exchange of India Limited
“Exchange Plaza” Bandra -Kurla Complex,
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NSE Symbol : APLAPOLLO Department of Corporate Services/Listing
BSE Limited
Phiroze Jeejeebhoy Tower,
Dalal Street, Fort,
Mumbai -400001

Scrip Code : 533758

Re: Transcript of the Conference Call held on August 12, 2024
Dear Sir/ Madam,
With reference to our letter dated 1st August 2024 intimating you about the conference call with Analysts and Investors held on August 12, 2024 , please find attached the transcript of the aforesaid conference call.
This above information is available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

Deepak C S
Company Secretary
M. No.: FCS -5060

Encl: a/a

“APL Apollo Tubes Limited
1QFY2 5 Earnings Conference Call ”
August 12, 202 4

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MANAGEMENT : MR. SANJAY GUPTA – CHAI RMAN AND MANAGING DIRECTOR – APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL – DIRECTOR , OPERATIONS – APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER – APL APOLLO TUBES LIMITED
MR. CHETAN KHANDELWAL – CHIEF FINANCIAL OFFICER – APL APOLLO TUBES LIMITED

MODERATOR : MR. KUMAR SAUMYA – AMBIT CAPITAL
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Moderator: Ladies and gentlemen, good day, and welcome to APL Apollo Tubes Limited 1QFY25 Earnings Conference Call , hosted by Ambit Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Kumar Saumya from Ambit Capital. Thank you, and over to you, sir.
Kumar Saumya : Thank you, Yusuf. Good afternoon, everyone. Welcome to the First Quarter FY '25 Post Results Conference Call of APL Apollo Tubes. From the management, we have with us, Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Deepak Goyal, Director, Operations; Mr. Anubhav Gupta, Chief Strategy Officer; and Mr. Chetan Khandelwal, Chief Financial Officer.
Now I'll hand over the call to the management for opening remarks. Post which, we will open the floor for Q&A. Over to you, sir.
Anubhav Gupta: Thanks, Kumar, and thanks to Ambit Capital for hosting APL Apollo Tubes for its quarter 1 FY '25 earnings call. And thanks to all the participants who have joined to attend this call. I welcome, everyone, and wish you a pleasant day.
What a start to the year for our company, with the steel prices in the reversal mode after a gap of 4 years. If you remember, we have been talking about this all the time that in India, the steel price inflation environment has to reverse. The prices have to come at par with the global steel prices, and it got triggered in the last 4 or 5 months with the commencement of new upstream steel capacity, which hit the market in December of 2023. And in the anticipation of new capacity, which is going to hit the market over the next 2 to 3 years. So as we are talking, steel prices are already down by INR3,000 per ton from the recent highs. And if we compare it with last year, they are down by almost INR7,000 -INR8,000 a ton.
This benefits APL Apollo in 2 ways . Number one is that our company is India's largest steel buyer. So there's -- all the incremental capacity, which is coming in the market, it gives APL Apollo a better negotiation power in front of those steel suppliers. Plus, as you all know that our finished goods replace conventional inefficient construction products like secondary scrap steel, wooden structures, aluminium , rebars, cement and concrete, steel angles and channels, long steel products.
With the lower input raw material cost, the affordability for our product as well as the acceptance for our product improved significantly. And we are glad to share that, that environment of deflationary steel prices is already here and there's a visible pretty strong for the next years as new capacity keeps on coming in.
At the same time, the falling steel environment brings its own challenges like industry destocking, heavy discounting in the short term and minor inventory write -downs as well. So

we have geared ourselves to play on a strategy, short -term pain and long -term gain. Our assumption is that steel prices can further go down by INR3,000, INR4,000 a ton and whatever fall has to happen, it will happen by Q2, and we'll see all the pain from July to September months, after which second half should be pretty solid.
Anyway, our current focus is to maintain the sales volume momentum, which we gained in quarter 1 with a 721,000 -ton sales volume. We are not overly concerned about margin expansion in the short term because we know that we have a lot of operating leverage benefits that will start coming into play as we increase our utilization levels.
Coming to quarter 1 performance, I think what looks a bit weake

r is our EBITDA spreads.
Now the reported EBITDA of 4,183 per ton would have been slightly higher by 150 per ton. It didn't happen because we booked a notional expense on account of ESOP policy in Q1 plus we spent some extra money on brand campaign because we wanted to launch a few products, so that's nonrecurring in nature.
One data point we would like to highlight is the expansion in our gross margin spreads. It improved INR335 per ton on Y -o-Y basis and INR442 per ton on a Q -o-Q basis. This does reflect that because our new products from Raipur and Dubai plants are giving us better product mix. That's why our gross margin is expanding, although it is not visible in the EBITDA spreads yet because of operating leverage that is yet to play out.
Just to point out our Slide 19 in the presentation, which shows the potential profitability and

ROCE profile, which our company can achieve with the 100% utilization levels. We have mentioned a conservative EBITDA of INR5,000 per ton. Please understand that we have not lowered our guidance.

It is just the demonstration that even at 5,000 per ton what kind of ROCE our company can generate at a foreseeable rate. Now please allow me to share the progress in our Raipur and Dubai plants. In Raipur, we have 4 products capacity with capacity of almost 1.1 million tons. Out of these 2 are highly innovative and 2 our value -added products.

Now coming to the heavy structural segment, where the utilization levels are around 58%. For roofing sheet our utilization levels are around 89%. For super -light structural, our utilization rate is 52%. And for coated thicker sheet, our utilization level is 48%. On overall basis, the Raipur plant is running at 61% utilization rate. Just to highlight again that 1.1 million ton of capacity is our sellable capacity, not the nameplate capacity. That's how we rate capacity for each of our plants and at the company level as well.

Dubai has 4 lines, which are capable of manufacturing products starting 15 -millimeter by 15 - millimeter till 300 -millimeter by 300 -millimeter. Two lines got commissioned last year and 2 lines was commissioned just in the last few weeks. So ramp -up is pretty strong as we speak now. With the total current capacity of 300,000 tons, the utilization level for Dubai in quarter 1 was around 30%. But since the 2 new mills just got commissioned, so utilization levels will improve significantly over the next few quarters. Now if you look at the overall levers for our sales volume in the coming quarters, there are 3, which we can see through.

Number one is the stability in input raw material prices, which will bring an element of restocking in the channel, which will boost our volumes. Number two is that we shall be taking market share from the secondary scrap steel because now the pricing gap between our products and the scrap steel pipe is like 5%, which used to be 20% in the last 15 months. So we will definitely take market share from this segment, which has become an equal sized industry compared to our addressable HR -coil tube industry.

Third is that post monsoons and budget allocations, the construction sector should start doing well in India from the both government and private side. So we expect that Q2, despite these challenges should be better than Q1 and second half should be significantly better than the first half. And based on these factors, we are confident that we should be doing 3.2 million tons of sales volume for FY '25, which is in line with our guidance for this year.

As far as the margin is concerned, Q2 should remain under pressure as there is a lot of uncertainty still in the steel upstream sector. How the prices are going to settle down. The dealers, the channel partners, the distributors, the retailers, they are still afraid of stocking the material, so we need to stick to our strategy of discoun

ting and gaining the volumes.

And we don't know the -- how deep steel pipe correction could go from these levels, so we will see if there are any minor inventory write -downs also in quarter 2. But whatever has to happen, we believe that Q2 will bottom out which will give a very clean slate for growth to our company from October month onwards. And anyways, the levers for our margin expansion are many, like, number one, the better product mix as our gross margin splits are increasing quarter -on-quarter anyways.

Number two is operating leverage gains with better utilization level in Raipur and Dubai plants. Number three is better pricing for our general products as the price gap between scrap steel and our product is reducing. So we may have better pricing as well in the standard products. Number four is the better negotiation power to buy steel from the steel mills in the country.

Number five is lower brand spends for the rest of FY '25. Whatever were the major spends, we finished in Q1. And number six is our own continuous drive to keep on working on cost rationalization, be it power, steel wastage, consumables rate, etcetera, day in, day out, we are trying to work on these cost elements and bring them down.

Lastly, if you look at our working capital for Q1, it's at 3 days, so there is a slight increase in the net debt position for the company. However, we should remain near net debt 0 position throughout FY '25 with surplus cash being visible on balance sheet from FY '26 onwards. And just to complete that our expansion plan for 5 million ton capacity in the next 12 to 15 months is on track. We are going to add 3 new plants now, small plants, which is part of our regional penetration strategy.

One is the Siliguri to cater to East market, which we have highlighted. And 2 new plants, one in Gorakhpur and one in Ahmedabad also, we have planned to bring them online. Gorakhpur is just to cater to the Eastern UP market and Bihar and Odisha built, which can be catered well

through that geography. And Ahmedabad is -- Gujarat is a very good market for us. Right now we are servicing that market mainly from our north plant and Raipur plant. So to benefit for the freight, it makes sense to have a small plant in Ahmedabad as well. So the capex is in line with like INR500 crores, INR600 crores what we had guided last time that is required to take us to 5 million tons. We may not be adding new mills, all the new mills for these plants.
A lot of these plants, we will see the shifting off existing mills from current plants to these new plants. So I guess, 4 quarters down the line, we will be sitting on 5 million ton sellable capacity, which we will -- which we target to utilize by FY '27. And the current capacity, sellable capacity, which is available with us is 4.5 million tons anyway. So idea is to produce 3 million -- 3.2 million tons this year and 20%, 25% growth from next year and post that to achieve 5 million tons by FY '27.
That's all from our side. Happy to take questions now.
Moderator: First question is from the line of Amit Dixit from ICICI Securities.
Amit Dixit: Congratulations for a good set of numbers and a very challenging quarter. My first question is essentially on the -- if I look at other expenses, while you have explained in your opening comments that there were certain nonrecurring items over there. So other expenses and employee costs, both have gone up significantly. Now if you could quantify these nonrecurring items that possibly we could take out in our forecast going ahead. That would be very helpful.
Anubhav Gupta: Amit, the nature of other expenses, some expenses are nonrecurring and some are recurring as well. So I'll explain in detail. Number one is that employee cost, if you see in Q4 was around INR64 crores -- sorry, Q1 -- Q4 last year was around INR70 crores, right, which right now

is
INR80 crores, right? So INR5 crores impact is for ESOP, INR4 crores to INR5 crores is on account of ESOP, which is notional in nature. And of course, 7%, 8% increment we had in the company. So for the rest of the quarter, you should build in INR75 crores per quarter, okay?
Then the other expense, which is higher and it is recurring in nature is the freight cost per ton. Freight, if you see has gone up because from Raipur, we are selling value -added products like roofing sheet and thicker -coated sheet. So here because of the volume is lower per truck load, the freight cost per ton goes up. But then you get paid from the customers as well, right? So our freight cost is always paid for. So that's another impact. Third is power and fuel also went up because in Raipur, we are still not on renewable power yet. We have signed up with these solar power producers.
So we will start getting the benefits as the plant -- when the plant will be ready. It will take around 9 months and then the power cost will come down. So that will settle down in FY '26, for sure. But for rest of FY '25, it will remain elevated. And then lastly, which needs to be highlighted is the brand spends. Q1 was a bit heavy. We paid for the actuals and the Siliguri brand campaign, which we undertook. So in the next 9 months, it will be significantly lower than what we had in Q1.

And lastly, there are also some charges, which we are getting for outsourcing jobs, right? Because we have developed a specialty tube for solar structures for the largest solar power producer in the country. And we have to get it coated, right, from outside. So those charges also come into other expenses. But of course, we do get our markup for that. That's why our MSR is going up.
Moderator: Mr. Amit, does that answer your question?
Amit Dixit: Yes, that does answer my question. I'm moving on to my second question now. Yes, so the second question is, you have mentioned that there are 2 plants that you are thinking of Gorakhpur and Ahmedabad. Gorakhpur particularly interesting location, and you mentioned about Siliguri as well, if I'm not mistaken. So just wanted to understand the configuration of these plants, whether they will be also on DFT and what kind of products do we intend to produce from these plants? And since you are shifting some of the capacity lines, so capacity -- so how will the capacity go up to 5 million tons. Just wanted to understand that.
Anubhav Gupta: So Amit, see, I mean we want to cater to both the markets. Like if you take, say, Gorakhpur and Ahmedabad. So structural steel tubes, right, we cater to 2 segments. One is square and rectangular. Second is circular, right? Of course, circular -- square and rectangular are a major

proportion of our sales volume. So any mill, which is going to produce square and rectangular, it has to be DFT for us, right? And for circular, we must install the conventional one, okay? Each of these plants will be having capacity of 200,000 tons initially, right? And some of the mills from our Bangalore plant and old Raipur plant, we will move to these locations and 2 mills, 3 mills, we will order new as well, right? So it's a mix of everything. The objective to achieve here are two: number one, local penetration, regional penetration, better servicing; and second is to lower the freight costs.
Amit Dixit: And in terms of products, we will producing everything, whatever -- I mean, we be producing -- will there -- is there a thought process to produce sheets also because that region might have the color -coated 10 -gauge sheets that you generally produce at Raipur?
Anubhav Gupta: No, so these are tube plants, Amit. We are yet to decide on strategy for expanding capacity for roofing sheets or thicker -coated sheet. But in our grand plans of 10 million tons, right, these products don't have too much contribution.

Moderator: Next question is from the line of CA Garvit Goyal from Nvest Analytics Advisors LLP.
CA Garvit Goyal : Just one question on the EBITDA per ton. Like you guided for 3.2 million tons volume. What is the EBITDA per ton guidance for this year?
Anubhav Gupta: So see, I mean, Q1, as you can see, is around INR4,200. Q2, we are not yet certain, right? It will depend on how the upstream steel prices behave, but our endeavor will be to at least match what we did last year if it not improve that. I think on -- during the October investor call, we will have a better idea of EBITDA per ton.

Moderator: Next question is from the line of Gagan Deep from Nvest Analytics Advisors LLP.
Gagan Deep : Sir, my question is already answered.
Moderator: Next question is from the line of Sneha from Nuvama.
Sneha: Would it be possible for you to give the breakup of capacity by FY '25 till the time we reach 5 million tons. Where all we will be having capacity? And what all will be the capacity since you will be making some shift from other plants to new plants like Gorakhpur and Ahmedabad like you mentioned?
Anubhav Gupta: So Sneha, we have given product -wise capacity in our presentation. There is a slide of de -commoditizing product portfolio. You will find 5 million tons of proposed capacity. It is on Slide 8.
Sneha: Sir, do we have plant -wise capacity also by FY '25 there?
Anubhav Gupta: Of course, but we don't share that.
Sneha: Understood. Secondly, a more broader question, Anubhav, how are we planning to address the gap between secondary and primary steel. From a couple of quarters, we've been seeing that one of the reasons for our volumes not being that great, especially with general products is that gap widens between the secondary and primary steel? Of course, it's narrowed down currently to about INR3 to INR4 -odd. But generally, historically, we've be seeing this to be a major reason for our volumes not doing that great. How are we addressing that -- this issue and what's the confidence of strong volume growth in H2, given we don't have an outlook right now between the primary and the secondary steel price gap?
Anubhav Gupta: Sneha, you need to look our portfolio in 2 categories . One is standard general commodity, which is 35%, 40% of my portfolio. The rest is value -added and super value -added products, okay? So my value -added and super value -added products, there have no threat from scrap steel tubes, right? Because scrap steel tubes are incapable of addressing that application, what our products are doing, right? So the completion, which we face from scrap steel tube is general, right? And this is one segment, if you look from FY '20, we have not been able to grow this segment, right? From FY '20, if you see my general sales used to be like 0.9 million tons and last year, we did 1.1 million tons.
So there is hardly any growth, right, in general segment. And this is because of availability of low-grade scrap steel tube product, which is available in the market, where the manufacturers and the dealers are taking benefit of price gap, right? And why this happened in last -- over the last 5 years is because HR -coil prices in India, they have been on the inflationary mode, which was triggered by corona, right, in 2020.
Then in 2022, Russian -Ukraine war, which triggered further the steel prices to go up globally. HR-coil, which used to be INR35,000, INR40,000 per ton commodity before corona, it went up to like INR65,000, INR70,000 per ton by mid of 2022, right? But the cost of production for

scrap steel, that remained stagnant. So that's why the gap, right , it used to be -- like before corona also the gap used to be INR5 per kg, but it's shot up to INR20 per kg.
And that's where these small steel melters in Raipur belt, in Man

di Gobindgarh belt, in
Chennai belt, they popped up because there was this arbitrage, right? But we were of the view that the steel price inflation is not sustainable, okay? And we are seeing that being reversed already. The second factor you need to understand is the cost of production for blast furnace steel versus cost of production for scrap steel.
So you can check with any steel expert in the country that the cost of production for blast furnace steel is lower than the cost of production for scrap steel, right? So blast furnace steel manufacturers have the window, okay, to still lower the prices, but scrap -steel steel producers, they don't have the window available to lower the prices. right? So whenever -- like I said, that the gap is already down to INR3,000, INR4,000 a ton, right?
And it can further go down by September as the new capacity in upstream steel sector keeps on hitting in the market. So we are fairly confident that HR coil will substitute the scrap steel do.
And then we are also taking initiatives like making the consumer aware about the poor quality of scrap steel what they are using, right? Because ultimately, structural steel, whether it is for handra ils, for fencing, for doors, et cetera, right, it is not of a very good quality, there is always a chance of an accident, right? So we are making the consumer aware.
Secondly, the level of pollution, which these small melting shops, they pollute in mining, that's also very, very hazardous, right? And the government, given the fact that they are pro -climate, they are taking all the steps to improve the environment in the country. So I guess, at some point, they may also take this step to halt this highly pollutive industry. So yes, I mean, we are fairly confident that as HR -coil prices remain stable around INR45,000, INR48,000 per ton, we have a very good chance to take the market share back from our scrap steel segment.
Moderator: The next question is from the line of Kunal Kothari from Centrum Broking.
Kunal Kothari: My specific question with regard to the Apollo TriCoat. In this, on a year -on basis, our volume are stagnant, but on the margin front, it is down significantly. The trend that we are seeing in this particular segment for last year, it's just a downward slope. So can you just make me understand what is happening in this particular segment? Why we are seeing such a huge downward slope, which is happening continuously?
Anubhav Gupta: Actually, you need to tell me the product segment now because TriCoat products got divided into 2 categories: One is light; and second is rust -proof. So which segment are you catering to?
Kunal Kothari: Rust-proof.
Anubhav Gupta: Okay. So yes, rust -proof is our zinc -coated pipes, which are mainly sold in the coastal markets, right? There the standard black pipe doesn't work because of the moisture in the environment.
So the fabricators, the fabricators need coated products, right? So that's where we sell our rust -

proof. Now this segment, if you see, it has a pressure of aggressive sales growth because right now the market is constrained towards coastal markets only, right?
Although we are making a drive to expand this market in non -coastal markets as well. But it's a long drawn process. And Sanjay, do you want to add to this? I guess, I mean, as the market expands for this product beyond coastal markets, we will see the growth going to like 15%, 20% levels. But right now we are able to take the growth whatever the coastal markets are growing at a natural rate.
Kunal Kothari: I understand. But any specific reason that we used to have margins INR7,000, INR8,000. Then last year was around INR6,000 to INR6,500. Now it is below INR5,000 per ton? Like my question is, are we losing the competition to other players in the rust -proof segment? What is the core reason for such a steep declin

e?
Anubhav Gupta: Okay. So if you look at -- if you compare it with the margins, which were like 2 to 3 years back, INR7,000 to INR8,000 per ton, at that point of time, what was happening was that in India after COVID, the Indian steel producers, they started exporting coated coils, okay, in international markets. So that brought the short supply situation in India, right?
It benefited Apollo because we had our in -house galvanization plants, okay. We used to buy their HR -coils and galvanize those coils and then converting those coils into coated -tubes.
When there was a shortage of galvanized coils in the country, our competitors were buying

expensive coils from the market. And then they were converting the tubes, right? So we had a very good arbitrage for 3, 4 quarters in that segment.
And we have highlighted that in our investor calls earlier as well, now that situation got course corrected, right? Now the galvanized coil prices have come down in India. And the arbitrage, the benefit what Apollo has for having the in -house galvanization unit, so that's now at fair, at parity with our competitors. And of course, yes, competitors have also put up the galvanization mill, right?
So yes, I mean, it's a competitive market, but we are maintaining our market share of 65%, 70%. If you do some channel checks in strong coastal markets like Kerala, Mangalore belt, Goa belt, right, we continue to have a line market share there. But yes, I mean, to grow aggressively in this segment, we need to create this market beyond coastal markets, which we are working on.
Kunal Kothari: Okay. Second question is in regard to our overall capacity. You mentioned that currently, we had around 4.5 million tons, right? Firstly, like from previous calls, what I remember is that we were at 3.8 million tons. So this around 0.6 million where it has been added and additional 0.5 million are you going to catch up in the next 12 months, so where it is going to come?
Anubhav Gupta: Right. So this is across the categories, right? Actually, the data point of 3.8 million tons in presentation is old one, right? Right now we are almost near 4.5 million tons and it is across the categories. We can share the updated product -wise list to you separately.

Moderator: The next question is from the line of Aditya Welekar from Axis Securities.
Aditya Welekar: So my question is with respect to EBITDA per ton shaping up for FY '26. How do you see that? And this is the context of our value -added product share. So how do you see our VAP share increasing in FY '26 in the context of any market creation? Any visibility on the ground that you see that the VAP share will increase and that will aid our EBITDA per ton going forward?
Anubhav Gupta: So definitely, if you look at our VAP share from Dubai and Raipur plants, right, as those plants are ramping up, we have been giving the data point of utilization levels, which you would appreciate that quarter -on-quarter the utilization levels are going up and our gross spread per ton is also improving quarter -on-quarter.
So we are continuously working to create the market for innovative products from Raipur whether it is for the heavy structural pipes or the thicker -coated sheet, which are like the 2 most innovative products from Raipur. And Dubai also with introduction of sizes up to 300 x 300 mm, the mill commissioned last week only. We are seeing a very good order inflow for that mill, in particular. So yes, I mean this 65% of our portfolio, that's our crown, right? And we continue to work to improve the sales in this segment.
Aditya Welekar: Will it be fair to assume EBIT DA per ton reaching near INR5,000 per ton in FY '26?
Anubhav Gupta: So see, I mean, if you look at the sheet, right, where we have mentioned like how we can reach INR5,000 per ton, right? It's a question of like how my plants are ut

ilized and what kind of
operating leverage benefits I get, right? But if market becomes stable, right, in Q2, which we expect, right? Q3, Q4, we start doing 800,000 ton -- 850,000 ton kind of quarterly volume. Then yes, APL is capable of throwing INR5,000 per ton EBITDA during those quarters by FY '26.
Aditya Welekar: Understood. My second question is with respect to the net debt. So I mean, what I understand is that the working capital should come down because the steel prices have gone down and that should not be the reason for increase in the net debt. Is it correct? Or is there anything else which I'm missing here?
Anubhav Gupta: So see, I mean, last quarter, our working capital day was 0, now it is 3, right? So it's a very minor movement, right? There are multiple factors like you have to collect payments from your clients, some of the projects where there is like 4, 5 days delay, that's all, right?
And secondly, to answer your question on inventory, yes. So we will -- you will see the devaluation in inventory going forward because prices have fallen recently, right? So on the balance sheet, it is on an average basis. So as we close September balance sheet, you will see -- you should see some devaluation in the inventory levels.
Aditya Welekar: Okay. And that should drive our net debt down to 0 level, again?

Anubhav Gupta: Like I said, INR1.5 billion on our balance sheet size of like INR50 billion, it's almost 0. And we will stick to net zero balance sheet for the rest of FY '25. Yes, I mean, but it should be near zero.
Moderator: The next question is from the line of Kunal Vora from White Whale Partners.
Hardik Doshi: This is Hardik Doshi. I just wanted to check, in your recent presentation, it shows that in FY '24, the structural steel size for the scrap steel is about 4.5 million. And in the previous -- in 2023, it was 3.6 million. So is it correct that the scrap steel has grown by 25% in FY '24?
Anubhav Gupta: You'll have to repeat the question, sorry.
Hardik Doshi: Yes. So in your recent presentation, when you're talking about the structural steel tube market, right, you're talking of 9 million tons, out of which 4.5 million is scrap steel based tubes. The same presentation previously indicated that it was 3.6 million in FY '23. So it seems like the scrapped steel -based tubes is grown by about 25%. So I just want to check if that is actually the case.
Anubhav Gupta: Yes, that is right. That is right. As I mentioned earlier that the growth in the structural steel tube segment got taken up by the scrap steel producers because of this arbitrage they had, yes.
Hardik Doshi: Yes. Okay. And so now going forward, you were expecting by 2030 4.5 million to kind of degrow to 4 million.
Anubhav Gupta: The logic says it should because outside India, there is no country where you have this product available. It's only on government behest or I don't know whose behest that this industry is surviving and thriving as of now. But when the blast furnace steel prices are lower than scrap steel prices, then why should this industry do well. The logic says it should not.
Hardik Doshi: Okay. Second question I had is, you mentioned that the spread has now come off to 5%. Is that as of now as per plan? And is there any seasonality related to monsoons for the spread? Or there is no connection between that.
Anubhav Gupta: For which product?
Hardik Doshi: For the scrap steel versus your HR -coil, the differential has come down to 5%, I believe that's what you mentioned, right?
Anubhav Gupta: Because the new capacity in HR coil, the new capacity in the blast furnace steel has come online since December of 2023.
Hardik Doshi: Yes.
Anubhav Gupta: And NMDC Steel mill started its HR -coil mill. JSW started its mill in B ellari. Now in next 6 months, their Dolvi plant will start. Tata Steel's Kalinganag

ar plant will start. Jindal Steel
Power will start its second plant, right? ArcelorMittal Nippon Steel will start it's HR -coil mill,

if not this year, next year. So we have a very strong visibility for the next 2 years that India will keep on witnessing steel capacity expansion.
See from 2018 to 2023, what we have heard, India steel capacity is 120 million tons, 120 million tons, 120 million tons, 120 million tons, 120 million tons. It has not increased. What has happened is the consolidation of the sector. Essar mill got acquired. Bhushan Power got acquired. Bhushan Steel got acquired. Monnet Ispat got acquired. A lot of mills, which got sick, they were acquired, they got consolidated, right?
And it takes 5 years for any greenfield plant to come online. JSW, which was expanding from 2018, Tata Steel, which was expanding from 2018. So those plants are now coming online. So from 2023 December till 2025 December, HR -coil capacity from blast furnace should increase by 50% in the country, right? And when cost of production for blast furnace steel is lower than cost of production for scrap steel, then why should scrap steel be sold, number one.
Number two, when scrap steel production is such a highly pollutive industry, why it should survive. Number three, when it is such a poor quality product, why government should allow this to survive, right? So logic says that this segment should not be growing, right, going forward. Let's see.
Hardik Doshi: Okay. Got it. My last question is within the organized space, your competitors have announced a lot of expansion plans as well. So how do we plan to kind of keep up our differentiation market share? And do we command a pricing premium to our competition? And how do we plan to sustain that?
Anubhav Gupta: It's a good question. It will be good for everyone of course. If you could highlight what kind of players you're talking about, who are expanding the capacity, so that we can answer the question accordingly. Because all these steel pipe producers, right, no one is as unique as Apollo in terms of focus on the structural steel tube segment and that too from a HR -coil.
So you need to see that if you're talking about someone who is good in API pipes, oil and gas

pipes, water transportation pipes or in scrap steel pipes, then he is not by completer. My competitor is a manufacturer who is using blast furnace steel from top 5 producers in India and he is making structural steel tubes, right? Where I command, if not 90%, at least 75% market share. Of course, that's our gut feeling. We can't put this in writing. But if we talk to 200 of our top customers, top dealers, we get this sense.
Hardik Doshi: Okay. I mean I was talking about guys like JPL, and many of these other guys that were -- have announced.
Anubhav Gupta: So again, JPL is a scrap steel tube producer. Recently, they acquired a steel melting unit called Nabha, something, right? So it's a scrap melting shop, right? So again, I mean, the point I'm trying to make is that they may do well in their segment and we wish everyone a good luck. But you need to see that what expansion they are doing in HR -coil tube segment. And in structural, not water transportation, not oil and gas, not automotive precision tubes, but structural steel tubes.

Moderator: The next question is from the line of Mayank Bhandari from Asian Market Securities.
Mayank Bhandari: Sir, my first question is on the number we have given on Slide 19. APL's Q1 FY '25 working capital was from minus INR25 crores to INR456 crores is at full utilization. Can you explain that much of jump?
Anubhav Gupta: Yes. Yes. So even this, we have taken conservative that for APL, we have taken 5 days of net working capital. And for new plants, we have taken around 7, 8 days, 10 days of combined wor

king capital. So again, these are conservative numbers, okay, not in line with what we are at today. Similarly, like we have conservative EBITDA number as well of INR5,000 per ton. So yes, I mean, this is just to demonstrate even at converting numbers, what we are going to achieve. So yes, I mean, as per current run rate of working capital, the working capital requirement will decline significantly.
Mayank Bhandari: So the newer projects, the working capital requirement is lower is what...
Anubhav Gupta: Of course, yes. Apart from Dubai, Dubai has, of course higher working capital compared to India. But our Raipur plant should be more or less similar to what APL Apollo is.
Mayank Bhandari: And also from the Dubai plant, what is the visibility on the export ramp -up whether it's from the Indian plant?
Anubhav Gupta: Right. So Idea to go to Dubai and put up the plant is to expand in the Middle East market, plus the international markets of U.S., Europe, etcetera, right? The strategy here is, first, we wanted to install and commission all the 4 mills, which happened like just 2 weeks ago. In fact, just a week back our fourth mill was commissioned last week only.
And now the sales team is all out in the market, right, booking orders for those mills, promoting the product because this 300 by 300 die of size, we are amongst the only -- we are the only company in Dubai, which is offering this size, right? So ramp -up will happen. Ramp - up will happen. Our strategy is that by FY '27, right, we should be able to utilize all 300,000 ton available capacity to achieve our sales volume.
Mayank Bhandari: Okay. And sir, if I were to look at the presentation, in the applications, on Slide 45, you have given certain ongoing inquiries. And it says that 220,000 tons of heavy structural steel tubes are required for about 42 million square feet visibility. Just to understand it better, if I arrive at per square feet number, of almost 50 kg per square feet, would it be a correct metric to understand this?
Anubhav Gupta: 5 kg per square foot.
Mayank Bhandari: 5 kg per square foot.
Anubhav Gupta: Yes, that's right, 5 kg per square foot.
Mayank Bhandari: So just -- this is 5 kg per square foot for, let's say, higher of application, which is data center, aviation. What would be for different segments? Will it be different to... ?

Anubhav Gupta: Yes. So it depends on the load of the structure, right? For data center, the consumption could be as big as 20 kg per square foot. For a plain vanilla warehouse, the consumption could be 1.5 kg per square foot. But on an average, the high -rise building of, say, 5 -story, 10 story, the consumption comes out to the 5 kg per square foot.
Mayank Bhandari: So this is average...

Moderator: Sorry to interrupt , Mr. Bhandari . May we please request you to rejoin the queue for any follow -up questions ? Next question is from the line of Abhinav from Standard Chartered Bank .
Abhinav : Just wanted the breakup for APL Apollo building for sales volumes and EBITDA in Q1?
Anubhav Gupta: No. See I mean we have not given the absolute number, but we have told you the capacity available and the utilization level. So please calculate basis that.
Abhinav : So -- but in that 94,000 volume you have given for Raipur and Dubai. So Raipur would be how much out of that volume?
Anubhav Gupta: 90%.
Abhinav : Okay. And the utilization that we are calculating is it on 1.1 million or 1.5 million tons?
Anubhav Gupta: 1.1. for Raipur and 0.34 Dubai.
Abhinav : Okay. And the INR500 crores to INR600 crores capex that you mentioned for the 3 plants, what is the amount which has already been incurred, the expense?
Anubhav Gupta: So INR500 crores is our receivable capex . We have -- as of now, we have made payments -- like we are in process of making payment for Siliguri land and Gorakhpur land, right

? Once
land is in our possession, then the capex for the plant and building, et cetera, will go. So put together, we must have spent around INR200 crores to INR250 crores for these plants.
Abhinav : Okay. And in our previous quarter presentation, you had given a breakup for the market share for the next 8 players as well. So just wanted to know the player 2 and 3 that we are mentioning here 10% market share from ancillary business and for oil and gas -focused businesses, who are the competitors, which have part 10% each, player 2 and player 3?
Anubhav Gupta: We'll take this offline, please?
Abhinav : Okay. Sure.
Moderator: Ladies and gentlemen, we will take our last question from the line of Sailesh Raja from B&K Securities.
Sailesh Raja: I have 2 questions to ask. First is on, what was our total outsourcing cost in FY '24? In future, any plans for shifting these outsourcing it times to in -house and trying to bring down the cost?

Like in cold rolled product, we were buying it from steel companies and now we are having a separate line for the lower bids, which don't down our cost significantly. So in similar lines, is there any scope for us to bring down the cars and having it in -house?
Anubhav Gupta: So Sailesh, as of now, we are not doing any outsourcing job for finished goods, okay? It is 0 today because we are yet to utilize our own capacity. So there is no point of going on outsourcing model as of now. Once we hit our own 5 million ton capacity utilization, then we will see if it makes sense to go more asset -light and look for outsourcing jobs. But I think that is still 1 to 2 years ahead of us from today, right, unless we sell 300,000 -- 350,000, 400,000 tons for 2, 3 consecutive months, right, we are not looking for any outsourcing job.
Sailesh Raja: Okay. In color -coated sheet, we do aluminium coating and do color coating also, both these process are currently outsourced?
Anubhav Gupta: Say it again?
Sailesh Raja: In color -coated sheet, we do aluminium coating and also do color coating. So both these processes are currently outsourced?
Anubhav Gupta: No, no, it's all in -house. And it's not aluminium , it's aluminium zinc, Aluzinc. It's a combination of aluminium and zinc. It's all in -house. So the outsourcing what we did, let me rehash that. The other expense, which I mentioned was we -- one is a tube order, right? It's a 12-meter tube, which goes for a solar structure, right? And we have to do -- or did galvanization. So our zinc baths , own zinc tanks, what we can maximum do is 8 -meter, right? So above 8 -meters, we will send it small units near our plant for outsourcing job. So this is only for that product. There is no other job work, which we do for any segment or any client. It's specifically for that solar structured order.
Sailesh Raja: Okay, okay. Got it. My second question, could you please talk about the exports business opportunity for the high dia tube, so 300 plus 300, 500 plus 500, global key players are making INR15 EBITDA. And considering our cost competitiveness, larger capacity, and we have presence in wide product size range from 300 plus 300 to 1 ,000 plus 1 ,000. So what is our plan to increase the volumes for the high dia tubes in the overseas market?
Anubhav Gupta: Right. So for this, the game plan i s that first, we installed 300 by 300 in Dubai, which started last week only, right? Now the whole world knows that in Dubai, we have this mill, right? We have already started booking orders for this segment, right? Now with 300 by 300, we are also selling 500 -- we are also promoting 500 and 500 from India, right?
So as a combo, 300 by 300 from Dubai local and 500 by 500 from India, now our customers

know that we have this segment, so yes, it has a strong potential, if you ask us, okay? It needs promotion. It is awareness, okay, which we are curren

tly working on. And I think -- I mean, if
300 x 300 mill, we are able to utilize it like completely better or sooner than expected, so I mean, if market requires, we may install 500 square in Dubai as well, right?

So I guess opportunity is there, right? Almost 40 million ton of steel pipes is traded ex India and China, right, globally. Okay. So as a plan, we first went ahead with 300,000 ton capacity, right, which is like around 3%, 4% market share. So I guess as we see the ramp -up from Dubai, we will keep on installing high value -added products, including high dia pipe mills, right? But let's see how the existing mill performs, how the existing plant performs. Once we have green shoots visible, we will not stay behind from putting up the capacity.
Sailesh Raja: In tonnage terms, how much we are doing in exports?
Anubhav Gupta: I'm sorry?
Sailesh Raja: In tonnage terms, how much we are doing in exports?
Anubhav Gupta: So it's around 100,000 tons.
Sailesh Raja: Okay. So any target we have in next 2, 3 years?
Anubhav Gupta: It will be combination of like what we do from Dubai and India. So Dubai, we have to ramp up to 300,000 tons anyways, right? And India, let's see, 100,000 remains the same or some cannibalization will also take place. So let's see.
Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for the closing comments.
Anubhav Gupta: Thank you, everyone. Again, special thanks to Ambit for hosting us, and look forward to see you for next conference call. Thank you so much. Have a nice day.
Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Aug 2024

14th August 2024
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Phiroze Jeejeebhoy Tower,
Dalal Street, Fort,
Mumbai -400001

Scrip Code : 533758

Re: Transcript of the Conference Call held on August 12, 2024
Dear Sir/ Madam,
With reference to our letter dated 1st August 2024 intimating you about the conference call with Analysts and Investors held on August 12, 2024 , please find attached the transcript of the aforesaid conference call.
This above information is available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

Deepak C S
Company Secretary
M. No.: FCS -5060

Encl: a/a

“APL Apollo Tubes Limited
1QFY2 5 Earnings Conference Call ”
August 12, 202 4

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MANAGEMENT : MR. SANJAY GUPTA – CHAI RMAN AND MANAGING DIRECTOR – APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL – DIRECTOR , OPERATIONS – APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER – APL APOLLO TUBES LIMITED
MR. CHETAN KHANDELWAL – CHIEF FINANCIAL OFFICER – APL APOLLO TUBES LIMITED

MODERATOR : MR. KUMAR SAUMYA – AMBIT CAPITAL
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Moderator: Ladies and gentlemen, good day, and welcome to APL Apollo Tubes Limited 1QFY25 Earnings Conference Call , hosted by Ambit Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Kumar Saumya from Ambit Capital. Thank you, and over to you, sir.
Kumar Saumya : Thank you, Yusuf. Good afternoon, everyone. Welcome to the First Quarter FY '25 Post Results Conference Call of APL Apollo Tubes. From the management, we have with us, Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Deepak Goyal, Director, Operations; Mr. Anubhav Gupta, Chief Strategy Officer; and Mr. Chetan Khandelwal, Chief Financial Officer.
Now I'll hand over the call to the management for opening remarks. Post which, we will open the floor for Q&A. Over to you, sir.
Anubhav Gupta: Thanks, Kumar, and thanks to Ambit Capital for hosting APL Apollo Tubes for its quarter 1 FY '25 earnings call. And thanks to all the participants who have joined to attend this call. I welcome, everyone, and wish you a pleasant day.
What a start to the year for our company, with the steel prices in the reversal mode after a gap of 4 years. If you remember, we have been talking about this all the time that in India, the steel price inflation environment has to reverse. The prices have to come at par with the global steel prices, and it got triggered in the last 4 or 5 months with the commencement of new upstream steel capacity, which hit the market in December of 2023. And in the anticipation of new capacity, which is going to hit the market over the next 2 to 3 years. So as we are talking, steel prices are already down by INR3,000 per ton from the recent highs. And if we compare it with last year, they are down by almost INR7,000 -INR8,000 a ton.
This benefits APL Apollo in 2 ways . Number one is that our company is India's largest steel buyer. So there's -- all the incremental capacity, which is coming in the market, it gives APL Apollo a better negotiation power in front of those steel suppliers. Plus, as you all know that our finished goods replace conventional inefficient construction products like secondary scrap steel, wooden structures, aluminium , rebars, cement and concrete, steel angles and channels, long steel products.
With the lower input raw material cost, the affordability for our product as well as the acceptance for our product improved significantly. And we are glad to share that, that environment of deflationary steel prices is already here and there's a visible pretty strong for the next years as new capacity keeps on coming in.
At the same time, the falling steel environment brings its own challenges like industry destocking, heavy discounting in the short term and minor inventory write -downs as well. So

we have geared ourselves to play on a strategy, short -term pain and long -term gain. Our assumption is that steel prices can further go down by INR3,000, INR4,000 a ton and whatever fall has to happen, it will happen by Q2, and we'll see all the pain from July to September months, after which second half should be pretty solid.
Anyway, our current focus is to maintain the sales volume momentum, which we gained in quarter 1 with a 721,000 -ton sales volume. We are not overly concerned about margin expansion in the short term because we know that we have a lot of operating leverage benefits that will start coming into play as we increase our utilization levels.
Coming to quarter 1 performance, I think what looks a bit weake

r is our EBITDA spreads.
Now the reported EBITDA of 4,183 per ton would have been slightly higher by 150 per ton. It didn't happen because we booked a notional expense on account of ESOP policy in Q1 plus we spent some extra money on brand campaign because we wanted to launch a few products, so that's nonrecurring in nature.
One data point we would like to highlight is the expansion in our gross margin spreads. It improved INR335 per ton on Y -o-Y basis and INR442 per ton on a Q -o-Q basis. This does reflect that because our new products from Raipur and Dubai plants are giving us better product mix. That's why our gross margin is expanding, although it is not visible in the EBITDA spreads yet because of operating leverage that is yet to play out.
Just to point out our Slide 19 in the presentation, which shows the potential profitability and

ROCE profile, which our company can achieve with the 100% utilization levels. We have mentioned a conservative EBITDA of INR5,000 per ton. Please understand that we have not lowered our guidance.

It is just the demonstration that even at 5,000 per ton what kind of ROCE our company can generate at a foreseeable rate. Now please allow me to share the progress in our Raipur and Dubai plants. In Raipur, we have 4 products capacity with capacity of almost 1.1 million tons. Out of these 2 are highly innovative and 2 our value -added products.

Now coming to the heavy structural segment, where the utilization levels are around 58%. For roofing sheet our utilization levels are around 89%. For super -light structural, our utilization rate is 52%. And for coated thicker sheet, our utilization level is 48%. On overall basis, the Raipur plant is running at 61% utilization rate. Just to highlight again that 1.1 million ton of capacity is our sellable capacity, not the nameplate capacity. That's how we rate capacity for each of our plants and at the company level as well.

Dubai has 4 lines, which are capable of manufacturing products starting 15 -millimeter by 15 -millimeter till 300 -millimeter by 300 -millimeter. Two lines got commissioned last year and 2 lines was commissioned just in the last few weeks. So ramp -up is pretty strong as we speak now. With the total current capacity of 300,000 tons, the utilization level for Dubai in quarter 1 was around 30%. But since the 2 new mills just got commissioned, so utilization levels will improve significantly over the next few quarters. Now if you look at the overall levers for our sales volume in the coming quarters, there are 3, which we can see through.

Number one is the stability in input raw material prices, which will bring an element of restocking in the channel, which will boost our volumes. Number two is that we shall be taking market share from the secondary scrap steel because now the pricing gap between our products and the scrap steel pipe is like 5%, which used to be 20% in the last 15 months. So we will definitely take market share from this segment, which has become an equal sized industry compared to our addressable HR -coil tube industry.

Third is that post monsoons and budget allocations, the construction sector should start doing well in India from the both government and private side. So we expect that Q2, despite these challenges should be better than Q1 and second half should be significantly better than the first half. And based on these factors, we are confident that we should be doing 3.2 million tons of sales volume for FY '25, which is in line with our guidance for this year.

As far as the margin is concerned, Q2 should remain under pressure as there is a lot of uncertainty still in the steel upstream sector. How the prices are going to settle down. The dealers, the channel partners, the distributors, the retailers, they are still afraid of stocking the material, so we need to stick to our strategy of discoun

ting and gaining the volumes.

And we don't know the -- how deep steel pipe correction could go from these levels, so we will see if there are any minor inventory write -downs also in quarter 2. But whatever has to happen, we believe that Q2 will bottom out which will give a very clean slate for growth to our company from October month onwards. And anyways, the levers for our margin expansion are many, like, number one, the better product mix as our gross margin splits are increasing quarter -on-quarter anyways.

Number two is operating leverage gains with better utilization level in Raipur and Dubai plants. Number three is better pricing for our general products as the price gap between scrap steel and our product is reducing. So we may have better pricing as well in the standard products. Number four is the better negotiation power to buy steel from the steel mills in the country.

Number five is lower brand spends for the rest of FY '25. Whatever were the major spends, we finished in Q1. And number six is our own continuous drive to keep on working on cost rationalization, be it power, steel wastage, consumables rate, etcetera, day in, day out, we are trying to work on these cost elements and bring them down.

Lastly, if you look at our working capital for Q1, it's at 3 days, so there is a slight increase in the net debt position for the company. However, we should remain near net debt 0 position throughout FY '25 with surplus cash being visible on balance sheet from FY '26 onwards. And just to complete that our expansion plan for 5 million ton capacity in the next 12 to 15 months is on track. We are going to add 3 new plants now, small plants, which is part of our regional penetration strategy.

One is the Siliguri to cater to East market, which we have highlighted. And 2 new plants, one in Gorakhpur and one in Ahmedabad also, we have planned to bring them online. Gorakhpur is just to cater to the Eastern UP market and Bihar and Odisha built, which can be catered well

through that geography. And Ahmedabad is -- Gujarat is a very good market for us. Right now we are servicing that market mainly from our north plant and Raipur plant. So to benefit for the freight, it makes sense to have a small plant in Ahmedabad as well. So the capex is in line with like INR500 crores, INR600 crores what we had guided last time that is required to take us to 5 million tons. We may not be adding new mills, all the new mills for these plants.
A lot of these plants, we will see the shifting off existing mills from current plants to these new plants. So I guess, 4 quarters down the line, we will be sitting on 5 million ton sellable capacity, which we will -- which we target to utilize by FY '27. And the current capacity, sellable capacity, which is available with us is 4.5 million tons anyway. So idea is to produce 3 million -- 3.2 million tons this year and 20%, 25% growth from next year and post that to achieve 5 million tons by FY '27.
That's all from our side. Happy to take questions now.
Moderator: First question is from the line of Amit Dixit from ICICI Securities.
Amit Dixit: Congratulations for a good set of numbers and a very challenging quarter. My first question is essentially on the -- if I look at other expenses, while you have explained in your opening comments that there were certain nonrecurring items over there. So other expenses and employee costs, both have gone up significantly. Now if you could quantify these nonrecurring items that possibly we could take out in our forecast going ahead. That would be very helpful.
Anubhav Gupta: Amit, the nature of other expenses, some expenses are nonrecurring and some are recurring as well. So I'll explain in detail. Number one is that employee cost, if you see in Q4 was around INR64 crores -- sorry, Q1 -- Q4 last year was around INR70 crores, right, which right now

is
INR80 crores, right? So INR5 crores impact is for ESOP, INR4 crores to INR5 crores is on account of ESOP, which is notional in nature. And of course, 7%, 8% increment we had in the company. So for the rest of the quarter, you should build in INR75 crores per quarter, okay?
Then the other expense, which is higher and it is recurring in nature is the freight cost per ton. Freight, if you see has gone up because from Raipur, we are selling value -added products like roofing sheet and thicker -coated sheet. So here because of the volume is lower per truck load, the freight cost per ton goes up. But then you get paid from the customers as well, right? So our freight cost is always paid for. So that's another impact. Third is power and fuel also went up because in Raipur, we are still not on renewable power yet. We have signed up with these solar power producers.
So we will start getting the benefits as the plant -- when the plant will be ready. It will take around 9 months and then the power cost will come down. So that will settle down in FY '26, for sure. But for rest of FY '25, it will remain elevated. And then lastly, which needs to be highlighted is the brand spends. Q1 was a bit heavy. We paid for the actuals and the Siliguri brand campaign, which we undertook. So in the next 9 months, it will be significantly lower than what we had in Q1.

And lastly, there are also some charges, which we are getting for outsourcing jobs, right? Because we have developed a specialty tube for solar structures for the largest solar power producer in the country. And we have to get it coated, right, from outside. So those charges also come into other expenses. But of course, we do get our markup for that. That's why our MSR is going up.
Moderator: Mr. Amit, does that answer your question?
Amit Dixit: Yes, that does answer my question. I'm moving on to my second question now. Yes, so the second question is, you have mentioned that there are 2 plants that you are thinking of Gorakhpur and Ahmedabad. Gorakhpur particularly interesting location, and you mentioned about Siliguri as well, if I'm not mistaken. So just wanted to understand the configuration of these plants, whether they will be also on DFT and what kind of products do we intend to produce from these plants? And since you are shifting some of the capacity lines, so capacity -- so how will the capacity go up to 5 million tons. Just wanted to understand that.
Anubhav Gupta: So Amit, see, I mean we want to cater to both the markets. Like if you take, say, Gorakhpur and Ahmedabad. So structural steel tubes, right, we cater to 2 segments. One is square and rectangular. Second is circular, right? Of course, circular -- square and rectangular are a major

proportion of our sales volume. So any mill, which is going to produce square and rectangular, it has to be DFT for us, right? And for circular, we must install the conventional one, okay? Each of these plants will be having capacity of 200,000 tons initially, right? And some of the mills from our Bangalore plant and old Raipur plant, we will move to these locations and 2 mills, 3 mills, we will order new as well, right? So it's a mix of everything. The objective to achieve here are two: number one, local penetration, regional penetration, better servicing; and second is to lower the freight costs.
Amit Dixit: And in terms of products, we will producing everything, whatever -- I mean, we be producing -- will there -- is there a thought process to produce sheets also because that region might have the color -coated 10 -gauge sheets that you generally produce at Raipur?
Anubhav Gupta: No, so these are tube plants, Amit. We are yet to decide on strategy for expanding capacity for roofing sheets or thicker -coated sheet. But in our grand plans of 10 million tons, right, these products don't have too much contribution.

Moderator: Next question is from the line of CA Garvit Goyal from Nvest Analytics Advisors LLP.
CA Garvit Goyal : Just one question on the EBITDA per ton. Like you guided for 3.2 million tons volume. What is the EBITDA per ton guidance for this year?
Anubhav Gupta: So see, I mean, Q1, as you can see, is around INR4,200. Q2, we are not yet certain, right? It will depend on how the upstream steel prices behave, but our endeavor will be to at least match what we did last year if it not improve that. I think on -- during the October investor call, we will have a better idea of EBITDA per ton.

Moderator: Next question is from the line of Gagan Deep from Nvest Analytics Advisors LLP.
Gagan Deep : Sir, my question is already answered.
Moderator: Next question is from the line of Sneha from Nuvama.
Sneha: Would it be possible for you to give the breakup of capacity by FY '25 till the time we reach 5 million tons. Where all we will be having capacity? And what all will be the capacity since you will be making some shift from other plants to new plants like Gorakhpur and Ahmedabad like you mentioned?
Anubhav Gupta: So Sneha, we have given product -wise capacity in our presentation. There is a slide of de -commoditizing product portfolio. You will find 5 million tons of proposed capacity. It is on Slide 8.
Sneha: Sir, do we have plant -wise capacity also by FY '25 there?
Anubhav Gupta: Of course, but we don't share that.
Sneha: Understood. Secondly, a more broader question, Anubhav, how are we planning to address the gap between secondary and primary steel. From a couple of quarters, we've been seeing that one of the reasons for our volumes not being that great, especially with general products is that gap widens between the secondary and primary steel? Of course, it's narrowed down currently to about INR3 to INR4 -odd. But generally, historically, we've be seeing this to be a major reason for our volumes not doing that great. How are we addressing that -- this issue and what's the confidence of strong volume growth in H2, given we don't have an outlook right now between the primary and the secondary steel price gap?
Anubhav Gupta: Sneha, you need to look our portfolio in 2 categories . One is standard general commodity, which is 35%, 40% of my portfolio. The rest is value -added and super value -added products, okay? So my value -added and super value -added products, there have no threat from scrap steel tubes, right? Because scrap steel tubes are incapable of addressing that application, what our products are doing, right? So the completion, which we face from scrap steel tube is general, right? And this is one segment, if you look from FY '20, we have not been able to grow this segment, right? From FY '20, if you see my general sales used to be like 0.9 million tons and last year, we did 1.1 million tons.
So there is hardly any growth, right, in general segment. And this is because of availability of low-grade scrap steel tube product, which is available in the market, where the manufacturers and the dealers are taking benefit of price gap, right? And why this happened in last -- over the last 5 years is because HR -coil prices in India, they have been on the inflationary mode, which was triggered by corona, right, in 2020.
Then in 2022, Russian -Ukraine war, which triggered further the steel prices to go up globally. HR-coil, which used to be INR35,000, INR40,000 per ton commodity before corona, it went up to like INR65,000, INR70,000 per ton by mid of 2022, right? But the cost of production for

scrap steel, that remained stagnant. So that's why the gap, right , it used to be -- like before corona also the gap used to be INR5 per kg, but it's shot up to INR20 per kg.
And that's where these small steel melters in Raipur belt, in Man

di Gobindgarh belt, in
Chennai belt, they popped up because there was this arbitrage, right? But we were of the view that the steel price inflation is not sustainable, okay? And we are seeing that being reversed already. The second factor you need to understand is the cost of production for blast furnace steel versus cost of production for scrap steel.
So you can check with any steel expert in the country that the cost of production for blast furnace steel is lower than the cost of production for scrap steel, right? So blast furnace steel manufacturers have the window, okay, to still lower the prices, but scrap -steel steel producers, they don't have the window available to lower the prices. right? So whenever -- like I said, that the gap is already down to INR3,000, INR4,000 a ton, right?
And it can further go down by September as the new capacity in upstream steel sector keeps on hitting in the market. So we are fairly confident that HR coil will substitute the scrap steel do.
And then we are also taking initiatives like making the consumer aware about the poor quality of scrap steel what they are using, right? Because ultimately, structural steel, whether it is for handra ils, for fencing, for doors, et cetera, right, it is not of a very good quality, there is always a chance of an accident, right? So we are making the consumer aware.
Secondly, the level of pollution, which these small melting shops, they pollute in mining, that's also very, very hazardous, right? And the government, given the fact that they are pro -climate, they are taking all the steps to improve the environment in the country. So I guess, at some point, they may also take this step to halt this highly pollutive industry. So yes, I mean, we are fairly confident that as HR -coil prices remain stable around INR45,000, INR48,000 per ton, we have a very good chance to take the market share back from our scrap steel segment.
Moderator: The next question is from the line of Kunal Kothari from Centrum Broking.
Kunal Kothari: My specific question with regard to the Apollo TriCoat. In this, on a year -on basis, our volume are stagnant, but on the margin front, it is down significantly. The trend that we are seeing in this particular segment for last year, it's just a downward slope. So can you just make me understand what is happening in this particular segment? Why we are seeing such a huge downward slope, which is happening continuously?
Anubhav Gupta: Actually, you need to tell me the product segment now because TriCoat products got divided into 2 categories: One is light; and second is rust -proof. So which segment are you catering to?
Kunal Kothari: Rust-proof.
Anubhav Gupta: Okay. So yes, rust -proof is our zinc -coated pipes, which are mainly sold in the coastal markets, right? There the standard black pipe doesn't work because of the moisture in the environment.
So the fabricators, the fabricators need coated products, right? So that's where we sell our rust -

proof. Now this segment, if you see, it has a pressure of aggressive sales growth because right now the market is constrained towards coastal markets only, right?
Although we are making a drive to expand this market in non -coastal markets as well. But it's a long drawn process. And Sanjay, do you want to add to this? I guess, I mean, as the market expands for this product beyond coastal markets, we will see the growth going to like 15%, 20% levels. But right now we are able to take the growth whatever the coastal markets are growing at a natural rate.
Kunal Kothari: I understand. But any specific reason that we used to have margins INR7,000, INR8,000. Then last year was around INR6,000 to INR6,500. Now it is below INR5,000 per ton? Like my question is, are we losing the competition to other players in the rust -proof segment? What is the core reason for such a steep declin

e?
Anubhav Gupta: Okay. So if you look at -- if you compare it with the margins, which were like 2 to 3 years back, INR7,000 to INR8,000 per ton, at that point of time, what was happening was that in India after COVID, the Indian steel producers, they started exporting coated coils, okay, in international markets. So that brought the short supply situation in India, right?
It benefited Apollo because we had our in -house galvanization plants, okay. We used to buy their HR -coils and galvanize those coils and then converting those coils into coated -tubes.
When there was a shortage of galvanized coils in the country, our competitors were buying

expensive coils from the market. And then they were converting the tubes, right? So we had a very good arbitrage for 3, 4 quarters in that segment.
And we have highlighted that in our investor calls earlier as well, now that situation got course corrected, right? Now the galvanized coil prices have come down in India. And the arbitrage, the benefit what Apollo has for having the in -house galvanization unit, so that's now at fair, at parity with our competitors. And of course, yes, competitors have also put up the galvanization mill, right?
So yes, I mean, it's a competitive market, but we are maintaining our market share of 65%, 70%. If you do some channel checks in strong coastal markets like Kerala, Mangalore belt, Goa belt, right, we continue to have a line market share there. But yes, I mean, to grow aggressively in this segment, we need to create this market beyond coastal markets, which we are working on.
Kunal Kothari: Okay. Second question is in regard to our overall capacity. You mentioned that currently, we had around 4.5 million tons, right? Firstly, like from previous calls, what I remember is that we were at 3.8 million tons. So this around 0.6 million where it has been added and additional 0.5 million are you going to catch up in the next 12 months, so where it is going to come?
Anubhav Gupta: Right. So this is across the categories, right? Actually, the data point of 3.8 million tons in presentation is old one, right? Right now we are almost near 4.5 million tons and it is across the categories. We can share the updated product -wise list to you separately.

Moderator: The next question is from the line of Aditya Welekar from Axis Securities.
Aditya Welekar: So my question is with respect to EBITDA per ton shaping up for FY '26. How do you see that? And this is the context of our value -added product share. So how do you see our VAP share increasing in FY '26 in the context of any market creation? Any visibility on the ground that you see that the VAP share will increase and that will aid our EBITDA per ton going forward?
Anubhav Gupta: So definitely, if you look at our VAP share from Dubai and Raipur plants, right, as those plants are ramping up, we have been giving the data point of utilization levels, which you would appreciate that quarter -on-quarter the utilization levels are going up and our gross spread per ton is also improving quarter -on-quarter.
So we are continuously working to create the market for innovative products from Raipur whether it is for the heavy structural pipes or the thicker -coated sheet, which are like the 2 most innovative products from Raipur. And Dubai also with introduction of sizes up to 300 x 300 mm, the mill commissioned last week only. We are seeing a very good order inflow for that mill, in particular. So yes, I mean this 65% of our portfolio, that's our crown, right? And we continue to work to improve the sales in this segment.
Aditya Welekar: Will it be fair to assume EBIT DA per ton reaching near INR5,000 per ton in FY '26?
Anubhav Gupta: So see, I mean, if you look at the sheet, right, where we have mentioned like how we can reach INR5,000 per ton, right? It's a question of like how my plants are ut

ilized and what kind of
operating leverage benefits I get, right? But if market becomes stable, right, in Q2, which we expect, right? Q3, Q4, we start doing 800,000 ton -- 850,000 ton kind of quarterly volume. Then yes, APL is capable of throwing INR5,000 per ton EBITDA during those quarters by FY '26.
Aditya Welekar: Understood. My second question is with respect to the net debt. So I mean, what I understand is that the working capital should come down because the steel prices have gone down and that should not be the reason for increase in the net debt. Is it correct? Or is there anything else which I'm missing here?
Anubhav Gupta: So see, I mean, last quarter, our working capital day was 0, now it is 3, right? So it's a very minor movement, right? There are multiple factors like you have to collect payments from your clients, some of the projects where there is like 4, 5 days delay, that's all, right?
And secondly, to answer your question on inventory, yes. So we will -- you will see the devaluation in inventory going forward because prices have fallen recently, right? So on the balance sheet, it is on an average basis. So as we close September balance sheet, you will see -- you should see some devaluation in the inventory levels.
Aditya Welekar: Okay. And that should drive our net debt down to 0 level, again?

Anubhav Gupta: Like I said, INR1.5 billion on our balance sheet size of like INR50 billion, it's almost 0. And we will stick to net zero balance sheet for the rest of FY '25. Yes, I mean, but it should be near zero.
Moderator: The next question is from the line of Kunal Vora from White Whale Partners.
Hardik Doshi: This is Hardik Doshi. I just wanted to check, in your recent presentation, it shows that in FY '24, the structural steel size for the scrap steel is about 4.5 million. And in the previous -- in 2023, it was 3.6 million. So is it correct that the scrap steel has grown by 25% in FY '24?
Anubhav Gupta: You'll have to repeat the question, sorry.
Hardik Doshi: Yes. So in your recent presentation, when you're talking about the structural steel tube market, right, you're talking of 9 million tons, out of which 4.5 million is scrap steel based tubes. The same presentation previously indicated that it was 3.6 million in FY '23. So it seems like the scrapped steel -based tubes is grown by about 25%. So I just want to check if that is actually the case.
Anubhav Gupta: Yes, that is right. That is right. As I mentioned earlier that the growth in the structural steel tube segment got taken up by the scrap steel producers because of this arbitrage they had, yes.
Hardik Doshi: Yes. Okay. And so now going forward, you were expecting by 2030 4.5 million to kind of degrow to 4 million.
Anubhav Gupta: The logic says it should because outside India, there is no country where you have this product available. It's only on government behest or I don't know whose behest that this industry is surviving and thriving as of now. But when the blast furnace steel prices are lower than scrap steel prices, then why should this industry do well. The logic says it should not.
Hardik Doshi: Okay. Second question I had is, you mentioned that the spread has now come off to 5%. Is that as of now as per plan? And is there any seasonality related to monsoons for the spread? Or there is no connection between that.
Anubhav Gupta: For which product?
Hardik Doshi: For the scrap steel versus your HR -coil, the differential has come down to 5%, I believe that's what you mentioned, right?
Anubhav Gupta: Because the new capacity in HR coil, the new capacity in the blast furnace steel has come online since December of 2023.
Hardik Doshi: Yes.
Anubhav Gupta: And NMDC Steel mill started its HR -coil mill. JSW started its mill in B ellari. Now in next 6 months, their Dolvi plant will start. Tata Steel's Kalinganag

ar plant will start. Jindal Steel
Power will start its second plant, right? ArcelorMittal Nippon Steel will start it's HR -coil mill,

if not this year, next year. So we have a very strong visibility for the next 2 years that India will keep on witnessing steel capacity expansion.
See from 2018 to 2023, what we have heard, India steel capacity is 120 million tons, 120 million tons, 120 million tons, 120 million tons, 120 million tons. It has not increased. What has happened is the consolidation of the sector. Essar mill got acquired. Bhushan Power got acquired. Bhushan Steel got acquired. Monnet Ispat got acquired. A lot of mills, which got sick, they were acquired, they got consolidated, right?
And it takes 5 years for any greenfield plant to come online. JSW, which was expanding from 2018, Tata Steel, which was expanding from 2018. So those plants are now coming online. So from 2023 December till 2025 December, HR -coil capacity from blast furnace should increase by 50% in the country, right? And when cost of production for blast furnace steel is lower than cost of production for scrap steel, then why should scrap steel be sold, number one.
Number two, when scrap steel production is such a highly pollutive industry, why it should survive. Number three, when it is such a poor quality product, why government should allow this to survive, right? So logic says that this segment should not be growing, right, going forward. Let's see.
Hardik Doshi: Okay. Got it. My last question is within the organized space, your competitors have announced a lot of expansion plans as well. So how do we plan to kind of keep up our differentiation market share? And do we command a pricing premium to our competition? And how do we plan to sustain that?
Anubhav Gupta: It's a good question. It will be good for everyone of course. If you could highlight what kind of players you're talking about, who are expanding the capacity, so that we can answer the question accordingly. Because all these steel pipe producers, right, no one is as unique as Apollo in terms of focus on the structural steel tube segment and that too from a HR -coil.
So you need to see that if you're talking about someone who is good in API pipes, oil and gas

pipes, water transportation pipes or in scrap steel pipes, then he is not by completer. My competitor is a manufacturer who is using blast furnace steel from top 5 producers in India and he is making structural steel tubes, right? Where I command, if not 90%, at least 75% market share. Of course, that's our gut feeling. We can't put this in writing. But if we talk to 200 of our top customers, top dealers, we get this sense.
Hardik Doshi: Okay. I mean I was talking about guys like JPL, and many of these other guys that were -- have announced.
Anubhav Gupta: So again, JPL is a scrap steel tube producer. Recently, they acquired a steel melting unit called Nabha, something, right? So it's a scrap melting shop, right? So again, I mean, the point I'm trying to make is that they may do well in their segment and we wish everyone a good luck. But you need to see that what expansion they are doing in HR -coil tube segment. And in structural, not water transportation, not oil and gas, not automotive precision tubes, but structural steel tubes.

Moderator: The next question is from the line of Mayank Bhandari from Asian Market Securities.
Mayank Bhandari: Sir, my first question is on the number we have given on Slide 19. APL's Q1 FY '25 working capital was from minus INR25 crores to INR456 crores is at full utilization. Can you explain that much of jump?
Anubhav Gupta: Yes. Yes. So even this, we have taken conservative that for APL, we have taken 5 days of net working capital. And for new plants, we have taken around 7, 8 days, 10 days of combined wor

king capital. So again, these are conservative numbers, okay, not in line with what we are at today. Similarly, like we have conservative EBITDA number as well of INR5,000 per ton. So yes, I mean, this is just to demonstrate even at converting numbers, what we are going to achieve. So yes, I mean, as per current run rate of working capital, the working capital requirement will decline significantly.
Mayank Bhandari: So the newer projects, the working capital requirement is lower is what...
Anubhav Gupta: Of course, yes. Apart from Dubai, Dubai has, of course higher working capital compared to India. But our Raipur plant should be more or less similar to what APL Apollo is.
Mayank Bhandari: And also from the Dubai plant, what is the visibility on the export ramp -up whether it's from the Indian plant?
Anubhav Gupta: Right. So Idea to go to Dubai and put up the plant is to expand in the Middle East market, plus the international markets of U.S., Europe, etcetera, right? The strategy here is, first, we wanted to install and commission all the 4 mills, which happened like just 2 weeks ago. In fact, just a week back our fourth mill was commissioned last week only.
And now the sales team is all out in the market, right, booking orders for those mills, promoting the product because this 300 by 300 die of size, we are amongst the only -- we are the only company in Dubai, which is offering this size, right? So ramp -up will happen. Ramp - up will happen. Our strategy is that by FY '27, right, we should be able to utilize all 300,000 ton available capacity to achieve our sales volume.
Mayank Bhandari: Okay. And sir, if I were to look at the presentation, in the applications, on Slide 45, you have given certain ongoing inquiries. And it says that 220,000 tons of heavy structural steel tubes are required for about 42 million square feet visibility. Just to understand it better, if I arrive at per square feet number, of almost 50 kg per square feet, would it be a correct metric to understand this?
Anubhav Gupta: 5 kg per square foot.
Mayank Bhandari: 5 kg per square foot.
Anubhav Gupta: Yes, that's right, 5 kg per square foot.
Mayank Bhandari: So just -- this is 5 kg per square foot for, let's say, higher of application, which is data center, aviation. What would be for different segments? Will it be different to... ?

Anubhav Gupta: Yes. So it depends on the load of the structure, right? For data center, the consumption could be as big as 20 kg per square foot. For a plain vanilla warehouse, the consumption could be 1.5 kg per square foot. But on an average, the high -rise building of, say, 5 -story, 10 story, the consumption comes out to the 5 kg per square foot.
Mayank Bhandari: So this is average...

Moderator: Sorry to interrupt , Mr. Bhandari . May we please request you to rejoin the queue for any follow -up questions ? Next question is from the line of Abhinav from Standard Chartered Bank .

Abhinav : Just wanted the breakup for APL Apollo building for sales volumes and EBITDA in Q1?

Anubhav Gupta: No. See I mean we have not given the absolute number, but we have told you the capacity available and the utilization level. So please calculate basis that.

Abhinav : So -- but in that 94,000 volume you have given for Raipur and Dubai. So Raipur would be how much out of that volume?

Anubhav Gupta: 90%.

Abhinav : Okay. And the utilization that we are calculating is it on 1.1 million or 1.5 million tons?

Anubhav Gupta: 1.1. for Raipur and 0.34 Dubai.

Abhinav : Okay. And the INR500 crores to INR600 crores capex that you mentioned for the 3 plants, what is the amount which has already been incurred, the expense?

Anubhav Gupta: So INR500 crores is our receivable capex . We have -- as of now, we have made payments -- like we are in process of making payment for Siliguri land and Gorakhpur land, right

? Once land is in our possession, then the capex for the plant and building, et cetera, will go. So put together, we must have spent around INR200 crores to INR250 crores for these plants.

Abhinav : Okay. And in our previous quarter presentation, you had given a breakup for the market share for the next 8 players as well. So just wanted to know the player 2 and 3 that we are mentioning here 10% market share from ancillary business and for oil and gas -focused businesses, who are the competitors, which have part 10% each, player 2 and player 3?

Anubhav Gupta: We'll take this offline, please?

Abhinav : Okay. Sure.

Moderator: Ladies and gentlemen, we will take our last question from the line of Sailesh Raja from B&K Securities.

Sailesh Raja: I have 2 questions to ask. First is on, what was our total outsourcing cost in FY '24? In future, any plans for shifting these outsourcing it times to in -house and trying to bring down the cost?

Like in cold rolled product, we were buying it from steel companies and now we are having a separate line for the lower bids, which don't down our cost significantly. So in similar lines, is there any scope for us to bring down the cars and having it in -house?

Anubhav Gupta: So Sailesh, as of now, we are not doing any outsourcing job for finished goods, okay? It is 0 today because we are yet to utilize our own capacity. So there is no point of going on outsourcing model as of now. Once we hit our own 5 million ton capacity utilization, then we will see if it makes sense to go more asset -light and look for outsourcing jobs. But I think that is still 1 to 2 years ahead of us from today, right, unless we sell 300,000 -- 350,000, 400,000 tons for 2, 3 consecutive months, right, we are not looking for any outsourcing job.

Sailesh Raja: Okay. In color -coated sheet, we do aluminium coating and do color coating also, both these process are currently outsourced?

Anubhav Gupta: Say it again?

Sailesh Raja: In color -coated sheet, we do aluminium coating and also do color coating. So both these processes are currently outsourced?

Anubhav Gupta: No, no, it's all in -house. And it's not aluminium , it's aluminium zinc, Aluzinc. It's a combination of aluminium and zinc. It's all in -house. So the outsourcing what we did, let me rehash that. The other expense, which I mentioned was we -- one is a tube order, right? It's a 12-meter tube, which goes for a solar structure, right? And we have to do -- or did galvanization. So our zinc baths , own zinc tanks, what we can maximum do is 8 -meter, right? So above 8 -meters, we will send it small units near our plant for outsourcing job. So this is only for that product. There is no other job work, which we do for any segment or any client. It's specifically for that solar structured order.

Sailesh Raja: Okay, okay. Got it. My second question, could you please talk about the exports business opportunity for the high dia tube, so 300 plus 300, 500 plus 500, global key players are making INR15 EBITDA. And considering our cost competitiveness, larger capacity, and we have presence in wide product size range from 300 plus 300 to 1 ,000 plus 1 ,000. So what is our plan to increase the volumes for the high dia tubes in the overseas market?

Anubhav Gupta: Right. So for this, the game plan i s that first, we installed 300 by 300 in Dubai, which started last week only, right? Now the whole world knows that in Dubai, we have this mill, right? We have already started booking orders for this segment, right? Now with 300 by 300, we are also selling 500 -- we are also promoting 500 and 500 from India, right?
So as a combo, 300 by 300 from Dubai local and 500 by 500 from India, now our customers

know that we have this segment, so yes, it has a strong potential, if you ask us, okay? It needs promotion. It is awareness, okay, which we are curren

tly working on. And I think -- I mean, if
300 x 300 mill, we are able to utilize it like completely better or sooner than expected, so I mean, if market requires, we may install 500 square in Dubai as well, right?

So I guess opportunity is there, right? Almost 40 million ton of steel pipes is traded ex India and China, right, globally. Okay. So as a plan, we first went ahead with 300,000 ton capacity, right, which is like around 3%, 4% market share. So I guess as we see the ramp -up from Dubai, we will keep on installing high value -added products, including high dia pipe mills, right? But let's see how the existing mill performs, how the existing plant performs. Once we have green shoots visible, we will not stay behind from putting up the capacity.
Sailesh Raja: In tonnage terms, how much we are doing in exports?
Anubhav Gupta: I'm sorry?
Sailesh Raja: In tonnage terms, how much we are doing in exports?
Anubhav Gupta: So it's around 100,000 tons.
Sailesh Raja: Okay. So any target we have in next 2, 3 years?
Anubhav Gupta: It will be combination of like what we do from Dubai and India. So Dubai, we have to ramp up to 300,000 tons anyways, right? And India, let's see, 100,000 remains the same or some cannibalization will also take place. So let's see.
Moderator: Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for the closing comments.
Anubhav Gupta: Thank you, everyone. Again, special thanks to Ambit for hosting us, and look forward to see you for next conference call. Thank you so much. Have a nice day.
Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Nov 2024

4th November 2024
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Scrip Code : 533758

Re: Transcript of the Conference Call held on October 29 , 2024
Dear Sir/ Madam,
With reference to our letter dated 24th October 2024 intimating you about the conference call with Analysts and Investors held on October 29 , 2024 , please find attached the transcript of the aforesaid conference call.
This above information is also available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

(Vipul Jain)
Company Secretary and Compliance Officer

Encl: a/a

“APL Apollo Tubes Limited Q2FY25 Earnings
Conference Call ”

October 29, 2024

MANAGEMENT : MR. SANJAY GUPTA - CHAIRMAN & MANAGING DIRECTOR , APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL - DIRECTOR (OPERATIONS), APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA - CHIEF STRATEGY OFFICER , APL APOLLO TUBES LIMITED
MR. CHETAN KHANDELWAL - CHIEF FINANCIAL OFFICER , APL APOLLO TUBES LIMITED

MODERATOR : MR. UDIT GAJIWALA - YES SECURITIES

Moderator : Ladies and gentlemen, good day and welcome to APL Apollo Tubes Limited Q2F Y25 Earnings Conference Call hosted by YES S ecurities.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference call is being recorded. I now hand the conference over to Mr. Udit Gaj iwala from YES S ecurities. Thank you , and over to you, sir.
Udit Gajiwala: Thank you. Good evening, everyone. On behalf of YES S ecurities, we welcom e you all to the Q2FY25 Earnings Conference Call of APL Apollo Tubes.
From the Management side, we have today Mr. Sanjay Gupta – Chairman & Managing Director ; Mr. Deepak Goyal – Director (Operations); Mr. Anubhav Gupta – Chief Strategy Officer, and Mr. Chetan Khandelwal – Chief Financial Officer.
I'll now hand over the call to the Management for your "Opening Remarks ". Thank you, sir.
Anubhav Gupta : Thanks , Udit and thanks to YES S ecurities for hosting us for our Earnings Call . Good evening , everyone. I welcome all of you to our quarter two FY2 5 Earnings Call . I sympathize with my analyst friends who are covering the building material sector and are attending 5th Investor Call today.
hat a mind -blowing quarter we had in the Q2, our Q2 perfor mance reminds me of a famous phrase 'The night is darkest just before the dawn '. Why I say this because we have been waiting for this time when inflation in the domestic steel prices seems to be over and the gap between our product and low -grade sponge iron made steel pipes has narrowed down considerably. Of course, the correction in steel prices brought rock on our profitability and our EBITDA spreads collapse to all time low. However, we are not discouraged by this at all and in fact, we a re working harder to pounce upon the opportunity which has opened with the low base raw material costs. The gap between our product and sponge iron pipes is around 5 % to 6% today and we can target additional market of 500,000 tons on a monthly basis.
Our p roducts have also become affordable against wooden structures, aluminum profiles, rebars long steel products and steel angles and channels which is further expanding our universe. The existing pricing situation seems to be sustainable as there is not much room for steel prices to go down given the depressed profitability for the steel mills and at the same time steel prices should not rise further because the new steel capacity is coming online quarter -on-quarter basis, which will keep the steel prices unde r check. Henceforth, the volume trends in H2 should remain strong as we are confident for 3.2 million ton sales target for full year of F Y25. Confidence also comes from the fact that our channel partners are still sitting on low inventory levels because th ere secondary sales are equally. The reason for all time low EBITDA spreads in Q2 were number one inventory loss of Rs. 2,000 per ton w hich even we could not stop because of Rs. 7,500 ton

steep fall in the steel prices. And that was back -to-back , so invent ory which we were having on our books , we had to correct it and we also offered more discounts of Rs. 500 per ton to our customers with the f alling steel scenario to push sales. 1 positive highlight was the operating leverage benefit of Rs. 100 per ton as our as our sales volume expanded on quarter -on-quarter basis .
Now, APL Apollo is ready with 4.3 million ton capacity, which we shall expand to 5 million ton by FY26. The residual CAPEX is around Rs. 3 billion to Rs. 3.5 billion, which will be easily funded from the internal cash flows . Our st

rategy here is deeper penetration in the market with
the new Greenfield plants. Two plants are coming in Siliguri and Gorakhpur. This is to cater to the whole of East India, including the seven sister states and some op portunity in Nepal and Bhutan markets as well. We are also adding up a new plant in Bangalore for our lighter section where we feel that the existing capacities are fully utilized. From these three plants, we expect an additional market of around 1.5 milli on tons on an annual basis and we should be able to ramp up our volumes from these plants over the next 2 to 3 years.
Our thrust on innovation continues in structural field space with launch of specialized structures for the solar power industry. One produ ct is pre coated thicker sheet which shall replace existing galvanized sheets and another product we added to our portfolio was to cater to the solar tracker systems . We continue to make inroads in the heavy structural steel tube space as the usage of for tubular designs in heavy construction keeps on rising. Our tubular designs are now being

used in major infrastructure and real estate projects in the country. For next year, we maintain our sales volume guidance of 4 million tons and 5 million ton s by FY27. The margin shall expand to normalized level of Rs. 5,000 per ton over the next 2-3 quarters and this margin should remain sustainable throughout FY26 on a quarter -on-quarter basis.
With this , we are done with our opening remarks, and we are happy to take questions.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. Our first question is from the line of Rahul Agarwal from Ikigai Asset Management. Please go ahead.
Rahul Agarwal: Sanjay, the first question was on steel d emand supply. Could you give please share your thoughts on what's really happening with overall global and India steel demand supply and your outlook on how should the prices actually behave ? A bit more color on that will be helpfu l. That's my first questi on.
Sanjay Gupta: Good evening, Ra hul. First of all, Happy Diwali to everyone. Well, the demand of the steel if you see the real facts, not very good. But somehow we are struggling from last two years with secondary and the primary steel prices is the huge gap between the primary and industry secondary steel. Price almost close to Rs. 12 to Rs. 15 per kg . Now it has come down to reduce to Rs. 3 almost close to Rs. 2 -Rs. 3 per kg . This is a big boost in itself. if you see all the other sectors, our growth rate is almost close to 5% to 10%. There are chances of growth, so need to build up the -capacity and we are very focused quarter -on-quarter 10% growth , and increase the

target. Globally demand is in some places, like Middle East. Europe and US the demand has slowed down. Next month we are going to do much higher production close to 16,000 tons this month . All these things are good for us.
Rahul Agarwal: Sanjayji, net-net for the HRC pricing in India, what do you foresee, because ….
Sanjay Gupta: All need to understand, today HRC prices is close to Rs. 46 ,000-Rs. 47 ,000 per to n. There are not much chances of price correction too. Margins are in pressure also, steel prices ar e in pressure. There are no chances for it price higher anymore. It is going up and down. The price will remain same. In India the capacity of HRC is 1.5 million tons, like 2 lakh ton per month from Tata Steel, 2 lakh per month from NMDC Steel, 4 lakh ton from JSW Steel and 4 lakh ton from JSPL. Of the 12 lakh per tons capacity, hardly 2.5 -3 lakhs capacity just started. 9 lakh ton capacity will start in the next 4-5 months. 2 lakh ton Tata Steel, 4 lakh from JSW and 2 lakh ton from JSPL. 8 lakh ton capacity will be built up and pressure from China is very high in overall market steel prices. But I feel the steel price of the I

ndia will be same but the secondary m arket,
it is moving towards the primary steel.
Moderator: Thank you. Our next question is from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Couple of questions. The first one is despite pushing volumes, the general structure segment we found that the contribution was negative. So, what explains that? Are we pushing volumes at the cost of margins and the realization ? In that case, it could be counterproductive as we ramp up our capacity. So, that is the first question I have that how do we see this margin shaping up of this critical , I would say bucket, which is like 45% of your overall sales volume ?
Anubhav Gupta : Amit, the EBITDA per ton spread was negative because of the inventory loss overall with the company , if we remove the inventory loss , it was pretty much profitable and going forward we don't expect further inventory losses . So, the EBITDA per ton in his particular category will recover to the p revious level which we have been showing around Rs. 2,000 to Rs. 2,200 a ton.
Amit Dixit: I was asking what gives us confidence that the steel prices will not fall from here because what we have seen the Chinese stimulus, I mean the measures and the impact has been fairly, I would say muted at this point in time. Chines e exports have a again came to 10 million tons odd. A nd last quarter also we said that now things , are the worst is behind us possibly. But although we said that Q2 might be a little bit here and there. But going ahead in Q3 also the demand that we saw is like 4 % to 5% now in Q2. So, what gives us confidence that we will go back to this EBITDA per ton of 5 ,000 in 2-3 quarters?
Anubhav Gupta: Amit, no one will be more happy if fuel prices go down further from here . The question is can steel prices go down again Rs. 7,500 per ton in single quarter , answer seems to be no because company if you look at our performance for last 10 years, we have the cycle of steel volatility. Where in in a single quarter steel prices swing by Rs. 2,000 -Rs. 3,000 per ton very easily and

we don't have inventory losses in every quarter. It is just in Q2 when there was such a sharp decline , Rs. 2,500-Rs.2,000 month -on-month we saw the correction in the steel prices which we have not witnessed in the last 10 years. Even an efficient inventory churning company like

Apollo, right, which we always boast of, right, our inventory churn is like 25 days 15 times -8
times in a year . When we are churning inventory so quickly then two Rs. 3,000 per tonne fall or
increase in steel prices in a quarter does not impact our profitability. But if steel prices were to
fall off by Rs. 7,500 a ton in a single quarter, then it does impact our profitability . So, in quarter
three we expect that steel pri ces could further go down by the same pace? I mean at one side we
will be very happy because then I mean we will just eliminate the sponge iron Patra pipes,
because right now the gap is Rs. 2,000 a ton and if steel prices , my base raw material goes down
by like Rs. 6,000 – Rs. 7,000 a ton you can imagine the situation where I will be able to sell at
such a lower price. Second point, we may not need to lower my selling price once steel prices
go below Patra c oil price because I have almost 500,000 ton of mon thly incremental market
which I will take from sponge iron s teel pipe and even if my base for material is lower, I may
not decrease my selling price . So, in fact my margin will go up in a situation when steel prices
crash by Rs. 7,000 per ton in Q3 or Q4 a nd sponge iron steel prices are at similar levels.
Sanjay Gupta: I also add to one point here. Today, the total structural to marketing of India is almost close to 5
million with the primary steel and for almost 6 million tons from the secondary steel. If the price
go down wi

th secondary steel, nobody can supply the material to market other than Apollo. In
the other segment, the second number player is just one tenth of our capacity. So, if the market
requires 5 -6 lakh ton per month more material , Apollo also can give maximum one like 1 lakh -
1.5 lakh ton material per month to marke t. So, there we don't need to slash our price. Then our
margins should increase.
Amit Dixit: The second question is on employee expenses. Last qua rter you indicated that maybe they have
picked off, but this time we saw again employee expenses increasing. So, what is the sustainable
rate of employee expenses that we can see going ahead ?
Anubhav Gupta: Amit, the employee expenses for the Q2 is Rs. 870 million. O ut of this again Rs. 70 million is
for the notional ESOP expense. So, 800 million per quarter is what like we have peaked and as
a as the sales volume increases quarter -on-quarter, the per ton cost will keep on going down.
Amit Dixit: But in abs olute amount we can expect that 800 million thereabout would be a quarterly rate.
Anubhav Gupta: Definitely yes.
Moderator: Thank you. Our next question is from the line of Lokesh Maru from Nippon India Mutual Fund.
Please go ahead.
Lokesh Maru: Two-three questions. Assuming that there will no lower inventories, what kind of growth are
you seeing right now or maybe what is your estimate for in the current situation say Q3 -Q4, that
is first. Second is as prices were down already we're on a declining trend. The discount of 500

per ton that we had shared even in the call and in the PPT , when did when did you actually start
giving this discount and how long do you intend to stretch that? And what was the rationale to
still push volumes in a declining destocking environment or gain share some maybe peers .
Anything like that? And 3rd last question is on the , while doing some channels few dealers also
mentioned presence of or rather competitive intensity in the heavy structures by JSPL. So, what
is how do we counter that? What is our strategy around that piece ?
Sanjay Gupta: Lokesh, n ow we are targeting quarter -on-quarter, 10% growth like this quarter we have done 7.5
lakh 10 nearabout. On the Q3 we are targeting 8.25 lakh ton and Q4 we are targeting 9 lakh ton.
And Q1 we are targeting 10 lak h ton and Q2 I'm targeting 11 lakh ton and Q2 up to 12 lakh ton.
I think this type of market , we are not going to stop, we are going to quarter -on-quarter 10%
growth because I have the capacity , I have the market. I have all the things I have . Nothing is
for me any excuse , for Apollo now no excuse. But we are very confident. Already the secondary
market is in the loss, and we are still in the comfort position. So, I don't think the steel price will
increase. I think that the ball i s in our court now we are going with the external support also, so
we are working in full horse power because in we will not get any such golden opportunity in
future. We are very hopeful if we can't do it, so we have to rethink where is our structural
problem, how can we remove and how can we go ahead. But right now , I can say only one I can
give you assurance, that we don’t have any excuse other than to perform. Apollo team has no
excuse.
Lokesh Maru: Just one counter to that. Are we aware of how come the rate of steel has fallen right now , if our
gap, which will be narrow, so why not to include that volume which we are forecasting later on
the growth rate rather? Later w e don't know, right , if steel prices increase, that is an unknown
scenario. So, any th oughts around that, growth would be accelerated today rather than maybe
Q1?. Please pardon my ignorance.
Sanjay Gupta: It's important thinking , we are going to first time do this type of volume. Now we know about
the market pulse . We have a full baske t.. We have tried till this time, we don’

t know from where
to increase the volume and what work needs to be done. But right from month of September, we are increasing the volume,. W e now identified the pulse of market, and how to increase volume . Which areas n eed to be touched, which products the impact will not be there, but there will be impact in the figure. We have the map now, so we know where to get the volume . Till this time we were very confused. We can't do anything without the volume. If any problems come, we are going to face. I am not worried about seeing Maharashtra volume is near to 30,000 . This month we are going to close the volume at 45,000 per ton. So, we will close at 45,000 in October . So, we understood that Maharashtra has 15,000 -20,000 mo re market. Tamil Nadu also. We haven't received much growth because of the price . Now we will get more growth if we reduce the price. So, we make the basket of things. Number 2, at a margin point, we are going to close to 16,000 ton. Our old stocks have also expired. So, our margins will help in maintain the margin. We are very hopeful we see 10% growth quarter -on-quarter. First spread EBITD A is 4,000 - 5,000. Second spread will be Rs. 5,000 to Rs. 6,000. Now it has only started in India. Out of 12

lakh ton only 2.5 lakh ton has been done. So, either demand need to increase so much hat all capacities get absorbed. That is also good for us . What ever sales is done, it will increase demand also

Anubhav Gupta : Our East plant which we are setting up two plants. Siliguri and Gorakhpur. So, that will also give us incremental market of around million tonnes a year and that will also boost our volumes, which will contribute to the quarterly run rate which Sanjayji just highlight. Now on your second question about the discounting in the second quarter for our customers, see, I mean in the falling price scenario, the sentiments for the distributors, our cha nnel partners also go to like pretty low level and we h ave to compensate with some additional discounts, try to do the volumes. I mean it would be like first time in our own history that in a quarter when steel prices crashed by 7 ,500 per ton and our sales volume increased in that quarter versus the previous quarter. So, the momentum what we were seeing we wanted to continue with that and we thought, okay , if we bleed further by Rs. 500 per ton, but that will keep the momentum going with our channel partner. We should go for it. So, so that was the conscious decision and decisive strategy which we adopted and we went for it and we knew that once and we also had fair idea that prices will stabilize in September. So, from October we shall withdraw such discounts and there will be no need to continue with the pricing.

Lokesh Maru: We have already rolled back the discounts and this 500 should flow through into our EBITDA anyway?

Anubhav Gupta: That is right. And on your third questions, competition on the structural steel heavy space, see our philosophy here is the more the merrier. Because we are the only ones who are promoting tubular construction in the heavy construction. If more if more strong players or strong brands come and pitch the same theme to the developers, to the contractors, to the structural engineers, to the architects, to the government, it will only expand the market in a bigger way. So, everyone shall reap the benefits in the long term.

Moderator: Thank you. Our next question is from the line of Dhananjai Bagrodia from ASK Investment s. Please go ahead.

Dhananjai Bagrodia: I just wanted to understand , roughly we are expecting around 170 crores was the inventory loss for this quarter?

Anubhav Gupta: It was Rs. 2,000 per ton. So, if you calculate it shall come around Rs. 1.5 million.

Dhananjai Bagradia: Only one month inventory we keep right?

Anubhav Gupta: Right. So, normally the stock is aroun

d 280 ,000 to 300,000 ton . On that the loss we would have booked around Rs. 5,000 a ton.

Dhananjai Bagrodia: Loss would have been Rs. 2,000 ton.

Anubhav Gupta: Yes.

Dhananjai Bagrodia: Effectively for the second half, what OP per ton would be target ing assuming there will be no losses ?

Anubhav Gupta: So, we shall be going from Rs. 4,000 to Rs. 5,000 per ton for the second half .

Dhananjai Bagrodia: So, that's effectively that's 5000 and volume is guidance is, would it be increased cause our numbers have come higher?

Anubhav Gupta: Yes, I mean if you sum up the guidance which Sanjayji just gave right, quarterly volume , I'm sure you will see that the guidance seems to be a bi t better.

Dhananjai Bagrodia: So, it would be above 3.2 - 3.3, right?

Anubhav Gupta: I think the main impact we will see for the FY2 6, right, because the six months have already

gone. But yes, we should be surpassing the 3.2 million ton guidance if we do second -half as we are saying.
Moderator: Thank you. Our next question is from the line of Anupam Gupta from IIFL Secur ities. Please go ahead.
Anupam Gupta: The question was on the EBITDA per ton number which you have put in the PPT of Rs. 5000 for FY27 targeted. But just do the math from your current number and assuming there no inventory losses and you have this Rs. 500 discount rolled back; thus it will be operating leverage, it will come throug h, ideally it should be Rs. 5,000 per ton in the next two quarters itself, in fourth quarter itself , in fact, assuming there is no further this thing, so are you assuming adve rse mix incrementally? Because let's say you'll push out more of general structures, given that the competition there is much lesser or how are you looking at that number specifically?
Anubhav Gupta: So, Anupam, if you heard Sanji , right, he said in first phase our target is Rs. 4,000 to Rs. 5,000 a ton EBITDA and in second Phase 5 ,000 to Rs. 6,000 per ton EBITDA, right. I mean right now the EBITDA per ton has been so low for the last 2 -3 quarter. If we mention Rs. 6000 per ton on presentation, we just thought let's be a bit conservative in highlighting the number, but yes, you are right that the business has the ability to produce Rs. 6,000 per ton EBITDA which Sanjayji also highlighted.
Anupam Gupta: And the second question is on the utilization of the Raipur facility at this point of time. Last quarter you mentioned it was close to about 60%, what is the number for the 2nd Quarter ?
Anubhav Gupta: In Raipur there has been an expansion in the capacity as well. Earlier it was 61%. But now on the expanded capacity it is 53%.

Moderator: Thank you. Our next question is from the line of Pallav Agarwal from Antique Stockbroking. Please go ahead.
Pallav Agarwal: Sir. I have a question. The new plant at Bangalore, I think in the last call you had mentioned that the location was supposed to be in Ahmedabad. So, has there been any change in our strategy in terms of geography?
Anubhav Gupta: We did decide to go for Ahmedabad initially . And then we evaluated the raw material availability, the market dynamics and existing plants which are already feeding the Gujarat market, right . So, we thought that existing plants can keep on feeding and in fact there is a need for a plant in southern market . So, we change that strategy . Anyways we did not invest any money on land acquisition etc. So, it was withdrawable and we did withdraw that , Sanjay you want to add?
Sanjay Gupta: Yes. Pallav, the main thing is that we have struggled with ABPL and our Latur facilities and this plant, our main market is Gujarat. Right now, in the South we have a shortage of structure because of the Patra markets. So, |I thought if plant is set up in Ahmedabad, then we will again struggle in Latur

. So, it’s better to work in place where there is shortage of material. Second thing is, when we are going to form 5 million -to-10-million -ton target, then we have then we will work on these plants in the 2nd Phase where our capacities are short and where we want to set up the plants, so because of that we dropped the Ahmedabad plant. Right now we don’t want to disturb Latur facilities because Latur facility has become our backbone of the company. So, we don’t want to take any of the market from that.
Palla v Agarwal: The reason for us turning into net cash to debt again is because of the lower EBITDA this quarter or again there's build up that is happening working capital.
Anubhav Gupta: So, Pallav . There are two reasons, of course. The profitability was low , so operating cash flow was very, very low compared to the earlier quarters. And secondly, we also went ahead with the INR4 billion of CAPEX in the first half. So, as you know that the capacit ies have increased from three -point 3.6 million ton to 4.3 million ton. So, some residual CAPEX also we had to incur which we did. So, that's why there is a slight built up in the debt. But as the operating cash flows will normalize in the second -half, it shall come down sharply.
Pallav Agarwal: So, we stil l probably have a target of being net cash by the end of FY25 . Is that a possibility?
Anubhav Gupta: Definitely yes.
Pallav Agarwal: Given the difference in between domestic and import prices. So, do we do we import any HRC in the last quarter because the Rs. 6,000 -Rs. 7,000 of decline in price s seems to be on a point to point basis because on average you know the prices are probably low about 3000 -3500 0:35:26 what spot prices we track. So, was any imports of HR C that happened either in Q1 or Q2 ?

Sanjay Gupta: Like in India, there are two type of imports. One is the Japanese, Korean and Vietnam materia , duty free, and one is Chinese material which was 8.25% duty, So, the Japanese and Korean

materials which was near to $600 , the starting of the quarter , and now last ly it touched $500 .
Now this material stabilized on to $520 -$525 per ton. So, if you see the $80.00 decrease in to Rs. 84, almost close to Rs. 7,000 per ton, India , there was a Rs. 7,500 per decline, so both are very equivalent . Indian market is going with the international market.

Moderator: Thank you. Our next question is from the line of Dev vrat M ohta from Capital Group. Please go ahead.

Devvrat Mohta: My question really was that if your mix shift towards taking away more market share from Patr a, does that become adverse for margin going forward and really when you say margins are 4 ,000 to 5,000 in first phase and 5,000 to 6,000 in second phase really I mean what time period are we talking about phase one , phase two?

Sanjay Gupta: Devvrat, 100% you have taken the right point. I am unable to talk a lot on margin. My volume is increasing in Patra in the commodity sector . From there the margin won't increase further. So, the absolute amount of EBITDA, ROCE margin will increase much further. But may in Patra EBITDA will get reduced . That is why I am not talking above the 4000 -5000 -6000 mark because the growth is very evident at this time. In value added products also growth will be there. If I make 9 lakhs in Q3, then it if on 9 lakh tons Rs. 500 crores or Rs. 600 crores EBITDA , then I will fall into the same loop. So, my target is, how my overall EBITDA increase? How absolute EBITDA increase and the remaining 2,000 -3,000 EBITDA, why should I go t o lose the market, that my per ton EBITDA will be reduced. So, that is why I am not talking about EBITDA much. Let us produce volume in this quarter, that will affect our expense also. In our board meeting, I notice that our expense is around 2,000 per ton and we have done 7.5 lakh ton. This expense is reducin

g and we are going to make it more efficient and increase the volume. So, may be it will come down to Rs. 1000 per ton. If expense come down to Rs. 1,000 that will be a booster for me. The problem is I am sitting with a capacity of 4.5 million ton, and I am producing 3 million ton. I was not able to do any assessment, but right now from September onwards I started assessing, where my expenses is, where my market share is less, if I am already using 80% market share, I cannot increase my market share. So, I don't want to lose the premium there. Where my market share is 40% or 50%, market , and Patra market is more , so I can lose my margins and I can capture the market share , right now we are seeing the str ategy . But working for another quarter, I think we will be bullish on our strategies.

Devvrat Mohta: Basically, you are saying your focus is on absolute EBITDA rather than EBITDA per ton. So, what, how should we think about, EBIT DA going forward? Is absolute EBIT DA going forwar d if the volume ramp up happens as you said ? What do you think will EBITDA go up to?

Sanjay Gupta: I always believe in being bullish. I think in this quarter we will be above 4000 and less than 5000. And maybe in next quarter wi ll touch 5000. Right now, we can 4300 -4400 per ton this quarter, 4700 -4800, quarter -on-quarter margin will also increase as our volume increase.

Moderator: Thank you. Our next question is from the line of Sneha Talreja from Nuvama . Please go ahead.

Sneha Talreja: Just two confusions here. One is , you said that you have discontinued the discount which were given which was around Rs. 500 a ton, which has been done in October starting. Is that correct?

Anubhav Gupta: So, Sneha, this was on the overall portfolio, right? But if you go in the market, you may still see that we have discounts on the products which are directly competing with sponge iron and steel pipes. But overall portfolio, the discount which came out to be 5 00 because of destocking because of sales force that we have rolled over but on our general products, the discounts are continued in month of October.

Sneha Talreja: And that is not the reason of your EBITDA per ton for this particular quarter. But how do we EBITDA per ton impact because of that?

Anubhav Gupta: Rs. 50 - Rs. 100 a ton.

Sneha Talreja: Secondly, one of the impacts what I wanted to understand is , the last quarter you had mentioned the gap between Patra and your primary steel prices were about Rs. 2 – Rs. 3 odd, with this particular quarter you said is Rs. 5 to Rs. 6 plus there was a Rs. 500 discount which you give it on the overall basis . Despite these gaps increasing , what is the confidence that you have on 10% Q-on-Q growth is what I wanted t o understand.

Anubhav Gupta: Sneha, I correction. I said 5% gap. I didn't say Rs. 5000 per ton gap, I said Rs. 5000. 5% percent Rs. 52,000 per ton selling price , absolute comes out to be Rs. 2,500 a ton , Rs. Rs. 3,000 a ton.

Sneha |Talreha: My bad then , understood. The next thing I wanted to understand is how quickly can you actually ramp up your capacity once you achieve 5 million tons sort of a number in terms of capacity because earlier what I understand is you were trying to ramp up your Raipur capacity itself , later you decided to get into various other markets. So, I think that particular area would help in understanding.

Sanjay Gupta: Which all commodity base capacity we have, it is all running in full utilization. There are some capacity left on the bigger pipes. One line is getting installed in Hyderabad , one in Dubai. In order for us to reach 4.5 million tons, these three areas have 500-ton balance. Rest we utilized all the capacities. Also, we are working on this strategically. The 4.5-million -ton road map is very clear to us. A fter that 4.5 million ton, we have a plant in Siliguri for 2

lakh ton, that market
is very niche . 1 lakh ton market for Gorakhpur and 2 lakh ton market for Bangalore , south lighter structure to market? If feels like quarter -on-quarter we will be in a fast pace.

Moderator: Thank you. Our next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.
Aditya Welekar: Anubhav, just a few points which I have missed. So, you said 53% capacity utilization on Raipur plant on expanded capacity. So, what is that expanded capacity now ? And residual CAPEX guidance for 25 and for 26?
Anubhav Gupta: So, last quarter, the rated capacity was 1.1 million ton, now it is 1.2 million ton. So, there has been addition by 110,000 tons to be precise in the capacity and if you calculate the volume, it was kind of unchanged on a Q oQ basis.
Aditya Welekar: And on CAPEX guidance for 25 and 26?
Anubhav Gupta: So, CAPEX we have around Rs. 3.0 to Rs, 3.5 bi llion of residual CAPEX which we shall spend over the next 6 to 7 months and we shall reach 5.0-million -ton capacity.
Aditya Welekar: And one question on this value -added product share , means it is 55% and that percentage is almost flat year over year. So, what is the function of that value added product share in our EBITDA per ton increase means do we see any case where we can have the flexibility to increase the value -added product share and reduce our general product share because in this quarter we have incurred losses on EBITDA per ton basis on general product. So, in that scenario is that market is developed or is there a sufficient market for pushing volumes for value added products ?
Anubhav Gupta: Aditya, please understand that the EBITDA loss in general category is not because of our pricing but because of Rs. 2,000 per ton inventory loss which we booked for the whole company . So, if I remove inventory loss, it was pretty much profitable product . And there is no strategy to. lower the volume from general products, because the opportunity which has come in front of us with the decline in the sponge iron steel pipes we have almost 500,000 ton of new incremental monthly market which we can target very, very aggressively . We have the capacities. We hav e the distribution network . It's one of the fastest -moving products. So, here the inventory churns are even higher. In this segment, inventory churn touches almost 20 times a year . So, on EBITDA per ton basis, you may see it being dilutive, but on ROCE basis this is like super accretive, and we are not going to leave any stone unturned two to grab the market from sponge steel pipes which got opened up over the last 3 -4 months because it is not ROCE dilutive, it is highly ROCE accretive.
Moderator: Thank you. Our next question is from the line of Bhav in Pande from Athena Investments. Please go ahead.
Bhavin Pande: So, I just wanted to draw your attention to slide 23 on the opportunity in solar. Just looking to quantify the size of the opportunity and second, if you could touch upon if products in this particular offering are fungible, could it be used across segments ?

Anubhav Gupta: The products are not fungible . The target, if you look at the opportunity in the area of residential rooftop , there our l ighter structure will be used. Now, for ground mounted, one is stealth so there our (Inaudible) 0:48:57 sheet and the thicker colored coated sheet will get used and for tracker, again we have specialized tubes which can only be used in solar tracker s. So, these capacities are not fungible. So, we have introduced the products specifically for each area.
Bhavin Pande: And Anubhav , what would be the mix o f exports and domestic revenue?
Anubhav Gupta: So, if you look at our Dubai sales, that is our internationa l sales.
Moderator: Thank you. Our next

question is from the line of Bharat Shah from ASK Investment Managers.
Please go ahead.
Bharat Shah : I just wanted to ask one question. O ut of the other expenses which are booked per to n, so which was about 4 ,400 odd in the first quarter, a little over 4 ,000 in the second quarter , how much conceptually is likely to be fixed cost and how much is kind of variable linked to the output? In other words, as we ramp up the sales, what kind of operating leverage I can expect to see on a roughly 1 lakh extra kind of ton per quarter ramp up that we are talking about. Just to get a bit more clarity on that ?

Anubhav Gupta : So, Bharat bhai, in fixed cost , our primary is employee cost which right now is Rs. 1,050 a ton.
Bharat Shah : I am saying the manpower cost is about Rs. 1,000-Rs. 1,100 per ton in each of these two quarters that I have seen, I am seeing that expense which goes up Rs. 4,400 a ton in the first q uarter and roughly Rs. 4,000 in the second quarter. So, what kind of operating leverage one can hope , in other words, how much normatively is the fixed element of the cost broadly? I mean it need not be very precise and how much is likely to be the variable part ?
Anubhav Gupta : Bharat bhai, like I was saying, in fixed cost , there are three main components, right , one is employee cost, s alary , second is head office expenses and third is the branding expenses. Now , in the variable cost , which are #1 power, #2 consumables, #3 steel wastage and #4, the freight cost. And if you look at the operating leverage which we can get right from the employee cost , from the head office expenses and the advertisement expenses almost Rs. 500-Rs. 6 00 per ton operating leverage we can ge t if we keep on producing Rs. 300,000 ton of steel pipes e very month.
Bharat Shah : And o n the variable part also, we have program to save the cost in each of the areas. So, roughly what kind of improvement over the next 1 and 2 years , we expect to see on the variable part of the cost?
Anubhav Gupta : Variable , the power cost has some potential to go down because we are investing in the renewable energy, right , so that helps us reduce the cost . And secondly , on freight cost also , every day , we keep on improving efficiencies from the plant dispatched to the end market so

that we can optimize the freight cost and after opening or commencement of Siliguri and Gorakhpur plant s, definitely the freight cost to eastern markets will come down.
Sanjay Gupta : Bharat bhai, one thing is very clear . Right now, we are sitting with the expenses of close to 4.5 million tons we are sitting on that. As our volumes keep on increasing like power, power also we take in two parts. One part is if we run the mills we incur the cost. If we run the mill or not we have to give the power. Like in a plant we have made a connection of 4000 KVA but it is running at 3000 KVA but all the charges we have to pay for 4000 KVA. So, if you see the fixed cost of Rs. 2000 per ton in that main is fixed pow er which we need to have, branding expenditure, HO expenditure, marketing expenditure. If we achieve that volume then there will be major reduction #2. Our freight factor last quarter was 1900 its only export. If we do according to the local market then it almost Rs. 1600 ton. In that what happens if we have to pull any plant if there is a demand in one market like from Horus we have to send the material to Pune we used to send that pull that market. If material of Hosur is getting sold in Hosur so don't re quire to send the material to Pune market. As our plants are getting full then unnecessary freight factor is getting reduced as we are selling the material in the local market. Like to pull the Raipur We have to send to Pune, w e have to send to Bangalore a lso. So as the local market of Raipur, Eastern UP, MP and Gujarat as the

demand is getting ramped up our freight cost is reducing.
Today if we send the material to Bangalore then our freight is Rs. 4000 ton and if we send the material to Ahmedabad then our freight is Rs. 2500 tons from Raipur so that cost is getting reduced. Now we are in the process of working on the costing . Everything is linked to volume and unfortunately over the last couple of years we were stuck with the volumes, we could not do the v olume if we wanted to. Right now, as the volumes is increasing we will come across some mistakes then we will remove that. If there is something good we will make it more better. Now we have come into that process. So, I think Q3 and Q4 will tell a lot abo ut the future of the company.
Moderator : Thank you very much, sir. Our next question is from the line of Shailesh Raja from B &K Securities. Please go ahead.
Shailesh Raja: Sir, how is the current CAPEX trend seen in the government infra projects like metro, railway station, airport, then water infrastructure project like steel water tanks, which you were roughly in the 2-3 quarters back ? So, today, what is our total volume from this sector and what is the total overall contribution is coming from government infra projects ?
Anubhav Gupta: So, Shailesh , around 2 0.5% of our sales come from the infrastructure project, right , the last few months have been pretty slow, right , because of elections and n ew g overnment formation and delayed budgets and then monsoon. Now, in the month of October, we have seen the pickup right , but we have been working on these projects for the last 1.5 years in terms of the approvals and design, right . So, we have s tarted to see good traction from October onwards and this momentum should continue throughout FY25 and FY26.

Shailesh Raja: Is it back to pre -election premium?

Anubhav Gupta: Not yet, because now North India again will see construction slowdown because of the elevated pollution level, right. So, we believe that Jan, Feb, March , last quarter, we shall see the pre - election levels of momentum.
Moderator: Thank you. Our next question is from the line of Vikas h Singh from Phi llip Capital. Please go ahead.
Vikash Singh: Sir, just wanted to understand one thing that the competition is also getting into this segment, which previously was dominated by you only , basically you are the only player . At the same time, you are actually selling more of low -grade products. So, in this c ontext and giving lot of HRC capacity coming, so competition will also get some benefits of the bulk buying, how do we expect that our blended EBITDA would still be growing to 5000 -6000 level, given our value added would also come under pressure ?
Sanjay Gu pta: Vikash, what competition are doing, we don't bother because we have our own branding. We have our own distribution network; we have our own expertise on the costing part . Number three, market is also expanding, see in any business competition keeps on coming but we don't think there is any serious competition in our segment . It is fine that some one is coming in API, someone is coming in DI, someone is coming in galvanized , and we are creator. We create our own market, and we are doing lot of small thi ngs, that you can see in the volume of the market. We can't describe on the phone. If we lose a bit of market share because of competition then our business is not going to finish. Our expansion is keep on going, in November our 1000 square line will start in Raipur which is of 1 lakh ton capacity which is a new innovation of a kind. We have put a thicker color line that is ramping up gradually and its market is developed that will increase our valuation . If we increase our valuation 2 lakh ton to 4 lakh to n per annum then may be 50000 tons, 1 lakh ton, 20000 if commission does not come in that we don't bother. Lik

e we
are pre -galvanized pipe we are preparation of bringing a new pipe which will be done by March. This is the way of life people would want to c ome up and we will try to go more up. Try not to worry.
Vikash Singh: Sir, just one small clarification, I know the inventory loss point has been said so much, but we had a similar situation in 2Q FY23 when we export duty led to almost Rs. 10,000 price correction . Even then, we have managed these EBITDA per ton reduction of only Rs. 700, while this time was almost Rs. 2,400. So, are we setting up some extra inventory equals this time, or I am reading the situation differently ?
Sanjay Gupta: That time I d on't remember, but I think that time we compromise with the volume .
Vikash Singh: Sir at that time your volume was 602 KT versus previous quarter 422 KT. So, the volume was also good actually.

Sanjay Gupta: I cannot tell you right now why it has happened s o that time, may be Patra market was good at that time or we could have good export order without seeing a fact I don't want to comment anything.
Moderator: Thank you. Next is a follow -up question from the line of Bharat Shah from ASK I nvestment Managers. Please go ahead.
Bharat Shah: Sir you were saying that our cost structure is 4.50 million ton to 4.75 million tons but we are doing lower and net -net there is a Rs. 2000 there is effective scope for saving ? Just part of the variable cost like power where there is some level semi -variability. When you were saying that my call got dropped.
Sanjay Gupta: Bharat Bhai whether we do the business or no around Rs. 45 crores per month is our total fixed cost which we can reduce to Rs. 40 crores. We are trying that somehow we bring it to Rs. 40 crores and our volume around 15 lakh ton so if we bring it to 40 and if we increase our volume to 1 million ton which is our target for the quarter that we reach to 1 million to n within one or two quarter then our cost will come Rs. 1200 per ton which will help us to improve our margin.
Bharat Shah: So, there will be saving of around Rs. 700 -800 per ton basis ?
Sanjay Gupta: Yes, because we are sitting at the higher expenses, and we are doing the lesser volume .
Bharat Shah: Is there any program on saving at the variable cost side?
Sanjay Gupta: In variable cost we save at two places more, one is on the freight factor. Freight factor like we are running Hosur plant, Hosur Plant -1 has tonnage of 45000 ton per month. Now we are selling 35,000 to 38,000 tons material in the local market and our demand is more in the Pune market or demand in Ahmedabad is more or demand is more in Hyderabad then we will shift the material from Hosur to Hyderabad, Pune, Ahmedabad wherever we have more demand. Though we don't send to Ahmedabad, we shift to Hyderabad and Pune. If we sell the material in the local market of Hosur then in the local market our average freight comes to Rs. 600 per ton to Rs. 700 per ton and if I sell my material outside them my cost comes to Rs. 1600 to Rs. 1700. Then I save extra Rs. 1000 directly on the material so as the market is expanding my material is getting sold locally then my freight cost should come down. There wi ll be impact in the power and like we are

making tube mill pipe and the capacity of tube mill is to make Rs. 200 per ton per day so leaving the tube mill all the capacities are running whether it is cranes, water motor pumps there will be not much of an im pact. Like our expense is Rs. 40 units per ton on tube mill and suppose our tube mill runs at the full capacity then our unit cost will come to around Rs. 35 unit per ton. Then unit cost is around Rs. 8 to Rs. 7 then it comes to Rs. 40 to Rs. 50 per ton. I f there will be pressure on the mills then our yield will come down marginally. There will be a slight improvement like Rs. 50 per ton, Rs. 100 per ton, or Rs. 30 per to

n and it other expenses too. So there will be no major fixed cost but here also Rs. 200 per ton to Rs. 300 per ton cost will get reduced overall, breakdown also get lessen, if there is no pressure to make the material in the plant so what

happens we have to store the material in the plant then our handling increases and if the handling incre ases our wastages increases. So there are many factors, Bharat Bhai. My ultimate goal is to run at a full capacity. Unfortunately, we have already placed full capacity so anyhow I have to complete this and we are just aiming to that.

Bharat Shah: Sanjayji , will it be fair to say we finally are at a point where all that we needed or all that we have desired in market conditions is what we have got today . In other words, on the valuated component, realization steadily should improve. On the raw material side, we now have stable conditions and favorable one where we can at a lower end expand the volumes on the fixed asset , fixed cost side , we will have operating le verage benefit to save to gain and on the variable, our efficiency and cost saving programs will result in some reduction . And all of the combined rate opportunity in the global arena , overall, I would say that there should not be any reason now going ahead for APL Apollo not to be right at the top and shining . Otherwise , it will require a lot of intr ospect ion within as to why we told a ll the favorable factors, I would say there is now no scope for any analytics. It is only the numbers.

Sanjay Gupta: Bharat bhai in the beginning of the call I have said very clearly that everything is in our favor. This time we don’t have any excuse. If we are not able to do it then this is a worry point for us and we have to rethink about whole system and the structure why we could not do it. We don’t have any excuse as on date to be frank. If will not be able to make i t I will say that I am unable to do it. But I will not give any excuse. Right now I can boldly and proudly that I have no excuse except to deliver that number because my whole system knows this and we working full hours. You can check from anywhere. We are working overnight at this time to prove this. If does not happen, why it did not happen, why I did not happen we will come with the reason. We are a failure, or our structure needs a whole revamping but today I can say boldly and loudly and again I am say ing we don’t have any reason except performing. Quarter -on-quarter we have to give our performance exceptionally good not just good.

Moderator: Thank you. Our next question is from the line of Omkar Gughardare from Sri Investments. Please go ahead.

Omkar Gughardare : You mentioned that because of the price differential in the sponge steel market , you will be able to garner the additional market. So, what exact steps are you taking in order to garner that market which has been vacated ?

Anubhav Gupta: Which m arket are you talking about?

Omkar Gughardare : The sponge steel market, that is how you mentioned. So, you said that you will be capturing volumes from that market, right, be cause of the price differential ?

Anubhav Gupta: Correct.

Omkar Gughardare : So, what exact steps are you taking in order to garner that market share?

Anubhav Gupta: It has become a pool market, right ? If we have the product , right and if we are able to service our distributors, well, the sales will go up automatically, right, because the end user, whether the fabricator or contractor or a house owner, if he is getting HR coil quality steel pipe at the same price or maybe at a price gap of 5% so he is going to ask for APL Apollo Steel pipe, right , and my product has just to be available at my distributor counter so that he can service his retailers, his fabricators efficiently and the sal

es will go up on their own.

Omkar Gughardare : Just a small question is that how has been the month of October as we are already at the end of October?

Sanjay Gupta: We are right on target.

Omkar Gughardare : So, whatever you mentioned right now that you will be gaining moment um in each of the segments, the revenue, the volume and EBITDA, everything, do you think you are on target?

Sanjay Gupta: I don't kno w about EBITDA right now . Right now , I know about the volume . The month is not over yet, so I would not know about the EBITDA but as far as volume is concerned, we are right on the target but if I would have a slightest of doubt I would not have said that.
Omkar Gughardare : So, you are right on the track for whatever you have guided so far?
Sanjay Gupta: Yes.
Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing comme nts.
Anubhav Gupta: Thanks Y ES Bank for hosting us and thanks to all the participants and I wish everyone Happy Diwali on behalf of APL Apollo Tubes . Thank you so much.
Moderator: On behalf of YES S ecurities, that concludes this conference. Thank you for j oining us and you may now disconnect your lines.

Call: Jan 2025

23rd January 2025
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Mumbai -400001

Scrip Code : 533758

Re: Transcript of the Conference Call held on Janua ry 20, 2025
Dear Sir/ Madam,
Pursuant to Regulation 30 read with Schedule III of th e SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, and with reference to our letter dated 15th January 2025 intimating you about the schedule of conference call with Analysts and Investors held on January 20, 2025 , please find attached the transcript of the aforesaid conference call.
This above information is also available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking y ou

Yours faithfully
For APL Apollo Tubes Limited

Vipul Jain
Company Secretary and
Compliance Officer

Encl: a/a

“APL Apollo Tubes Limited
Q3 FY '2 5 Earnings Conference Call ”
January 20, 202 5

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MANAGEMENT : MR. SANJAY GUPTA – CHAI RMAN AND MANAGING DIRECTOR – APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL – DIRECTOR , OPERATIONS – APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER – APL APOLLO TUBES LIMITED
MR. CHETAN KHANDELWAL – CHIEF FINANCIAL OFFICER – APL APOLLO TUBES LIMITED

MODERATOR : MR. SAILESH RAJA – BATLIVALA & KARANI PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY '25 Earnings Conference Call of APL Apollo Tubes Limited, hosted by Batlivala and Karani Private Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sailesh Raja from Batlivala and Karani Private Limited. Thank you, and over to you, sir.
Sailesh Raja : Thanks R ayo. Good evening, and thanks to everyone who have logged into APL Apollo Tubes Limited 3Q FY '25 earnings conference call. Now let me introduce the management participating with us in today's earnings call. We have with us Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Deepak Goyal; Director, Operations; Mr. Anubhav Gupta, Chief Strategy Officer; and Mr. Chetan, the CFO. Now I would like to turn the call to Mr. Anubhav Gupta for the opening remarks, followed by Q&A.
Anubhav Gupta : Thanks, Sailesh, and thanks B&K Securities for hosting APL Apollo for its s econd -- third quarter FY '25 earnings call. I welcome all the participants who are joining this call. Well, I welcome everyone with a lot of enthusiasm and excitement because it was a very critical quarter for us because of the very weak earnings in the p revious quarter wherein our profitability had declined quite significantly. But we are glad to share that quarter 3 has been our best quarter ever where the all -time sales -- with all -time high sales volume, EBITDA and net profit.
During our second quarte r earnings call, we had promised to deliver 10% sales volume growth on a quarter -on-quarter basis and report EBITDA range of between INR4,000 to INR4,500 per ton. And we have achieved the same. But I just like to highlight here that this has been only possible because of the resilient business model of APL Apollo Tubes.
The macro environment has been very difficult since the beginning of this year due to multiple factors such as weak retail demand and a slowdown in the government spending. Despite this, we have been able to achieve a 20% sales volume growth for the first 9 months.
Well, we were well aware of the situation and our focus was to increase sales volume and kill the competition. As you can see that 9 months FY '25 sales volume growth of 20%, whi ch we reported, and we can bet that this is higher than any other competitor or players who have been producing and selling steel pipes.
This implies that APL Apollo steel pipes has gained significant market share in the overall steel pipe market, which a lso includes low -grade sponge iron pipes because of the transition from sponge iron to HR coil steel pipes as the prices for primary raw materials have fallen over the last 3 to 4 quarters.
Now going forward, we expect sales volume to increase quarter -on-quarter, which is backed by number one, market share shift from sponge iron steel pipes to HR coil steel pipes, where APL Apollo has a clear dominance and line market share.

Our international sales volume is also going strong with the commitment of Dubai plant. Now that plant is operating at 58% utilization, if we look at the third quarter volume. This was very much there on the cards because we knew that we must have access to cheaper steel outside India and Dubai was the perfect destination where we have access to cheap steel from Asian countries.
The third factor is our focus on adjacent round pipes, which is part of the building materials portfolio where we have the capacity. We have the same distribution network, and the pipes are going into build

ings for HVAC and water piping and is part of the overall construction material portfolio, which contractors use while construction.
The fourth factor is the ramp -up of our innovative products from Raipur. If you look at the expanded capacity in Raipur, which is 1.2 million tons, the utilization rate is 55%, it would have been higher in Q3, but because of raw material situation like lack of raw material availability in Raipur from one of our steel suppliers, there was loss of volume. Otherwise, this utilizatio n rate of 55% would have been definitely better.
And lastly, our penetration into Eastern market with the commencement of 2 plants, one in Gorakhpur and Siliguri. Gorakhpur will take care of Eastern UP and Bihar, Orissa belt. And Siliguri plant will take care of Northeast markets where a lot of construction activity is taking

place, and it has been the focus area for Indian government.
Now talking about the margins, what levers we see are, number one, operating leverage benefits as we ramp up our capacity , which today stands at around 4.3 million to 4.5 million tons and ready to reach 5 million tons over the next 1 year. Right now, we are producing and selling around 3.3 million ton run rate. So, there is INR400 to INR500 per ton operating leverage benefit, what we see over the next 1 to 2 years as we utilize near 100% levels.
Then value -added product mix improvement coming from our Raipur and Dubai plants. Again, it gives us visibility for INR400 to INR500 per ton expansion in our EBITDA spreads. And thirdly is the ongoing discounting, which we shall pull off once we see strong demand pull in the end market, which right now is missing. So, we expect that Indian macro situation should improve in t he coming quarters as the government starts spending. And as the monetary situation eases out, the retail demand should also recover in the second half of the ongoing calendar year.
So based on these factors, we are confident that we shall achieve 3.1 mil lion to 3.2 million tons of sales volume for full year. And absolute EBITDA slightly better than last year because there was a lot of mix on the earnings front in the second quarter. So, we are trying to make that up in Q3 and Q4. So, we believe our full y ear EBITDA should be better than last year EBITDA.
Now that we are ready with 4.5 million ton s capacity going to 5 million tons over the next 12 months , so we do maintain our sales volume target of 4 million tons by FY '26 and 5 million tons by FY '27.
The residual capex for these new plants and to reach 5 million tons is around INR6 billion, which will be funded from internal cash flows over the next three to four quarters. If you look at our

balance sheet, it remains near debt zero, which is obviously bac ked by efficient working capital management, now that has been proven over many quarters.
The nine-month ROE /ROCE looked slightly depressed because of, again, poor profitability in second quarter, but same shall improve over the coming quarters as our earn ings expand to normalized level and we ramp up our capacities.
That's all from our side. We are ready to take questions. Thank you so much.
Moderator: First question is from Amit Dixit.
Amit Dixit : Congratulations for a good set of numbers and strong rebound after Q2. I have a couple of questions. The first one is essentially, if I still look at your other expenses per ton, they are practically very static if I compare it with last quarter. So last q uarter, you highlighted that there was an element of around INR493 in terms of per ton in terms of the discounting. What kind of discounting did we see this quarter? And where it is likely to settle let's say FY '26 ?
Anubhav Gupta : So, Amit, there are two things. The other expenses don't account the discounting, okay ? That gets net off in our selling price.
Amit Dixit : Okay. So, wh

at prompted the…
Anubhav Gupta: Go ahead, yes.
Amit Dixit: So, I'm asking then what prompted these other expenses to remain at a pretty high level of INR4,045 a ton ?
Anubhav Gupta : Right. So, if you look at the other expenses, they are around INR3.35 billion in Q3 versus INR3.1 billion in Q2. This is like increase of around INR25 crores on a quarter -on-quarter basis, right? In this, the main element, if we see, one is the freight outwards, whi ch has increased by INR15 crores, right? And then power and fuel, which has gone up by INR5 crores. Then, of course, some miscellaneous expenses, which are pertaining to the plant because plant utilization levels were going up. So, some INR10 crores, INR15 crores increase in the miscellaneous expenses, which pertain to the plant.
Amit Dixit : Okay. So, going ahead, will it remain at the similar level, or we can expect some kind of a drop here?
Anubhav Gupta : So, of course, I mean the major expenses there are freight outward and power and fuel. So, they are variable, right? They would go up as the volume expands, right? But rest of the expenses like consumption of stores and spares, branding expenses, legal professional expenses and miscellaneous expenses, the y shall remain stagnant. And on a per ton basis, they will come down.
Amit Dixit : Okay, understood. The second question is on EBITDA per ton for general structures. Now compared to the loss that we made last quarter. I mean, this quarter, you have shown a very smart recovery. Of course, it might be due to the declining spread between HRC and Patra. So

can we -- I mean, it's near INR2,000. So, can we see it further expanding as we go ahead? Or you think most of it is done?

Anubhav Gupta : Right. So, see, I me an, between Q2 and Q3, the difference is the inventory loss, which we booked of around INR2,000 per ton, right? That got negated and that's why the margins are up. So, going forward, we are very aggressive in taking market share from the sponge iron steel pipes, right? And we are being very aggressive in the sales push.

So yes, as we ramp up the volumes, the margin in general segment should recover. But it will take a few quarters, right, where you see margins going up to INR2,500 or INR2,800 per ton in this specific segment. Because this is the segment which directly competes with sponge iron pipes.

Moderator: The next question is from Akshay from Canara Robeco Mutual Fund.

Akshay: Just two questions. So , Anubhav , first question i s on the rustproof products. So there, at least I see that the margins are still lower. I mean usually, we used to do at least INR6,500, but still, we are INR1,500 off in rustproof. So, any specific reason, is it higher competitive intensity? Or what is it, if you can talk about that, that is first?

And secondly, Anubhav , as you said that we are trying to grab market share from the sponge iron side. So practically, it competes with our c ommodity side products. So then in this backdrop, does it mean that the VAP improvement, which we were earlier envisaging, will it happen at a slower pace versus earlier envisaged? Of course, your value -added products are also improving, but then if we see the overall mix, it doesn't reflect that much. So then how should we understand this VAP improvement?

Anubhav Gupta : So, Akshay , I'll address the second question first, right. See, I mean, if you look at APL Apollo, we have clear two business segments ; one in general, second is value -added. Now APL Apollo is a company which doesn't have scarcity of resources, right, whether to produce general segment products or value -added products, right? We have enough capacity for both segments. We have enough manpower to run both capacities. We have enough distribution network to sell both products, and we don't have any limitation of working capital , right? Anyways, we are wor

king
on two days working capital.

So how we see is that both of the two segments are operatin g separately. Then there is good demand for general product because the natural transition is happening from sponge iron pipe through HR coil pipes. So, we are being aggressive, right? I'm not growing my general product sales at the cost of value -added pro ducts. Please understand that, right? I have enough capacity, enough resources to run value -added product portfolio.

It is just that the demand at the macro side is not favouring the overall growth for value -added products. And general segment is growing despite the weak macro because of this transition, which is taking place, right? So, this is industry phenomenon. And we are taking advantage of it. But we are not growing at a cost of value -added products. Whenever there is macro support coming, right, an d demand for our -- whether it is coated products, whether it is Apollo Z ,

whether it is heavy structural pipe, whether it is light structural pipes, right. Whenever the demand comes, you will see similar growth to match general segment growth.

As far as t he mix is concerned, at 5 -million -ton capacity, the general segment is around 1.5 million tons and 3.5 million tons is the value -added product, okay. And as you know that we do not give nameplate capacity, right? We give sellable capacity. So, if the demand is more for general segment, we can produce and sell 1.6 million tons also from the same machinery, which today we, say, that the capacity is 1.5 million tons, right?

So as far as the capacity is concerned, out of 5 million tons, 1.5 million tons will be general, and 3.5 million tons will be value -added. But yes, if demand for general is more, we can produce and sell more from the same capacity. I hope this is clear.

And coming on question number one, on rustproof. See, I mean, right now, wh at we do is we give -- we have clubbed two segments under rustproof category. One is pipes and second is sheets. So, in pipes, we are still making INR6,000 per ton spread. In sheet, we are making lower margin. That's why on blended basis, it looks at INR5, 000 per ton because we don't want to give too much of sensitive data, which can be seen by our competitors.

So, I mean, we are trying to club the segment. Like this quarter, we also clubbed big and super big into heavy structural, right? But it's not that my margins in galvanized pipes has come off, it's not the case.

Akshay Chheda : Thank you.
Moderator: Thank you. The next question is from Shaleen Kumar from UBS Securities. Please go ahead.
Shaleen Kumar : Congrats on a good set of numbers. Did I hear you say correctly that we will try to improve on the EBITDA of last year and for the full this year?
Sanjay Gupta : What do you mean? Sanjay here.
Shaleen Kumar : This year's full year EBITDA, c an it be better than last year's EBITDA?
Sanjay Gupta : I am talking in a straightforward line; I don't know how to twist and turn and talk. Last year, we had promised , this year we will do a volume of around 3.2 million tons. I am very confident that we can do between 31.5 % to 32 %. Our volume ratio will definitely go in t his ratio.
Number 2, last year our EBITDA was INR1,192 crores . At any cost, we want to cross this figure.
We can do all numbers better than last year but unfortunately, we can't do the EBITDA per ton.
We can't beat last year 's. We want to beat the number o n the absolute amount of EBITDA on the volume basis. We want to take a growth of at least minimum 20%.
We want to take a growth and if there is in the absolute amount of EBITDA, we want a growth.
Number two. We have pressure on the margins. Our pressure is on two areas. If you see, in light structure our margins are between 1900 -2000 and in rust-proof our margin is around 5100. In this quarter, we are trying to improve both

of the margins. We are trying to take 1900 to 2500

and we are trying to take 5 ,100 to 6 ,000. So, if you see the impact of both of them, you will get an impact of INR400-INR500.
So, it means we are targeting this quarter more than INR4,500 per ton EBITDA.
Shaleen Kumar : Okay. So, Sanjay sir, you are talking about INR400 cr ores plus in one quarter ?
Sanjay Gupta : I am doing it perfectly , Shaleen ji.
Shaleen Kumar : And you are also talking about 4,500 per ton EBITDA?
Sanjay Gupta : Yes, I am. And I am doing it conservatively.
Shaleen Kumar : Sir, please tell me something. From the last few quarters, we have not been seeing growth. One thing happened between our HRC and Patra. That is in favor of us. But in large data [Inaudible - 22:09] there is no HRC. In heavy structure there is no HRC, in value added. So, what is happening there? Where do you get the confidence there?
Sanjay Gupta: No, as we are seeing from the projects, we have received a lot of inquiries and orders that have been stopped since the last 2 -3 quarters. Q2 was very clean. Q3 has revived a bit. I have seen that Q4 has revived a lot. It is very good. Plus, we have also got a very good order from Saudi Arabia. We have started a lot in new projects in Saudi Arabia. So, we are very confident. God knows but we are very confident that we will do better on every front .
Shaleen Kumar: Sir, as you said that you got an order from Saudi Arabia, will its supply be from Dubai?
Sanjay Gupta: Some parts are from Dubai and some parts are from India. The sizes of 300 to 500 are from India. 300 is from Dubai. Our 1000 square feet will start in February. We have a good order book for March. I have studied three things. I want to work on innovation, branding and cost controlling. I have been working on all three. Unfortunately, we have stopped our spending on innovation and branding due to the margins. Now we have been aggressive again.
I don't think we should face any issues. I am very clear about my roadmap plan. This year we could not give full number of inventory loss. But my vision of 4 million tons for next year is intact. My v ision for next year's vision is 5 million tons. And Anubhav was saying that the [24:11 -Inaudible] of INR500 crores are left. But not for 5 million tons.
Our capacity will increase and come to 5.5 million tons from 500 crores. Like we had, the capacity of the structure is decreasing due to cold rolling. So, we have added a new plant in Malur. We have added a new plant in Ahmedabad. We had an empty machine. So, we told them to go near the market and install it in Ahmedabad.
So, some of these capex have been added to it. So, the number of capex is increasing from 200 - 250. Otherwise, our capex were intact. Our capacity will reach around 5.5 million ton.
Shaleen Kumar: Sir, any new product like 1000 mm product?

Sanjay Gupta: We have a new product of 1000 mm squa re in this quarter. In next quarter, we will have a new product of Galvalume. In Q1, Galvalume – quarter -on-quarter we will keep bringing a product for innovation.

Shaleen Kumar: Sir, one challenge when we talk about distributors level, and this is more in South, they are saying that state government's capex is a bit less because…
Sanjay Gupta: I would have got all that in the same year I would have crossed 4 million tons. I crossed 3 lakh tons in October and 3 lakh tons in December unfortunately in Novemb er our slowdown was 238 in January we are going from 285 to 288.
Shaleen Kumar: Okay. What is our share in March?
Sanjay Gupta: We hit 3 lakhs in October and December. So, I am not saying that we will hit 4 million for next year. I take a target for tough. I believe in failing in my target. If I pass in my target, then what target did I take target for tough. I believe in faili

ng in my target. If I pass in my target, then what target did I take?
Shaleen Kumar: No, no, sir. Okay, sir. Very good, sir. Thank y ou so much.
Sanjay Gupta: You can discount your target by 10%.
Shaleen Kumar: I hope, sir, that you achieve your target sir.
Sanjay Gupta: If I talk about conservative, my team will be more conservative I am bullish, I will follow that.
Shaleen Kumar: No sir. We will follow that too . We will follow your target; you will achieve it.
Sanjay Gupta: Thank you very much.
Shaleen Kumar: Congratulations and thank you so much sir. I will go back in the queue. Thank you.
Moderator: Thank you. Rohit Singh from Nvest Analytics Advisory.
Rohit Singh: Good evening, sir. Congrats for a good set of numbers. Sir, can you please comment on why this slowdown in government spending like do you see any structural risk here like we were talking about growth. Last 2 quarters were also tough. But everyone was saying like economy wi ll start recovering Q3 onwards. But now suddenly, macro tailwinds are getting converted into headwinds. So, what's wrong happening in this space? Can you comment on it?
Anubhav Gupta: It's very tough for us to -- I mean, tell you the exact answer. But we a lso read a newspaper, etcetera, what everyone is, or everyone must be reading that the government spending on infrastructure for the first 9 months has been below budget, right. That is one. And second, of course, because of new government formation and th e delayed budgets and delay in release of funds, that is impacting some overall demand for the construction sector.

But that being said, some of the segments continue to do well. For example, railways, aviation, which have been the core focus areas for the government. There is some slowdown towards the water transportation infrastructure or other segments. But yes, I mean, everyone is hoping that with this budget, which is due over the next few days, the release of funds will start and that will give a push to the overall spending from the government side.
Rohit Singh: Got it sir. That’s it from my side. All the best for the future.
Moderator: Thank you. Next question is from Gargi from Value Investments. Please go ahead.
Gargi: Hi, sir thank you for the opportunity. Sir my first question was that we buy HRC from steel companies, and it is usually supplied at a standard size which is then later reduced to see APL's requirement via this cold rolled mill that we have. So, with respe ct to that, what is the standard thickness size that you buy. And in cold rolled mill, how much do we reduce the thickness?
Anubhav Gupta: So, Sanjay Ji, she is asking like what is the standard size of coil thickness, which we get, right? And we have to co ld roll to reduce the thickness.
Sanjay Gupta: We have taken a different type of thickness for different type of material. Like we have to make 0.8, so what will be the raw material for that, 1 mm, 1 ounce, what we require to make 1 -2, what will be the USP , we have to make 1.6 or to make 1.4. So, we are taking all the different type of thickness with the different type of finished product we required. There is no standard method.
Gargi: Sir, I actually wanted to ask you because in the previous calls I’ve h eard that, because of this cold rolled mill, the cost of production reduces in terms of the products wherein the low thickness HRC is required. So, what's the percentage of total APNs per product portfolio requires the low thickness coils? And are these th e products of light structures and apologizes?
Sanjay Gupta: Almost 30% we require for the thinner gauges.
Gargi: And sir, entirely we are doing it inhouse?
Sanjay Gupta: 30% material we are doing is the cold rolling.
Gargi: Okay, sir. And as per the requi rement, entirely, we are doing inhouse or cold rolled, are we also outsourcing?
Sanjay G

upta: No, no. So slightly, we are taking the house. We are now short of supply, so our capacity is full. So, we are taking some in the south with 5,000 to 10,000 tons p er month. Otherwise, we are totally equipped with our finished product. So, we are putting a plant in South also for this

product.
Gargi: Okay sir, so if the capacity of 5 million tons is there, what percentage of the product portfolio will require the col d rolled mill and how much will we do in -house?
Sanjay Gupta: Madam, this depends on the market, but the capacity of cold rolling was around 2 million tons. If we take 5.5, then we should have nearby 30% capacity of 1.65 million tons -- 1.7 million tons.

Gargi: And for this, we have set up the cold roll capacity in South India?
Sanjay Gupta: We have already, in South we got short. In South, we are planning to build a new plant in Malur.
Gargi: Okay, sir. And INR500 crores, INR600 crores capex you said, wil l be covered in that only?
Sanjay Gupta: Everything is there – Siliguri, Gorakhpur, Ahmedabad, Malur, 4 new plants and some capacity build up in Dubai, we are increasing it. So, all of that is there .
Gargi: Sir, second question is with respect to Shankara and SG Mart, with the current sales volume? So, what is the current sales volume of SG Mart and Shankara? And when we do it…
Sanjay Gupta: SG Mart, Apollo is not doing any business. If there is a coil shortage from the yard of SG Mart, we will take a littl e more than 1000 tons, 2000 tons of coil. I don't think we have perfect data. Shankara is doing almost 35,000 tons per month.
Gargi: And sir, how much is our target in 5 million tons to sales to Shankara?
Sanjay Gupta: We don’t prepare t his type of target and in so detail we don't get so much time on open call. This you can talk personally from Anubhav.
Gargi: Okay. Okay. And last question is with respect to in previous call, we had talked about our intention to expand distribution in US, Europe and Middle East. Sir, if you can talk about the export opportunities in these regions and what is our competitive strength?
Sanjay Gupta: Yes, Middle East, we are already -- we are doing 16,000 tons, 17,000 tons per month. So, our customer base is increasing a lot. A nd as our delivery and supply system is improving a lot, the import of the square pipe and the structural pipe has stopped. So, there is a little old stock, and we are just seeing that destocking is happening.
I think from February and March onwards, we h ave a good response from the Middle East market. And Saudi also we are doing 4,000 tons to 5,000 tons per month volume, and we are doing it in India. Our volume should increase there also. We are going to the second round of phase of capex in Dubai. Our ca pacity was of 3 lakh tons there. We are extending from 3 lakhs tons to 5 lakhs tons per month. In Dubai we can talk freely. We don't have to worry about Dubai. We can talk freely on the call.
Gargi: Okay. So, if you can expand. Destocking is happening, and imports have reduced in those regions, Middle East region. So, what is our late fees, is our cost of production lower or because it is a relatively new market for us. So, what is our churn?
Sanjay Gupta: The biggest game there is when we fixed our service , there was almost a dealer who used to run on a 4 -month inventory cycle. Like India, we started reducing the demand there. Like if I give you an example, till October -November, we used to get orders of 3000 tons, 2000 tons per month. We used to send the g oods.

Our service was not good, we used to supply. From last one and one and half months, we are not getting orders of 100 tons per month. We are confident that we will get to deliver the order within 48 hours. So, I can see this change in those market.
Management: The sam

e change what we brought to Indian markets in 2017 with introduction of DFT.
Moderator: Thank you. The next question is from Devvrat Mohta from Capital Group. Please go ahead.
Devvrat Mohta: Congratulations on a good quarter. I have two questions. Sir the general commentary that macro is very weak. What gives you confidence that you go from INR350 crores EBITDA to INR400 crores EBITDA in Q4? That's my first question.
Sanjay Gupta: I have confidence in my work. What database can I say? And what I am doing is visible on its basis. That I should not have any problem in achieving it. I have seen that from January onwards, till December price will break and will break more. So, we had to push the goods and sell them. That push sale is also slow ly getting over. Demand is also slowly getting created people are afraid that price will go down now steel price is on the bottom.
So, push sale is also getting finished we are also working very well we are focusing on everything, not just the cost.

Devvrat Mohta: Understood. And sir second, we are focusing on are saying INR400 crores in Q4 and on your volume, that means you have INR4,500 EBITDA per ton, so should we work with INR4500 EBITDA per ton as the base for FY '26?
Sanjay Gupta: My target is I NR5,000 minimum. Going forward, INR6,000. I am stuck in this situation that I am not able to say more. First achieve this and then I will talk about the next. My system is very strong. I am not happy with 4500 or 4000 is not my aim. My aim is minimum 5000 and going forward 6000. But for that I need a lot movement and I need external fast. I don't want to talk about 4500 -4000.
Devvrat Mohta: So, in worst case also you think you should be able target is 4500 and above that we will see?
Sanjay Gupta: Yes. My m inimum target is 4500 or going forward my minimum target is 4500. Because we are doing our policy according to 5000 rupees per ton. Now there are marketing team, CEO, Marketing Head, people of branch level, people of RM level. They pass on discount. I am s eeing a very low discount trend regarding December. We built our policies according to INR5,000.
Moderator: Thank you. Next question is from Sneha Talreja from Nuvama. Please go ahead.
Sneha Talreja: Congratulations on great set of numbers. Just a couple o f questions. On the previous participant's question, you put discounting is reducing. Versus Q3, where are we at this point of time?
Anubhav Gupta: So, Sneha till now whatever trends we see in the first 20 days of the quarter, ongoing quarter we see INR100 to INR200 per ton discounting pull off has been done by our sales team.
Sneha Talreja: Okay. So currently we are around INR300 -odd discounting on the channel?

Anubhav Gupta: INR300, INR350, yes.
Sneha Talreja: Understood. Secondly, just wanted to take som e flavour . I know you have been mentioning one fact that HRC capacity is in India are getting added up. But what is -- still there's an ADD implementation? How do we make sure that the gaps will still remain? So just some comfort on the gap of Patra prices and primary prices remaining?
Anubhav Gupta: So Sneha see, I mean, the logic says that even with the ADD there will be recovery, not to the extent what we saw during COVID levels where HR coil prices started going above INR60,000 a ton and then Russian -Ukraine war taking HR coil to INR70,000 a ton. That was the period which hit us the most. So, whatever happens at the policy level, we don't believe that the spike in steel could be to that extent.
Sanjay Gupta: Number two Sneha in the secondary type of mate rial, we never think about these products because there we don't have the business with us. Business is in the hands of the steel plant and if you see JSPL blast furnace has not started yet. JSW [inaudible 41:44] is getting stabilized. AM/NS blast furnace it will come in August, Sep

tember. So, in India there is a rumour , but bid not been done yet.
And when this capacity will build up the cost of production from secondary material it is almost 10,000 per ton it is less, short term maybe there is a future, bu t in long term if we see it will be sold in less rate and it will be costly. So, this business won't sustain according to me and apart from India nowhere secondary business runs.
Sneha Talreja: Understood sir. That was quite helpful. Thanks a lot, and all the be st.
Moderator: Thank you. Next question is from Pallav Agarwal from Antique Stock Broking. Please go ahead.
Pallav Agarwal : Good evening, sir. I had a question on the realization. So, this quarter on an average HRC prices did fall from the p revious quarter, b ut we have shown our blended realization there's an increase over the second quarter. So, any particular reason for that? Is it due to our value -added product or what has led to the better realization?
Anubhav Gupta : So, if you look at ou r NSR. So, if you look at NSR there is a stock in trade like in our cost if you see. So, if you remove that, then you don't see increase in the NSR. We've got to see it without increasing in stock in trade.
Pallav Agarwal : So, I have to reduce the stock in trade, what was the purchase even from the sales to come to the blended NSR?
Anubhav Gupta : That is right.
Pallav Agarwal : Okay. And will this trend continue of external purchases because I would guess the margins over there would be lower than in house products or this was more tactical thing or short term in nature?
Anubhav Gupta : Say it again, please?

Pallav Agarwal : So, I am saying w ill this trend of higher purchase of stock in trade continue because I thought that margins on a trading portfolio would be lower than our in-house products.
Anubhav Gupta : Trading is almost zero.
Pallav Agarwal : So, you did this because of to gain market share or any particular logic if it was not very profitable?
Anubhav Gupta : So, this is not manufactured product. This is raw material which gets traded. So, 828,000 ton for the quarter 3 is by manufactured volume which we give. And you remove stock in trade from the revenue, you will get the NSR for the manufactured.
Pallav Agarwal : Okay. So basically, the stock in trade was HRC, not the finished?
Anubhav Gupta : That is right.
Pallav Agarwal : Okay. Also in our presentation, you are mentioning , we were talking about the solar opportunity. So right now, what would be the proportion of volumes that go into the solar pipes?
Anubhav Gupta : So, there are like three products, which APL Apollo manufactures today which go into solar sector. One is from Raipur which is our alu zinc coils which go into the solar mounted structures for gr ound -mounted solar park. So that capacity started 6 months back, and we have started selling specifically for the solar sector.
Then there are some specialized tubes which go for the solar trackers. So that's a slow -moving product because you get -- we need a lot of approvals from the consultants of the independent power producers who are installing solar tracker and solar tracker anyways is anyways a new product for the Indian market.
Although we have exported a lot of pipes for in ternational trackers, but Indian tracker market is very new, and it is expanding at a slower pace. And third product is our standard pipes, which go on the residential rooftop solar . They are replacing angles and channels. Again, we have -- what we are doi ng here is that we are educating the EPC installers, EPC contractors to go over rooftops for -- at residential terraces and ins tall small solar plants.
So, yes, it's a new segment for us, but these are three categories, and we are working across all the th ree categories to boost volumes. Right now, the proportion is small, b ut over the nex

t two,
three quarters we see good volume coming from solar segment.
Pallav Agarwal : Okay. Because I think the tracker, is that the top tubes that we are talking about whic h we need approvals from?
Anubhav Gupta : That is right.
Pallav Agarwal : Because there I think the opportunity could be pretty big once you get the approvals in place ?

Anubhav Gupta : Of course, and again here the idea is to come up with like just -- not run of the mill tubes which a lot of our competitors are in the market and selling run of the mill tubes where margins are very less. And they are selling to the large players, very large conglom erates who don't give margins to their OEM vendors. So, we are not talking to those large customers.
We are talking to midsized customers where we he lp them with the design. So, then they are bound to buy tubes from us at our margin. Otherwise, whatever s ome players are in the market trying to sell solar top tube, there is no margin which any large developer will offer. Now we also tried, but we backed out because margins were like as low as INR2,000, INR3,000 a ton.
There could be some freight arbitrage, some players may be getting if they have the ir mill near to the solar park, b ut otherwise it's not a profitable segmen t with the large conglomerates where they have their design and they just ask you to roll the material to make pipes .
Pallav Agarwal: Sure. Yes, thank you so much.
Moderator: Thank you. The next question is from Bhavin Pande from Athena Investments. Please go ahead.
Bhavin Pande : Congratulations for a wonderful set of numbers. So, sir, when we look at heavy structure as a category even when we look at difficult quarters we had, metrics are fairly consistent. So how do we look at the demand scenario here and the customer base that we have , because it seems pretty much immune to dema nd scenario in the general space.
Anubhav Gupta : You're talking about heavy segment, right?
Bhavin Pande : Yes, heavy and premium products.
Anubhav Gupta : Heavy and?
Bhavin Pande : The premium products.
Anubhav Gupta : Premium products, which segment are you referring to in specific?
Bhavin Pande : Coated in Apollo Z and Apollo galvanized?
Anubhav Gupta : Yes. Okay. So, see, heavy structural tubes are definitely prone to the macro environment because these pipes go into infrastructure projects like railway stati ons, airports, health care infrastructure, et c., okay? So, the first 9 months have been tough in terms of demand from the

infrastructure projects, lik e any other building materials.
But because of our high market share, we've been able to grow this segmen t at 20% in first 9 months, okay? Then comes the Apollo Z or the light structure, this is a residential product, okay, that goes into homes. This is part of our 60% of our portfolio that goes into residential homes. Now again, the demand from retail side has been weak over the last 3, 4 quarters consistently, right? So here also, we are not getting any tailwind as such, right? We expect consumer demand to pick up from the second half of the current calendar year. And then we'll see good pickup in

light str uctures and Apollo Z. Light and Apollo Z are like maximum going into residential segment.
Bhavin Pande : And when we look at our ability to penetrate into markets where the market still has not grown or there's no mature market , like we are doing for Easter n market. So, is it safe to assume that we can put up more plants wherever we feel that demand visibility is there?
Anubhav Gupta : The Eastern market, we are starting with 2 new plants, right. Normally, any company would go for one plant, right? But we being Apollo, we are straightaway putting up 2 plants, right? One in Gorakhpur to capture Eastern UP and Jharkhand. And then we are pu t

ting our plant in Siliguri,
which will take care of these second sister states, right? And some exports maybe to Burma, etcetera. Bhutan , we keep on getting good inquiries from there.
So yes, I mean, the idea is to seeding these plants first, so the mini mum investment. If -- I mean the response would be good because our market share in that market is very low, right? And then we don't mind expanding capacities as our plants ramp up. That has been our strategy, right? We go slow and then we become aggressi ve once we see the trends for market share gains.
Moderator: The next question is from Andrey Purushottam from Cogito Advisors . Please go ahead.
Andrey Purushottam: My question has been answered. So, thank you.
Moderator: Thank you. We'll move to the next question. Next question is from Aditya Welekar from Axis Securities.
Aditya Welekar : Yes, sir, just one clarification on the residual capex. So, in the last call, if I recall, it was near about 3 billion to 3.5 billion. And now it's 5 billion. So that is f or the capacity expansion earlier it was 5 million tons. Now it is 5.5 million tons, right? Is my understanding correct?
Anubhav Gupta : That is right. Yes.
Aditya Welekar : That's it from my side. Thank you.
Moderator: Thank you. The next question is from Arpit Tapadia from IGE Family Office . Please go ahead.
Arpit Tapadia: Congratulations on a great set of numbers. My question is, as you highlighted in your opening remarks about the scarcity of raw material availability in our Raipur plant. So, what exactl y is that raw material and how scarce it is. And what the company is doing to mitigate the same?
Anubhav Gupta : So that was like a minor shutdown from our Tata Steel plant, which impacted our volume. So, this was not a significant -- this was not a signifi cant loss, right, to the volume, which would have made us to change our strategy in sourcing of steel. Yes, I mean the volume could have been higher 5,000 tons to 10,000 tons, right? But it is stable now from Jan onwards, it's been pretty stable.
Arpit Tapadia: Okay, great. That's it from my side . Thank you .

Moderator: Thank you . The next question is from Mann Ashar from GrowthSphere Ventures . Please go ahead.
Mann Ashar: Congratulations for the set of numbers. I just wanted to understand as the demand i s shifting from, say, secondary prices to HR coil pipe. So how do you see narrow -width HR coil pipes as a market , because there are competitors emerging from that area as well and the pricing is very much similar in the market to HR coil prices ? And so jus t wanted to understand your view from a competition perspective, of that particular segment ?
Anubhav Gupta : You mean the Patra , right?
Mann Ashar: Narrow wi th HR coil?
Sanjay Gupta : Well, there is no quality of Narrow with H R coil. There is HR coil or there is secondar y. Whatever you share narrow wi th, Patra , secondary whatever. But there is only 2 type of material in the market, one is primary, one is secondary.
Mann Ashar: Okay, sir, got it. Thank you so much.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.
Anubhav Gupta : Thanks, everyone, for dropping by and listening to our Q3 Investor Call. And thanks to B&K for hosting us. We look forward to speak to everyone during the earnings call. Thank you so much.
Moderator: Thank you very much. On behalf of Batlivala and Karani Private Limited , that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: May 2025

13th May 2025

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Phiroze Jeejeebhoy Tower,
Dalal Street, Fort,
Mumbai -400001

Scrip Code : 533758

Subject : Transcript of the Conference Call held on May 07, 202 5
Dear Sir/ Madam,
With reference to our letter dated 01st May 2025 intimating you about the conference call with Analyst(s)/ Institutional Investor(s) held on May 07, 2025 . Please find attached the transcript of the aforesaid conference call.
This above information is also available on the website of the Company.
We request you to kindly ta ke the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

(Vipul Jain)
Company Secretary and Compliance Officer

Encl: a/a

“APL Apollo Tubes Limited Q4 FY'25 Post Results Earnings Con ference Call ”

May 07, 2025

SANJAY GUPTA : MR. SANJAY GUPTA - CHAIRMAN & MANAGING DIRECTOR , APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL - DIRECTOR (OPERATIONS), APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA - CHIEF STRATEGY OFFICER , APL APOLLO TUBES LIMITED
MR. CHETAN - CHIEF FINANCIAL OFFICER , APL APOLLO TUBES LIMITED

MODERATOR : MR. SAILESH RAJA - BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the APL Apollo Tubes Limited Q4 FY '25 Post - Results Earnings Con Call hosted by Batlivala & Karani Securities India Private Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions once the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your t ouchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sailesh Raja from Batlivala & Karani Securities India Private Limited. Thank you and over to you, sir.
Sailesh Raja: Yes, good evening, all. On behalf of B&K, I would like to thank everyone for joining APL's Q4 FY'25 Earnings Conference Call .
We are pleased to have with us today Mr. Sanjay Gupta – Chairman and Managing Director ; Mr. Deepak Goyal – Director of Operations ; Mr. Anubhav Gupta – Chief Strategy Officer and Mr. Chetan – CFO of the Company .
I will now hand over the call to Mr. Anubhav Gupta for his opening remarks following which we will open the floor for the Q&A. Over to you, sir.
Anubhav Gupta: Thanks, Sailesh , and thanks B&K for hostin g our organization for our Quarter 4 FY'25 Earnings Call. I welcome all the participants who have dropped by.
If I have to start this call regarding our F Y'25 Earnings , a few highlights I would like to make :
1. We crossed 3.1 million tons as sales volume for the full year. This makes APL Apollo as the world's largest downstream steel player outside China. And in terms of structural steel tube, we would be even bigger than the Chinese steel pipe Company . It has been a second year that we have closed our balance sheet with net cash. As at 31st March 2025, we stand with net cash of more than Rs. 300 crores on our balance sheet.
2. Our operating cash flow to EBITDA is more than 100%. Again, if you see last 3-4 years trend, our OCF to EBITDA has been around 90% consistently.
3. Our ROC E for FY '25 was 25%. This is slightly off last year, but we shall come back very strongly, and we shall give you reasons as we move forward. And it's the fifth consecutive year of almost zero working capital days.
4. We started the C ash n' Carry campaign in FY '21 and throughout 5 years , our distributors, dealers, customers have given a thumbs up to our strategy of Cash 'n' Carry and which has led to massive cash flow generation for a Company over last 5 years.
And if you look at the performance in the last 12 months, I would like to take a step back a bit more. The last two years, we have grown our volume by 45%, 15 % in FY '24 and 20 % in FY '25.

This came in the hindsight of weak macros, weak retail spends, low government spend on infra structure, general elections, uncertainty on global trade and obviously the steel down cycle which started one and half years ago. So what it did is that it depressed our EBITDA spreads below Rs. 4,000 per ton in F Y'25 as we close the year with Rs. 3,900 per ton. But this is not the real APL Apollo. We are capable of generating much better EBITDA spreads and will tell about the strategy how we are going to achieve that. But what this growth has done to us is that this volume growth of 45 % in last two years it has made us reach at a market share within structural steel pipes where we can command massive brand premium.
Now if you look at the margin in our general product category we reported Rs. 2,800 per ton EBITDA. Now that's almost Rs. 1,000 per ton higher than what we have been reporting over the last five years. So even in the most competitive segment, which is general category, we are now minimum 5 % higher premium than our nearest competitor. Now this is the real

ization of brand
building, what we saw in 2020 when we moved to Cash 'n' Carry , because we knew that the steel pipe industry cannot survive without APL Apollo products . So we could command Cash 'n' Carry and after 5 years, now we are again sure that our brand is so strong, our market share is so strong that we can command more than 5 % premium even in one of the base category product segments. So this is a big achievement I would like to highlight what we have been able to achieve in FY'25.
And with this positioning, we are confident that we will c ome back with EBITDA spreads near Rs. 5,000 per ton in FY '26, which will even improve going forward as our sales mix continues

to improve and we continue to expand our markets internationally where we get higher EBITDA spreads.
As far as the volume guidanc e is concerned, we are highly confident that we can continue to deliver 20 % growth YOY over the next 3-4 years. And this is the reason that why we are expanding our capacities to 7 million tons in next few years from current 5 million tons. The CAPEX for this is around INR 15 billion, which will be spread across the next few years and it will be easily funded from the internal cash flows .
Now this expansion is based on 4 strategies :
1. Expansion in the virgin market s – So virgin market number one is East India, where we are adding two plants with combined capacity of 500,000 tons. The next virgin market is Dubai in the international market, where we are adding an additional 200,000 tons. Then in South India, we are addin g up a fourth plant with the capacity of 360,000 tons.
2. The next strategy here is the expansion in the new product segments – So one is the roofing sheet, which has done well for Apollo in the last 2 years since the launch. And we are increasing capacity by a further 500,000 tons in the segment and another 100,000 tons in the heavy segment.

3. To focus on exports from the Indian mills – And that's the reason that why we have decided to put up a plant in Bhuj, Gujarat with capacity of 300,000 tons. Now that India is being seen as a favorable trade partner from the west side, we are confident that with our strength of steel buying and expertise in structural steel tube, we will be able to gain market share in international markets from Indian mills as well.
4. To maintain the brand premium for APL Apollo, which will keep our margins high in the coming years.
Lastly, I would like to tell you that after 12 months when we come on this call again, our ROC E will be around 35 % and we would have covered all the earnings loss, what happened in FY '25 because of depressed margin s and the Company will come out much stronger with more cash on books and higher and superior ROCE.
Thanks so much. Happy to take questions now.
Moderator: Thank you , sir. We will now begin with the q uestion -and-answer session. The first question comes from the line of Amit Dixit from ICICI Securities. Please go ahead.
Amit Dixit: Hi. Good evening, everyone. And congratulations for a great set of numbers and announcing the capacity expansion plan, much awaited. I have a couple of questions. The first one is on the capacity expansion plan itself. So you have highlighted that you will also expand in roofing sheets and heavy structures. Now, I just wanted to understand what is our current capacity utilizat ion in both these segments and what gives us confidence to launch capacities in these two particular segments where the traction has been a tad slower. That is my first question.
Anubhav Gupta: The roofing sheet is 100 % utilized as of now , capacity front and that's why we are expanding. And in heavy structural, the utilization is 60 % as of now.
Amit Dixit: Okay . So by the time this capacity comes up, you expect that this segment also would be maybe fully utilized or above 8

0 % kind of utilization will be th ere?
Anubhav Gupta: That's right. It is a gradual increase, right, for next 3 years. So yes.
Amit Dixit: Of course. The second question is, in Slide # 22, you have highlighted the opportunity in solar space. Now, in which of these capacity expansion s this particular opportunity fits in?
Anubhav Gupta: For solar, see I mean there are like 2-3 kind of applications . One is the ground product s which come under coated. Then the top tubes , which come under heads. Pre -Galv also which is rust proof and some of the pipes also come in the galv. So it is spread across cate gory.
Amit Dixit: And is it true that for Solar, the support structure particularly, you can't use DFT? One of your competitors was highlighting that.

Anubhav Gupta: Yes, so as of now the top tubes are being produced on conventional mills , that is right.
Amit Dixit: Okay, sure. Thank you so much and all the best.
Moderator: Thank you. The next question comes from the line of Kumar S aumya from Ambit Capital. Please go ahead.
Kumar Saumya: Yes sir, so just one clarity I want ed to understand is QoQ, the steel prices had gone down by Rs. 5 and we had booked on an inventory loss of around Rs. 150 crores. This quarter, again the steel prices are up about Rs. 5. So if you could just help understand what is the inventory gain in this quarter ?

Anubhav Gupta: So, in Q2 , the decline in steel prices was around Rs. 8,000 a ton. That was very steep. That's why we had to book inventory losses. And in Q4 , the increase in steel prices around Rs. 2,000 a ton which does not move the needle plus or minus. So this EBITDA of Rs. 4.13 billion is without any inventory gain s.
Kumar Saumya: Okay. And sir lastly, what will be the utilization level s at Raipur and Dubai for the full fiscal as of 31st March?
Anubhav Gupta: So Raipur, if you see, it is around 60 % on blended basis across the product segments. And Dubai, we have operational capacity of 300,000 tons. And in Q4, we did volume of around 45,000 tons.
Kumar Saumya: And for the year end, Dubai sir?
Anubhav Gupta: Year end is around 145,000 tons what we did for the full year, 145,000 tons. Out of that 45,000 tons came in Q4.
Kumar Saumya: Thank you , sir.
Moderator: Thank you. The next question comes from the li ne of Bharat Shah from ASK Investment Managers. Please go ahead.
Bharat Shah: Hi, Sanjayji. The capacity, you said the growth rate of 20 % plus over next 3 years, but your own calculation suggests that it should be better than that because current demand for the structural steel tube is about 9 million ton, which is expected to double to 18 million in 5 to 6 years and essentially if we were to equal between HR virgin material and secondary root material for an half each but over 6 years we expect actually the secondary root to decline and therefore the entire increase to be taken up by the primary virgin material . Therefore that itself suggests close to 20 % compounded growth for six years and if we gain the shares further as we expect to , then we should be doing better than that 20 % isn't it?

Sanjay Gupta: Good evening , Bharat Bhai. I can explain you the growth is around 20 % because you know that economy and the scenario is not helping us and we are also pressure to maintain the margin also. The margin has come to less than 4,000, it was pulled up again to 5,000 level. And we have to maintain this margin also. But our total, I can say you that our total plan for 2030 is 10 million tons minimum. 10 million tons, means that 5 million tons we are already ready for marketing. Our plan is ready for 5 million tons and 2 million tons capacity already we planned which in next 3 years , or in less than 30 months we will set up 2 million tons capacity . In this we one pla

nt is Calcutta , one plant is Gorakh pur and S iliguri plant we have shifted to Calcutta , we got more advantage from there and Ahmedabad plant we shifted to Bhuj, because we more export market from there and one plant in Bangalore where we are short of material in lighter gauge , and one plant in Dubai for API Tube for exporting U.S. and Canada market and locally Dubai also and in coated product we are putting a capacity of 5 lakh -8 lakh ton in Raipur . So total for 2 million ton capacity for which investment of Rs. 1,200 crores will come . We have kept Rs. 200 crores -Rs. 300 crore for maintenance CAPEX for 3 years. We have taken a total of Rs. 1500 crore approval from board. Apart from that , we are doing 4 plants of 2.5 lakhs per ton each in value -addition which will be in 2030 depending on the ca sh flow and the balance sheet and economy, political institution also which remain in India, around 2.5 lakh tons of seamless pipe plant , 2.5 lakh tons of API plant, 2.5 lakh tons of Automated Tube Plant and 2.5 lakh tons of SS Pipe Plant . We have planned out 2.5 lakh tons of plants which will be set up by 2030 which we will incur around Rs. 1,000 crores total CAPEX . So total will be Rs. 2,500 crores for setting up plant by 2030. 2 million ton will be for light asset model and 2 million ton will be for outsourcing. The plants which are already there we have started talks, where our capacity pool is there. We will take that for outsourcing and our target we will be outsourcing 2 million tons. Total by about 2030 we have made a plan out of 10 million.
Bharat Shah: Okay, so you indirectly confirm that, that basically that number is a basic number but potential to do higher than that is evident in the capacity expansion that you are planning yourself.
Sanjay Gupta: Yes, sir.
Bharat Shah: Okay. Sanjayji. Second q uestion, which is emanating to your first one. You talked about the profitability which was stressed, the kind of swings in the unprecedented swing in the steel prices which was beyond anybody's control. So that I can understand. But as a strategy, we have best products, best plants, best ability to cover and industry growth itself is in evidence as to why it will do well and structural, primary steel tube industry why it will do well . So our 20 % or 22 % or 25 % volume growth, I definitely believe is somethin g which is implicit. Now our focus is to increase the profit and to increase it in a solid way. Focusing that will give quality of the growth far superior, predictability and solidity.
Sanjay Gupta: Bharat bhai. The question of profitability we have taken the EBITDA around 5,000, in Q4 also we keep the result. And I think so our FY'25 -'26 also it will be good with the pace we have started. Our focus now is on margin. Last February onwards the total focus in on margin, that

along with growth, margin also is there. The important thing we are seeing is we are getting growth even after that. Nobody can replace us in the market. So we have lot of confidence because of that and margin we will increase slowly, plus our value -added product lines are coming, like nex t month or this month we will start our 1000 square feet mill will start, which is the first mill with capacity of 1 lakh tons, but now we are target ing 50,000 tons in that. So my target is that we at least have an extra EBITDA of around 10,000 ton s. In rust proof pipe where our EBITDA margin which is around Rs. 7 ,000 per ton there we are increasing the capacity by 2 lakhs. It will start in this month, itself. In Dubai the margin is good. Dubai is ramping very well. Our 3 lakh ton capacity is already set up in Dubai, 2 lakh too will start in next 2 -3 months. So 5 lakh tons plant is there. Our value addition will increase from there. Our EBITDA margin which Rs. 7,000 -Rs. 8,000 per ton, from there our Europe, U.S. and Canada, goo

d market will
open up. So we are improving from here too. But I cannot commit more margin and don't want to take pressure on myself and the system, we have to see the growth and margin too, but no doubt margin will increase year -on-year.
Bharat Shah: That was what I was trying to say, basically our volume growth instead of 22% -23% it came to 20%-21% or 19% -20% then there won't be much difference, but profit pool needs to be increased more than volume growth, so overall…
Sanjay Gupta: Our focus is more on ROC E, like this year we are targeting, we take the target of ROC E of 35%. Our target is 35% ROC E, which was around 25 % this year. And in next 2 -3 years, our target is to increase this ROC E above 50%.
Bharat Shah: So that my last question on ROC E. You already answer ed it.
Sanjay Gupta : I have already answered your question.
Bharat Shah: Because s tructurally, per ton our CAPEX gain can be more than Rs. 8,000-Rs. 8,500 per ton and working capital we don't have . So, if we earn at least Rs. 5,000 EBITDA per ton, then 45 % of ROC E will be there.
Sanjay Gupta: Yes, this year, around 25% will be for our combined, full year. This year we are taking a target of 35 % and every year we will make it . My strength is controlling of the cost. My strength is to talk about the vision of future. We now i mproving the cost little bit more, like you would have seen this year our employee cost is almost close to Rs. 1 ,000 per ton. Now I think this year we will reduce to Rs. 800 per ton this year in F Y'25-'26 and in FY' 26-'27 we will bring it to Rs. 600 per ton. We are targeting in the two step s to reduce; it be difficult to bring down from Rs. 600, but we made our vision of Rs. 600 per ton . Number two, we have also given a signal to control the cost, I have withdrawn salary and all commissions everything, su rrendered it. Number 2, we have more gap. Our per unit cost is, last year's cost is Rs. 7.6 per unit cost , electricity cost. We have signed lot of Solar and other contract. So I think this year 7.6 we will bring it down to less than 6.5 and next year we ar e targeting to bring it down to 5.5. So if we have spent 30 crore s per unit, if we reduce the cost to Rs. 2 per unit and the consumption of the unit will increase , it will

go around 50 crores unit. So our savings will be Rs. 100 crores. So, we are doing a lot of work in small -small parts to control the cost.
Bharat Shah: It is difficult to get cost like APL Apollo. I will acknowledge that from bottom of my hear. Just last comment I will offer, feedback as well as comment. Given the unprecedented volatility in the steel price and given overall challenging demand condition especially considering the fa ct that this happen to be a year where pre -election, post -election phase got combined and therefore it affected the demand and many other things. So in this challenging environment, the first half, the second half result is commendable. Would you say that this probably has been the most difficult year to manage in terms of the external challenges ?
Sanjay Gupta: I don't know about the future geopolitical position, but last year of my life was very tough. It was very difficult to pull out good numbers in the second half. This is the toughest time of my life. I don't know how it will be going forward. I don't know but from February onwards, we are in the comfort position. Our April has gone well , we are on the right track. We were in very tough time .
Bharat Shah: Hearty congratulations, Sanjayji, entire APL team and all the very best for probably what is going to be the exciting phase ahead.
Sanjay Gupta: Thank you, Bharat bhai. We hope so that we live up to your expectation.
Bharat Shah: I have never seen a gap in the hard work that you do.
Sanjay Gupta: But there is a saying that "Jo Jeeta woh Sikkandar". We will be doing the hard work

, but now
will try to win and become Sikkandar.
Bharat Shah: All the very best for that.
Sanjay Gupta: Thank you, Bharat bhai .
Moderator: Thank you. Thank you, sir. The next question comes from the line of Aditya Welekar from Axis Securities. Please go ahead.
Aditya Welekar: Thank you for this opportunity. My question is specifically on the guidance on sales volume which we provided in the last quarter for '26 and '27 of 4 and 5 million tons. And if we go with 20% volume growth, this guidance is likely exceeding that. So is it fair to work on these numbers of 4 and 5 million tons of sales volume for '26-'27, or it will be slightly lower than that?
Anubhav Gupta: I mean, see this number which we gave, this we gave with a lot of thought, right, and a lot of calculation behind. It should be backed with the market situation. It should be backed with the capacities in our all the plant. It should be backed with our distribution network. It should be backed with our, with this situation, what is panning out at macro level, global polit ical level.

So, yes, I mean, we are confident that 20 % year-on-year volume growth for next 3-4 years is highly achievable.
Aditya Welekar: Okay and the jump in the EBITDA per ton for general products from 1970 to 2800 one factor is it because of the drop in the spread between Patra and primary and discounts coming off and will it sustain going forward?
Anubhav Gupta: No, this is because of the market share at which now Apollo is positioned , right , where the replacement for our brand is not visible.
Aditya Welekar: Understood. So it will be sustained, right, going forward?
Anubhav Gupta: It will sustain, yes.
Aditya Welekar: Yes, last part is on the guidance of Rs. 1,500 crores of CAPEX . How it will be phased out for year-wise if you can throw some idea for '26-'27-'28?
Anubhav Gupta: Rs. 500 crores per year you can factor in.
Aditya Welekar: Okay, thank you. That's all from my side.
Moderator: Thank you , sir. The next question comes from the line of Sneha Talreja from Nu vama Wealth. Please go ahead.
Sneha Talreja: Good evening , team and congratulations on strong set of numbers. Just wanted to deep dive on your EBITDA per ton. Firstly, you have of course pulled up the discount and you mentioned there are no inventory gains but what could be operating leverage benefit that you would have received only in this particular quarter?
Anubhav Gupta: So Sneha, if you see, I mean, Q3 volume was 830,000 ton and Q4 volume is 850,000 ton. So sequentially, cost benefits will not be too m uch visible. They will be more visible in quarter one as the volume expands beyond 850,000 ton or second quarter. But yes, if you look at our employee cost, that has come down, right? Obviously, it is supported by the surrendering of salary by Sanjayji , but other than that we are working on all the fronts whether it is freight cost, it is power cost, whether it is steel wastage cost , right , so some benefits keep on coming in and then the volume ramp up whether it is 20,000 tons quarter -on-quarter increase s ome leverage you will continue to see over the coming quarter.
Aditya Welekar: Understood. G iven you mention ed about the salary, part of it, how sustainable is that? And when can we see those kinds of benefits continuing? That's one. Secondly, we could also see that, kind of there was a tug of war between volumes and margins. The reason I am saying is you did give guidance of 10 % QOQ volume growth and you also gave 400 odd crores EBITDA, while we did not see volume growth at the same level, but we saw yo u exceeding the margins. So is it

something that you know next year also there will be going to be margins is going to be something like your core focus or how are you planning out things here?
Anubhav

Gupta: So Sneha see , when I started the call I said la st two years we grew our volume by 45 % right ? So this volume growth came in the backdrop of very challenging environment which was macro at country GDP level, then elections, pre -election, post -election, and thirdly, our own industry, which was going throu gh massive down cycles, right? Steel prices crashed by 25 % in last 18 months. So that's what depressed the margins. But good part was that we could build the market share at a level, now where we stand, we can command a 5 %-6% premium over our next competit or. So this gives us confidence that maintaining 20 % volume growth like how we did in last 2 years , my EBITDA spread will continue to improve plus all the new capacities which are coming up they are also a lot of strategically located whether it is new vir gin markets like East India, Bhuj for exports or it is international sales from Dubai plant or it is entry into new product segments , so we're ensuring that the existing capacity doesn't get cannibalized, which could again depress the margins. The incremen tal growth is coming from new geographies, new products, better sales mix, which will continue to improve our EBITDA spreads going forward. So EBITDA margin will continue to improve without stress on the volume, because volume is coming from new geographie s, new markets. new products, new plant s.

Aditya Welekar: Understood. And lastly, on the spread which has increased now between the Patra, the primary and the secondary spread, which is very much favorable for quite some time, 2 to 3, I think that's gone u p to 7 to 8. What's the action that you have taken on ground? Can we hear more about it? That what are you doing additionally in the commoditized segment?

Anubhav Gupta: So Sneha, right now, see Rs. 7 ,000-Rs. 8,000 per ton spread is pretty much comfortable to continue to work with. We face challenge when the spreads increase beyond Rs. 15 ,000-Rs. 20,000 per ton . Under Rs. 10,000 per ton, the market is well positioned to go towards HR coil based structural steel tubes. Obviously, in month of Octobe r-November when the gap came down there was a boost of sales in that segment but like I said that this general segment of 1.5 million ton what we are doing , so our growth is coming beyond this 1.5 million ton which does not get affected from sponge iron steel pipes , whether it is coated, it is rust proof, whether it is heavy, whether it is light, whether it is galv, all these new products, Dubai market doesn't export market, right. So our incremental growth is coming from products and markets where sponge iron steel pipes don't impact the volume.

Aditya Welekar: I understood. Lastly, in case you can highlight on the Dubai market, what's the kind of opportunity we heard you saying on US -Canada opportunities also? Who are the existing players servicing on those markets currently? What's the growth rate like in those markets? Opportunity size, some flavor there could be helpful.

Sanjay Gupta: Earlier the US and Canada market is catered by the Korean and Japanese mills. But after the Trump government, they equal the duties . The US duty structure which they had, UAE was made

equal to Korea and Japan. So all of a sudden US and Canada’s market has opened up quite well and we are getting good realization . Number two in the Europe market, the difference in Euro and Dollar is clo se to 1.14. The Euro has become equal to Dollar. So, the Dubai market has also got lot of difference. We are already settled in Europe. We are dispatching 5 ,000-6,000 tons of material per month. But in US and Canada, we just started the supply. Our shipment is reaching there now . We are very bullish that as soon as our shipment reaches, then after that we will get a good response from them because our quality is well accepted in the Saudi market, UAE mar

ket and Europe market. So there shouldn’t be an y problem in US and Canada. And we have a good capacity there , already we have a capacity of 3 lakh tons. And 2 lakh tons will start in July and August. So it will be a total of 5 lakh ton old plant. So we are hopeful of getting more from there because of the cushion that got created.

Aditya Welekar: Understood , sir. Thanks a lot sir and all the very best.

Sanjay Gupta: Thank you.

Moderator: Thank you. The next question comes from the line of Akshay from AK Investment. Please go ahead.

Akshay: Hello. Good e vening , sir. Congratulations on the strong set of numbers. My first question is based on our capacity expansion. So in the initial remarks, you have said that we are by 2030, our plan is to do 10 million tons and we will be coming up in the different segme nts like SS pipes and all these things. There are already other players in that segment. So what is the rationale by coming in that segment and would our margins be compromised because of that?

Anubhav Gupta: Which segment, can you please repeat, for what segment are you talking about?

Akshay: Stainless steel pipes and other segments.

Anubhav Gupta: No, I mean you will have to repeat the question .

Akshay: Like sir said that we will come up with 2.5 lakh tons of four different things of SS pipes and other th ings which you have mentioned . So if there are other players in this segment , so what is the rationale in that by doing the expansion in that segment ?

Anubhav Gupta: So, that is our entry into super specialty tubes, right? We are going to come up with very, very small investments, right? 250,000 tons into four different categories, okay? So putting up and investing small amount of Rs. 300 crore -Rs. 400 crore and testin g the market into a new product segment , as a Company we decided to do that. Our right to win will be of course, I mean, not immediate because we will start with small investment . We will ensure that there is no strain on the balance sheet. The initial CAPEX amounts are very, very minimal. We get into the space, we make our mark . Then we scale up the business if we are able to have right to win. But initial right to win for the industry is that in this super specialty tube s, we are now going to do run -of-

the-mill products like plain API or plain stainless pipe kind of products. This will be specialty products where you will have where the competition is very, very less or there will be only a limited number of players existing in the country and it will b e more of import substitution. So it will be very prudent in identifying these spaces and deploying capital.
Akshay: Okay, understood , sir. And sir, my second question is based on our competitive scenario in steel tube industry. So obviously we are the market leader in that industry, but I want to understand that what is the entry barrier in our industry and there are many big giants like Tata Steel and JSW. So I have seen the steel tubes of Tata Steel as well as other players as well. So , are there any threats if they expand their capacities and they grab some market share in that segment?
Anubhav Gupta: See, I would leave it to you to analyze what are the entry barriers here in our industry .
Sanjay Gupta: Good evening. Boss, we can't get anything commen t on this subject because a lot of matter, they are also supplied to us for the raw material. I can only say that Tata Steel is very old than us and they are very well organized Company . They never throw the material in the market in the low margin. When someone don't throw low margin, there is no problem at all. They have own product range, we have own product range, so we don't want to discuss. Thank you.
Akshay: Okay, not an issue, sir. N ot an issue. And my last question is the blended EBITDA. So what is our target for ble

nded EBITDA in FY26?
Anubhav Gupta: Near about Rs. 5,000 a ton.
Akshay: Okay, thank you so much, sir. Thanks for answering the question s.
Moderator: Thank you. Participan ts, please restrict yourselves to one question. If you have any further questions, you may rejoin the queue. The next question comes from the line of Pallav Agarwal from Antique Stock Broking. Please go ahead.
Pallav Agarwal: Yes, good evening and congratu lations on a good set of numbers. So just on the positioning of APL Apollo , so what was the branding expenses that we incurred this year and what are we planning to incur the next couple of years?
Anubhav Gupta: So advertisement spending we did for the full year , was around Rs. 31 crores. And this year it should be mild growth, not much.
Moderator: I would request you to rejoin the queue if you have any more. Thank you. The next question comes from the line of Vikas from Philip Capital. Please go ahead.
Vikas: Thank you for the opportunity and congratulations on a very good set of numbers. Sir, I just wanted to understand since our cash burn is much lower than the cash generation, what are our

plans with the cash? And if any, if you could throw some light on if promoter willing to increase the stakes since it has been very low.
Anubhav Gupta: This is one good problem to solve, right? But in general, see, I mean, as part of our capital deployment strategy, if we earn $100 EBITDA, our operating cash flow is also $100, right? And we have created four buckets to utilize this cash. One bucket will go for tax payments. One bucket will go for dividends. One bucket will go for CAPEX because we are a growth -oriented Company . And at one bucket we will see if cash piles up on the books and then we will see how to reward shareholders. But I think over the next two, three years, we will have also these liabilities, which are current liabilities. We should have enough fixed deposits, enough cash surplus ca sh on the books to match these current liabilities. And then we will see what to do with the surplus cash.
Vikas: Noted. On the promoter's side, any further insights?
Anubhav Gupta: No, nothing as of now.
Vikas: Thank you.
Moderator: Thank you. The next qu estion comes from the line of Garbi Singh, an Individual Investor. Please go ahead.
Garbi Singh: Thank you for the opportunity and congratulations on great performance. Sir, my question was that, could you please elaborate on your statement that MD has surrendered salary and a bit more on how, what is leading to commanding 5 % higher margin even in the general product s?
Anubhav Gupta: See, like Sanjayji said that his strength has always been working on the cost, right? During one of our discussion with leadership, we were sitting and we were having intense discussion on how to cut down cost, right? So employee cost is something which is coming a bit high because we have expanded our capacity ahead of time. So right now the employee cost per ton which is around Rs. 1000 and our own target is to bring it down to Rs. 600 per ton. So Sanjayji just took the lead and he wanted to set by an example and he said okay let me surrender my salary all my commissions for F Y'25 and F Y'26, right and I encourage everyone to come out with innovative ideas and thoughts, right? How we can reduce the cost per ton, right? And bring down every cost, not only employee, but work on every front. So that's what he kind of decided to surrender

his salary for F Y'25 and F Y'26. And on the second question on the premium on our general
products. Yes, I mean, again, this is the strength of brand APL Apollo, which has been built over
number of years. The first realization we did in 2020 when we moved to Cash ‘n’ Carry . The
second realization i s in 2025 when we increased our prices for general products by 5 % versus
our co

mpetitor, and we are able to sustain that. So, and we are confident that we should be able
to sustain this because of our ever -improving servic ing to our distributors, ever expa nsion of our
product portfolio and innovation and ever improvement of our distribution network.

Garbi Singh: Thank you.
Moderator: Thank you. The next question comes from the line of Udit Gaj iwala from YES Securities. Please
go ahead.
Udit Gajiwala: Yes, hi, team . Congratulations on great set of numbers. Just one question, if you can highlight
what would be our EBITDA per ton for export markets. So right now from Dubai, how much is
it and what could be the target that we are aiming from Bhoj when we star t those operations?
Sanjay Gupta: Hi, good evening. EBITDA per ton for the Dubai export market is close to Rs. 7,000-Rs. 8,000
per ton. And from India, right now the margin is not good, maybe Rs. 2,000-Rs. 2,500 per ton.
But there is a reason, the local st eel prices are high than the import price. So now we are
importing some quantity for exporting the material. Then we should think our margin is go to 8
to Rs. 10,000 per ton. Our import, what we are exporting, our import is arrived in the month of
July. Fr om the Q2, our margin of export is also from India is going to Rs. 7,000 to Rs. 8,000 per
ton or maybe Rs. 8,000-Rs. 9,000 per ton. But t ill now we not got the cheaper raw material. Our
margin is Rs. 2,000-Rs. 3,000 per ton.
Udit Gajiwala: Got it , sir. Thank you , sir and all the best.
Moderator: Thank you. The next question comes from the line of Anupam Gupta from IIFL Capital. Please
go ahead.
Anupam Gupta: Thanks for opportunity sir. Just one question on the volume guidance. So 20 % full year is
understandable but how are you seeing the near term per se first order of course, are you seeing
an uptake in demand already or we are still looking at second half being the major part of volume
for this year?
Sanjay Gupta: Right now , we are right on track. April is just slightly little bit from our target. Like every year
the April is on the downside. We are less than our target, volume target by 5 % to 6%. And May
is going good. So I don't think like first half of the month we can do 17-18 lakh ton, in the second
half we crossed 2 million ton .
Anupam Gupta: Understood. That is it from me.
Moderator: Thank you. The next question comes from the line of Shweta Dikshit from Systematix Group .
Please go ahead.
Shweta Dikshit: Hello. Hi, good evening. Congratulations on a good set of numbers. My question is primarily,
what's your EBITDA per ton guidance on 20 % volume growth each year? Also, to be taking
care of the fact that if at all fuel prices fall again, is the most likely of sustainable rate of EBITDA
per ton? Is there a chance that once again, when we push higher volume when our focus goes to
volume growth, could there be a scenario where we again push discounts to the market to gain

a better market share? So more like the question that largely revolves around as a sustainable
EBITDA per ton ?
Anubhav Gupta: For FY '26, guidance is near Rs. 5,000 a ton. And over the next few years, EBITDA spreads will
continue to improve beyond Rs. 5,000 per ton because of improving sales mix and increasing
sales from international markets and getting the operating leverage plus working on the cost
reduction factors. So we are confident that EBITDA spread should improve year -on-year for the
next 3-4 years. As far as steel down cycle is concerned, we don't see that steel could crash again
by 25 % as it did in the last 15 months. So since we don't foresee such sharp decline, it should
not lead to any decline in our EBITDA spreads. 4 %-5% increase /decrease does not impact us at
all.
Shweta Dikshit: Understood. And if I could squeeze in one more questio

n out of the total …
Moderator: I am sorry to interrupt, Sweta. Could you please rejoin the queue if you have any more questions?
Thank you. The next question comes from the line of Bhavin Pande from Athena Investments.
Please go ahead.
Bhavin Pande: Hi, congratulations on great set of numbers. So when we look at heavy product in the Apollo

structural segment, EBITDA per ton is around 8,700. So how do we look at this run rate on a sustainable basis?
Anubhav Gupta: It should be in the same range Rs. 8,000 to Rs. 9,000 a ton.
Bhavin Pande: Okay , thank you.
Moderator: Thank you. The next question comes from the line of Mayank Bandari from Asian Markets. Please go ahead.
Mayank Bandari: Thanks for the opportunity. I just wanted to have a look at the console number for earlier. Is it possible for you to share what was the PAT contribution from the APL Apollo building products that is your Raipur plant? The number for last y ear was almost 26 crore of the PAT
Anubhav Gupta: Let's take it off the call please. You can reach out to us later.
Mayank Bandari: Okay. And just one more thing I wanted to understand from the industry competition perspective as we are seeing that a lot o f players have come and capacity wise there seems to be over capacity in the industry. Would you agree to that point to at this moment?
Anubhav Gupta: It could be in the general segment, but not in the value -added products where we have dominant market lea dership.
Mayank Bandari: Okay . Thank you.

Moderator: Thank you. The next question comes from the line of S hweta Dikshit from Systematics Group. Please go ahead.
Shweta Dikshit: Thank you for taking my question again. Could you define what is the total share of exports as of now, including the exports from India and Dubai both? And how is it likely to pan out in the next two years? What's the target to take the proportion of exports to?
Anubhav Gupta: As of now we are at 6 % and target is to take it beyon d 10%.
Shweta Dikshit: Thank you.
Moderator: Thank you. The next question comes from the line of Deepak Pandey from Sag un capital. Please go ahead.
Deepak Pandey: Sir, in the Slide # 11, you have mentioned about some new specialty tube capacity. So can you just throw some light on it and what sort of EBITDA per ton are we looking at here?
Anubhav Gupta: So here the focus will be to service some industries like oil and gas, refineries and mechanical tubes, right? Could be some highly specialized water line pipes. We are still working on it . But that's the vision till 2030 that we must have some presence outside structural steel tubes, which could be like 5% to 10 % of our total capacity by then. Maybe in next six months we will have a better answer to this that what's the game plan, actual game plan there.
Deepak Pandey: Got it. T hank you.
Moderator: Thank you. The next question comes from the line of Krishnam Saraf, an Individual Investor. Please go ahead.
Krishnam Saraf: Hi. Thank you for the opportunity. I am a bit new to this industry. I just have a basic question as to why doesn't anyone hedge their steel exposure in the market?
Anubhav Gupta: You will have to say it again, please?
Krishnam Saraf: Yes, the question is, why don't players hedge their steel inventory exposure in the market?
Anubhav Gupta: There is no such product to do this. So there is no way, there is no instrument to do this.
Moderator: Thank you. The question comes from the line of Anupam Gupta from IIFL Capital. Please go ahead.
Anupam Gupta: Yes, thank you for opportunity. So you highlighted a very strong cost reduction target for employee cost from 1000 to 600 over the next few years. So obviously next year Mr. Sanjay Gupta not taking salary will help. But let's say you're still lookin g at a meaningful greenfield

capacity expansion coming up over the next 2-3 years. This will again add to your cost and this will again depend on how far those capacities get utilized in terms of cost reduction. So is this 600 actually doable over the next couple of years and what will enable you to drive this over the next couple of years apart from operating level? Is that any other lever, apart from operating leverage, that enable you to drive the cost down?
Sanjay Gupta: Good evening. Anupam, salary cost from 1000 to 600 is not a big task. These are just the tasks of automation and discipline. Like, our plant's salary cost is close to Rs. 400 per ton. And our expense of our HO which is almost the same for example if we mak e 10 million ton it will be the same, if we make 5 million ton it will the same or whether we make 4 million ton it will be the same. As our volume increases , our cost will come down a bit . We are doing some automation in some plants, like I told you we wi ll incur a CAPEX of Rs. 200 - Rs. 300. Our lines are operating at 80 to 90 meters; we are trying to take it to 120 meter to 130 meter. We have to

assign people for bundling so we are bringing bundling into automation. We are working to put an end on handli ng by using as much as automation is possible. We are targeting that to bring down our plant cost. We are trying to bring the plants to optimum utilization so that the cost of the plant which is right now Rs. 400 per ton we want to bring it to Rs. 300 per ton. And our HO, brand, and marketing cost of 500 crore to 600 crores we want to reduce that to Rs. 300. So this is more or less, we have to maintain the discipline. We have capacity utilization we have to take it to 100% and some automation. All the 3 mixer, we can find the result. And till we don't think about it, we won't target it, so how can we do? So our try will be to at least do 700 if not 600, or 550. But we have to try.

Anupam Gupta: This is helpful, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Anubhav Gupta to give his closing remarks,

Anubhav Gupta: Thanks everyone for dropping by. Look forward to talk to you again during Quarter 1 FY'26 Earnings Call. Thank you so much.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Batlivala & Karani Securities India Private Limited that concludes this conference. You may now disconnect your lines.

Call: Jul 2025

26th July 2025

Electronic Filing

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NSE Symbol : APLAPOLLO Department of Corporate Services/Listing
BSE Limited
Phiroze Jeejeebhoy Tower,
Dalal Street, Fort,
Mumbai -400001

Scrip Code : 533758

Subject : Transcript of the Conference Call held on July 24, 202 5
Dear Sir/ Madam,
With reference to our letter dated 17th July 2025 intimating you about the conference call with Analyst(s)/ Institutional Investor(s) held on July 24, 2025 . Please find attached the transcript of the aforesaid conference call.
This above information is also available on the website of the Company.
We reque st you to kindly take the above information on your record.
Thanking you

Yours faithfully
For APL Apollo Tubes Limited

(Vipul Jain)
Company Secretary and
Compliance Officer

Encl: a/a

“APL Apollo Tubes Limited Q1 FY'26 Earnings
Conference Call ”

July 24, 2025

MANAGEMENT : MR. SANJAY GUPTA - CHAIRMAN & MANAGING DIRECTOR , APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL - DIRECTOR (OPERATIONS), APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA - CHIEF STRATEGY OFFICER , APL APOLLO TUBES LIMITED
MR. CHETAN KHANDELWAL - CHIEF FINANCIAL

OFFICER , APL APOLLO TUBES LIMITED
MODERATOR : MR. AMIT LAHOTI - EMKAY GLOBAL FINANCIAL SERVICES

Moderator : Ladies and gentlemen, good day and welcome to APL Apollo Tubes Earnings Conference Call hosted by Emkay Global Financial Services.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by press ing "*"and "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Lahoti – Emkay Global Financial Services. Thank you and over to you, sir.
Amit Lahoti: Thanks, Avirat. Good evening, everyone. I would like to welcome the Management of APL Apollo and thank them for this opportunity. We have with us today Mr. Sanjay Gupta – Chairman and MD , Deepak Goyal – Director (Operations), Anubhav Gupta – Chief Strategy Officer and Chetan Khand elwal – Chief Financial Officer.
I shall now hand over the call to the Management for the opening remarks. Over to you.
Anubhav Gupta : Thanks, Amit. Thanks, Emkay Global for hosting APL Apollo for its Quarter 1 FY' 26 Earnings Call. I welcome all the participants and thanks to all the participants for dropping by.
One performance for APL Apollo Tubes was definitely below our expectations. The sales volume should have been higher by at least 5 %, but there were various reasons why we could not achieve the target set by ourselves .
Number one reason is the continued slowdown in the macro environment, whic h is evident from the weak industrial production data from the government side. As we know, for April and May, the IAP growth was mere 2 % to 3% and the expectations for Q1 F Y'26 GDP growth is also a bit on the softer side.
Reason number two, which resulted in loss of volume was the elevated geopolitical tensions which hit our volumes in two ways. Number one, India -Pakistan war, which impacted northern state volumes for almost one week and then in the last 20 days of July, the Middle Eastern war between Isra el and Iran, it led to lower volumes in the Middle Eastern market, and it hit our export volumes also from Indian mills.
Third reason is the early onset of monsoon, wherein the construction activity got halted. Whether it were ongoing projects or the comme ncement of new projects, everything gets slowed down because no one was expecting that the monsoon should start or would hit the country within June month itself.
Lastly, what we are witnessing is the softer money supply in the system, which is leading to the reduction in the buying power of our dealers and stockiest , because their money is also stuck

with the agencies and EPC contractors who are working on the government projects. So, what we are seeing is that the buying power of our channel partners has gone down a bit.
Coming to the EBITDA spreads for Quarter 1 :
Of course, they are up YOY significantly, but on QOQ basis, they are down by like Rs. 250. The reason for that is, of course, lower volume, which led to negative operating leverage and Rs. 100 per ton is impacted from the one -time notional expense led to ESOP, which increased our employee cost.
Coming to the ongoing quarter :
Things remain sluggish as compared to Quarter 1, but we do believe that the second half of FY'26 should be pretty promising. By that time, the monsoons will get over and the government spends would also turn into the actual money supply into the system, which will increase the buying power of our channel partners. At the start of the year, during Q4 FY '25 earnings call, we had guided for 15 %-20% volume growth for FY '26. However, we believe this is slightly unlikely given the softer start to the first half. So, we believe that the sales volume for full year should increase between 10 %-15%, assuming the macro environment does not worsen from the current levels.
As you know that APL Apollo started its brand premium strategy in January of 20 25, wherein we are focusing on maintaining EBITDA spreads. So, what we believe is that once the demand environment comes back or it recovers, APL Apollo is ready with its capacity, its product line, its distribution network, its brand pool. So, volumes will come on its own. There is no point

chasing volume at the cost of EBITDA spreads.
So, that's why we are not into push strategy as of now. Our focus is to continue to generate higher EBITDA spreads and elevate our APL Apollo brand in the customer's mind. And thankfully, we are pretty successful. Now it's been seven months we started this, we implemented this strategy and it is going fine so far. For the full year, we are hopeful, we are confident that EBITDA spreads should be between Rs. 4,600 to Rs. 5,000 per ton, which is significantly higher than FY'25 EBITDA spreads of below Rs. 4,000 a ton. In the midst of this econom ic slowdown, we continue to focus on our long -term capacity expansion plans and fill in the gaps where we believe that we can take our capacity from Rs. 4.5 million -Rs. 5 million ton to Rs. 7 million ton in the next two to three years. So, there are like f our areas where we are working. Number one is expansion in the newer markets, which are Eastern India and Dubai market. So, in Eastern India, we are putting up two plant s with capacity of 500,000 ton s. In Dubai, we are expanding capacity by further 200,000 tons. In South India also, we are coming up with 400,000 tons of newer plants where existing products are fully utili zed and the capacity.
Then, the second area we are focusing on is the expansion of new products, wherein we are adding 500,000 ton of coat ed capacity and 100,000 ton of heavy structural tubes. The third area

which we are focusing is on export sales from Indian mills. So, that's why we are planning to set up a plant in Bhuj, Gujarat area. And the plant will be majorly focused towards export s ales and then it will also fee d the Gujarat market for localiz ation. And lastly, we are also working on putting up capacity for Specialty Tubes , wherein we believe that 300,000 -400,000 ton of multiple product categories can be created over the next two to three years in non -structural space.
On balance sheet front :
We are net cash and our working capital days remain prudent in single digit. By end of FY '26, we shall be sitting on much larger cash surplus what you see today. And lastly, proud to tell you that our plants have achieved 72% of power consumption based on renewable energy, which states our heavy commitment to our ESG goals. And we target to take this contribution from renewable energy to 80 %-85% over the next two to three years. And this not only helps us in meeting our ESG targets, but also reduces the overall power cost for the company, which right now is 0.8% of the product value. It continues to go down and it gets aligned with our cost optimi zation strategy.
Amit, that's all from our side. We are open to take questions now.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Dixit from Goldman Sachs. Please go ahead.
Amit Dixit: Good evening, everyone a nd thanks for the opportunity. Just a couple of questions from my side. The first one is regarding the slowdown that you mentioned in your opening remarks appears to be transient. But how is the competition brewing up, particularly from your peers and in the general structu re category, if you can highlight that ? And do you see this payables build up largely because, possibly because of your cash strain on your dealers, essentially? So, do you see it going away in H2? So, just wanted your thoughts around the same.
Anubhav G

up ta: So, see, I mean, if you look at our general category, okay, we mentioned the general category because earlier we were making EBITDA spreads below Rs. 2,000 a ton, right? Now, it's been two quarters that the EBITDA spreads are near about Rs. 2,800 a ton , right? So, we are able to increase our margins by almost Rs. 1000 a ton in last six months. So, it's no more commodity, right? And you can see that the volume also, it has not declined in last six months. So, the market has absorbed this price hi ke, righ t? And in next few quarters, you will see that this general doesn't remain general, okay, because everything is making superior margins. So, this suggests that there is no competition in this space, even when we have increased our pricing. And this general also takes account of products manufactured in Dubai, right , because this is as per the sizes , correct? And in Dubai, at the same size, you also make Rs. 4,000-Rs. 5,000 per ton EBITDA spread, right? So, I think, as a strategy of de -commoditizati on, we ar e pretty much on track a nd whatever we are producing in range of 50 mm x 50 mm to 100 mm x 100 mm range, APR Apollo has created its own niche, own brand in this segment. The competition is playing almost now Rs.

3,000 per ton below pricing levels, right? So, we don't feel the heat from the competitors at this price point. And on second question, you talked about payable days, right?
Amit Dixit: Yes.
Anubhav Gupta: So, payable days are not related to the stress at the dealer level. If you see our receivable days,

it remains unchanged quarter -on-quarter basis. Creditors, of course, have come down because we generated cash, right? So, we just paid 2 steel mills in advance, right? And we did get some benefit also on cash purchases.
Amit Dixit: Okay, fine. The s econd question is essentially on the employee cost. So, you mentioned that there was a one -time impact of ESOP so is i t possible to quantify that? And what could be the sustainable employee cost also? Is there any element of dealer incentives in the other expenses?
Anubhav Gupta: Right. So, that notional ESOP cost was Rs. 6 crore, right? So, going forward, you can assume Rs. 88 crores, Rs. 87 crores -Rs. 88 crores to be the sustainable quarterly employee cost. It should come around eventually Rs. 600 to Rs. 700 per ton, right? Right now, you would see it at Rs. 800-Rs. 900 a ton. But the absolute employee cost will not go up from current level. And it will settle around Rs. 600-Rs. 700 a ton.
Amit Dixit: Okay. And dealer incentives, any element in this quarte r?
Anubhav Gupta: No. So, no discounting, nothing.
Amit Dixit: Okay. Thanks a lot and all the best.
Moderator: Thank you. The next question is from the line of Vikas Singh from ICICI Securities. Please go ahead.
Vikas Singh: Thank you for the opportunity. So, my first question regarding your 10 %-15% volume guidance. Even if you look at currently, since the last three years, second half was heavy. Our asking rate is still closer to 900 KT or more. So, and you talked about the slowdown which usually takes time to reverse. So, just wanted to understand then which are the pockets from where we are generating this confidence of meeting that certain kind of the volume guidance ?
Anubhav Gupta: So, there are two -three areas, right, from where we will get the volume. Number one is our exports and Middle East, right, which actually got impacted in month of July due to the war, right ? So, that volume will recover in Quarter 2. We have already started seeing that from July, right ? That is one big pocket where we are gett ing incremental volumes. Number two is our two new product lines got started, right, which will contribute in the next seven to eight months. Number one is the 1000 x 1000 heavy structural tube, right, with capacity of almost 100,000 tons. And second, in

r ust-proof tubes, right, that also 300,000 ton of capacity has come up. That will give incremental volume because we are already running short of capacities in that segment.

And thirdly, see, I mean, second half normally is always skewed over H1 for the con struction material sector . Assuming that we a re over with monsoon by August -September, right, it will give a very good runway for projects to take off in the third quarter. And in Q4, the focus areas from the government side, whether it is Indian Railways, where a lot of our product is going, or whether it is aviation, again, a lot of our products go there, right, healthcare infrastructure, and then private infrastructure, which comprises of warehousing, new factories from the corporates, right. So, we expe ct a lot of activity within the economy to pick up, right, and we are present in all these segments. And lastly, which has not done well for last two years now, Vikas, is the retail side, right, which comprises almost 50 %-60% of our sales. I am talking abo ut independent homes, right. Now, with inflation coming down and interest rates coming down, at some point, discretionary spending will also pick up, right, and people will go for home renovation, home improvement, right, and our distribution network, our product portfolio, our innovation, our innovative products, everything will fall into place , we see pick -up in that segment also. So, I guess there are multiple levers, Vikas, which can give this asking run rate over the next three quarters. Of course, sec ond quarter will remain soft, right, as far as July is concerned, but yes, lot of skewness will come in the last six months of the financial year assuming macro does not worsen from here, right, macro does not worsen from here.
Vikas Singh: Noted. My second question pertains to our capital allocation. This has come in the past as well. Our CAPEX requirement and working capital requirement is far below than the cash we are generating. So, how should we look at the excess cash in terms of dividends you w ould distribute or what would we do with that cash? If you could just throw some light on the CAPEX , capital allocation.
Anubhav Gupta: So, Amit, so there are two things, right. One is that if I generate $100 of EBITDA, okay, my operating cash flow will be similar, right, $9 ,500. So, we have created four buckets, okay, of $25 each. Number one will go for serving tax, which will go to the government, first bucket. Second bucket will go into CAPEX . We are a growth -oriented company, right. We are looking for n ewer geographies, newer areas, newer products . So, 20 %-25% of our cash flow we want to spend on CAPEX . Third bucket of 25% is shareholder reward in form of dividend or buyback, right. It will depend on the board and shareholder approvals, right. But yes, w e do want to distribute more dividend or go for buyback, right. And the last bucket, which is 25%, that is, we are keeping as a buffer, which gets added onto our balance sheet and we repay our liabilities, right. So, if you see that in Q1 also, our current liabilities, which are payables, creditors, are

reduced by almost Rs. 400 crores -Rs. 500 crore s. So, as we generate more cash, we want to have our balance sheet as totally liability -free. We are debt -free today, but we want to be liability -free. And maybe we buy steel on cash and look for some discounts from the steel mills.
Vikas Singh: Understood. If I may just ask one more question, see, our sequential, if you see, our value -added product sales has jumped 3 percentage points and general has also relativ ely done pretty well. Still, our EBITDA per ton was on the lower side. In fact, we have maintained that we have a low

fixed cost kind of a thing, we are lean production. So, what else we are missing, basic

ally? If
you could just give us some more color on that.
Anubhav Gupta: So, Vikas, I mean, the quarter -on-quarter EBIT DA decline was Rs. 180 per ton . Now, out of this, employee cost is almost higher by Rs. 300 a ton on Q OQ basis. So, actually, because of better value -added mix, our EBITDA spread increased by Rs. 100 a ton. If you look at my gross spreads, they also increased by Rs. 400 a ton. So, if you deduct this Rs. 100 per ton of ESOP expense, which is notional one tim e, and also the reversal in the employee cost, which happened in Q4, s o my improving gross spreads, they are because of my improving product mix and our strategy of de -quantization coming into play.
Vikas Singh: Noted, sir. Thank you for answering this que stion and all the best for future.
Moderator: Thank you. The next question is from the line of Muskan from B&K Securities. Please go ahead.
Muskan: Hi, sir. Thank you for the opportunity. So, my first question is, in Middle East, your sales were at an aver age of Rs. 17,000 per metric ton last quarter. So, what is the monthly average sales from Dubai plants now? And how is the demand and pricing situation in Dubai?
Anubhav Gupta: So, the mix, I mean, the run rate was same, right? It was supposed to go up in July, but because of the tension, which came from the geopolitical war, right , the run rate got a bit disturbed. So, overall, Dubai contributed 6% to our overall volumes.
Muskan: Okay. And how is the demand and pricing situation in Dubai?
Anubhav Gupta: Now, it's back on track. Things are pretty stable now and the utilization rates are going up.
Muskan: Okay, sir. So, there has been some delays in commissioning of the HRC capacities in India, which is one of the reasons that is keeping the spreads higher. And when do you expect this to ease out?
Anubhav Gupta: I didn't get your question. Come again.
Muskan: There has been some delays in commissioning of the HRC capacities in India, which is one of the reasons that is keeping the spreads higher between HRC and Patra. So, when do you expect this to ease out?
Anubhav Gupta: See, I mean, commissioning a steel plant is 5 to 6 years process, right? I mean, delay of 6 months, 1 year is very normal when projects at such large magnitude come online, right? So, we ex pect that in second half, steel supply should increase, right? And then, depending on like what's the pricing strategy from the steel mills, we'll see how spreads behave. But, I mean, when APL Apollo decided to change its strategy to elevate its brand in J anuary 2025, so, we were pretty

sure that, I mean, our general segment should not fight with Patra, right? And we are confident that within the same segment, we can demonstrate the desired volume growth.
Muskan: Okay , sir. Sir , in the last call, you mentio ned you are charging some premium over general products. So, what is the current premium that you are charging over Patra players in general products? And if there is continued increase in spreads between HRC and Patra, and also introduction of SG brand, d o you expect the EBITDA per metric and for general products to sustain?
Anubhav Gupta: Okay. So, coming to first question that earlier when we increased our prices, before that, we were selling or I would say our competitors who make HR coil based structur al steel tubes, they were selling Rs. 1,000 to Rs. 1,500 per ton below APL Apollo pricing. Now, the gap is Rs. 3,000 after we increase our pricing by Rs. 1,000 to Rs. 1,500 a ton. Adding to this, that HR coil tube pricing and Patra pricing will always, like, right now the gap is Rs. 8,000 to Rs. 10,000 a ton. And with us, with Apollo increasing its selling price by 1 ,500 to 2 ,000, so, that is Rs. 10,000 per ton and with competition against Patra could be Rs. 8000 a ton. So, again, as a strategy, whether to add products, whether to utiliz

e capacities, our business model is to switch away from that
general sales, which can impact volume or which suffers because of this gap, which is be tween Patra and HR coil. So, we want to move our business model away from this and be consistent with the construction activity in the country.

Muskan: Okay, sir. One last question. SG Mart has won orders of solar module mounting structures under APL Apoll o Sun Steel. How is this product different from the products that Apollo is trying to cater to solar industry? Could you please talk about the order wins in solar?
Anubhav Gupta: So, they are very different. What Apollo does for solar sector is the manufact uring of top tubes. For our flat steel, which goes into, into, into, into solar mounted structures. That's like pure manufacturing. What SG Mart is doing is mild profiling of solar structures. So, both are very, very different products and have very differ ent applications.
Muskan: Okay. Thank you so much.
Moderator: Thank you. The next question is from the l ine of Pallav Agarwal from Antique Stock Broking. Please go ahead.
Pallav Agarwal: Good evening, sir. So, with HRC prices softening a little from the month of June , so do we expect any d estocking at the distributor level?
Anubhav Gupta: Pallav, it's been almost 1.5 years that dealers have been destocking only. From October 2023, when we started seeing the decline in steel prices in India, except that Rs. 2,000 -Rs. 3,000 per ton uptick which came in March -April 20 25, after the tariffs were imposed. Dealers have been treating light only, like since October 2023. So, it's not that now that steel prices are again

coming off to Rs. 3,000 a ton, that we will s ee massive destocking, because dealers are anyway sitting light on inventory for last 18 months now, consistently.
Pallav Agarwal: Also, you mentioned this payables we've reduced. So, how does the pricing work with these major steel mills? Like, do they give some credit period or they insist on upfront cash payments? So, if you could just explain that broadly ?
Anubhav Gupta: Pallav, this is a bit sensitive matter, but what I can tell you is that we have been getting credit from our suppliers. As you would see, credit or days of 25 -30 days throughout in our balance sheet. Now, with surplus cash coming in our books, we want to reduce some current liabilities and see if we can get some extra discounts, which we are. But quantum is a bit sensitive to discuss.
Pallav Agarwal: Okay, thank you.
Moderator: Thank you. The next question is from the line of Sneha Talreja from N uvama. Please go ahead.
Sneha Talreja: Good evening, sir. And thanks a lot for the opportunity. Just a couple of questions from my end. We, of c ourse, hinted to H2 demand revival and we always do that in the building materials space. But what's the r eal change that we're expecting a nd how confident are we for that demand pickup, especially on the infrastructure part as well?
Anubhav Gupta: So, Sneha, two, three factors which give us confidence. Number one is like the critical infrastructure from the government side, whether it is railways, aviation. These two sectors have not seen any slowdown in the funding. Roadways, of course, but we don't su pply to roadways except some foot over bridges where our products go for NH AI projects. But the critical infrastructure remains the focus area for the government. So, that gives us a lot of confidence. Then second, private infrastructure, whether it is war ehousing and corporate expanding which are putting up factories. So, our structural steel tubes go in both the segments. Then another category in private infrastructure is commercial, whether it is like large developers, organized developers adding more A grade, B grade office space, data centers which are coming up. It requires a lot of steel, structural ste

el tubes. Then the third segment, which we see as a sunlight area is solar. So, whether it is top tubes or our flat steel, which is going in this segme nt, we are getting good traction from here as well. So, ye s, mix of these segments, Sneha, we believe that second half should be significantly better than first half.
Sneha Talreja: Understood. So, secondly, on the primary and the secondary steel gap, I cl early recall that, you were telling that, things actually worsen when gap hits Rs. 10 odd until Rs. 8 odd probably, you were safe . We are almost at that level now. Are you seeing demand moving back on the general structure side to Patra players? If yes , what is the structural way of dealing with this volatility? Because whenever we see a gap reducing, we, of course, see a great amount of volume up tick for your company. But then it always reverses whenever the gap extends. What is the structural way of looki ng at this gap?

Anubhav Gupta: So, Sneha, addressing the second part first, right? As a strategy, we are de -commoditizing our portfolio. So, that means we add products such as heavy structural tubes, light structural tubes, coated products, pre -galv rust-proof products and galvanized products. So, these are all which don't get impacted from whatever is happening between primary and secondary because the inability of secondary steel to produce such products. Second, moving or increasing sales in

Dubai and export markets, right? There also you don't get impacted from primary, secondary .
Sanjay, you want to add to this?
Sanjay Gupta : Sneha, you have to see that there are two types of markets in India. One is the primary steel tubes market in India and num ber two, the secondary steel market of India. When the gap is more, what we are doing in our primary, we are doing well. We keep doing our thing and the system goes on. But when the gap is narrow, then we enter the secondary market also. We have another advantage. Then we talk about 20 %-30%-40%, we can take any type of growth. But if there is a gap between the secondary and primary is too much, then our growth is restricted to near about 15% depending on the market.
Sneha Talreja: Understood . So, I think the change in strategy as per the gap changes, I think that's likely to continue even ahead.
Sanjay Gupta: Yes, when the gap is narrow, then again, we go for killing the Patra material. But when the gap is too much, our margin is 3,000, if I finish the mar gin of 3,000 and work, then also I can't reduce its volume. But when the gap is near down by 4 ,000-5,000, which is always there almost, this time comes very less. I have been running this time for the last 1 -2 years. So, when that time comes, then we are g oing to enter the Patra market again.
Sneha Talreja: Understood , sir. That was quite helpful. Thanks a lot team and all the best.
Moderator: Thank you. The next question is from the line of Anupam Gupta from IIFL Capital. Please go ahead.
Anupam Gupta: Yes, thanks for the opportunity sir. First question is on the sale in Shankara which you have done in the quarter. Can you just give your thoughts on why that sale happened?
Anubhav Gupta: So, Anupam, when we invested in Shankara in March -April of 2022, the i dea was to have a small stake to ensure that Shankara starts selling more of APL Apollo products. At that point of time, our market share on Shankara counter was like 20 %-25%, whereas all our distributors of large size were selling 80 %-90% of Apollo produc ts. So, we wanted Shankara to sell more of APL Apollo products. And we identified that the company needed some capital which we infused. And there was this understanding that with this infusion of capital, Shankara will start selling more of APL Apollo pro ducts. So, in last 3 years now, 3 -3.5 years, the sales on Shankara counter has quadrupled. Now that we hav

e achieved this target, there is no point of holding Shankara shares. Anyway, stake was below 10%. So, we sold whole 4.5% last year and the balance sh ares we sold in last quarter. So, yes, now the dependence between Shankara and

Apollo is high on both of the sides. So, there is no benefit or advantage of Apollo holding shares of Shankara.
Anupam Gupta: I understand. Second question is on the general structures profitability. You mentioned that this 2,700-2,800 which you are achieving a lso has the benefits from Dubai which i f we assume Dubai is selling almost entirety of general structures, it is a meaningful contribution coming from there. If we exclu de that, the India profitability of general structures would not be 2 ,800, it would be closer to 2 ,200-2,300 if my calculation is correct.
Anubhav Gupta: No, Anupam, it will be Rs. 2,400-Rs. 2,500 a ton.
Anupam Gupta: Okay. So, are you comfortable with tha t level or that again come at risk as this gap is increasing?
Anubhav Gupta: No, idea is to take it above Rs. 3,000 a ton.
Anupam Gupta: And will that be doable if let's say this the gap versus Patra continues to expand which you said is right now at Rs. 10 a kg?
Anubhav Gupta: So, Anupam, that's what Sanjayji explained that the primary steel market is different, which is like 5 million tons and secondary steel market is another 5 million tons. So, 5 million tons market will out of that say the general segm ent is 40% out of that 5 million tons. So, that will continue to grow at 5 %-10%. If the gap reduces, then the 5 million tons from secondary will come to primary. And that's where we will get our incremental volume. But since we don't know when this is going to happen, so there is no point building a business model around it. What we focus is on the primary structural steel to market which right now is 5 million tons. And out of that, almost like 3 million tons is commodity, general. And 2 -2.5 million to n is value -added. So, yes, I mean that's how we build our sales strategy.
Anupam Gupta: I understand. And one last question on the profitability guidance that you gave , 4,600 to 5 ,000. Last time you had said it is somewhere around 4 ,900 or so achievable wi th 20% volume growth. So, 4,500 is understandable, you have increased the range because of lower volume growth. But does this include the benefits which you are trying to accrue by having lower payable days because lower payable days also impact your ROE i n that sense ? Does this range include the benefits from better margins due to lower payable days?
Anubhav Gupta: Of course, yes. But it was just like in the last month of July only. We could have such cash to lower our payable days. So, yes, we are talking to our suppliers. And if we see the benefit, then yes, we will continue with the strategy. If we don't see the benefit, then the surplus funds will

generate 6 %-7% of fixed deposit rate.
Anupam Gupta: And one last question. On employee cost, you said the E SOP cost is notional. But your note says that no ESOP was granted so far. So, has this ESOP, which you have approved in today's board

meeting, the notional cost for that has been booked entirely or will it recur in the following quarter?
Anubhav Gupta: No, so today's board meeting approval is separate. This was for the previous ESOP which were issued like a year back, year and a half back. They got accrued and they are getting converted. So, that's why this notional expense.
Anupam Gupta: So, what you have announced today, that will have additional cost in the following quarter?
Anubhav Gupta: This is just an approval. We have not decided how much, what ESOP will be given. I don't think in next 12 months, we will be issuing any ESOPs. In next 12 months, the ESOP will be issued. So, there is no cost which

is expected in next 1 -2 years.
Anupam Gupta: Okay. Thanks a lot.
Anubhav Gupta: And yes, Anupam, just to add to your previous question on the return profile, like you said that if credit or days come down, rig ht, payables go down, so our ROC E, our return profile will look low, right? So, I think that is the strength of our business model, right? That if we generate cash and we are able to lower our payables and since we churn our inventory 15 times in a year, r ight, with 20 -25 days of inventory, that means I am churning my inventory 15 times in a year. And whatever cash discount we get from our suppliers , so it should give, we are sure that it will give more return compared to the money lying in the fixed deposi t. So, we are a very ROC E-focused company, Anupam, right? So, whatever we will do, we will ensure that it is ROC E-accretive, right? Optically, it may look a bit low, right, if you include cash, but if you look at the gross ROC where you take working capital as inventory plus debtors and you remove creditors, right, so that is how we look at our business model.
Anupam Gupta: Sure. That's it. Thank you.
Moderator: Thank you. The next question is from the line of Akshay from AK Investment. Please go ahead.
Akshay: Thank you, sir. Sir, my first question is there are lots of traction in sectors like data centers, solar, electronics manufacturing, consumer durables , and these players are doing very heavy CAPEX . So, do we supply in any of these sectors an d over the next two to three years, how much volume growth do we see from these emerging sectors?
Anubhav Gupta: So, if you talk to the large fabrication companies in India, some are listed also, right? These companies are called pre -engineered building co mpanies, P EB companies, who take contracts from all these corporates who are expanding massively, right? And why only such companies, even APL Apollo is putting up core plants, right? So, yes, Indian corporate is expanding and they're putting up a lot of n ew facilities, new plants. So, yes, so these large P EB companies, they do take a lot of hollow steel sections, a lot of structural steel tubes from APL Apollo. And our market share is 60 %-70% in this segment. We expect growth to be 20 %-25% for the next thr ee,

four years, particularly for this segment. And that's why on this conviction, we introduced 1 ,000 mm x 1,000 mm diameter pipe, which obviously we are first in India and second in the world to be able to produce such an SPU.
Akshay: Okay, sir. And sir, what is the current capacity utilization in our Raipur and Dubai plant?
Anubhav Gupta: So, Dubai plant is around 60% plus, and Raipur is ta d below 60%.
Akshay: Okay. And sir, earlier we said that we are supplying our steel tube to Indian Railways. So, whic h are the use cases in Indian Railways? Can you please justify?
Anubhav Gupta: Indian Railways, all the modernization of railway station which is taking place, m aximum railway stations are coming on steel and that's where we are supplying. We have given li st in our presentation also, almost 20 -30 railway stations where we are supplying our products, which are under modernization.
Akshay: Okay, sir. Thank you so much.
Moderator: Thank you. The next question is from the line of Hardik from White Whale. Please go ahead.
Hardik: Hi, thank you for taking my question. First question is, why is EBITDA per ton lower in this quarter compared to last quarter? And the second question is, last quarter you had mentioned that you want to reach ROIC of 35% next quarter nex t year and 45% the next year. Will it be achievable seeing the trade payables increase? Thank you.
Anubhav Gupta: So, EBITDA spread decline on Q OQ basis is mainly because of increas e in the employee cost per ton by Rs. 300 per ton. Okay. So, employee costs go up as the volume decline. in Q4, w

e did
850,000 tons. In Q1, we did 794,000 tons. So, employee costs go up, which is negative operating leverage. And second was, like I mentioned, was the ESOP expense, which is notional and one time. So, if you exclude that, we will be at similar EBITDA spread what we achieved in Q4. Coming to the second question, I mean, payable days. See, I think as in, I mean, at least as businessmen, what we believe is the real ROC E, which is based on gross working capital b ecause creditors also be considered as liability, which we have to repay. Like you have liability in form of borrowing from bank , same way we consider current liabilities, something which you have to pay to our suppliers, no matter what. So, yes, I mean, optically , 35% will not look on paper if we reduce our payable to zero. But like I said, that will depend on like how much discounts we are getting in cash payments. It's too early to commen t on that. And if at all, our investors, shareholders board suggest that no ROC E should be 35%. So, we can always go back to taking credit again from the steel suppliers. So, I think it's something which the shareholders a nd board have to take decision a long with the management, like what is good for the company, whether to show optically 35% ROC E or to generate more cash if we are able to churn my our inventory by 15 times in a year and generate more return than a fixed deposit return of 6 %-7%.

Hardik: Instead of the fixed deposit, which you had mentioned, you always have the opportunity to re - invest back in the business. So, how is that not a case.
Anubhav Gupta: So, 25% of our cash flow, we are investing in adding capacities anyway, and if there is more opportunity, so yes, I mean, we will spend on increasing capacities, or it could be some i norganic growth opportunities w hatever comes our way .
Hardik: Okay, thank you.
Moderator: Thank you. The next question is from the line of Neel Shah from Puna rtha Investment Advisors Pvt. Ltd. Please go ahead.
Neel Shah: Thank you for the opportunity. So, I would just like to repeat on one of the previous questions. Can I just know the EBITDA spread guidance and the volume growth guidance for this year?
Anubhav Gupta: Volume growth guidance is 10 %-15% for the full year and EBITDA spread guidance is Rs. 4,600-Rs. 5,000 per ton for the full year.
Neel Shah: Okay. Th ank you. And what about the top line? How do you expect the prices to move?
Anubhav Gupta: That's difficult to answer because that's not in our control. So, we don't work on how prices move. What we want to protect is our EBITDA spread no matter how steel prices behave.
Neel Shah: Alright. Thank you. That's it from my side.
Moderator: Thank you. The next question is from the line of Andre y Purushottam from Cogito Advisors. Please go ahead.
Andrey Purushottam: Yes. I noted that your value -added products were about 61% versus 56% or 58% the previous quarter. What I wanted to know is that, let's say if you make a constant volume projection, what is the sensitivity to every percentage increase of value -added product to your EBITDA per ton ? So, let's say if it goes from 61% to 62%, what is the incremental EBITDA per ton that you get? And is there any ou tlook that you have for your value -added mix proportion?
Anubhav Gupta: So, Andre y, I guess if you want to see the real benefit of improving sales mix, you should look at the gross spreads. Now in Q1, our mix improved versus Q4 last year. And you can see that our gross spreads also improved by Rs. 400 per ton. But it did not translate into EBITDA spread improvement because my volumes were lower. So, there was negative operating leverage came into play. And secondly, this ESOP cost which was notional. Now i f I remove that, then EBITDA should have been much higher compared to Q4 last year. Now coming to the sensitivity, it is

tough to say because APL Apollo has like 5 ,000 plus SKUs . Out of those, 60% are value -added. Now within value -added also, we have products which generate Rs. 4 ,000 per ton and then we have products which may generate Rs. 15,000 per ton EBITDA also. So, depending on which

segment does well in which quarter, that's how these spreads will improve. But one thing I can tell you is as our sales mix continues to improve, our spreads will also improve in the similar pace.
Andrey Purushottam: So, would you be able to guide us what this 61% could do for the entire year?
Anubhav Gupta: I think it should remain at similar levels. Our ultimate goa l with 7 million ton capacity which will be live by FY '28, we will be 70 %-75% value -added.
Andrey Purushottam: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Shweta Dikshit from Systematix . Please go ahead.
Shweta Dikshit: Hi, thank you for the opportunity. I joined a little late, so not sure if you addressed this before I

joined. But volume guidance for the year is now 10 %-15%, which was 20% last quarter. So, any reason behind this revision?
Anubhav Gupta: Shweta, yes, the ear lier guidance was 15 %-20% growth for the full year. Now it is 10 %-15%. The reason for downward revision are like number one, slow offtake i n H1, because of macro slowdown. If you look at the government data like index of industrial production, GDP growth projections, everything is like kind of on softer side, which is also impacted demand for our product. Second, monsoons which came a bit early in the month of June, so June month got hit badly. Then third was the geopolitical tension which we saw in April w hen India -Pak war was there and then in June, Iran -Israel war started. So, that also led to some volume loss. And also if you look at the money supply in the system, that's also a bit slow. So, our dealers, stockists, channel partners, they don't have too much of money rotation going on. And this is not only for our sector, you look at the other construction material, other consumer related channel partners, they will have the same issues. So, that's why we kind of revised down our guidance from 15 %-20% to 10%-15% because of the slower offtake in H1.
Shweta Dikshit: Understood. And any potential revision, if we see a second half to be stronger than we expect, then or is this the final guidance that we could get at least as of now seeing ?
Anubhav Gupta: No, w hy not Shweta?
Shweta Dikshit: Are you also including your view that second half should be better? So, does this include your view on the second half being stronger or there could be an upside to this number?
Anubhav Gupta: I mean, we would love to have upside to this number. As far as we are concerned, we are ready with our capacity, we are ready with our product line, we are ready with our distribution network, we are ready with all the working capital which is required to fund this growth. Our brand po ol is there in the market. It's just that some external pull comes in. And then, yes, I mean, if

environment supports, the growth can be better than 10 %-15% for the full year. Nothing stops us from achieving higher growth.
Shweta Dikshit: Understood. One l ast question, if I could squeeze in one more. You said that by 2028, you will be ready with a 6.8 million ton of production capacity. But the sales number could likely be 5.8 million tons ?
Anubhav Gupta: So, it will depend on what is the volume growth we a ctually achieve in FY '26 and then FY '27, FY'28, how they pan out . When we say 6.8 million ton capacity, that is sellable capacity. That means we can produce and sell that 6.8 million tons from our plants. So, this is a sellable capacity.
Shweta Dikshit: Okay, I'll take other questions offline . Thank you.
Mo

derator: Thank you. The next question is from the line of Sneha Talreja from N uvama Wealth. Please go ahead.
Sneha Talreja: Hi team , thanks a lot for the follow -up. Just two questions from my end. One is you said you are open to inorganic opportunity. If that would be the case, what sort of opportunity and in which area that would be? Can we see anything on the secondary pipes also to target that particular market specifically? That's one. Secondly, could you speak on more export opportunities leaving apart the Dubai part of it which you are already doing and which all geographies can be viable for us?
Sanjay Gupta: : Hi Sneha. Good evening. We are not going for the secondary any type of acquisition because secondary still is no future because their quality is very bad. Number two, their cost of production is very high. But in India, there is still scarcity so they are surviving. So, I have not a reason we are going for the secondary steel because then we dem olish our brand also. That will destroy our hard work and brand. Or the secondary business is not in their own hand. When the HR coil and the secondary price go to narrow then the secondary business is wipe off. If you see the last 30 - 40 years history, secondary steel is not in demand other than India. In India steel is less, that is the reason they are surviving. As the steel capacity increases, I don't think this is a good future. So, we are not going for the secondary at all. I am very clear in the two t hings. We are not going for steel making. We are not going for secondary. Number two, the export opportunity. Yes, there is a very good chances for us in increasing the exports . We have a very good order book in Dubai plant. Now we are also putting a plant in Bhuj for only on focusing export. To and fro freight is very less from there . Right now if you see in the last 10 days there is a big change in the Indian steel industry. Today India is lower than the Chinese steel prices. China is almost increased by steel in the last 10 days 12 %-13%. India has decreased almost to Rs. 1,500 per ton this month. So, India I am very bullish that our export will increase more and primary steel will come back someday if not tomorrow. India will get all the market. 7 million -8 million -10 million is my focus. But right now the things are not good for us. We are maintaining our margin going for a little bit 10 %-15% growth that will come, we are concentrating on that. But we don’t want

growth compromising the margin s because geo politics or economics is not doing well. So, we may face an accident if we go too fast. We are very c onfident. When the time is right, we back on track in the aggressive mode 20 %-30% whatever volume growth b ecause we are ready with every sense . So, export we have no doubt we are a big vision. In the future, in the 7 million ton capacity we are targeting to take the Dubai to 1 million ton. And India also we are planning 0.5 million ton in Bhuj in the future. Export we are very okay. And secondly there is no question. There is not a question of discussion also in our organization because we know this is not a future.

Sneha Talreja: That was really, really helpful. So, thanks a lot. And all the best once again.

Moderator: Thank you. The next question is from the line of Aditya Welekar from Axis Securities . Please go ahead.

Aditya Welekar: Yes, thanks for the opportunity. Just focusing on FY '27. So, if we just keep aside the factors which are not in our control like geopolit ical scenario and all. So, you have guided previously that we will grow by 15 %-20% again in FY '27 over FY '26. So, are we putting any kind of market penetration or SKU addition, new product development which gives us some visibility over that growth in FY '27?

Anubhav Gupta: Yes, of course. See, I mean assuming we close FY '26 at 10 %-15% and ev

erything in terms of macro, in terms of geopolitical, in terms of global trade war, all these things settle down along with Indian consumption starts to revive, then FY '27 growth could be much higher than 15 %-20% because of the low base of FY '26. And like we said that in terms of capacity, in terms of distribution network, in terms of new product s which we launched in last one to two years, the new product pipeline which is there in next 2 years, the new segments like renewable energy, like heavy construction where we are adding more products and we are becoming more aggressive, we are penetrating deeper into these industries. So, yes, I mean FY '27 could be much higher than 15 %-20%.

Aditya Welekar: And EBITDA per ton trajectory in that financial year, can we assume it will be north of Rs. 5,000 per ton? See, our ultimate goal is to achieve Rs. 5,500-Rs. 6,000 per ton and on the business model wha t we have built for 7 million ton capacity and sales volume eventually, this pretty much fits into it. Now the question is that FY '26, we are saying between Rs. 4,600-Rs. 5,000, let's see how second half pans out, right? If volumes grow faster than what we expect because of operating leverage benefits, it could be near about Rs. 5,000 also, but very difficult to say right now because of the uncertainty what we have seen in the first four months of the current financial year. Next year, FY'27 will definitely be better than whatever we close in FY'26.

Aditya Welekar: Fair enough, sir. Thank you. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for the day. I now hand the conference over to the management for closing comments.

Anubhav Gupta: Thank you everyone for joining by. I look forward to see you over the next results earnings call. Thank you so much.

Moderator: Thank you. On behalf of Emkay Global Financial Services that concludes this conf erence. Thank you for joining us and you may now disconnect the lines .

Call: Nov 2025

November 1, 2025
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Mumbai -400001
Scrip Code : 533758
S
ub: Transcript of the Conference Call held on October 29, 2025
W
ith reference to our letter dated October 23, 2025 intimating you about the
conference call with Analyst(s)/ Institutional Investor(s) held on October 29, 2025. In
terms of the provisions of Regulations 30 of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015, please find attached the transcript of the aforesaid
conference call.
This above information is also available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking you
Yours faithfully
For APL Apollo Tubes Limited
V
ipul Jain
Company Secretary and
Compliance Officer
E
ncl: a/a

“APL Apollo Tubes Limited
Q2 FY '26 Investors Conference Call ”
October 29 , 2025

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MANAGEMENT : M R. SANJAY GUPTA – CHAIRMAN AND MANAGING
DIRECTOR – APL APOLLO TUBES LIMITED
MR. RAHUL GUPTA – DIRECTOR – APL APOLLO
TUBES LIMITED
MR. DEEPAK GOYAL – DIRECTOR , OPERATIONS –
APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER –
APL APOLLO TUBES LIMITED
MR. CHETAN KHANDELWAL – CHIEF FINANCIAL
OFFICER – APL APOLLO TUBES LIMITED

MODERATOR : M R. DARSHAN MEHTA – AXIS CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Apollo Tubes Limited Q2 FY '26 Investors
Conference Call h osted by Axis Capital Limited. As a reminder, all participant lines will be in
the listen -only mode and there will be an opportunity for you to ask questions after the

presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Darshan Mehta from Axis Capital Limited. Thank you, and over to you, sir.

Darshan Mehta: Thank you, Swapnali. Good evening, all. This is Darshan Mehta here, and I welcome you all on behalf of Axis Capital to APL Apollo Tubes Limited Q2 FY '26 results conference call. From the management side, we have Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Rahul Gupta, Director; Mr. Deepak Goy al, Director, Operations; Mr. Anubhav Gupta, Chief Strategy Officer; an d Mr. Chetan Khandelwal, CFO.

I will now hand over the call to the management for their opening comments. Thank you, and over to team.

Chetan Khandelwal: Thanks, Darshan, and thanks, A xis Securities for hosting us for our quarter 2 earnings call. Good evening, everyone, and thanks for attending the call today. We are glad to announce our all -time highest quarterly volume, EBITDA PAT financials for the quarter 2 in a very challenging environment. Why I say challenging? As you all know that the businesses in India, they suffered from heavy monsoon, extended monsoon; and especially construction material sector, which remained pretty weak because of low construction activity across the count ry.

APL Apollo performed on two fronts, which is quite commendable. Number one is the sales volume recovery in quarter 2 versus Q1, which was supported by strong capacity utilization in our Raipur and Dubai plants. And secondly was the expansion in EBITDA margins, which took our EBITDA spread above INR 5,000 per ton for the quarter.

Now this was on account of three main reasons. Number one was the brand power of APL Apollo, which we are able to demonstrate in the EBITDA spreads of general category, which have almost doubled to INR 3,400 per ton in last 2 to 3 quarters.

The selling price for this product, we increased in January of 2025, wherein we were brave enough to take a call that we need to increase our pricing by INR 2,000 to INR 3,000 per ton, which we did, and the market has absorbed that over the last 9 months, which is clearly visible from Feb to September financials of this calendar year.

Second reason for margin expansion was the value -added mix improvement, which is mainly coming from our Dubai and Raipur plant, where the EBITDA per ton on -- for these plants is above INR5,500, INR6,000 per ton. And lastly, the operating leverage gains -- as the company

is generating 850,000 ton plus volume, there are a lot of costs which get optimized at all the fronts, which also aided our EBITDA spreads.

Now first half into financial year of '26, we are fairly confident that we will be able to meet our guidance, which we gave in the quarter 1 call, which was 10% to 15% volume growth and EBITDA spread of INR 4,600 to INR 5,000 per ton . Second half normally is always better compared to H1.

As monsoons are over, there is a lot of certainty coming back on the global trade front as well. So given that second half should be better than H1, and if GDP of India surprises positively or performs better than expected, who knows we may even do better than our guidance when we close the financial year.

Another positive we want to highlight is that India is seeing adequate steel supply in last 4 to 5 months, which is good for downstream companies like APL Apollo, especial

ly when we are country's largest s teel buyers.

Our strategy to expand capacity in international markets and Eastern Indian markets remain intact, which gives us confidence that we will be able to grow our volume in double -digit over the next 3 to 4 years on a CAGR basis. Lastly, on working capital front, our working capital days remain in single digit, in fact, 0 as at September 2025, which boosted our ROCE upward of 32%, 33%.

And we believe that this is a sustainable ROCE number, which we will keep on showing in years to come. That's all from our side. Happy to take questions now.

Mod erator : Thank you very much. The first question is from the line of Sucrit D. Patil from Eyesight Fintrade Pvt Ltd. Please go ahead.

Sucrit Patil: My question to Mr. Gupta is as APL Apollo continues to scale volume, what strategic vision do you see driving the next phase beyond just growth towards deeper market leadership or ecosystem influence?

Anubhav Gupta: Thank you, Sucrit. Sucrit, our strategy is very clear. Right now, we are close to a capacity of 5 million tons; and in the last 2 or 3 years, we are going to build up the capacity of further 7 million tons. Out of 7 million tons, there is 1 million ton capacity in Middle East. We are putting 1 more plant in Abu Dhabi.

So there our capacity will be 1 million ton and 6 million ton in India. In 6 million ton we are putting one plant in Gorakhpur of a capacity of 2 lakh ton per annum and one plant in Siliguri, a capacity of 3 lakh ton per annum. So, almost this 5 lakh ton and 5 lakh ton in Dubai -- 7 lakh ton in Dubai and 5 lakh ton in East market. This is a totally new area for us. So, we don't see any challenge in this area.
Number two is the existing setup, we are doing almost close to 3 million ton. And we are targeting to our -- to take to this quantity to 5.5 million ton. In this we have a lot of strategy . We

are developing a lot of product mix, lot of new type of products. Recently we started our thousand-thousand square mill.
We are building some capsule roofing product also. Just we need a tailwi nd. If we get a little tailwind then we achieve this capacity very soon. May be in next one or two years. I don't feel any big challenge.
Sucrit Patil : My second question is to Mr. Khandelwal. I believe he's on the call today.
Chetan Khandelwal : Yes.
Sucri t Patil : Yes, sir. So , my question is regards to margins, especially in a volatile input cost environment.
Looking ahead, what internal levers or cost management plans do you see most important and or do you have in place?
Chetan Khandelwal : Power rate...
Anubhav Gupta : We are working on the three front modes. One is the power. In power, how we reduce the unit per ton also and the cost of the unit also. Both the area. Some is on the freight factor. Because now we are all across the country. We have a plant. Like in this quarter we have INR 1,900 per ton freight cost. We are targeting to bring it to INR 1,500 per ton.
And number three on the front of our salary cost. We are targeting that today our salary is 5 million per ton. Minimum wages should increase. Nothing much will increase. So as soon as we achieve 5 million per ton then that cost will also increase a lot. Which is now running around INR950. My target is to bring down to INR 600 per ton.
Moderator: The next question comes from the line of Sneha Talrej a from Nuvama.
Sneha Talreja: Many, many congratulations on great set of numbers. Just a couple of questions from my end. Firstly, I wanted to understand the EBITDA per ton increase on a quarter -on-quarter basis. While we understand ESOP cost is missing -- but if at all you can quantify what are the other reasons for margin improvement?
Chetan Khandelwal : So Sneha, it's a mix of three things. One is the gross margin improvement, which is around INR200 per ton. Now that's on

account of our brand premiumizati on and improvement in value - added mix products, right? So INR200 per ton is coming from there. And then INR200 per ton is coming from operating leverage benefits as we surpassed 850,000 ton of quarterly sales volume.
And INR100 per ton was on account of l ower expense, which we booked in quarter 1 for ESOP.
In Q2, it was not there. So this is the breakup of INR500 per ton improvement in EBITDA.
Sneha Talreja: An extension to your answer, Anubhav you are also estimating your second half to be better.
That means your operating leverage should further kick in. So if this is a base level EBITDA per ton of INR5,200, you're still guiding for a number of INR4,600 to INR5,000 EBITDA per ton level on an annualized basis.

Any reason why you would want to maintain tha t or not upgrade the EBITDA per ton number? I'm not asking for volume number because -- while I understand the environment is not such, but on the EBITDA per ton purely where you already hit INR5,200 and assuming there's no one - off here?
Anubhav Gupta : Sneha we have a lot of pressure. When we decrease some guidelines, we have a lot of pressure there. So, we don't want to increase our guidelines. But this I am very sure that 10% growth means almost 3.5 million ton plus volume will be there. And almost INR 1700 crore s EBITDA target that we have taken, we will definitely beat that. And if we get tailwind then God is great.
Sneha Talreja: Perfect, sir. I think that answers. Just one or two more questions from my end. Firstly, on the demand front, are you seeing any improvement happening with respect to government capex? Any on -ground green shoots that you can see? Because compared to other companies' results, we can make out that there is market share gain at this point of time.

But purely on the demand perspect ive, any green shoots even at this point of time where you can
see? And s econdly, with respect to spreads -- just finishing it because your spread has further
gone up between the primary and the secondary steel, which doesn't seem to be impacting you at this point of time. But how do we see the spread going and impacting you on ground in any
way?
Anubhav Gupta : Sneha , first the matter of demand. Very frankly, I am saying that we are not seeing any boost up
in demand. But due to our brand leverage, due to our size, due to our systems, we are sustainable.
We are able to sustain. And we are bullish because the first half that has gone is very bad. On
all three fronts, demand was low, steel prices were downwards because extra steel capacity, I
think, has entered .
Number three, monsoon was quite long this time. Number four, this time the bike runs, all the
holidays, it came in such a way that it ruined a lot of days before and after, like Diwali, Durga
Puja, whatever the holidays. It was in the middle of the week and the beginning of the week that
there were long holidays.
So, we are bullish on this spread. I don't think anything can go worse than this. Yes, if demand
is created, then we are going to rock. I am just giving my guidelines with the existing scenario
that is going on. Like in this month also, we are going to do 270, like 270, 275, 265, 270, 275.
But from November, we are taking a target of 3.25 lakh ton per month, November and
December, this quarter we are going to if the system is good, I think we hi t 9 lakh ton . We are
very sure that we will definitely complete the EBITDA.
Sneha Talreja: Lastly, sir, on the spread front for primary and secondary that has been inching up, any way impacting us on ground?
Anubhav Gupta: Yes. We have made some strategy on this point, in this subject. Now our APL Apollo brand is not going to talk with the secondary material. We are not looking at it. We are not talking about
it at all. We'll launch another -- our brand, SG Premium. There, w e are fighti

ng with that brand

with a little INR 10,000 ton volume, INR 50,000 ton value, volume. If we look at it, what strategy
does our work in it? Because in Apollo brand, we don't have to care about the material.
Okay, there is a problem in taking more growth in it, on this like of premium. Like when you
check the channel in the market, so today, Apollo is higher than almost with all the other brands,
INR3,000 minimum or maybe maximum INR 5,000 to INR 6,000 per ton. Apollo product is
costly in the market.
And secondly, the product that is in crisis, their prices are so low that they are like crying all
over India. Their costing is not supporting them. Capacity has increased in steel, so steel prices
are also going down. So, I think this is a good signal f or Apollo.
Sneha Talreja: Perfect, sir. Thanks a lot sir. For all the questions. You are the best team.
Anubhav Gupta: Thank you.
Moderator: The next question comes from the line of Agrim Kanungo from AK Investments. Please go
ahead.
Agrim Kanungo : Congratulations for a good set of numbers. I would like to ask that as it was mentioned in the
PPT, that we plan on spending INR 1,500 crores to expand the capacity. So just a question that
how do we plan on financing this? Is it going to be through interna l accruals or external sources?
Anubhav Gupta: 100% will be funded from internal cash flows. If you look at our operating cash flow to EBITDA,
that's like above 90%. So this will help us to fund 100% of capex, so.
Agrim Kanungo : Just one brief follow -up. M y main question is that what's the long -term vision of the company?
And what would be the projected EBITDA margins that we can expect over the next 5 years?
Anubhav Gupta: First for 5 years, we are talking if everything is well. Maybe we touch 10 million t ons. Right
now, we are preparing for 7 million tons , we are going for outsourcing also. And we will put
some new capacity when we cross 5 million tons. And EBITDA margin, I don't think if the
maximum spread increases from 5, it will go up to 6,000. It is difficult to commit more today. It
can go up to 1000 rupees plus or minus. I don't know what is the scenario.
Agrim Kanungo : Just one last question. What is the current capacity utilization across our different plants? And yes, that's all like.
Anubhav Gupt a: 70%. We are right now 5 million ton capacity. We are going to do this year 3.5 million tons, so
70% capacity utilization we are running .
Agrim Kanungo : Thank you, sir.
Moderator: The next question comes from the line of Aditya Welekar from Axis Securities. Please go ahead.
Aditya Welekar: Sir, my question is with respect to the safeguard duty, which was proposed by government. So with the 12% safeguard duty, the downside to the HRC prices is slightly now limited. So does

that help us in -- means whatever we see the inventory destocking, restocking. So with the volatility to the downside limited, will it help us going forward because these safeguard duties for the next 3 years ? So this is a positive read -through for us? Is that understanding correct?
Anubhav Gupta: Yes, 100% you are correct. Like right now, the HR coil for the month of October is close to INR46,000 per ton landed Ghazi abad or anywhere in the country, or if we do any import wit h the duties, it cost us to INR52,000 or INR 53,000 per ton. So this is not possible to import anything outside of the country or import.
Whenever there is a steep capacity is more. The local demand is less. So maybe another INR1,000 price will go down INR1,500 will go down. So the restocking that was there till the first half, I think that will also stop and demand will be created.
Aditya Welekar: Understood, sir. And my next question is on the long -term means, you have touched that we may go up to 10 million ton

capacity. And in the slides also, we have projected that the structural steel tube market will grow by 10% CAGR by 2030. So means what are the long -term demand drivers? Do we really foresee that this market will go up to that quantum by 2030 means consistent double -digit growth, 10% CAGR from FY '24?
Anubhav Gupta: Most market is already there. But in India, there is the biggest problem there is a one secondary material is there, which is a very low quality material a nd it has a low cost. So, people are very much worried about the brand, about good material. So, as soon as the market is over, then 10 million tons will reach very easily. If it does not end, then maybe 1 and a 0.5 years up and down.
Growth is coming.
Aditya Welekar: That is good to hear, sir. Thank you very much.
Moderator: The next question comes from the line of Kumar Saumya from Ambit Capital. Please go ahead.
Kumar Saumya: Sir, a couple of questions from my side. So firstly, on the EBITDA per ton . In the general structure, we have seen EB ITDA per ton move up from INR2,700 to INR 3,400. If you could please help me understand what is driving it and how sustainable these are?
Anubhav Gupta : Right now I have already told the callers that from January 2025, we are totally focusing on our brand leverage and the size leverage. We spread our margin or pricing from others. We have stopped looking at others. So, because of that, our margin is increasing. And we have also worked a lot on the distribution network. We have developed a lot of our distributors in this way, according to capturing the market. So , I think it is sustainable.
Kumar Saumya: Okay. So, we expect that it will come above INR 3?
Anubhav Gupta: It should be 100% . Otherwise, as the quarter goes on, our confidence level will increase.
Kumar Saumya: Sir, today, what is the SG premium volume th at we are doing within the general structure?
Anubhav Gupta: 10,000 to 15,000 tons between per month.

Kumar Saumya: Per month?
Anubhav Gupta: Yes.
Kumar Saumya: In this SG premium, what would be the EBITDA per ton that we usually make?
Anubhav Gupta: I think we are in almost nil or maybe 500 minus.
Kumar Saumya: So on the blended basis, if we are doing 3,400, then that means the rest of the portfolio is... ?
Anubhav Gupta: You can understand that today, Apollo, APL Apollo price, I will tell you in a simple way, INR54,000 is our lowest price in the Southwest. And our SG premium price is around INR49,000-INR 49,500.
Kumar Saumya: Sir, lastly, just bookkeeping question. What is the Dubai capacity today and R aipur capacity as on today?
Anubhav Gupta: Dubai capacity is almost 3 lakh ton per annum . Right now, our one line is starting in November. One line will start in March. So, the capacity of that plant will be 5 lakh ton per annum. That plant is fully booked. We are very bullish. We are opening two warehouses in Europe and Antwerp for that plant , one in Liverpool and one in Antwerp.
So, our margin should be more expanded from there, according to me. And if Raipur's capacity comes in our full order book, then 1.2 million ton ABPL and 0.3 million ton of our old plant, which is the primary one. Total capacity of Raipur is 1.5 million ton.
Kumar Saumya: Okay. And utilization at Raipur, sir?
Anubhav Gupta: It's around 70%.
Kumar Saumya: And D ubai similar ? 70%-75%?

Anubhav Gupta: No, no. Dubai is above 85%.
Kumar Saumya: Sir, just for an understanding, when we sell our products in Liverpool -- sorry, say in Europe, from the Liverpool and Antwerp warehouse, how is the profitability in this market different from the Indian market?
Anubhav Gupta: We are already supplying from Dubai. But if we open a warehouse there and make the service better, then we think that our EBITDA spread should increase by EUR 50.
Moderator: The next question comes from th

e line of Onkar Ghugar dare from Shree Investment .
Onkar Ghugardare: Sir, my question was that, we are a segment that is growing well for Sambhv Steel. Are we present in it? And if not, is there any chance of coming in it? Pre-galvanized coils and pipes, sir?
Anubhav Gupta: No, I don't think there is anyone in the pre -galvanized pipe of Sambhv Steel. I have heard a lot about it. But we will never go into the life of the quality material that is made. It is better that I

close my system. But I never go to this secondary type of material. That is my biggest, I have been fighting this secondary for 20 years. I am replacing the whole market with secondary. So, I will never go to secondary.
Because what is the problem in secondary, I will tell you. Listen to a problem. Its upper cap i s fixed from HR c oil. It has to be sold for INR 3-INR 4 cheaper from HR c oil. As the capacity of HR coil increases in the country, apart from India, if you see anywhere in the world, there is no secondary going on. And it is the most polluted item. If you lo ok at the carbon of the sponge that is made from sponge and I don't have that much deep knowledge, if you look at the carbon of the blast furnace, there is a big difference.
Now you see in Europe, it is coming in Europe, if you make material from electrical steel, from scrap, then you will get a premium of EUR 100 there. So, I am a little environment -friendly person. So, I can't even think of secondary because it is not a very environment -friendly product.
Number 2, not one, there are many pillars. I don't know what is the cost of this, but from the market, from my dealers, it is known that every person is crying at this time. Today, if you consider the basic pipe of secondary i n Raipur, then it is 37,000, 37, 500, it has an extra of 3,000 thickness, then Raipur is basic around 40,000. There is a freight of 3,000, if the goods have to be sent anywhere, then its rate is around 43,000.
Our HR coil has already reached 45, 46. So, there is no margin there, that's why we take the margin and sell the goods in 54, that's why we have a problem. If I sell the premium at a cheaper price, then there is no problem at all.
Onkar Ghugardare: So, you mean to say that this pre -galvanized coil also comes in secondary?
Anubhav Gupta: No, it does not come in secondary, it is not pre -galvanized, it is a black pipe.
Onkar Ghugardare: Okay, so what do you have to say about pre -galvanized? What do you have to say about it? You are not in this category or there is a chance that you will not go?
Anubhav Gupta: I don't have a concern, I don't know about it. I don't know what it shows, what it does, I don't know anything about it.
Onkar Ghugardare: I am not asking about them . Are you present in this or are you thinking of adding something about it?
Anubhav Gupta: My pre -galvanized will come in the main volume. How much is your pre -galvanized?
Chetan Khandelwal: 2 lakh ton.
Anubhav Gupta: 2 lakh ton is the sale of our quarter.
Chetan Khandelwal: The product break -up that you will see in our presentation, the Coast Guard pipe in it, all that is pre-galvanized.

Onkar Ghugardare: Okay, all that comes in pre -galvanized.
Anubhav Gupta: Pre-galvanized is innovative .
Onkar Ghugardare: Apollo started pre -galvanized.
Anubhav Gupta: I don't know much about it, I have never heard of it.
Onkar Ghugardare: Okay . Thank you. My second question was that you said that for the next 3-4 years, you will do a double digit growth. Can you give us more information about it? Double digit means how much , 15% to 20% at least we can expect?
Anubhav Gupta: No, no, no, it is 10 % to 15%. I can't commit directly.
Onkar Ghugardare: 10% to 15% for the next 3- 4 years you are saying?

Anubhav Gupta: I know about 3-4 y

ears, but 10% -15% for the current scenario.
Onkar Ghugardare: So, you are expecting this bare minimum, no matter what the situation is, as of now?
Anubhav Gupta: Yes, bare minimum. In this bad situation, we are doing this much.
Onkar Ghugardare: And this EBITDA that you said of INR 1,700 crores this year, this means that 10 % to 15% of the volume that you are saying...
Anubhav Gupta: I am not saying bad from bad.
Onkar Ghugardare: Yes, yes. So, INR 1,700 crores that you are saying for this year, what will be your target by holding 10% -15% volume growth? Should it be more than this or should it be at a similar level according to volume growth?
Anubhav Gupta: That is on tailwind now. It is difficult to comment now. If we get tailwind, we will increase it by 100%.
Onkar Ghugardare: So, the volume growth should be at least as much as the EBITDA growth?
Anubhav Gupta: I have not done such a deep calculation, but it is on tailwind. Now, I understand it in my language, the target of 9 lakh tons will be Q3, the target of 9.2-9.5 lakh tons wil l be Q4. In that, the EBITDA of around INR 5,000 is INR 450-INR 450, INR900 crores, and INR 800 crores has come, so INR 1,700 crores. I am saying this.
Onkar Ghugardare: This you are saying for this year of INR1,700 crores?
Management: Yes.
Onkar Ghugardare: I am asking that if in next 3 years to 4 years you are expecting a 10% to 15% bare minimum volume growth then 3 years to 4 years going forward at least this level EBITDA margin can you sustain that?

Management: Yes maybe 6,000 and if the business gets close d it maybe 4,000.
Management: To answer your question EBITDA growth should be higher than volume growth. Our business model has been maintained that way.
Onkar Ghugardare: So that's what I was asking the EBITDA growth should be higher than the volume growt h you are talking about?
Management: Yes, it will definitely be there. Our volume growth stays at 10% to 15% so our EBITDA growth will be 15% to 20%.
Onkar Ghugardare: Okay. All right. Thank you very much.
Management: Thank you.
Moderator: Thank you. The next question comes from the line of Akshay Chheda from Canara Robeco Mutual Fund . Please go ahead.
Akshay Chheda: Sir, thank you for the opportunity. Sir just sorry, but again on this EBITDA per ton only. Sir actually INR300 of sequential i mprovement well taken because of the GP, because of the operating leverage and the ESOP absence. Sir, but then again on this GP per ton also improves sequentially by INR200. So what defines that?
Was there an element of inventory gain in this quarter becau se sequentially the product mix was adverse and then, I mean, sequentially the product mix is adverse and even the ASP has declined sequentially still there is an expansion in GP per ton. So was there any element of inventory gain or what justifies this?
Chetan Khandelwal: Akshay in fact, I mean there was some inventory loss only in this GP per ton which you are seeing because steel prices came down in the second quarter versus Q1. So there is no inventory gain, in fact there is some inventory loss minuscul e not too much. Now this GP per ton expanded because of our value -added mix portfolio.
Raipur plant and Dubai plant they both performed pretty well. The volume expansion came maximum from these two plants and they all – and these two plants carry EBITDA p er ton of INR6,000. So that helped improvement in GP per ton. Our general category product which we are selling at higher realization where we got INR3,400 per ton EBITDA versus INR2,800 per ton in Q1
Akshay Chheda: Okay.
Moderator: Thank you. The next question comes from the line of Andrey Purushottam from Cogito Advisors. Please go ahead.
Andrey Purushottam: First of all congratulations for an excellent performance with all the headwinds against you, really well done. Tha

nk you and my question I just want to understand Anubhav see from

quarter -to-quarter your realization per ton has come down in line with what you also said that steel prices have come down.
Now you also said that you took a price increase on a general category in Ja nuary 2025. So does that mean the increasing EBITDA per ton is also explained by further drop and the more benign raw material price environment, that's why it has happened. So I am just trying to reconcile these numbers and get an explanation?
Anubhav Gup ta: No because see whatever steel price movement is there i t is like 100% pass -through. So NSR increase or decrease is -- the NSR increase or decrease is 100% linked to steel prices. Now for example, if you look at Q1 versus Q2, our NSR declined by INR5,000 per ton and the steel -- our raw material cost also came down by a similar level .
The only improvement in GP per ton is INR200. So in our business model, you will see that steel prices drop or increase leads to same decrease or increase in our NS R. Whatever gap is there, that is on account of our improvement or deterioration in GP per ton in that particular quarter.
Andrey Purushottam: So your improved profitability is for the reasons you spoke about earlier, the INR500 ton improvement on account of operating leverage, no ESOP cost and this was one more factor that you had mentioned. So -- and of course, your slight change in value product mix. These are the essential explain a little?
Anubhav Gupta: Yes, just to reiterate three main factors. Number one, brand premiumization, which you see improvement in EBITDA per ton in our general category. Number two is operating leverage gains as we do more and more volume. And number three is improving value -added mix portfolio, which is coming from our Raipur and Dubai plant.
Andrey Purushottam: Right. And I just had one more question. This is a more general question. If we were to arrive at a deal with the U.S. on tariffs and tariffs were to come down to reason able levels, let's say, 20%, etcetera, how will t hat impact our business?
Anubhav Gupta: No impact as such because our international sales to U.S. is taking place from Dubai plant. So from India, it doesn't impact.
Andrey Purushottam: So you don't see any real risks in the next 6 months to 12 months in t his business, right?
Anubhav Gupta: Except further deterioration in GDP from existing levels.
Andrey Purushottam: So as long as demand remains roughly at the same level as it is now, there is no significant downside that you see?
Anubhav Gupta: That's righ t.
Andrey Purushottam: Thanks very much. Thanks a lot.

Moderator: Thank you. T he next question comes from the line of Saurabh Patwa from ASK Investment Managers. Please go ahead.
Saurabh Patwa: Thanks a lot sir for this opportunity. J ust wanted to have jus t a bit broader question on understanding on the EBITDA per ton trajectory. If I see the company from last 10 years , 15 years history, till pre -COVID, our margins used to be hover around like INR3,000, INR3,500 range. Post -COVID, I think as the capacity increased and our volumes started to pick up significantly from close to 1.2 million to close to 2 million, our margins improve d very sharply, EBITDA per ton .
Subsequently, I think while our capacity kept on increasing, I think the utilization level didn't kept pace because the capacity addition was much faster. And that's when the improvement sort of the further improvement couldn't kick in, in terms of operating leverage or gross margin improvement. Also, we got impacted by the macro environment in terms of realization, product mix at some quarters, etcetera. How do you see, sir, things changing there?
Because in this quarter, see some -- from the commentary which you have highlig hte

d so far, it appears that you believe that worst in terms of your macro would have been behind, the capacity utilization has reached a decent number and the operating leverage should start kicking in much faster than it would have done in maybe last two years or so. Is this a fair understanding, sir?
Would be happy to have your thoughts on that, sir?
Chetan Khandelwal : Saurabh, that's why we always demonstrate this confidence in our business model that it has the ability to generate EBITDA per ton of INR6,000 per ton, right? Now we may not demonstrate this number throughout four quarters in a year. But on a blended basis for full year, we always wish to have INR 6,000 per ton of EBITDA spread.
Now why we say so? Because if you look at like you said 10 -year history, right? Before COVID, we were around INR3,000 per ton , right, between 2016 to 2020, our EBITDA spreads were

around INR3,000 per ton . And if you look at our capacity expansion speed at that point of time, it was doubling every three years, right? We were expanding our capacities every 3 years.
Now a lot of upfront costs used to come up, right, which used to depress our margins. And three years, continuously, there was demonetization, there was a slowdown in GDP, then COVID came, right? So that put pressure on our capacities, and we had to down sell our product, right? We had to offer discounts to our channel partners. That's why EBITDA per ton couldn't go up.
Now what has changed after COVID, one is that slowly, gradually, Apollo brand has started to become strong, right? And we have lowered the discounts which we used to offer earlier. And now we are not doubling our capacity every three years, okay? Like earlier, we used to look for 25%, 30% volume growth. Now we are seeing mid -- like double -digi t volume growth. And now we are running -- we are chasing profitability. We are chasing EBITDA per ton because that's what we have built our brand now, right? So we have to leverage on that.
And secondly, all the new capacit ities, which is coming up, that's for markets where we are not present, so we don't have to go and offer discounts. Secondly, they are towards the value -added

products, okay? So that's why we are confident that the trajectory from INR 3,000 to INR 5,000 per ton in the last six , seven years. And the next four , five years, definitely, the trajectory could be from INR 5,000 to INR 6,000 per ton.
Saurabh Patwa: Thanks a lot for the details. Just quickly, so last three years, the profit growth, which was slightly below w hat you would have envisaged and despite sharp -- despite a good revenue growth, do you think -- do you assume -- or do you firmly believe that things would not be the same in the coming next three years, probably it should be much, much higher, right?
Chetan Khandelwal : Definitely, Saurabh. Yes. Because last two, three years, again, we were ramping up our Dubai plant. We were ramping up our Raipur plant, right? So there was some negative operating leverage coming from there. And then FY '25, quarter 2, we took a hit of massive inventory loss, right? So if we -- assuming like steel prices cannot fall again by INR8,000 per ton from current levels, right? So we may not see the same kind of inventory losses, right?
And Raipur, Dubai plants, which were our major capacity expansion in the last three, four years, now they are stabilized. The utilization rates are above 70%. We will not have a negative operating leverage again, right, for the new capacities coming up. So that's why we are confident that EBITDA grow th now will be superior than the volume growth.
Saurabh Patwa: Right. Thanks a lot and all the best.
Moderator: Thank you. The next question comes from the line of Nishita from Sapphire Capital . Please go ahead.
Nishita : Yes. So I had a question. So what is the , like split between the Dub

ai plant and the India plant
currently -- the volume, sir?
Chetan Khandelwal : According to the rate. So Dubai plant is contributing around 8% to the total volume.
Nishita : Okay, understood. So I just wanted to understand, you mentioned that 9 lakh ton is your target for Q3 and around 9.2 lakh tons is the target for Q4 with the EBITDA per ton of around INR5,000 to INR 5,200. Is that correct?
Chetan Khandelwal : That's right.
Nishita : Okay. Understood. That is, it from me . Tha nk you.
Anubhav Gupta : If we miss by volume, so maybe our EBITDA margin will go up.
Nishita : I am sorry?
Anubhav Gupta : Even if our volume is less , our EBITDA margin will go up. We are not focusing on the volume, we are focusing on the margin.
Nishita : Okay, understood. So would you like to give any revenue guidance for FY '26?

Anubhav Gupta : Right now we are not able to understand the market, but we can see that the worst is over. Right now we are running at a rate of INR 850. So we think we will cover it in November - December. But we are maintaining the margins. Our focus is on INR 450 crores in Q3 and Q4 each.
Chetan Khandelwal : In quarter 3 and quarter 4 each.
Anubhav Gupta : We have to beat this.
Nishita : Okay. So in quarter 3 and quarter 4, the target is to be at INR450 crores of top line?

Anubhav Gupta : Bottom line, EBITDA margin.
Chetan Khandelwal : Absolutely, EBITDA.
Nishita : Okay. Absolutely, EBITDA, understood. Thank you.
Moderator: Thank you. The next question comes from the line of Angad Saluja from UBS Securities India. Please go ahead.
Angad Saluja : Thanks for taking my question. Sir, first question on SG Premium launch . Like how has the feedback been from the dealers on the launch? And what is the largest strategy here that we are sort of tryi ng to achieve? First question is around that.
Anubhav Gupta: Hi, Angad. Angad, there no logic, because we have a spare capacity there. We have a spare raw material there and our distribution network when we are selling our material on premium they need som e to compete with other brands and they used to go here and there so we lost this brand, you don't take material from here and there, we give that material to you.
Angad Saluja: Right. Sir, dealer feedback on that, there no negative pushback or anything fr om a dealer's perspective.
Anubhav Gupta: It's the same dealer, who take Apollo. If anybody is lifting Apollo 10,000 tons then he picks up 1,000 tons or 1,500 tons because you understand what my marketing system is. Like my dealers, 10,000 tons, 5,000 tons , 15,000 tons, 20,000 tons dealers are, my second competitor doesn't make that much material. So I have to sell material to him and he has to take material from me.
Angad Saluja: Right.
Anubhav Gupta: The amount of material I sell to a dealer his total production structure is not that much. I built up my system like that that we are for each other.
Angad Saluja: Right.
Anubhav Gupta: So they had to take 10%, 20% material he has to take it from here and there, or somebody else used to spoil the brand mark et so we said that we have a spare capacity and our cost will be leveraged and if we don't earn from it then our cost will come down.

Angad Saluja: Right.
Anubhav Gupta: This is the strategy.
Angad Saluja: Got it, sir. Got it. Sir, the second question in t he end market demand where you can see that the demand is slightly stable across the board you think that the demand is challenging or you think that in October there was a pick up in a specific channel. Like, what do you feel on the ground on demand?
Anub hav Gupta: No. It was clear that for the last three months, four months' steel was a downward trend. Now in October it seems that the downward trend has ended. If it doesn't increase fro

m November then it won't decrease either. So the channel is completely empty so the demand should pick up but right now after 1st the idea will be complete. Everything has gone bad there is nothing left to go bad.
Angad Saluja: Right. Right. Right.
Anubhav Gupta: Today first time -- I have seen for the first time in my histo ry that Indian prices -- steel prices are less than import by INR7,000 per ton, INR8,000 per ton. Otherwise India used to get INR2,000, INR3,000 more than import.
Angad Saluja: Got it, sir. I think that was all.
Moderator: The next question comes from the line of Pallav Agarwal from Antique Stock Brocking.
Pallav Agarwal: Yes. Good evening, sir, and congratulations on a good set of numbers. Just had a question on this inventory. We have had a positive impact of change in inventory. So will any of this reverse in the coming quarters or this can -- there will not be any impact in the second half?
Chetan Khandelwal: So Pallav, steel prices are down only. So there is no inventory gain in the first half.
Pallav Agarwal: No. I'm not talking about gain. I'm ju st talking about the accounts, the change in inventory. So about INR150 crores of benefit is there, right? So either we have built up inventory or there's been a change in price. So what is actually what has led to this amount -- this inventory change?
Chetan Khandelwal: So, yes, finished goods stock is down, right? And we have bought some raw material, right, which is -- which you see in the P&L.
Anubhav Gupta: Better inventory management.
Pallav Agarwal: Okay. So you should not see any reversal of this in the next quarter?
Chetan Khandelwal: No.
Pallav Agarwal: Okay. And a lso if you could just share, I think, the capacity utilization, you mentioned that Raipur has gone up, I think, on a blended basis. So what was it in the, let's say, in the previous quart ers, Dubai is at 85%. So what was this utilization maybe in Q1?

Chetan Khandelwal: So Q1, Raipur was 55%. Right now, it is around 65%, okay? Dubai was 65% in Q1 and now it is touching 80% in Q2.
Pallav Agarwal: Okay. Okay. Okay. Yes. Okay.
Moderator: The next question comes from the line of Sailesh Raja from B&K Securities.
Sailesh Raja: Yes. Sir, you just mentioned we are focusing more on EBITDA per ton than the volumes. So in the same line, I just wanted to know within general category, is it possible to share the volume mix between the products where EBITDA below INR2,000 per ton and those above INR2,000 per ton. Has there been any change in this mix compared to last year's same quarter or last quarter? So what is our long -term strategy here?
Chetan Khan delwal: No. So that is already given in our presentation, the product mix with EBITDA per ton break up.
Sailesh Raja: No, sir, within general category, I'm asking. Within general category, so we have reported around INR3,200 in the first half.
Chetan Khandelwal: Right.
Sailesh Raja: With that category -- can you give the mix where EBITDA we might have reported below INR2,000 per ton and above INR2,000 ton?
Anubhav Gupta: Mostly everything is one, there is nothing, like, two, three category -- in general cat egory, we don't have two, three categories. The pricing is the same.
Chetan Khandelwal: So when we increased our price -- when we increased our pricing, it was increased for the whole lot of general category. It starts from range 20…
Anubhav Gupta: 20 squa re to 180 square -- 150 square.
Sailesh Raja: Okay. Okay. Okay. Sir, one more last question. Our cash generation is very strong. Even after considering capex and dividend, I'm assuming 20% payout, we would be still generating average of INR400 crores per a nnum for next three years. So we would be sitting with INR1,200 crores of excess cash.
So what is our strategy here? Is there any plan to increase dividend or buyback? Also,

if you see our payable is INR2,300 crores. So instead of holding cash and having -- we have, I think, fixed deposit also. So instead of getting yield of around 4%, 5%, can we pay upfront and get more discounts? So what is our strategy here?
Anubhav Gupta: First, our strategy is to remove the liabilities from the book and get some more discounts from the suppliers.
Sailesh Raja: Okay.

Anubhav Gupta: Number two, we go for the capex, like, our capex which is declared for 7 million. For the remaining 10 million tons, I think, we will have to put 1.5 -million -ton capacity. We will go for outsourcing. So 10 million tons. The remaining money is a good problem to solve. We will increase dividends or buy back. We will do something. Keeping in company -- we will not make an FD.
Sailesh Raja: Okay. Okay, sir. Thank you, sir.
Moderator: Thank you. The next question comes from the line of Vikas Singh from ICICI Securities. Please go ahead.
Vikas Singh: Thank you for the opportunity, and congratulations on a very good set of numbers in a difficult time. Sir, my first question pertains to the fact that you said a lot of HRC capacity is coming in India. So, will this facilitate you to gain more market share because of the price gap differential coming down? Or there is still a legroom that you get incremental discounts from the steel mills to catch margi n? So which should be the better way to utilize this opportunity?
Anubhav Gupta : First, both of the ways, amount of capacity that has come in India . Either it should be a demand growth and now the capacity is ramping up. This is a good thing. Maybe they hi t the secondary to sell this type of material.
Vikas Singh: Is there a more scope to get the benefit out of this overcapacity situation ?
Anubhav Gupta : Our focus is to hit the secondary and get the Indian market on the primary steel. We are focusing on that.
Vikas Singh: Noted. Sir, my second question pertains to some of your competitors basically, though smaller in size . I didn't see any volume growth because they didn't have the capacity. They are also primary producers now. Now going forward, they woul d have the capacity basically cumulatively about 1 million tons.
So how should we look the primary competitive -- segment competitive scenario , because you are saying that you are focusing on profitability , but would grow the volume, both can't go hand in hand, right, in case of -- since the demand is not that great, you yourself said.
Anubhav Gupta : We don't pay much attention to the competitor to be frank. We are working on our own strategy

on how we have to do. We are going in a new area and we are not building up any capacity in our competitive items. We are building up new type of products and new type of area. We are building up from different types. I don't want to compare who will invest how much. We will see when there is a problem. I am the lowest cost producer in the world. And if there is a fight then there will be a price war. I don't see anything like that today.
Vikas Singh: Noted, sir. Noted. Thank you for answering my questions .
Moderator: Thank you. T he next question comes from the line of Udit from Yes Securities. Please go ahead.

Udit : Yes. Hi, sir. Thank you for taking my question and congratulations on a great set of numbers. Sir, we clearly understand that you all have been gaining market share. Just if you can throw some light in terms of the new uses that have been coming up, is that also aiding to your volume growth? And if so, then which sectors from where are you getting that incremental demand?
Chetan Khandelwal : So, there are two areas where we are working on. Number one is new markets like international markets, we worked upon, right? And now we are going to work on Eastern

markets. So Eastern
markets and international markets, they are giving us additional volume.
And in terms of new applications, yes, our products in the heavy construction with the launch of 1000x1000 tube. And also some of the products for the renewable sector, where we are able to sell for the structures. So, these are the two new applications which have come up and increase our sales volume.
Udit: Got it. Thank you, sir. The rest of the questions have been answered. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference back to the management for closing comments. Over to you, sir.
Anubhav Gupta : Thank you, everyone, and thanks to Axis for hosting us. Look forward to see you next time. Thanks so much.
Moderator: On behalf of Axis Capital Limited, that concludes this conf erence. Thank you for joining us today, and you may now disconnect your lines.

Call: Jan 2026

January 2 7, 2026

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NSE Symbol : APLAPOLLO Department of Corporate Services/Listing
BSE Limited
Phiroze Jeejeebhoy Tower,
Dalal Street, Fort,
Mumbai -400001

Scrip Code : 533758

Subject : Transcript of the Conference Call held on January 22, 202 6
Dear Sir/ Madam,
With reference to our letter dated January 15, 2026 intimating you about the conference call with Analyst(s)/ Institutional Investor(s) held on January 22, 202 6. Please find attached the transcript of the aforesaid conference call.
The above information is also available on the website of the Company .
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully

For APL Apollo Tubes Limited

(Vipul Jain)
Company Secretary and
Compliance Officer

Encl: a/a

“APL Apollo Tubes Limited
3QFY26 Results Conference Call”
January 22, 2026

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MANAGEMENT : MR. SANJAY GUPTA – CHAIRMAN AND MANAGING DIRECTOR – APL APOLLO TUBES LIMITED
M R. RAHUL GUPTA – DIRECTOR – APL APOLLO TUBES LIMITED
M R. DEEPAK GOYAL – DIRECTOR, OPERATIONS – APL APOLLO TUBES LIMITED
M R. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER – APL APOLLO TUBES LIMITED
M R. CHETAN KHANDELWAL – CHIEF FINANCIAL OFFICER – APL APOLLO TUBES LIMITED

MODERATOR : MR. KUMAR SAUMYA – AMBIT CAPITAL PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the APL Apollo Tubes 3QFY26 Results Conference Call, hosted by Ambit Capital Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kumar Saumya from Ambit Capital Private Limited. Thank you, and over to you, sir.

Kumar Saumya: Thank you, Swapnali. Good afternoon, everyone. Welcome to 3Q and 9-month FY '26 post-results conference call of APL Apollo Tubes. From the management we have with us, Mr. Sanjay Gupta, Chairman and Managing Director; Mr. Rahul Gupta, Director; Mr. Deepak Goyal, Director of Operations; Mr. Anubhav Gupta, Chief Strategy Officer; Mr. Chetan Khandelwal, Chief Financial Officer.

I'll now request the management for an opening remark, post which we'll open the floor for Q&A. Over to you, sir.

Anubhav Gupta: Good evening, everyone, and welcome to APL Apollo's 3QFY26 earnings call. I would like to take this opportunity to congratulate Team Apollo on such a stupendous performance in a quarter that faced multiple headwinds, including a subdued macro construction ban in Delhi NCR and falling raw material prices.

If you look at our performance, I would like to highlight a few points. So, number one, the 9-month sales volume increased 11% YoY, which is well within our guidance range of 10% to 15% growth, as we had communicated on the 1QFY26 earnings call. And the 9-month EBITDA per ton is above INR5,000, surpassing our own guidance given on the quarter 1 earnings call. So our strategy of pricing premiumization by leveraging APL Apollo brand has worked excellently to expand our EBITDA spreads, and the launch of SG brand in the base category worked well to compete with the smaller players in the structural steel tube segment and the sponge iron pipe players.

It's been 12 months since we increased the selling price for APL Apollo-branded products, which suggests the markets have accepted our brand equity, and the INR3,000 to INR4,000 per ton premium for APL Apollo-branded products is now the new normal for the structural steel tube segment.

Another highlight for the 3Q result is that we sold 375,000 tons in December, implying an annual figure of 4.4 million tons. So we have successfully tested our 5 million ton capacity, achieving almost 90% utilization in December 2025. So we are very confident that this momentum will continue. Hence, we are upgrading our sales volume growth guidance of 20% for 4QFY26 and FY27, with the EBITDA guidance of almost INR5,500 per ton.

And at the same time, we are aggressively pursuing capacity expansion to 8 million tons from current 5 million tons in next 2 years, which is a mix of 4 greenfield projects; 2 being in East India, 1 in South India and 1 in West India, 1 being the brownfield project in Raipur for value-added products.

And very interestingly, we identified a 1 million ton expansion through debottlenecking, wherein we identified existing mills that could be replaced with much faster, modernized mills, which will expand our ROCE to the next level because the investment there will be very, very minimal. So total investment to expand our capacity from 5 million to 8 million tons is around INR1,500 crores, and this will be funded from internal cash flows over the next 2 years.

Now one thing which, obviously, we will be talking much more about over our earnings call is the additional 2 million tons to achieve our vision of 10 million tons of capacity by 2030. This incremental 2 million tons will be in the s

uper specialty segment, wherein we are identifying various targets worldwide for the JVs with Japanese, Korean, and European and American companies to offer products in specialized segments like EV category, aerospace, petrochem, oil and gas, and heavy engineering.

We are already talking to a few targets. So over the next 12 months, there will be much more coming from our side. So 8 million tons of structural steel tube capacity by FY '28, and overall 10 million tons of steel tube capacity by 2030. This is our vision, and every member of the APL Apollo team is working on it.

We are also working on a lot of cost control measures, which Sanjayji will elaborate on later in the call, so that we are able to achieve the 5,500-ton EBITDA target on a per-ton basis because

it's a big jump in our guidance, which we gave from INR4,800 to INR5,000 to INR5,500 per ton. So a lot of working has gone while we are giving or throwing up this number to our investors.
On cash flow generation, you can see that our balance sheet shows a surplus cash of INR5.6 billion. Now, most of the capex is behind us, right? And the company is throwing off such large cash flows, plus the sales run rate, which is what we are achieving. So we are seeing a lot of opportunities to rationalize the inventory days, which right now is 30-plus. It will be in our 20-day range.
And with the strong Q4, our surplus cash on the balance sheet could be INR1,500 crores, which was always the target that we would have as much cash on our books to match our current liabilities, so that we can be a liability-free company. A debt-free company we began 2 years ago, we are now on the verge of becoming a liability-free company. And with such high inventory churn and better EBITDA spreads and volume growth, our ROCE, which right now stands at 33%, it would also further expand to sub-40 levels.
So things look very, very promising. Thank you, everyone, for joining the call. We are happy to take questions now.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sneha Talreja from Nuvama. Please go ahead.
Sneha Talreja: Hi, good evening, team, and many congratulations on great set of numbers. Just a couple of questions from my end. Did we hear it correctly that you said 20% volume growth in Q4 as well as FY '27? I'm more concerned about FY '27, while quarter 4 is understood.
And secondly, what's changed between in the last, I would say, 3 to 4 months or 6 months, where your EBITDA per ton guidance has suddenly moved up significantly, like you said, from INR4,800 to INR5,000 to now INR5,500. What are the measures you are taking or what are the developments which are happening in the product mix, which is leading to this kind of increase in guidance?
Management: Thank you, Sneha. Our mainly volume growth is coming from our strategy. We have decided to go with the other brands also. Right now, you can say we are H1 in our segment in the market, and also we are L1 in our market. So we are not facing any pressure in volume growth. We were taking trial for 2-3 months. This trial is totally successful. We started in November and December, and till now in January, we are going very well with our targets. So I think our strategy has worked completely.
According to the strategy, we are not facing any problems with volume growth. So, rightly you can say that this year we will do around 3.55 million tons, which we are targeting in Q4 between 10-11 lakh tons. You can say 10.25 or 10.5, we can easily achieve.
So with this, our fixed cost has reduced a lot. Because our fixed cost whether we were making 2.6 lakh tons per month or 3.7 lakh tons per month, our cost is the same. So that has reduced our fixed cost from 300-400.
Plus, according to the pricing in Apollo, we did marketing. So we got a lot of leverage from that t

hat Apollo as a brand has been well stabilized. Our margin would have been more but due to our margin being less in premium because our margin is coming between 1500-2000 per ton. Because of that, our spread has reduced a lot overall. Otherwise, in Apollo, we are well in head and slowly as our volume will set up at 5 million tons, then I will not finish the premium, but slowly we will slow it down and increase Apollo more. But as a brand, it is difficult to achieve abnormal growth.
But in the lower brand, I used to say that we can take growth. We were afraid that if our volume does not increase, our cost will not decrease, and if our goods are sold cheaply, then our margin will be very bad. That's why we were afraid.
But after October, we took this step. In October, we are doing so-so. Like we did in October, 2.5 lakh tons. In November, we have done almost 3 lakh tons, and in December, we have done 3.7 lakh tons. And in January also we are looking for 3.7 lakh tons or 3.8 lakh tons.

So, because of this, we have made a difference in cost. When our sales picked up, our value-added product also started selling more. When our sales were picked, then the goods were sold locally. So we have reduced our freight cost also by INR100, INR200 per ton. Earlier when the sales were less then the goods were going from one place to another to fulfill the customer demand.

Now every plant is focusing on its local market. So this has made a difference in our freight cost. It has also made a difference in our power costs. Like, if we talk about it, earlier our electricity cost was around 90 units. How much was 90 Chetan?

Chetan Khandelwal: 92.

Management: 92 units were coming till October. That in December was 80…

Chetan Khandelwal: No, it is combined of quarter. How much was in December 84?

Management: In December that 84 units came. So in these small plus fees cost there was a difference of INR200-INR300. So, because of this, our margin has increased. Thank you.

Sneha Talreja: Thanks a lot sir. Thank you so much. And all the very best team.

Management: Thank you, Sneha. So just to reiterate that we are seeing 20% volume growth for Q4 FY '26 and for the full year FY '27 over FY '26.

Moderator: Thank you. The next question is from the line of Bharath Shah. Please go ahead.

Bharath Shah: First, I wanted to make a point before I ask a question.

Sanjay Gupta: Yes.

Bharath Shah: Experience. He keeps on saying headwinds and challenges. In the quarterly presentation also he said that headwinds and challenges etc. But I believe that the birth of an entrepreneur like Sanjay Gupta is to overcome challenges. So I think we should stop writing these pre-embedded articles…

Sanjay Gupta: I have never seen it till date. You are absolutely right. First of all I am very thankful to you for giving such a big regard. I also believe that there is either success or failure in life. I mean these are all excuses. Headwinds and challenges are just your excuses.

Bharath Shah: I just wanted -- would that be the first point?

Sanjay Gupta: Headwinds and challenges are just your excuses. Pass or fail.

Bharath Shah: Okay. So basically, I think fundamentally, the most important change in strategic focus that we have last year, and which I think is providing superior outcomes, is to focus on overall growth of the profit pool, whether it comes through volumes, it comes from the lead rate due to volumes, or whether it comes through the mix.

But I think we use those levers, but objective clearly is to grow the profit growth. And I think that strategy, you're focusing on the profit pool. Perhaps is the most important strategy change that we have initiated in the last few quarters. And, in my personal opinion, it's absolutely the right area to focus on. So I want to get your perspective on the matter

.

Sanjay Gupta: So, Bharath Bhai. We have divided it into 4-5 parts. We are selling 2,40,000 tons per month from the Apollo brand. After that, our Dubai plant reached almost 25,000 tons. The third product of that is our scaffolding, which we sell by hitting Patra and Raipur. And in the SGP, we have about 50,000 tons. And in the routine product, we work for about 40,000 tons. So in this way, we have made a bracket of 3,75,000 tons.

In Apollo, we are targeting 7,000, in Dubai, we will easily reach INR7,000 easily. From Q4, we have no problem at all. Even in roofing, we will get a beta of around INR7,000. In Scaff and SG Premium, our EBITDA is around INR1,500 to INR2,000. So, if we calculate the total average, it is close to INR6,000 per ton. In 3,70,000 tons. 3,70,000 tons into INR6,000. It is INR220 crores per month.

So, we have decided that if we fail or pass 20,000-30,000-40,000 tons, the rate at which 20,000-30,000 tons will be sold, we will sell it. If we sell 20,000-30,000 tons at INR4 per kilo, then we will incur a loss of INR10 crores. If we sell it at INR5 per kilo, then we will incur a loss of INR15 crores. So, we will definitely take out INR200 crores.

So, we have come up with this type of strategy. Earlier, we were afraid of this type of strategy. Now, we are working with this type of strategy. We had a little drawback till now. Before, there was a benefit in the raw material of Raipur, and now, in Raipur, the freight cost has increased, and the factor of benefit of raw material in Raipur has stopped.

Now, the Raipur area is the regional area, or it is all-India value-added products now. We have strategize the plant so we can take all the value added product in Raipur and the remaining plants we have made them focussed on local.

We have freight cost, it was coming INR2,600 per ton from Raipur on average, and from the local plant, it was coming at INR1,150. So we are targeting INR1,150 to come down to INR750 and INR2,500, IN2,600 we have not been able to reduce so value addition of freight we want to make up because local rate has been increased and the main capacity is in Raipur so we are

facing this problem.
So we have worked on that strategically, and because of that, we got one more benefit, which Anubhav said that free cash flow will be very good. Before, we made all types of products in every plant, but now we have strategized every plant so that in this plant, this thing will only be made, and all mixers we have taken to Raipur, and because of that, the inventory is very low, and free cash will be generated. So I think we are very hopeful that pressure shouldn't come until and unless there is change in management. We are at very comfort position.
Bharath Shah: Yes, absolutely. That's what I was repeating, basically, how much is the volume, what is the mix, what is the tactical strategy, and we have a tremendous focus and control on cost and

operating leverage. These are all in our hands. Overall, that should culminate into profits. And focusing on profits and growing the profit pool is far more strategically simpler objective.
And in my opinion, an efficient objective rather than getting carried away by moving parts that sometimes it has been done in volume and we have kept the product under cover and apart from that the strategy which we have adopted from last three, four quarters. Of course, in between, we suffered from a particularly big quarter where steel prices swung. Nobody can do anything.
So that is something exempted?
Sanjay Gupta: The first guideline, which we have given of INR1,700 crores this year and INR1,800 crores, there is no doubt. We are targeting that we should cross INR1,900 crores.
Bharath Shah: Absolutely. Then a second question I wanted to -- when I'm looking at conversion of EBITDA into operational cash flow. In this particular period of 9 months, it has suffered. And cle

arly, that
has suffered because some amount of working capital has come into the play, but our free cash has gone up because our capex is now behind us.
So the question that I wanted to raise was -- Anubhav mentioned at the beginning, from a zero debt company -- zero debt balance sheet to a liability-free balance sheet. If I have to interpret it appropriately, it means that, basically, even current liabilities will probably be knocked off, which means our management of inventory and accounts receivable is so efficient that the reduction of working capital through current liabilities itself may be an objective. Is that the right understanding?
Sanjay Gupta: That's right, Bharat bhai. So the working capital, which right now stands at 3, will go to negative.
Bharath Shah: Absolutely. Now that is the most wealthy objective because liability is a way of funding assets.
So we don't treat them as working capital. I think working capital is inventory and receivables.
So, working capital shortens without liability, then great deduction?
Sanjay Gupta: In Q4 results you will see the inventory and debtors very minimum. We have done a lot of work on this, and you will definitely see the reduction. As an example I am telling you that every plant used to make pipe of 12 mm and every plant has been restricted to 6 mm and the 6mm product I have taken to Raipur.
When I studied at 1st December my sales was above 6 mm and including all plant I have inventory of INR50,000 and everywhere I have emptied all the product of December, January and in December it was less and after that things come into notice.
In January we have emptied all the products and all the 6 mm product we have taken to Raipur and because of that all the work will be done from INR10,000 tons inventory. From INR40,000 the above product the inventory will be less. So we are doing all such type of work and according to me Q4 is the best performance by taking these criteria.

Bharath Shah: And one last question. Given the fact that volume outlook is also now healthy, mixing any cases is steadily improving. Dubai operation is moving forward in a fast forward basis. And our strategic focus is now on raising the margins.
And first time I have heard right at the beginning, Anubhav's spilling out EBITDA per ton objective. So that clearly tells me to rethink that. So will it be possible to see EBITDA of INR3,000 crores plus in '27 or am I being greedy?
Sanjay Gupta: Right now, you are greedy, Bharat. Frankly you ask me we are thinking about 42 million ton this 4.2 million tons and above 5,500 we will done the complete work or to increase this number we need one or two quarters more. I will not speedily give the answer because nothing will happen to me the goodwill which I made in the last 20 years to become bad it will take only 1

minute like last year.
We are saying that we will do this much, then all of a sudden we have reduced our guidelines, so it's hard to meet because of that we have done a lot of hard work in last 6 months that we should give some guideline then again, in next quarter, we changed the guideline it will hurt my reputation and my mind also. So I can't give you that guideline. Now I can confirm that 4.2 million ton plus I will do and INR5,500 ton EBITDA I will surely make it.
Bharath Shah: No. That's a very, very fair answer, which means INR3,000 crores in any case has to be certain?
Sanjay Gupta: One year here and there. The target which has been given is of 10 million ton, EBITDA 6,000 to 10,000 definitely I will make it happen.
Bharath Shah: No, so delighted hear all that I heard and between what you stated and you didn't state I think this is a remarkable want, but statement about challenges it should come because people like Sanjay Gupta has been born to meet challenges.
Sanjay Gupta: When we have reduced the guidelines we were hurt badly that time

and all the system has working very hard and we are not ready to take back the guidelines at any cost. Whatever we say, we will say with a lot of thought. To do that, how much will we try?
Moderator: The next question is from the line of Aditya Walekar from Axis Securities.
Aditya Walekar: Congrats for the great set of numbers. So my question is to Anubhav. Just a few bookkeeping questions on the capacity expansion plan. So in the last quarter's presentation, we have existing capacity of 4.5 million tons. So now we have 5 million tons. So the increment has come from Dubai. And what else apart from Dubai?
Anubhav Gupta: So this 4.5 million tons to 5 million tons capacity, one is super heavy, we had added. So that got added, plus some capacity we added through debottlenecking only. So the team is working very, very aggressively, right, to identify that within the existing capacity, how we can increase our capacities by doing small, small improvements, like the mill has multiple components.

So, replacing old components with new components, the efficiency improves. So 4.5 million tons to 5 million tons new capacity got added by 100,000, 200,000 tons, and the rest, to 300,000 tons, is through debottlenecking only.
Aditya Welekar: Okay. And these specialty tools, which we were projecting earlier at 0.5 million tons, will remain the same in the quantum and...?
Anubhav Gupta: Now we are targeting 2 million tons. Beyond 8 million tons, to reach 10 million tons, 2 million tons will be specialty tubes. Earlier, it was 1 million tons. Now we have increased it to 2 million tons. Because as we started working, we are identifying a lot of areas where our company can work across.
Aditya Welekar: Yes. So what gives us -- I mean, if you can throw some use cases or demand pointers that we are now projecting higher capacity additions. So anything on that front?
Anubhav Gupta: So, from 5 to 8 journey, right, 2 million tons consists of 4 greenfield plants, 1 in Gorakhpur, another 1 in Siliguri, third 1 in New Malur, which is in South India, and fourth in Bhuj. So these are the 4 greenfield plants and one brownfield expansion in Raipur for value-added products. So this put together will add 2 million tons over 5 million tons. And 1 million tons again, through debottlenecking, we are going to increase. And the greenfield plus brownfield expansion will require INR1,300 crores, and debottlenecking expansion will require INR200 crores.
Aditya Welekar: Sir, my question was on demand drivers because we are expanding the capacity. So, from a demand perspective, do you see that means from an overall perspective, because the last few quarters, we have seen there was some subdued demand.
Sanjay Gupta; Yes. No, no. Demand is not subdued. We are selling the material in one segment. Now we have split ourselves. Now, what I have said at the start, now we are H1 in the market, we are L1 in the market. We are not going to spread anything. We have to make our capacity full. We are very clear.
Anubhav Gupta: So what Sanjay is saying is that APL Apollo brand is the highest selling price point. SG brand is at the lower selling price point, correct? So that way, we have captured the market heavily. Second, see, all these expansions which are coming, no. So, East India, we are not selling our production in East India because we don't have any plant as yet. So Gorakhpur and Siliguri will cater to all the new virgin market for APL Apollo. Then Bhuj, Bhuj is for export market. Again, the segment where we have been lagging behind. New Bangalore, Malur project, right? There, the capacity for the existing products is already fully utilized. So we are adding new capacity. So whatever new capacity is coming, either it is for new areas or the products which are fully utilized as on date. And third, the roofing -- the value-added products in Raipur. Even Raipur plant

today, the capacity utilization has reached 70%, okay, in quarter 3.
So 1 year down the line, we also need to reinvest again in Raipur to expand the capacity because the demand for some of the products is very, very strong. So we're just gearing for that. So there's

a 2 million ton of incremental capacity. It's not going to cannibalize existing sales. It's on 3-point fundamental new market, new product. This is an overlap. This will be an overlap, yes. But then the market will increase, assuming India's construction growth is 7%, 8% year-on-year. So that much market will increase.
Moderator: The next question is from the line of Omkar Ghugardare from Shree Investment.
Omkar Ghugardare: Congrats on a good set of numbers. I just wanted to know this specialty tube, which you are talking about, from FY '28 to FY '30, what kind of EBITDA per ton is there? You can give a range, that would be fine.
Anubhav Gupta: So, if you look at the specialty tubes, some of the Indian companies are present and some of the global companies, which we are studying, the EBITDA spreads are in the range of INR10,000 to INR15,000 per ton. It will depend on what kind of product segment we get into. It's a bit early to comment.
In the next 2 to 3 quarters, we'll have much more clarity on which global partner, which segment we are tying up with. And -- but yes, whatever we do, it should be above INR10,000 per ton EBITDA.
Omkar Ghugardare: And here, you were talking about JVs, right, in the international markets?
Anubhav Gupta: Yes, that's right. Because super-specialty products, now, if we build this capacity in-house in India, it will take time. So a partnership with a global player always put things on fast track, and we can capture pretty quickly.
Omkar Ghugardare: Okay. Second one is on the capacity you mentioned. I guess you will be doing around 3.6 million tons this year and then 42 million, 43 million tons -- 4.2 million tons, 4.3 million tons in FY '27.
So is the understanding correct?
Management: Yes. Minimum 4.2 million ton, minimum.
Omkar Ghugardare: Okay. And you're talking about 5,500 of EBITDA per ton, right?
Management: Yes, minimum.
Omkar Ghugardare: Okay. This is minimum you are talking about. And then with all the efforts you are doing and when the free cash we'll be generating, what kind of ROCE are you targeting?
Management: It could hit 40%.
Omkar Ghugardare: In FY '27, right?
Management: 40% will be more. So optically, right, as on net INR5,000 crores.
Omkar Ghugardare: So next year's INR1,000 crores and next year's INR6,000 crores. How much do you want from 50%?

Management: You want EBIT?
Omkar Ghugardare: Yes, EBIT. So…
Management: After depreciation of 300 for 50%, need 3,200 EBITDA, 40%.
Anubhav Gupta: So 40% is what you can see within FY '27.
Omkar Ghugardare: And like the free cash flow which you will be generating, you are like, you will be using that to reduce the working capital days? Or will you be giving out some extra dividends, like increasing your dividend payout as well?
Management: We're going to increase some dividend payout. Surely, no doubt. Like right now, we are -- we achieved our targets, but we are thinking. So right now, we are going with minimum 20% of dividend payout policy. We increased to 25% minimum.
Moderator: The next question is from the line of Abhishek from DSP Mutual Fund.
Abhishek: Yes. Sir, congratulations for a great set of numbers, but I wanted to understand two things. That this INR5,500 EBITDA per ton, does it have sourcing advantages built in? Because there is a lot of capacity coming in as far as tailments are concerned. So is that sourcing advantage already built in?
Sanjay Gupta: Sir, the level of sourcing I am doing, I don't have any scope in that. Because I have to take more material, so I am not looking, I

am not looking for money from backward people at this time.
Because I have to take more material, I am assuming that I am not taking any sourcing advantage in this.

Abhishek: Okay. Okay. Because you...
Sanjay Gupta: Whatever I get, I just want to maintain it.
Abhishek: Okay, okay, okay. And secondly, Sanjay ji, the 20% volume that you are thinking about, in this, will you feel any market tailwind that even if their market tailwind is not falling in demand, still you are confident of that number?
Sanjay Gupta: I have thought a lot that if L1 is being sold, then what will the market tailwind say? When I thought that L1 is being sold, then what will the market tailwind say?
Abhishek: Okay. So, if there is a market tailwind, there can be upside to this number?
Sanjay Gupta: Yes.
Abhishek: Okay. Okay, sir. Thank you so much, and wish you all the best.
Moderator: Thank you. The next question is from the line of Darshan Mehta from Axis Capital. Please go ahead.

Darshan Mehta: Yes, sir. Thank you for taking my question. Sir, my question was also on the similar line. When we target for 5,500 per ton EBITDA, so what HRC price are we working for this unitary EBITDA?
Anubhav Gupta: No, Darshan. So HRC is a pass-through for us, right? So there is no assumption on the HR coil pricing. Whatever the price is, up or down, it will be fully passed on to our customers.
Darshan Mehta: So, we are able to fully pass on? Like, there is no absorption that we have to take in our books? Are we able to fully pass it to the end consumer?
Anubhav Gupta: That's right. That's right, Darshan.
Darshan Mehta: Okay. Okay. And sir, just one more thing. In terms of the conciliation of the capacity, sir, in the presentation given that for this 2 million ton greenfield capacity, Raipur would be close to 0.6 million ton. However, my understanding is that the Raipur plant is for debottlenecking. It doesn't fit into the greenfield capacity.
Anubhav Gupta: No, no. Within Raipur, same land, same land parcel, there will be new sheds coming up, new machinery coming up for 6 lakh tons.
Darshan Mehta: Okay. Okay. So this Raipur, 0.6 million ton is purely greenfield. And then can you give the breakup of this debottlenecking capacity of this 1 million ton?
Anubhav Gupta: That will be across the plants, Darshan, that will be across the plants.
Darshan Mehta: Okay. That would be across the plants. Okay. And one more question is on the -- sir, we saw an increase in interest cost this quarter. However, I think that our total debt quarter-on-quarter, which you gave in the presentation, has decreased. So just wanted to know why did we see this increase in overall interest cost?
Anubhav Gupta: So it is -- so listen, if you see like the debt we have on the books, right, the gross debt, let's not talk about the net debt. If we talk about the gross debt, on March '25, it used to be around INR600 crores, INR615 crores, okay, March '25.
And 9 months, we closed at INR548 crores, okay? That's the gross debt on the books. So, because there was interest rate movement during the year, this is what it is, and charges because of bill discounting, etcetera, we do. So some increase in interest cost because of that.
Darshan Mehta: So, basically, you are saying that overall debt has also gone down. Basically, there are some bank charges as well as maybe an increase in the overall borrowing rate, which has basically led to an increase in interest.
Anubhav Gupta: Yes. That's right. So, as we are going to have a lot of cash flow generation during quarter 4, I mean, from quarter 1 FY '27 onwards, this interest rate will drastically reduce to almost zero levels.

Darshan Mehta: Okay. And just one -- two more questions, if I can squeeze. So, first was on the consolidated tax rate. Can we -- can you assume a lower tax rate g

oing ahead once this Dubai facility comes into play? Already, I think we are now at 20% to 23%. Would there be any more reduction in the tax rate going forward once this Dubai plant keeps running, like once it is on stream?
Anubhav Gupta: So, Darshan, both Dubai and Raipur plants are at a low tax rate because Raipur, we started in 2018 under that scheme when the government gave tax benefits for the new ventures. So eventually, we expect our tax rate to be around 20%, when the contribution from both Dubai and Raipur will be at its peak.

Darshan Mehta: Okay. So, can I say FY '28, would you see more like 20% tax rate?
Anubhav Gupta: Kind of, yes.
Darshan Mehta: Okay, okay. And yes, I think I'm done with my questions. And congratulations on the numbers, sir. Thank you.
Anubhav Gupta: Thanks, Darshan.
Moderator: The next question is from the line of Sanjay Nandi from VT Capital. Please go ahead.
Sanjay Nandi: Hello. Yes, congrats, sir, on a good set of numbers. Sir, just a broad vision picture, kind of like as we are heading for 10 million tons by 2030 from 5 as we talk. So, which of the industries can we expect the green shoots from?
Anubhav Gupta: From 5 to 8, we are betting on our existing industry, which is a structural steel tubing, which is linked to the construction across the country for residential, for commercial, government infrastructure, real estate, private construction has been on a slow track around 2, 2.5 years because of various reasons.
But the next 3, 4 years look very promising, and the government spending on infrastructure, once it kicks off, will also bring a lot of tailwinds. So we are very bullish on the construction and infrastructure spending over the next 3 to 4 years. So, 5 million to 8 million tons is the existing structural steel tubing.
And beyond 8 million tons, to reach 10 million tons, that is for the special segments, new emerging categories like EVs, aerospace, and highly mechanical engineering, petrochem, and oil and gas segments. That we will -- that we are still evaluating and studying. Maybe in 2, 3 quarters' time, we'll have a fine blueprint that how we are going to cater to this segment.
Sanjay Nandi: So, sir, in the specialized segment, we are also planning for the structural steel, supplying the structural steel, right?
Anubhav Gupta: Which one?
Sanjay Nandi: In the specialized steel also, we are planning to supply the structural steel, right, in the respect of those segments?

Anubhav Gupta: No, that won't be structural steel. That will be non-structural like ground pipes or coated pipes or like titanium pipes. Structural steel tubes don't require that kind of specialty segment, yes.
Sanjay Nandi: So, that's it from my side, sir. Wish you all the very best. Thank you so much.
Moderator: Thank you. The next question is from the line of Harsh Vasa from SBI Capital Securities. Please go ahead.
Harsh Vasa: Yes. First of all, congratulations on a great set of numbers to the entire APL Apollo team, and thank you for the opportunity. So, my question was that like currently, we have a capacity of 5 million tons at the end of FY '26. So by the time of FY '27, sir, what would be our like exit capacity at the end of FY '27? And what would be our FY '28 volume growth, if you can tentatively give like ballpark number from FY '27 Y-o-Y growth?
Anubhav Gupta: So, FY '26, the exit capacity will be 6 million tons. FY '28, target is 8 million ton, right? So almost 3 million tons will come in 24 months from April '26 to March '28, okay? Now exact number, you can assume like 6 -- 6.5 million tons would be -- 6 million tons, 6.25 million tons would be as of FY '27 and 8 million ton by FY '28.
But majority of the capacity will come in FY'28 because these are the greenfield plants we are setting up. So bulk of that will start coming from Q1 of FY'28. And as far as the volume growth for FY'28, so

the guidance is that we should continue -- 20%, we should maintain 20% growth rate for FY'27 and FY'28.
Moderator: The next question is from the line of Radha from B&K Securities. Please go ahead. Radha, please proceed with your question. Due to no response, we will take the next participant. The next question is from the line of Prashant Sharma from JM Financial. Please go ahead.
Prashant Sharma: Sir, my question is regarding this new safeguard duty that has come into play in December. So what's the impact of that on APL Apollo?
Anubhav Gupta: No impact on Apollo, except the fact that our raw material prices went up, but that is fully passed on. So no impact as such.
Prashant Sharma: Okay. Thank you. That's all from my end.
Moderator: The next question is from the line of Ajit Shetty from LCO Quantum Solutions. Please go ahead.
Ajit Shetty: Thanks for the opportunity. As we will be doing L1 going forward. So do we expect any realization hit going forward?
Anubhav Gupta: So this is going to be a very small part of the business. You saw that contribution in Q2 and Q3 also. And we still maintained the EBITDA spread of INR5,200 per ton. So whatever projections guidance we are giving in, we have built in the volume from low category brand.
Ajit Shetty: Okay. Thank you.

Moderator: The next question is from the line of Mudit Bhandari from IIFL Capital. Please go ahead.
Mudit Bhandari: Hi sir. Just one question. In the SG premium, I think you said 1,500 to 2,000 is EBITDA per ton. So what kind of volumes did we make in 3Q FY'26? And is there any -- if we want to increase those volumes, would there be any additional assembly line or machinery different from what we are using would be required?
Sanjay Gupta: No, no. Machinery is almost same. We are doing almost 60,000, 70,000 tons per ton in quarter Q3. It depends on our balanced product mix sales, where, if my sales are less in the other -- my premium products, maybe I go for 1 lakh ton in the quarter. We have no problem at all because machinery is same.
Anubhav Gupta: I hope this answers your question. Can we take next one, please?
Moderator: The next question is from the line of Pallav Agarwal from Antique Stockbroking. Please go ahead.
Pallav Agarwal: Good evening, and congratulations on the record quarter. So, a couple of questions. One is the safeguard duty, and HRC prices are going up. Are we seeing some restocking demand happening in the quarter, so that it can lead to better volumes?
Anubhav Gupta: Very minor color because it's too early for channel partners to act on this. Once there is more clarity on how prices will behave, then restocking should start.
Pallav Agarwal: Okay. The other question was on the purchase of stock in trade. So in some quarters, it is a pretty high number.
Moderator: Hello? Due to no response, we'll take the next participant. The next question is from the line of Onkar Ghugardare from Shree Investments. Please go ahead.
Onkar Ghugardare: Yes, I just wanted to know, with the recent upside in all the commodities, I mean, will there be any impact on the guidance which you have given -- I mean, you cannot comment on the revenue front, but what would be your prediction on that?
Anubhav Gupta: Sorry, say it again, prediction on what?
Onkar Ghugardare: Prediction on overall guidance, which you have given, of 20% volume growth, I mean, where do you see the trajectory of commodity prices and how much it can impact your overall revenue?
Anubhav Gupta: So we don't factor in how steel prices will behave because there is no major -- where we can have clarity while working on our business plan for the next 2 years. We work on simple fundamentals that whatever increase or decrease in raw material prices we get, we immediately pass it on to our customers.
And this we have been doing for many years now. And our channel partners, our network of

800
distributors, have also kind of got used to this model. And not only us, but our competitors also

work on the same fundamentals. So industry has adopted this that the increase or decrease in raw material prices should be easily passed on to the customers.
Onkar Ghugardare: So generally, how much is the lag in that?
Anubhav Gupta: 5 to 8 days.
Onkar Ghugardare: Just 5 to 8 days?
Anubhav Gupta: That's right.
Onkar Ghugardare: So, practically speaking, there should be no impact because of the commodity steel prices or the commodity price increase if it sustains like this?
Anubhav Gupta: Yes. Unless there is a drop or increase of like 10% or more in a single quarter, right, which happens like once in 10 years. So last year, we had this impact, but we don't expect this to come again, such a sharp increase or decrease again during this decade, at least.
Onkar Ghugardare: Okay. Less than that is easily passed on, right, as you said, within the same quarter or maybe in 7, 8 days?
Anubhav Gupta: Yes, yes, that's right. That's right.
Onkar Ghugardare: All right. No problem. Thank you very much.
Moderator: The next question is from the line of Kumar Soumya from Ambit Capital.
Kumar Soumya: Hi Anubhav, just one question from my side. I'm just trying to understand the math here. The market is roughly 10 million to 12 million tons. Assuming 55% is your HRC coil base, that implies 5.5 million to 6.5 million tons. Now, based on 20% guidance, you would be touching 4.5 million tons next year.

And if I remove 200,000 tons for SG premium and 300,000 tons of Dubai, you're left with 4 million tons for the domestic market. So that implies 65% market share. And your competition is also planning for capacity additions. So how comfortable are you with this volume?
Anubhav Gupta: So, Kumar, 65% market share we've been maintaining for almost 4 years now after COVID. Before COVID, we were at 40%. Now, after COVID, from 2021 straight into '25, as we entered in '26, we are above 60%. Sanjay, do you want to add to this?
Sanjay Gupta: Yes. And number two, Kumar , in our competition, I think the number two player, like we are talking 4 lakh tons per month. So, the number two player is at 15,000-20,000 tons per month. So, he will add the capacity. He will add 2,000, 4,000, and 5,000 tons. He will add 10,000 tons. It shouldn't make that much of a difference to us.

And number two, we are very aggressive in SG premium. We will sell SG premium no matter what the volume is, whatever the price. Maybe price is less than HR coil, or maybe price is less than patra, or maybe price is less than anything.
Kumar Soumya: So, sir, in this guidance of 4 to 4.5, what is the estimate that SG premium will come on in terms of volume share?
Sanjay Gupta: We have caught 3 to 4 lakh tons, which we will need.
Anubhav Gupta: Under 10%, Kumar.
Sanjay Gupta: Under 10%.
Kumar Soumya: Okay. Thank you, sir. That will be all from my side.
Sanjay Gupta: Thank you.
Moderator: Thank you very much. As there are no further questions from the participants, I now hand the conference over to the management for the closing comments.
Anubhav Gupta: Thanks, Kumar and Ambit for hosting Apollo for its 3Q earnings call. And thanks to all the participants who dropped by. Look forward to seeing you again during the 4QFY26 earnings call. Thank you so much.
Moderator: Thank you very much. On behalf of Ambit Capital Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

Call: May 2026

May 06, 2026

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Phiroze Jeejeebhoy Tower,
Dalal Street, Fort,
Mumbai -400001

Scrip Code : 533758

Subject : Transcript of the Conference Call held on May 4, 202 6
Dear Sir/ Madam,
With reference to our letter dated April 25, 2026 intimating you about the conference call with Analyst(s)/ Institutional Investor(s) held on May 04, 202 6. Please find attached the transcript of the aforesaid conference call.
The above information is also available on the website of the Company.
We request you to kindly take the above information on your record.
Thanking you

Yours faithfully

For APL Apollo Tubes Limited

(Vipul Jain)
Company Secretary and
Compliance Officer

Encl: a/a

“APL Apollo Tubes Limited
Q4 & FY '2 6 Earnings Conference Call ”
May 04, 202 6

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MANAGEMENT : MR. SANJAY GUPTA -- CHAIRMAN AND MANAGING DIRECTOR – APL APOLLO TUBES LIMITED
MR. RAHUL GUPTA – DIRECTOR – APL APOLLO TUBES LIMITED
MR. DEEPAK GOYAL – DIRECTOR , OPERATIONS – APL APOLLO TUBES LIMITED
MR. ANUBHAV GUPTA – CHIEF STRATEGY OFFICER – APL APOLLO TUBES LIMITED
MR. CHETAN KHANDELWAL – CHIEF FINANCIAL OFFICER – APL APOLLO TUBES LIMITED

MODERATOR : MR. AKHILESH KUMAR – EMKAY GLOBAL FINANCIAL SERVICES LIMITED
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Moderator: Ladies and gentlemen, good day and welcome to APL Apollo Tubes Q4 and FY '2 6 Earnings Conference Call hosted by Emkay Global Financial Services Limited.
This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinion, and expectation of the company as on date of this call. These statements are not the guarantee of fu ture performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Mr. Akhilesh Kumar from Emkay Global Financial Services Limited. Thank you and over to you, Mr. Kumar.
Akhilesh Kumar: Good morning, everyone. I would like to welcome the management and thank them for this opportunity. We have with us today : Rahul Gupta, Director; Deepak Goyal, Direct or Operations; Anubhav Gupta, Chief Strategy Officer; and Chetan Khandelwal, Chief Financial Officer.
I shall now hand over the call to the management for their opening remarks. Over to you, sir.
Anubhav Gupta: Thanks, Akhilesh. Thanks for hosting us. And we also have our Chairman and Managing Director, Mr. Sanjay Gupta, on the call.
So good morning, everyone and thanks for joining in. We hope you have reviewed the results and will now walk you through the key highlights for the quarter 4, FY '2 6. It was s uch an exciting quarter with the rollercoaster ride. Things looked so good till 28th of February and then the Middle East crisis started, which impacted our performance towards end of the financial year. But despite that, we could pull off with very strong performance for the quarter 4, FY '2 6 and if you look at the full year results as well.
Key highlights being ; Number one, 9% increase in our quarterly volume on Y -o-Y basis. EBITDA per ton at upward of INR5,500 per ton for the quarter 4; our 37% ROCE for the full year closing FY '2 6, negative working capital cycle for the full year.
Operating cash flow generation of INR20 billion and free cash flow generation of INR13 billion for the full year. And we closed the year with net cash balance o f INR15 billion plus in the books.
In today's environment, the way things are changing, it's becoming very difficult to predict sales volume on month -on-month basis. Since the war started, there have been a lot of upsides and downsides for the global econo my and the Indian economy, which is impacting our business in a lot of ways.

Number one being , the shortage of raw material steel from the Indian mills and also the global supply chain got disrupted. Our Dubai operations are operating at 40% utilization ri ght now because of the on -going crisis there. Then there is a fear of price correction in the raw material prices because steel prices have gone up so much in the last three -four months. So there is a de -stocking from our channel partners as well.
Energy c risis in India did impact our volumes in the month of March and things have got stabilized, but then there is always a sword which can come up and like which can again impact if at all there is shortage of fuel etc etera in the country.
And of course, becau se of heat and elections, there was labour shortage also for the time being, which also impacted our operations directly and indirectly as a lot of construction sites went for the halt.
So, our focus right now is to protect our profitability and margins when we know that volume prediction becomes challenging in this environment because the APL Apollo is the market leader and because of our very strong bra

nd positioning, we are able to improv e our margins
significantly and this is what we demonstrated in our March numbers as well.
Despite , April month being slow in terms of volume, th is beginning of May is also kind of similar to what trend we saw in April, but in terms of profitability, in te rms of EBITDA per ton, we are doing much better than what we have ever guided for.
So, we will try to protect our full year target numbers in terms of absolute EBITDA, which we had guided in our previous call. And hopefully things will become better as we move forward.

But given the current atmosphere, our focus is on profitability rather than just pushing volumes. And our long -term plan of 8-million -ton capacity by FY '2 8 remains totally on -track. Our capex commitments, new land acquisition, new product de velopment, distribution announcement in East India, that everything remains on track so that whenever things recover, we are quickly able to recover our lost volume and demonstrate good performance. That's all from our side. We'd like to take questions no w.

Moderator: Thank you so much. Ladies and gentlemen, we will now begin with the question -and-answer session. Our first question comes from the line of Sneha from Nuvama Wealth Management. Please go ahead.

Sneha: Hi, good afternoon team. I mean, good morning team. Just couple of questions from my end. Firstly, you said Dubai is operating at around 40% utilization , just wanted to take an update on galvanized tubes because last time we were facing some gas shortages. How is the operational level at this point of time in those color -coated as well as galvanized tubes?

Anubhav Gupta: So Sneha, see, I mean, the domestic operations, they were majorly hit for few weeks in month of March. Then obviously things became a bit easy in terms of gas availability and our plants also moved to alternate fuels. So, things have improved significantly. But ye s, like I said, there

is always a sword hanging, okay, when the crisis can again hit the industries. So I would say like because of that fear factor, we would be operating at 80 %-85%. If we know that crisis is fully gone, then of course there could be 15 %-20% increase in the production from the current levels.

Sneha: Understood. And Anubhav, you also said about the demand weakness or probably de -stocking. Could you actually bifurcate that into whether it's an actual demand weakness on ground and has governm ent spending actually picked up in anyway, or is it the mere de -stocking which is taking place and you know, we are sure looking at a re -boun ce here in terms of demand? So that's one. And any changes in the guidance because of the current situation that yo u may want to give out?

Sanjay Gupta: Good morning, Sneha, Sanjay this side. Sneha, this type of atmosphere, we can't say , this is a de-stocking or this is the demand slowdown. It takes some time to analyze these things. But whatever we give the yearly guidance in terms of volume and the profitability, I think volume can be a little up and down due to the current scenario. But if the volume goes up and down then we are trying to k eep our margin intact.

We are working by increasing our margin this time . Volume, we are not focusing on our volume. We are focusing on our margin. When the atmosphere gets a little better, the steel shortage in the country will also end, then we are focu sing on the volume and at that time we will pull back our volume by adjusting the margin a little.

But in the current scenario, it is very difficult to give quarter on quarter and month on month guidance right now. But yearly targets par we are intact. We don't have any change. Maybe if the volume is a little less then , we will try to protect the margin.

Sneha: Understood sir. That was pretty helpful. Thanks, thanks a lot team and all the very best.

Sanjay Gupta: Thank yo

u.

Moderator: Thank you. Our next qu estion comes from the line of Angad Saluja from UBS Securities India. Please go ahead.

Angad Saluja: Yes, hi. Thank you for taking my question. So, one question, I mean, obviously guidance is difficult to give in the current scenario, but if we look at realizations and obviously the EBITDA per ton, how are we looking at that, given HRC prices have also gone up, but, you know, the risk from Patra also remains, to sort of take away some volumes? So how are we managing the margin bit in this scenario even though volumes are slightly volatile right now?

Sanjay Gupta: Boss, in the Patra segment, I am also talking on the last call also, that our volume in t he Patra segment, we have reduced our volume attached to that segment a lot at this time, which is left less than 30%. We are gradually reducing it. So, from there we don't get pressure in our margin because we are focusing on our brand and innovations. Ye s, in that our galvanized and coated products there we increase some margin due to shortage also. So, because of this we think that our margin will be better. In Dubai also our volume is less, but margin s are better .

Angad Saluja: And what is driving this margin, mainly is it better realization, that is driving it?

Sanjay Gupta: Mainly boss, y ou can say market leadership, product innovation, and supported by the shortage of steel also.
Angad Saluja: Got it. And sir, one last question. I think capex, absolute amount, how much are we expecting to spend in FY '27?
Sanjay Gupta: So our target remains the same, around INR500 crores , INR600 crore s yearly capex. Our total capex plan which is pending right now for 8 million ton is around INR1,400 crores, INR1 ,500 crore s our total pending plan is 8 million tons. We will complete it in the next 2 and 2.5 years for 8 million tons .
Angad Saluja: Got it. Thank you.
Sanjay Gupta: Thank you.
Moderator: Thank you. Our next question comes from the line of Vikas Singh f rom ICICI Securities. Please go ahead.
Vikas Singh: Good morning sir and thank you for the opportunity. And congratulation on a decent set of number in a very challenging time. Sir, just wanted to understand the sustainability of INR5,500 ton margin going forward, considering that the Patra and the primary gap is higher and this quarter you would have benefited from the shortage of material in the galvanized segment. So what -- and plus Dubai is also not picking up. So could you give us a little bit more in sight into this?
Sanjay Gupta: First, you say from INR5000 to INR5500 per ton , I think this on a long term basis. Yes, INR6000 plus that we trying in the current situation, will it sustain us or not, this I can't say anything right now. But INR5,000 to INR5,500, the 2 years of track record, the product price margin we have we are quite sure that now in the future, we continue with this margin .
Vikas Singh: Sir, any portion of the inventory gains would have been involved in this , because the prices rise so sharply?
Sanjay Gupta: Inventory, mean, the inventory is in the books, we a large scale. The maximum price increase was 1st April. 1st April, by almost INR4500. So the inventory we have in our books is still at the old rate. And we don't have much of that i nventory either because -- if you see our balance sheet, are at almost 25 days. There's also scrap, stock in the branches, and pending orders from OEM and export. So, I can say that the free inventory we have is 13 -14 days' worth of free inventory. So, wha t profit or loss will we incur from that.
Vikas Singh: Noted sir. And sir, in the past we have seen when the prices rise so quickly, we usually had a problem securing the raw material. So anything that sort of problem you're facing right now, also consider ing that some of the capacities would have been curtailed like ArcelorMi

ttal ?

Sanjay Gupta: There was a shortage of raw material in April. I think the raw material position should ease a bit in the month of May. As the raw material position eases a bit, we will also try to push the goods a bit. So to be frank, in April our position was such that we neither had the goods nor did we have buyers. So we just remained sitting comfortably and doing our work, focusing on margins. Now from May the raw material pos ition seems to be easing a bit. So we are also trying to push our volume. So let's see, I think it is too early to say what will happen. But I have no doubt about the yearly commitment and guidance.
Vikas Singh: Noted Sir. Sir, I have a question on our las t capital allocation policy because our cash generation is far exceeding our capex requirement. So what will we do? Will we increase the dividend? How will it be?
Sanjay Gupta: I think my net liabilities are around INR500 crores as of today. How much is le ft, Chetan?
Chetan Khandelwal: INR500 crore s.
Sanjay Gupta: I have a liability of INR500 crore s. Once I eliminate this liability in Q1 and Q2, I'm unsure what to do with the cash. Either increase the dividend or do a buyback.
Vikas Singh: So we can expect good divid end going forward for this year?
Sanjay Gupta: I can say yes.
Vikas Singh: Thank you sir. That's all from my side and all the best for future.
Sanjay Gupta: Thank you.
Moderator: Thank you. Our next question comes from the line of Bharat Shah fro m BCS Capital Ideas Limited. Please go ahead.
Bharat Shah: Sanjay ji, first of all, most delighted at this quarter results. More than the quantum of the growth, it is the outstanding quality of the growth which is really, really impressive, I must say. I think the focus on the profit pool, focus on maintaining the hygiene and strength of the sales, which has been there for last several quarters, is finally showing up in a remarkable way in our operating results.
But what really impressed me was end of Dec ember quarter our net cash on the balance sheet

was INR550 crores and end of March '26, it is INR1,510 crores or whatever, which means INR1,000 crores almost cash has been added in a single quarter while profit say net profit of INR350 crores in the quarte r, but net cash added on the balance sheet has been almost INR1,000 crores . I think this is truly remarkable. -- Anubhav, would you like to throw light on that?
Anubhav Gupta: Sure, Bharat bhai. So , there are two, three factors. One is that during our quar ter three call, we had said that we are taking some steps to further rationalize our inventory churn. Okay, so some of the SKUs we wanted to start manufacturing at a single plant rather than being spread out, which leads to inventory hold up, raw material inventory hold up at multiple plants. So that,

strategy actually worked pretty well where we could almost reduce our absolute inventory in terms of tonnage by 30,000 -40,000 tons.
Okay. I mean, if you look at, if you look at the inventory levels as at 31st December and 31st March in absolute value, there is a INR250 crores reduction despite the fact that steel prices went up. So , you can imagine that in terms of absolute volume, the reduction is much more. So that strategy of inventory rationalization actua lly worked.
And, and yes, there were, because there were some better payment terms from the creditors, that also helped our, our cash flow generation. -- And then yes, like you said, INR350 crores of cash flow generation for the quarter four, which helped in kind of piling up of the cash.
Bharat Shah: No, truly remarkable. I must say this and the whole team deserves congratulations because single quarter cash addition of INR1,000 crores is really, really remarkable number, given also a lot has happened in a qu

arter. I mean, these days lot happens every day. So, in a quarter so many things have happened and the business has delivered this is truly remarkable. The target after the residual INR500 crores liability once they are retired, maybe in the first quar ter also in the current quarter, I think the target to reach negative working capital remains intact, right?
Anubhav Gupta: That's right.
Bharat Shah: Okay. And finally, Sanjay ji, when you said the year in entirety but targets remain intact, so just to re fresh my memory on that, are we saying about 20% volume growth which if I'm not mistaken, we were thinking …
Sanjay Gupta: Bharat bhai, I tell to the last call, 15% to 20% growth and 20% to 25% EBITDA growth and 25% to 30% PAT growth.
Bharat Shah: Fantastic . Okay. So that is the guidance that we are talking which we will take …
Sanjay Gupta: Yes. Volume . I think 20 % is difficult. If it gets worse than we targeting 1 5%. But from a margin point of view, we are very confident that we can achieve. Much better .
Bharat Shah: No, absolutely. I think that focus on maintaining and enhancing actually the quality of the performance rather than just the quantum …
Sanjay Gupta: This is our main focus area.
Bharat Shah: Yes, it is really remarkable and 40% plus ROCE which I think will go even higher in the fiscal '27, net cash balance sheet, and yet having global size addition to the capacity and through the challenging time achieving all that, truly remarkable. Hearty congratulations, Sanjay ji.
Sanjay Gupta: Thank you, Bh arat bhai.
Moderator: Thank you, sir. Our next question comes from the line of Akshay from AK Investment. Please go ahead.

Akshay: Hi sir, thank you for taking my question and first of all congratulations for the great set of number. Sir, my question is cu rrently for the application -wise our segment housing is contributing the maximum as at 64% and the second number is the commercial buildings 23% and the third number is infrastructure 13%. So , over the next two, three years, do we expect that infrastructur e and commercial buildings will be -- share will be higher due to the government capex and all these things?
Anubhav Gupta: So definitely there should be some improvement in infrastructure and commercial. Commercial has been doing pretty well for last two-three years . So that mix continues to improve.
Infrastructure from the government side has been on slowdown for two years, that's why the residential sales mix improved in the overall pie. Yes, we do expect government to start spending heavily and if i t does, so there could be 2 %-3% improvement in mix from infra side, otherwise housing will keep on taking the lead.

Moderator: Our next question comes from the line of Darshan Mehta from Dolat Capital.
Darshan Mehta: So my first question was can you provid e us the share of SG Premium to overall volumes in Q4? Hello?
Anubhav Gupta: It's between 8 % to 9%.
Darshan Mehta: 8% to 9% of total volumes, right?
Anubhav Gupta: Of the total volume, yes.
Darshan Mehta: Okay, okay. Not general products, total volumes. Yes. And I -- so also our other expenses I think have grown 13% Q -o-Q. So just wanted to know is there any specific reason for this or is this in line with normal operating activity?
Anubhav Gupta: So there are two -three things here. One is the freight cost, the outward freight cost was a bit higher in the quarter four on Q -o-Q basis because there was shutdown of our operations in few plants, right . Because of gas shortage, so we had to feed market from the other plants. That's why the outward freight was a b it higher. And secondly, we did some branding expenses in the quarter four, so that was higher on Q -o-Q basis. These are the two main factors.
Darshan Mehta: Okay. And just wanted to understand, let's say if the war had not broken . But still, le

t's say we
would have seen the same increase in steel prices, the sporadic rise that we have seen in steel prices between Q3 to now. So in that scenario, could we had made EBITDA per ton in excess of INR5,500? Because what -- why I'm coming on this question is, let's -- even you would have lost some volumes .
But so that means that operating leverage would not have really kicked in your numbers, but still you were able to make INR5,500. So just wanted to understand is this purely because of lower HRC price that you would have seen in your inventory that has actually kicked in EBITDA per ton or is there anything else?

Anubhav Gupta: So Darshan, see, I mean, during our quarter three call, we had guided for around near about 1 million ton of sales volume in quarter four with INR5,300 -INR5,500 per ton EBITDA okay, for the full quarter. Till 28th Feb, we were pretty much on track to achieve these numbers.
And when the crisis started, then this whole disruption started to hurt the operations in Middle East, in India because of gas shortage and then steel shortage and steel price hike. So yes, I mean, if war had not started, we would have met our guidance which we had given in the quarter three.
Darshan Mehta: Understood. Irrespective of the rise in steel price that we had se en. So I am not talking about Q4, let's say even in Q1, assuming steel prices are where they are currently. And do we think that in terms of per ton... ?
Anubhav Gupta: Darshan, sorry, but it is tough to say, no that steel prices increased pretty much after war also. There was some increase during Jan -Feb-March, Jan and Feb months, but after war the acceleration in steel prices was pretty high.
Moderator: Our next question comes from the line of Amit Murarka from Axis Capital.
Amit Murarka: So just wanted to understand like, your market share movements. So I believe these kind of disruption that we are seeing, let's say the issue around fuel availability, around metal availability . Is it fair to say that this is structurally positive for you wherein you gain market share from the unorganized players?
Anubhav Gupta: So Amit, which we did definitely like we have demonstrated this similar trends during COVID times. The industry leaders, the strong players, they always benefit from the like, disruption which impac t the overall industry. So yes, I mean, it -- that's the resilience of our business model that we can manoeuvre our strategy based on the conditions which keep on coming and going.
But yes, I mean, at the same time we wish that things become back to normal so that whatever guidance we have given for the full year, we are smoothly able to achieve that.
Amit Murarka: No, I wanted to understand more the market behaviour honestly here. So like we have seen in other industries also generally high inflation somet imes also lead to down -trading and actually some gains to the unorganized players. So in that context, I wanted to understand like is this current situation that way positive for you on a structural basis or would you see or fear some down -trading to happe n because the high inflation?
Anubhav Gupta: See, I mean, Amit, see, this disruption is not going to stay for more than, like, six months, okay. I mean, any expert you talk about, people keep on saying that it's been two months...
Amit Murarka: No, it was earlier two weeks honestly, so it's been stretching quite a bit . Yes, we don't know. Yes, that's what.
Anubhav Gupta: So yes, so if it is for say for four months put together, two months have been passed and another two months . Then whatever benefit we cou ld get, we have already achieved that right . In terms of market share gains, in terms of pricing power, in terms of margin improvement, okay. So --

but yes, if it goes beyond like four months,

right ? So then obviously the weaker players, right,
they may no t be able to run their plants because of gas shortage.
Obviously larger players have access to resources. We have seen that in other industries,
similarly in building materials, okay. So yes, to answer your question, if things get prolonged
like more than what anyone is expecting, then obviously the benefits will keep on accruing more
and more for stronger players.
Amit Murarka: Got it. Got it. That's all from me. Thank you.
Moderator: Thank you. Our next question comes from the line of Rajesh Ravi from HDF C Securities. Please go ahead.
Rajesh Ravi: Yes, congratulations to the team for good set of numbers. My first question pertains to, you know, the inventory which has come down significantly, multi -year low, and I think this was as per guidance. So just wanted to understand the sustainability of the current levels or is it like this was also an impact of some de -stocking or during the turmoil?
Anubhav Gupta: So Rajesh, Sanjayji's mission is to bring it further down, okay. That's what he has given mandate to the relevant team to keep on bringing inventory levels down and down and down. So yes, I mean, whatever we have achieved as at March 2026, it is highly sustainable.
Rajesh Ravi: Great. That's really nice to hear. And on the EBITDA front, Sanjay sir ment ioned around 20 - 25% EBITDA growth and in which you're factoring close to 15% for the volume growth and margin expanding not -- at close to INR5,500. Is this understanding correct for FY '27?
Sanjay Gupta: For FY '27, our volume growth is very clear -- we are targeting 15 % to 20%. EBITDA growth is 20 % to 25% and PAT growth is 25 % to 30%.
Rajesh Ravi: Okay, fantastic.
Sanjay Gupta: Rajesh, in this scenario you can cut the lower side 15 %, 20%, 25%. If the fee is better, you can take the higher side.
Rajesh Rav i: Great. So, I just wanted to understand this INR5,500 o dd which works out to be at least on the EBITDA margin. So, you know, what would right this? Is it the better product mix or wha t…?
Sanjay Gupta: Better product mix. The cost of this quarter will little because of the low volume. But this is a better product mix .
Rajesh Ravi: So better product mix is what will drive up your margins. Okay. And sir, on the April, you mentioned that the volume growth had been muted or volume had been muted. What does this mean? This is low single digit growth here indicating or flattish . How should we deal with the May volume come into and general? In general, what is the construction level impact?
Sanjay Gupta: It is difficult to say, because in April, we 2.5 lakh ton s. In May, the first two or three days were not good. But, it will above the flatness. Last year, we have done 7.92 lakh tons. As per our

thinking what is achievable 2.5 we have done in April , 2.75 -3 lakh will be doing in May , 3 plus to 3.25 in June , so we can touch 8.75. So it will be more than 8, we can touch 8.75.
Rajesh Ravi: Okay. So next 2 months you are looking at May and June better traction to happen?
Sanjay Gupta: Yes. I think because there was a little problem with steel in April as well. I think that problem, the disruption that came, the steel problem is over. So we are now little bit aggressive in the market. So I think , May we can do 3 lakh ton and June we are back on track with 3.5 lakh ton.
Rajesh Ravi: Super b. And sir, this margin performan ce of March quarter, you believe that this could be repeated in... ?
Sanjay Gupta: Yes, this is sustainable. It should be somewhat better than that.
Rajesh Ravi: Great, great. And lastly, you said, I just wanted to, you know, that you mentioned that the sur plus cash beyond whatever, you know, short -term liabilities you want to reduce, after that whatever surplus is there, you will use that to either in crease dividend or do a buyback?

Sanjay Gupta: Yes.
Rajesh Ravi: Great sir. That's all from my side. All the best. Thank you.
Sanjay Gupta: Thanks.
Moderator: Thank you. Our next question comes from the line of O nkar Gangurde from Shree Investment. Please go ahead.
Onkar Gangurde: Good morning sir. My question is regarding whatever the commentary you have given, it looks like there are more headwinds than the tailwinds currently given whatever the situation on

ground is. Is that the correct understanding?
Anubhav Gupta: Yes, of course. I mean, whatever happening globally and in the domestic markets, yes, you have assessed it pretty right.
Onkar Gangurde : So I mean, I have to say then this is only and only because of the war -like situation, right? Because before the war broke out, you were quite bullish, in fact you raised the guidance as well on the -- in the quar ter three. So whatever is...
Anubhav Gupta: Yes, so we are not reducing our guidance as of now, right, for the absolute EBITDA. Okay. So yes, I mean, like we were discussing on the previous call, every disruption brings some opportunities for the better co mpanies and we try to grab that in our favor.
Onkar Ghangurde : So ye s, like, my another question regarding this was like, now you have a good amount of cash with the financial strength you have on the balance sheet, like , how can you capture more and more market share from the competito rs given the current situation? Because they must be also suffering quite a lot.

If the biggest player is suffering, I mean, giving a flattish kind of growth or low single digit kind of growth, so their situation would be even worse. So how can you use the financial strength to gain even more market share from competitors?
Anubhav Gupta: So this is what if you look at our market share in FY'26 versus FY '25, our market share is improved to 65% from 55%. Okay. And this can co ntinue to improve if disruption continues to hurt our competition more than the larger player like Apollo.
Onkar Ghangurde : So I mean, what kind of steps you are taking to gain that kind of market share given the strength you have financially?
Anubhav Gupt a: So one is the capacity building, okay. The capex is fully funded from internal cash flows. We were not present in East India much, right, so putting up two plants in East India will help us compete intensively with the local smaller players there. That results you will start seeing in next one to two years as our both plants become operational.
Second, we are building capacities for lighter structures in South India, where again we believe that we have -- we can gain more market share, okay, if we increa se our capacities there. So our new Bangalore plant, which we call it Malur 2 that we are -- that we are going to build up over the next two years. So that again is on the back of strong balance sheet where my large capex will be fu nded from operating cash flows.
So balance sheet can only help fund capex, right, without straining -- without leveraging. So this is what we are building, capacity building. And second, branding also with better margins, we will spend a bit extra on branding this year, which wil l again help us gain market share.
Onkar Ghangurde : So this capacity building exercise you are saying is like more of a mid -to-long term kind of thing, right? But immediately in the short term, like what you are doing in this war -like situation to gain fro m the competitors given the strength you have financially?
Anubhav Gupta: So mainly working on SKU management and branding. These are the two things we are doing.
Onkar Ghangurde : Okay. I mean, like more dealerships or something like that you are doing, an ything with the dealers you are doing?
Anubhav Gupta: Dealership in existing territories are fully leveraged. I mean, there is no scope to add new dealers in the existing te

rritories. New markets where we are going, there we are developing new network.
Onk ar Ghangurde : Okay. All right. Thank you, sir .
Moderator: Our next question comes from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund. Please go ahead.
Renjith Sivaram: Yes, hi sir. Just wanted to understand, like, was there any impact on this LPG shortage or anything in our overall operations?

Anubhav Gupta: Can you be a bit louder please?
Renjith Sivaram: Yes, am I audible now? Hello?
Anubhav Gupta: Yes, go ahead.
Renjith Sivaram: Yes, was there any impact on this LPG shortage in our busi ness and do yo u have any backup plan for that? ?
Anubhav Gupta: So definitely in month of March, two of our product categories in India, the rust -proof pipes and

coated products, they faced temporary shutdowns at few locations. So our plants moved to
altern ate fuels. So there was disruption of 10 to 15 days. Yes, so there was definitely some
disruption because of that.
Renjith Sivaram: Okay. And going ahead, do you see any , what is your backup plan like you have now kind of
mitigated the same?
Anubhav Gupta: Right. So alternate fuels have helped the capacity ramp -up at those locations. It's just that, I
mean, that fear of energy crisis coming back is always there. Okay. So things have become much
better than what they were for those two weeks in month of Marc h, but still because of fear
factor, we would say that we are operating at 90% level, not 100% levels.
Renjith Sivaram: Okay. So this 15 % to 20% growth guidance which you are giving is factoring in this, right?
Anubhav Gupta: Of course , yes. I mean, unless things become really worse from here. If , if there is like shortage
of fuel to run vehicles, cars, automobile, then it'll be like extraordinary situation which will make
us reconsider our business plan.
Renjith Sivaram: And like in the , in your demand industries where you supply these, so they will be also facing
similarly such issues in terms of shortage and do you feel the demand will be enough to support
this kind of a growth or it'll be due to market share gains?
Anubhav Gupta: It'll be combination of both, right. I mean, our material goes at the construction sites, right. So
construction sites go t halted for multiple reasons: L abour shortage, all raw material prices at
construction sites went up , steel, tiles, plumbing pipes, paints, right. So many construction
materials.
So contractors, they try to delay the purchases. Okay. So once things settle down, contractors
will renegotiate pric ing with their customers, right? So things will start coming back on track.
So then this pent -up demand will come b ack and we are hoping that we will be able to take share
from that and that's why we are giving that 15 % to 20% volume guidance.
Yes, of course if things become further worse from here, okay, then we'll see, then we'll evaluate
again. But right now talkin g to, like whatever is happening around us, it looks like things should
settle , things should settle down quickly and we will be able to achieve our volume guidance.

Moderator: Thank you. Our next question comes from the line of Devarshi Jani , an Individua l Investor.
Please go ahead.
Devarshi Jani: Hello?
Moderator: Yes, please proceed.
Devarshi Jani: Okay. Thank you for opportunity. I was just wanting to know about the value -added sales,
related question. You have reported the value -added sales mix of 25% in Q4, it is down slightly
from 6 7 in Q3. Despite this, EBITDA per ton rose t o a record high, it's like a 5,525. Can you
bridge this gap? Was it driven by the inventory gain or a better spread in the general c ategory,
which shows jump to 3,405 EBITDA per t on, or a specific cost efficiency at Raipur plant, sir?
Anubhav Gupta: So there were

two reasons. Number one is the Apollo, APL Apollo brand premium, okay, which
led to better pricing in general category. Okay. If you remember that we have , we had increase d
the pricing for Apollo general segment in January of 2025, okay, by almost INR1,500 per ton.
So that increase , that price hike is straightaway coming to our EBITDA, okay, for the general
product.
That's why from INR2,000 per ton EBITDA level, we are at INR3,500 per ton plus level in
general. So this is the main driver of the profitability. Okay. And second, yes, of course, cost
rationalization steps we keep on taking 24/7. So some , some measures keep on delivering results.
Devarshi Jani: Okay. So my next question is related to ESG and decarbonization. So now that you have
achieved a SBTI validation, what is the incremental capex required annually to meet a 25%
emission reduction target by 2030? Will it impact manufacturing cost per ton significantly?
Anubhav Gupta: No, in fact, whatever , I mean, whatever steps we take for better ESG compliance, it actually
results in lower costs. For example, you , you invest into renewable energy, right, that brings
down your overall cost per ton, power cost per ton, r ight? So, in fact, we are experiencing
opposite, that you invest into ESG compliance, it actually end up yielding better results for you
in terms of cost optimization.
Devarshi Jani: Okay. Thank you so much for answering, sir. Rest of the question already answered. And thank
you for opportunity and best of luck for next quarter, sir.
Anubhav Gupta: Thank you.
Moderator: Thank you. Our next question comes from the line of Rajesh Ravi from HDFC Securities. Please
go ahead.
Rajesh Ravi: It's just a follow -up q uestion. Given the current steel prices, you know, how would be the
realization number looking sequentially even versus Q4 basis current prices?

Anubhav Gupta: Rajesh, you'll have to come back again. Rajesh, can you please repeat?

Rajesh Ravi: Yes, yes. Sure. I'm saying basis the current steel prices which are significantly higher and have been rising even in April and, you know, in this scenario, I'm sure not everything would have been captured in Q4 number in realization. So what sort of price increase on an average, you know, is your current sales versus Q4 average?
Anubhav Gupta: So prices like, okay, so if you look at the HR coil prices, okay, in the —in the market, they are up by around from March to May, okay, or I would say from April to May, they are up by around INR3,000 per ton. Yes, so that much price hike we took, Rajesh.
Rajesh Ravi: Okay. So that is what would be reflected in even in your realization and cost number.
Anubhav Gupta: Cost, yes.
Rajesh Ravi: Okay. Okay. And, you know, just last, just wanted to re -stress on this inventory gain. I believe somewhere during the call you mentioned you have 10 to 15 days of finished good inventory, you know, obviously which is quite lean. And because of...
Anubhav Gupta: Finished good inventory Rajesh, raw material, raw material inventory is 15 days.
Rajesh Ravi: Raw material, okay. So HRC rather. So, you know, the HRC prices which is going up, would you have to mark up your inventories and would have that led to some inventory gain in Q4?
Anubhav Gupta: So Rajesh, what happens is that since our overall inventory churn is less than 30 days and in India steel prices are revised once in a month, okay. So by the time next cycle comes up, we are already out of our previous cycle. Correct. So that's why the ma rk-to-market is not significant. It's like very, very minuscule. If my net inventory days are higher than 30 days, then there'll be mark -to-market in my balance sheet.
Rajesh Ravi: Understood. Understood. So basically none of your numbers would have any pa dded up of inventory, so in case if steel prices were to again come back, you won't have

any issues over
this.
Anubhav Gupta: That's right. That's right. It only happens when there is like significant drop in steel prices sometime like what we have seen, l ike there'll be like a time when steel price are revised twice in a month, okay, which —which happens once in a decade, okay. Then there could be like, you know, some gains or losses, okay, which would be significant. Otherwise, 11 out of 12 months steel pr ices are revised once in a month. So that doesn't hurt us.
Rajesh Ravi: Agreed. Agreed. Yes. Great. That's all from my end. Thank you and all the best.
Anubhav Gupta: Thanks.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I'll now hand the conference over to the management for the closing remarks. Thank you and over to you team.
Anubhav Gupta: Thank you everyone for joining us and thanks Emkay team for hosting us. Look forward to see you in the next quarter. Have a good da y.

Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.